



ANNUAL REPORT

2017

CONTENTS

VTB at a Glance	3
Statement of the Chairman of the Supervisory Council	10
Statement of the President and Chairman of the Management Board	12
1. Management report	
1.1. Key events	14
1.2. Operating environment	16
1.3. Strategy	18
1.4. Operating performance review	26
1.4.1. Corporate-Investment business	26
1.4.2. Mid-corporate business	39
1.4.3. Retail business	43
1.5. Financial review	59
1.6. Risk management	65
1.7. Technological transformation	74
2. Corporate governance	
2.1. Corporate governance review	79
2.2. General meeting of shareholders	83
2.3. Supervisory council	86
2.4. Management board	111
2.5. Compensation of the Supervisory Council and the Management Board	119
2.6. Internal control and audit	122
2.7. Statutory audit commission	127
2.8. Investor relations	129
2.9. Disclosure policy	132
3. Corporate social responsibility	
3.1. Personnel	135
3.2. Responsible resource management	138
3.3. Social programmes	138
4. Financial statements	
4.1. Responsibility statement	143
4.2. Consolidated financial statements	144
5. Annexes	
5.1. Share capital	152
5.2. Dividends	153
5.3. Report on compliance with the principles and recommendations of the corporate governance code	156
5.4. Bank details and contacts	175

VTB AT A GLANCE

Our mission

To provide world-class financial products and services that help to create a prosperous and sustainable future for our customers, stakeholders and society

Our values

Trust	Gaining and retaining the trust of our customers is VTB Group's most important value
Reliability	VTB Group's long-term strength is reinforced by leading positions in the financial markets where we operate and our ability to provide local expertise on a global scale
Transparency	Our business is open and transparent, and all of our key stakeholders cooperate closely in order to deliver maximum value and visibility
Versatility	Our wealth of expertise across a broad range of financial products and services ensures that we offer all of our customers the most comprehensive, flexible and sophisticated solutions that suit their individual needs
Team	Our dedicated team of professionals benefits from the synergy of knowledge afforded by our diverse line of businesses, and our Group's spirit is enhanced by the energy, creative insight and potential of each member of our team

Our identity

VTB Group is the leading Russian financial institution with a strong presence in key international markets

Our vision

VTB Group's goal is to become a premier player in all of its priority markets

ADVANCED

DIGITAL

WIDESCALE



**Second largest
bank in Russia**



**Presence across
the four continents**



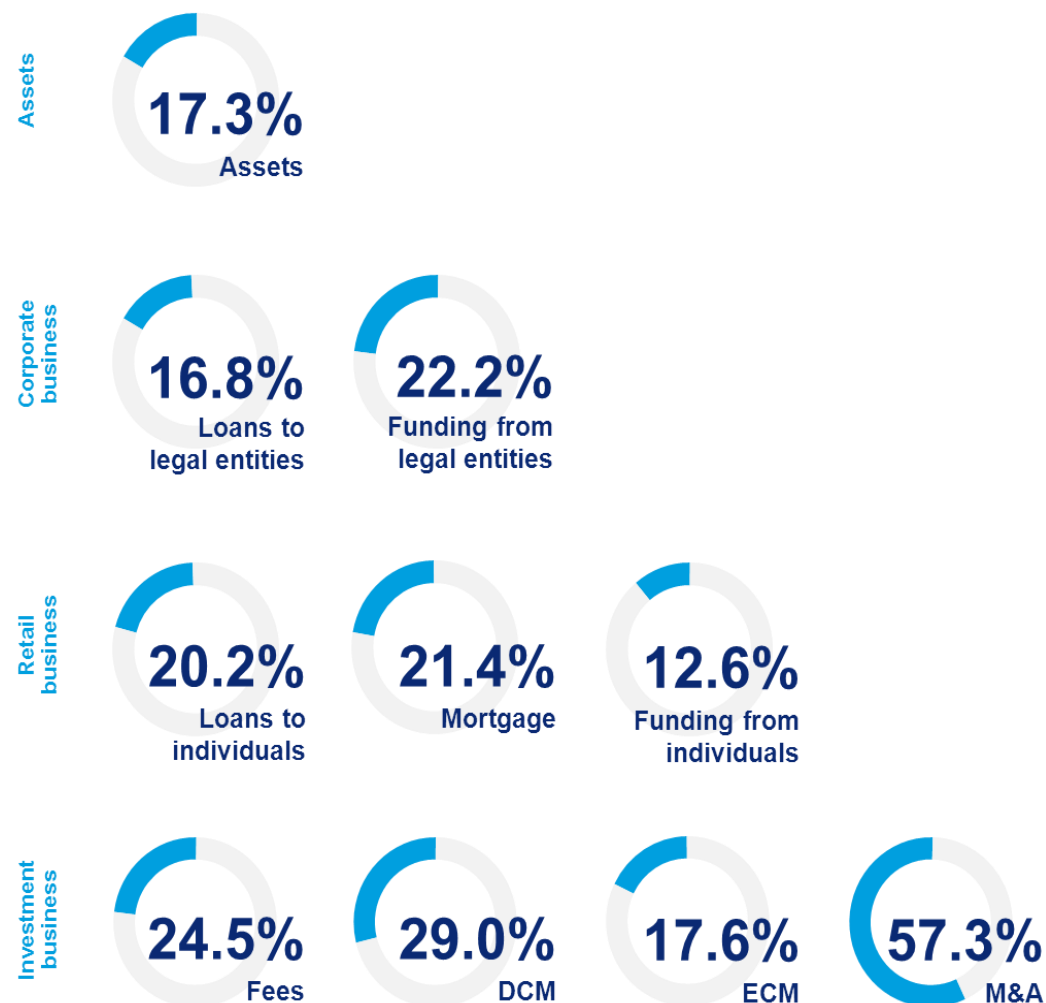
**>20 subsidiary banks
and companies**



**Operations in all segments
of the financial market**



VTB Group in Russia market share as of 31-Dec-17



The Group of VTB Bank and its subsidiaries and associates (hereinafter “VTB Group” or the “Group”) includes Russian and foreign commercial banks, as well as insurance, leasing and other companies controlled by the Group.

VTB Group is structured as a holding company, which envisages a unified strategy for the development of Group companies, a single brand, centralised financial management and risk management and unified control systems.

In Russia, the Group conducts banking operations through a parent company, VTB Bank, and a number of subsidiary banks, including VTB24 (prior to 1 January 2018) and Post Bank. On 1 January 2018, the Group completed the merger between VTB24 and VTB Bank and began servicing customers of both banks under a unified VTB brand.

VTB Group’s global network is unique to the Russian banking industry. Group companies provide services in the CIS, Europe, Asia, North America and Africa, enabling the Group to facilitate international partnerships and promote Russian companies aiming to engage with global markets. The Group’s international operations enable diversification and increased profitability from its transactions in high-margin markets.

As of the end of 2017, the Group’s banking and investment banking business was active in 20 countries around the world. Outside Russia, the Group operates through 11 subsidiary banks, located in Germany, the United Kingdom, Serbia, Armenia, Belarus, Kazakhstan, Azerbaijan, Ukraine (two banks), Georgia and Angola, and through three representative offices located in Italy, China and Kyrgyzstan, as well as two VTB branches located in China and India, a branch of VTB Capital in Singapore and a branch of VTB Bank (Europe) in Austria. The Group’s investment banking division provides broker-dealer operations in the US, conducts securities transactions and provides financial advisory services in Hong Kong, and operates investment banking services in Bulgaria. The Group also has an associated bank in Cyprus. In addition, in Vietnam, VRB Bank, a joint venture between VTB and a Vietnamese bank, conducts banking activities.

Global presence



The Group operates in the corporate-investment banking sector, the retail banking sector and other sectors. Corporate-investment banking, mid-corporate banking and retail business represent the Group’s global business lines, which specialise in servicing various client segments.

Client base

8 thsd corporate-Investment banking clients

90 thsd mid-corporate banking clients



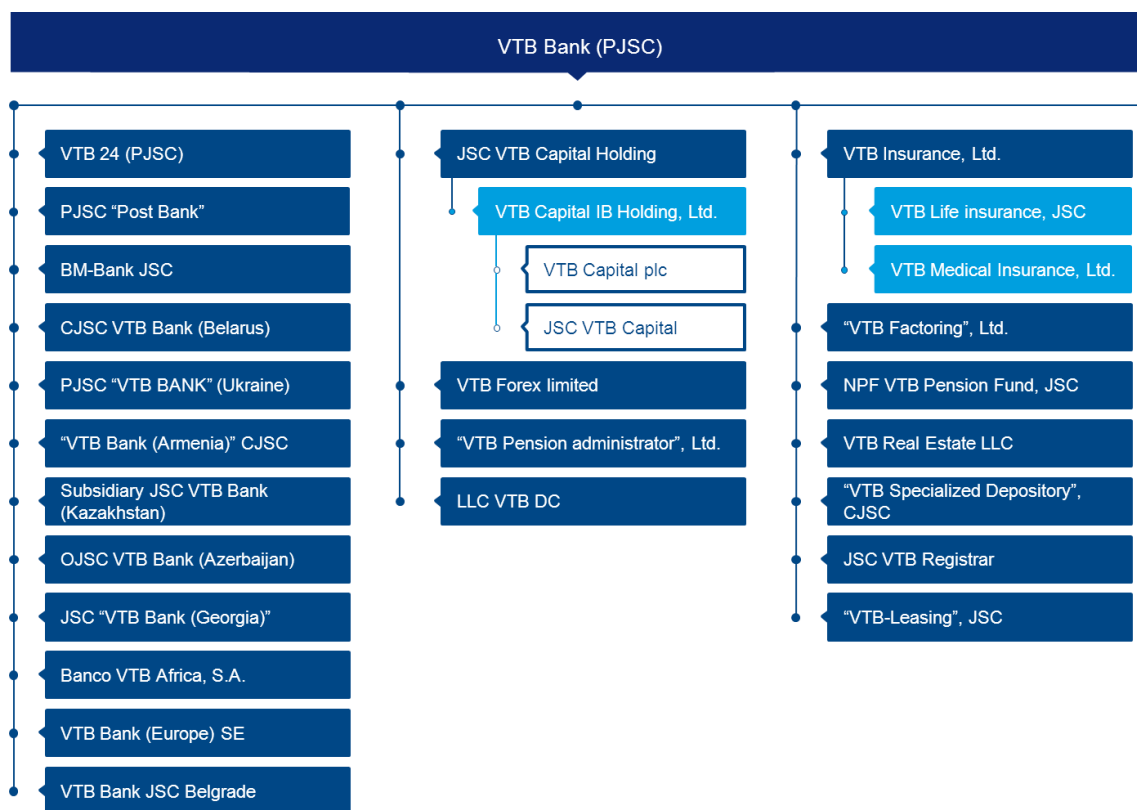
540 thsd small business clients

38.3 mln individual clients

6.1 mln payroll clients

6.7 mln clients using remote channels

VTB Group's organisational structure (as of 31 December 2017)



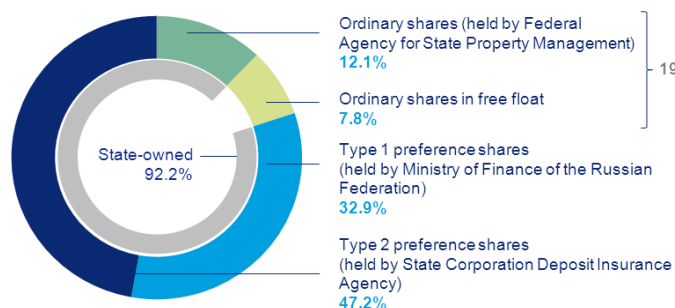
On 1 January 2018, the Group completed the merger of VTB24 into VTB Bank and started servicing clients of both banks under the unified VTB brand. The merger was one of the key initiatives under the Group's approved 2017-2019 strategy, and management expects to achieve business synergies and costs savings from the integration of the two banks. The merger of VTB24 into VTB Bank helped to optimise the structure of the Group's retail business in the Russian market, centralising management functions, unifying the integrated banks' operating models and IT systems, and creating synergies from the merger of regional networks. The integration involved developing a completely new system for interaction between the Group's global business lines – Corporate-Investment Banking, Mid-Corporate Banking, and Retail business – within a single organisation.

VTB Group has a number of important **competitive advantages** that allow it to maintain and strengthen its market positions in its priority areas of business:

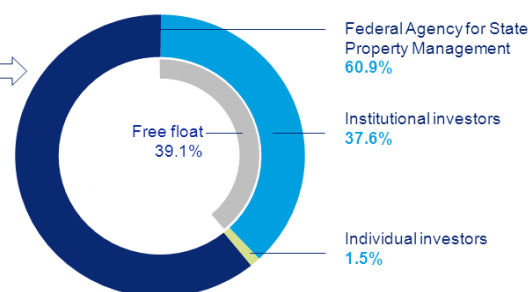
- 1) its highly flexible business model;
- 2) it is Russia's second-largest and systemically important bank;
- 3) the universal banking business model of VTB Bank and its subsidiary banks and companies is ideally suited to Russian condition
- 4) brand awareness and state interest ensure financial strength and increased customer confidence;
- 5) an extensive base of corporate clients and strong relationships with leading Russian companies in key sectors of the economy;
- 6) the unique ability to serve Russian clients on a global scale;
- 7) opportunities for sustainable asset growth;
- 8) its wide regional sales network;
- 9) leading positions in the area of retail banking services, using the work experience and client bases of VTB24 and Post Bank;
- 10) the investment banking division of VTB Capital, which provides a full range of services in international financial markets;
- 11) its team of managers with extensive experience in the financial sector.

Ownership structure

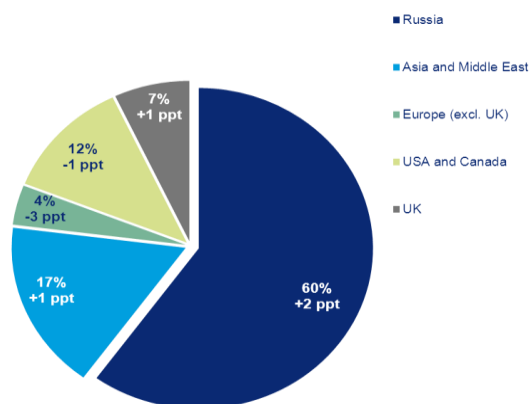
Equity capital



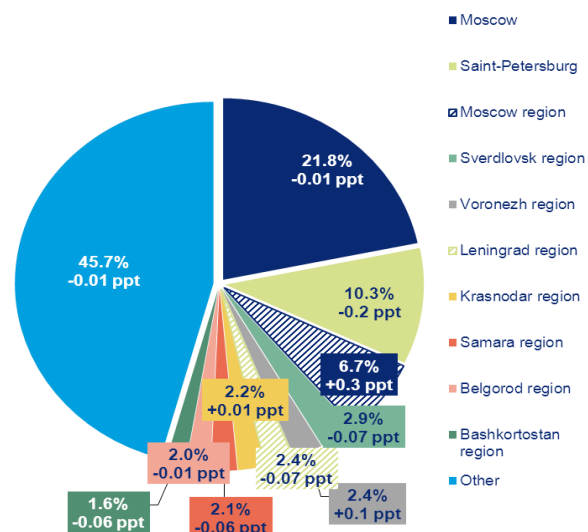
Voting rights



Geographical distribution of institutional investors (% of free float)



Regional distribution of individual shareholders – top 10 regions of the Russian Federation (% of individual shareholder base)



94.6 thsd shareholders of VTB Bank, including
93.6 thsd individual shareholders

Stock Exchange Listings

Ordinary shares

ISIN RU000A0JP5V6
 LEI 253400V1H6ART1UQ0N98

Moscow
 Exchange

Global depositary receipts (GDR)

LEI 253400V1H6ART1UQ0N98

London Stock
 Exchange

144A program

ISIN US46630Q1031

RegS program

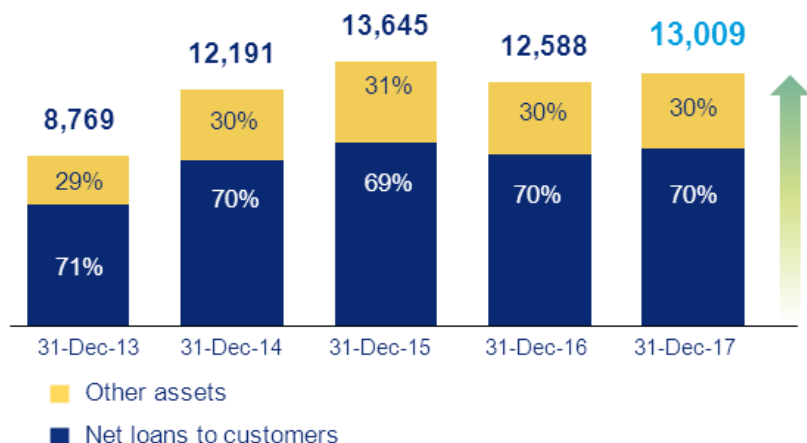
ISIN US46630Q2021

VTB Bank is one of the largest companies by market capitalization listed on the Moscow Exchange. The bank's ordinary shares are constituents of the major indices on the Moscow Exchange, including MOEX Russia Index, RTS Index, the MICEX 10 Blue Chip Index, the Broad Market Index and the MICEX Financials Index.

Each VTB GDR is equivalent to 2,000 VTB ordinary shares. The bank's GDRs are included in the FTSE Russia IOB Index, FTSE BRIC 50 Index, as well as the MSCI Emerging Markets, MSCI Russia and Russian Depositary Index.

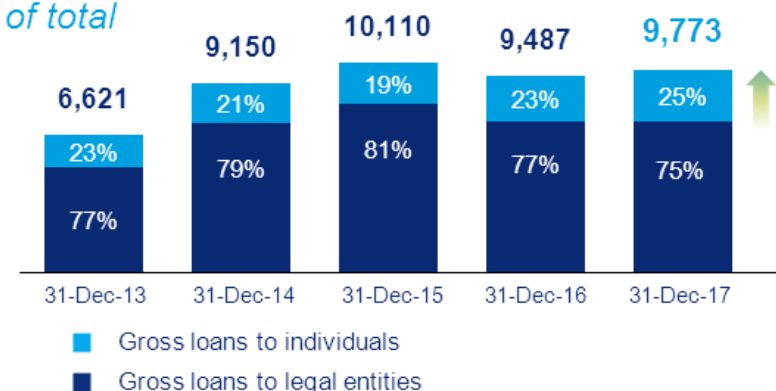
Financial highlights

Total assets ^{RUB bn}

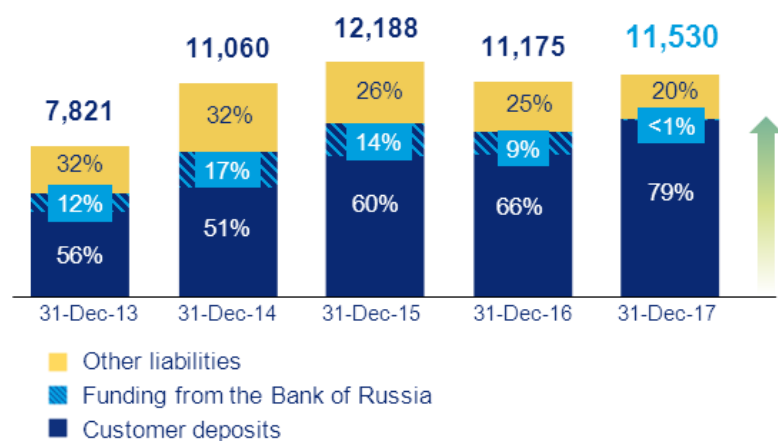


Balanced asset growth with the loan portfolio continuing to account for 70% of total assets, focus on retail lending

Customer loans ^{RUB bn}

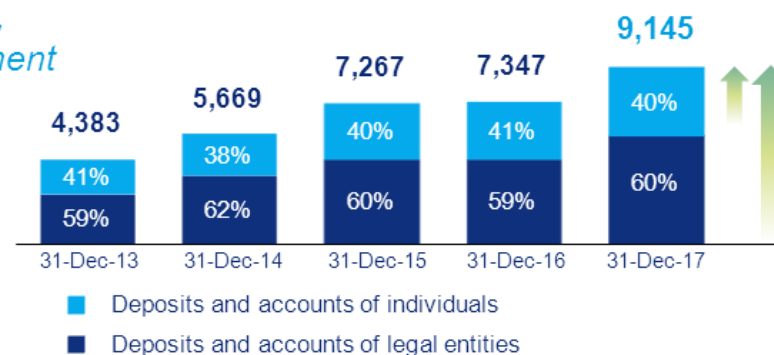


Total liabilities ^{RUB bn}

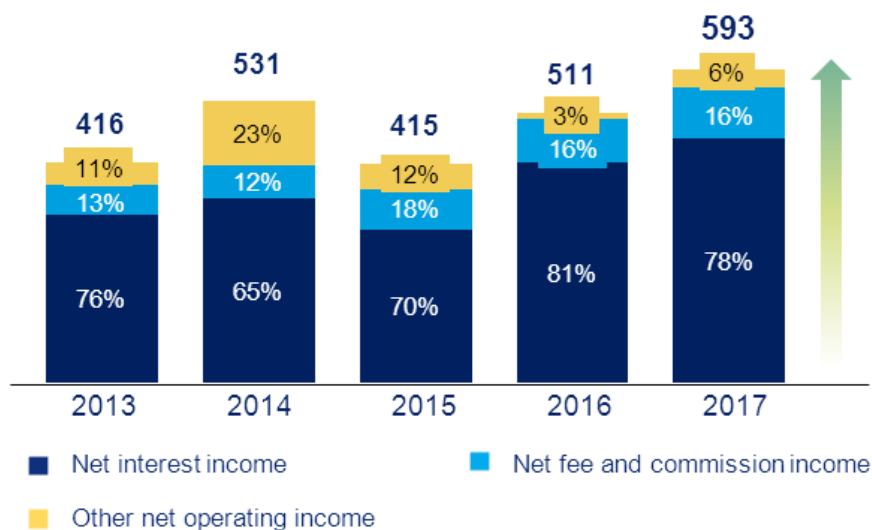


The Group's funding profile is improving with the increasing share of customer funds, focus on retail segment

Customer deposits ^{RUB bn}

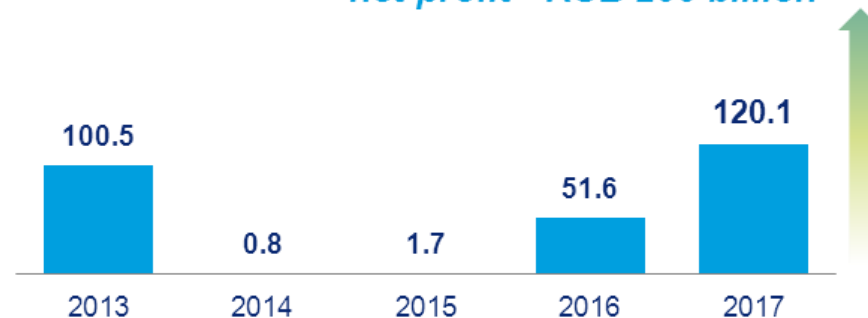


Operating income before provisions ^{RUB bn}



Net profit ^{RUB bn}

Target 2019: to increase profitability and achieve net profit >RUB 200 billion



Key metrics, %

	2013	2014	2015	2016	2017
Net interest margin (NIM)	4.4	4.0	2.6	3.7	4.1▲
Net commission margin (NCM)	0.7	0.6	0.6	0.6	0.8▲
Cost / income ratio (CIR)	47.5	41.9	53.5	45.8	44.0▼
Cost of risk (CoR)	1.6	3.4	1.8	1.5	1.6▲
Return on equity (ROE)	11.8	0.1	0.4	3.6	8.3▲
Return on assets (ROA)	1.2	0.0	0.0	0.4	0.9▲

Statement of the Chairman of the Supervisory Council

Dear shareholders, clients and partners,

On behalf of the Supervisory Council, I am pleased to report that VTB Group has delivered solid financial results in 2017, reporting a record-high net profit while also making significant progress against its strategic targets under the 2017-2019 strategy.

VTB is Russia's core financial institution, supporting many of the country's leading businesses with a full range of corporate, transaction and investment banking products for large corporations, small and medium-sized companies. The Group also continues to make significant strides in the growth of its retail business, bringing modern, high-quality and high-tech banking products to consumers through the unified VTB brand and the Post Bank brand.

With a focus on long-term sustainable and balanced growth for this systemically important bank, the Supervisory Council regularly engages with management to oversee its implementation of the 2017-2019 strategy, as well as monitor risk management systems that can help to ensure the bank's sustainable development even in times of market volatility.

As 2017 marked the first year of VTB's updated strategy, we paid particular attention to the three priority areas that the Supervisory Council had identified: profitability; streamlining the business; and technological transformation.

VTB has, without a doubt, delivered on all three fronts. Net profit for 2017 increased by 133% year-on-year to RUB 120.1 billion on the back of growing net interest income and net fee and commission income, as well as improved cost efficiency. With steps taken to solidify the Bank's financial position and introduce sustainable efficiency measures, the Board and I hope to see further sustainable gains in profitability in the years ahead.

Finalising the merger of VTB24 into VTB Bank and introducing a new unified brand marked a key milestone in the corporate reorganisation aimed at streamlining VTB's structure and improving management of its operations. The elimination of duplicate functions resulting from this reorganisation brings new synergies and benefits, which will help to create significant cost savings. At the same time, the move to a single legal entity has also made it possible to accelerate the unification of the banks' IT systems, in line with the goals of the 2017-2019 strategy.

One of the top priorities that has been set before VTB and its management is a comprehensive digital transformation, which the Board expects to create far-reaching and long-term enhancements in the way the bank does business. We see significant opportunities to introduce efficiencies through automation of routine tasks and increasing electronic document exchange. Enhanced data gathering and analytics will enable the bank to improve its decision-making on a wide range of issues, from lending to better understanding customer expectations, which are changing across both corporate and retail banking, with customers becoming increasingly demanding.

Corporate governance remains one of the top priorities for us, and I am pleased to note that we have once again achieved a 7++ rating from the Russian Institute of Directors, which places VTB among the leading companies in Russia in this field. The Supervisory Board maintains a constant focus on implementing best practices and maintaining high standards in the area of corporate governance. This entails ensuring that the interests of all shareholders are considered during the decision-making process, monitoring the bank's financial and operational performance, and seeing to it that proper policies and systems are in place.

I think it is also important to note the Bank's significant progress in the annual rating of large state companies on their implementation of key Corporate Government Code recommendation. This rating is published by the Expert Council to the Government of the Russian Federation, and the Bank took second place last year, having moved up seven spots since 2015.

I believe that VTB is very well-positioned to benefit from the improving institutional environment and macro-economic conditions in Russia, which will be shaping the country's performance in the years ahead. Russia's return to economic growth, declining inflation and the start of a new, long-term investment and credit cycle will support growth in business activity across the economy. As companies and individuals begin borrowing more, the universal banking model that VTB has been successfully implementing for years will put the Bank in an excellent position to continue its successful, sustainable growth.

The Supervisory Board has set ambitious strategic targets aimed at facilitating VTB's continued development as an efficient, responsive and innovative bank that is able to quickly adapt to evolving customer needs and the changing competitive landscape. We will remain focused on supporting further sustainable growth that will benefit all of our stakeholders, and create value for our shareholders as VTB Group expands its business.

Anton Siluanov

Chairman of the Supervisory Council of VTB Bank

Statement of the President and Chairman of the Management Board

Dear shareholders, clients, and partners,

Presenting our results for 2017, the first year of VTB Group's current three-year strategy, I am pleased to note that our financial results exceeded our forecasts, and we achieved significant progress in implementing our strategic plans. VTB net profit increased by 130% year-on-year to RUB 120 billion in 2017. We were able to achieve these results thanks to several factors: significant improvements in funding structure; impressive growth in our net fee and commission income; and ongoing improvements in efficiency.

In retail banking, we continue to make progress, with gross loans to individuals increasing by 14.3% in 2017 to RUB 2,486.3 billion at the end of the year. Deposits from individual customers increased by 20.5% year-on-year, significantly exceeding average market growth. Post Bank saw another year of rapid expansion, acquiring 3.2 million customers in the last year, bringing its total client base to 6.3 million people across 4,400 localities where the bank's network operates.

Our Corporate-Investment Banking business strengthened its market position with the help of a flexible business model and the ability to come up with innovative solutions depending on market conditions. We were particularly focused on diversifying the business, further efficiency gains and cost cutting. The large-scale technological upgrade to our transaction banking business, which enabled us to move to a next-generation remote banking platform, represents another strategic success. VTB Capital, the undisputed leader in the Russian investment banking market, contributed to increased activity in capital markets.

We decided to merge the small and medium-sized banking businesses into one global business line in 2017. This sector is incredibly important for Russia's further economic development, as it holds significant potential for growth. As part of our 2017-2019 strategy, we have begun to develop new and enhance existing services to make them more accessible to clients of this segment, especially using remote banking tools.

One important objective of VTB Group's development strategy is to transition to a universal bank in Russia aimed at improving the quality of process management and building a unified, highly competitive organisation that is able to respond quickly to changing market conditions. VTB is now a leaner company following its successful and seamlessly executed reorganisation. Work in this direction began with the integration of TransCreditBank in 2013, Bank of Moscow in 2016, the reshuffle of our European operations in 2017, and the merger of VTB24 completed on 1 January 2018. These large-scale reorganisations allowed us to achieve sizeable cost savings and business synergies.

With rapid, disruptive change already on our doorstep, VTB Group's key strategic initiative is the implementation of a large-scale technological transformation. Technologies are changing the banking sector, and our customers expect us to offer even more convenient and flexible service, as well as products and services that suit their needs. For VTB, this is a challenge and an opportunity, as we invest in updating systems to bring new products to market faster, move to digital channels and improve the reliability of our IT systems. In addition, the use of deep analytics will enable us to gain a better understanding our customers' needs, while also making the banking experience more convenient and personalised.

As a leading player in the financial market, VTB's aim is to demonstrate leadership in all aspects of its activities, including social responsibility. We play an active role in public life by supporting important business, cultural and sporting events and interacting with major social institutions. In 2017, the Group's main donor, VTB Bank, provided sponsorship for 80 projects and financial support for 147 further charitable projects.

One of VTB's most impactful social projects is the corporate charity programme "A World without Tears", which will be marking its 15th anniversary in 2018. With the goal of supporting children's

healthcare throughout the Russian Federation, 26 hospitals participated in the programme in 2017. More than 20,000 children benefit from the equipment and medicines purchased through the programme every year.

I would like to thank the entire VTB team for their contribution, enabling us to move from strength to strength. Our team has flawlessly implemented large-scale change projects, ranging from the integration of several large banks to the start of our digital transformation. I have every confidence in our ability to continue to grow profitably, as we adapt to the changing market environment and create long-term value for our shareholders.

Andrey Kostin

President and Chairman of the Management Board

1. Management report

1.1. KEY EVENTS



January

- On 18 January, VTB Capital held its annual working breakfast with international and Russian investors at the World Economic Forum in Davos. The theme of the event was "Reigniting Economies. Rebuilding Trust ". VTB Capital has been organising meetings with investors and representatives of the Government of the Russian Federation at the World Economic Forum in Davos since 2012.
- The authoritative international magazine *Global Finance* recognised VTB as the best bank in trade financing in Russia in 2017. VTB won the award for the second consecutive year.

April



- On 26 April 2017, the Annual General Meeting of VTB Bank shareholders was convened in St Petersburg. The meeting was chaired by Sergey Dubinin and was attended by over 1080 shareholders and shareholder representatives, including attendance via video conferencing. The event was streamed online on the bank's website www.vtb.ru.
- At a meeting of VTB's Supervisory Council on 28 April 2017, the Minister of Finance of the Russian Federation, Anton Siluanov, was elected as Chairman of the Bank's Supervisory Council. In addition, the Supervisory Council re-elected Andrey Kostin as President and Chairman of the Management Board of VTB Bank.
- VTB launched a special programme for individual shareholders that includes a comprehensive offer of financial services on preferential terms.



May

- VTB hosted its traditional Investor Day for institutional investors in London. Held at the London Stock Exchange, the event began with the ceremonial start of trading. This right was granted to the President and Chairman of VTB Bank's Management Board, Andrey Kostin, in honour of the 10th anniversary of VTB's IPO and the beginning of trading of the Bank's securities on the London Stock Exchange. More than 130 representatives of the investment community attended the event.
- VTB shareholders elected a new Shareholders Consultative Council. More than 600 shareholders took part in the voting from March through 20 May 2017, and 95% of the votes were received through the electronic voting system. According to the results of the voting, which was open to both individual and institutional shareholders, 12 minority shareholders were elected to the Shareholders Consultative Council.



June

- VTB Capital's research team took the top spot in the Institutional Investor Emerging EMEA Research Team Ranking 2017. VTB Capital also took sixth place across the entire EMEA region, finishing ahead of all Russian banks and a number of global players. This is the highest ranking ever received by a Russian bank in this category.
- VTB Capital hosted a RUSSIA CALLING! Investment Forum: London Session on 20-21 June 2017 in London. The event included panel sessions and individual meetings with international investors and representatives of Russian business.



July

- The RAEX (Expert RA) ratings agency granted VTB Bank its highest-possible credit rating of ruAAA, with a stable outlook. According to the agency, the rating was due to VTB's exceptional importance to the Russian banking system and the Bank's access to a wide range of resources for managing

liquidity and capital. The Agency also noted the high quality of the Bank's corporate governance system and its advanced risk management practices.

- VTB Capital was named the best investment bank in Russia at the 2017 Euromoney Awards for Excellence. VTB Capital has won this prestigious award every year since 2013. The main criteria for selecting the winner were its range of products, strong financial performance and position in leading rankings.



October

- VTB Bank was assigned the highest rating for corporate governance, 7++ (Developed Corporate Governance Practice), based on the results of annual independent monitoring carried out by the Russian Institute of Directors. As part of the monitoring, various components of the Bank's corporate governance system were analysed, such as shareholders rights, the performance of management and oversight bodies, information disclosure and corporate social responsibility.
- VTB Capital hosted the ninth annual RUSSIA CALLING! Investment Forum in Moscow. The event attracted more than 2,500 visitors, including more than 500 investors from 60 countries, government officials and heads of leading global corporations. Russian President Vladimir Putin addressed the forum's plenary session. The forum also featured more than 1,000 meetings for representatives of Russian companies and investors.



November

- On 9 November, an Extraordinary General Meeting of Shareholders of VTB Bank took place in the form of absentee voting, at which shareholders voted in favour of a merger with VTB24. The entire retail business has been unified under a single VTB brand since 1 January 2018.



December

- VTB Group began using biometric authentication of clients (tablets are available for clients to take and submit photos of themselves) at 20 retail offices in Moscow and the Moscow region, St Petersburg, Volgograd, Yekaterinburg and Vladivostok. Expansion to the entire retail network is planned for 2018.
- On 29 December, VTB Group completed the restructuring of its European sub-holding. VTB Bank (Austria), VTB Bank (Deutschland) and VTB Bank (France) were merged into a new legal entity called VTB Bank (Europe), which is operating on the basis of a single banking licence. The new bank's head office is in Frankfurt, and it has a branch office in Vienna. VTB's Paris office was closed. The merger was approved by the European Central Bank and local regulators.

1.2. OPERATING ENVIRONMENT

Russian economy

In 2017, the Russian economy was up 1.5%, compared to the decline of 0.2% in 2016. In 2017, GDP growth was mainly helped by household consumption and gross capital formation.

Household demand is supported by robust real wage growth and retail lending: while lending rates track closely the policy rate adjustments, banks are also easing non-monetary conditions for trustworthy borrowers. In 2017, real wages were up 3.5% (vs. 0.8% in 2016), accelerating to 6.2% in the YE17, which was due to indexations in the public sector. Consumer confidence improves, gradually approaching the levels of YE14. In 2017, household consumption expanded 3.4% vs. 2.8% in 2016.

Gross capital formation was up 7.6% (3.6% for gross fixed capital formation, vs. 0.8% in 2016). Despite the uncertain recovery in construction sector, fixed asset investment is helped by investment goods imports: in 2Q 2017, they added a record-breaking 37%, on the back of the real exchange rate appreciation.

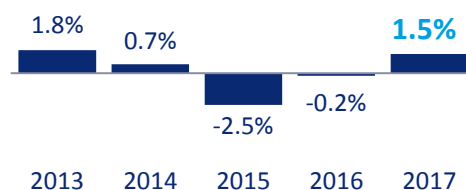
On the production side, the structure of GDP growth in 2017 was dominated by non-tradable industries: the greatest contribution came from the wholesale & retail trade, transportation & storage and real estate industries.

Since July 2017, consumer inflation has been below the target. By the YE17, the headline inflation slowed down to 2.5% vs. 5.4% reported for the YE16. Sizable deceleration was due to favourable supply shocks and FX pass-through complemented by the moderately tight stance of the monetary policy.

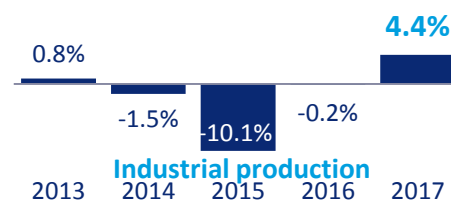
In 2017, the Bank of Russia has cut the key rate by 2.25 pp, bringing it down to 7.75% by the year-end. The average 2017 key rate was 9.1%. Currently, the Bank of Russia is bringing the monetary policy from the moderately tight to the neutral stance (which implies the real rate of 2-3%) and plans to complete this transition in 2018.

Russian macroeconomic indicators,
% change year-on-year

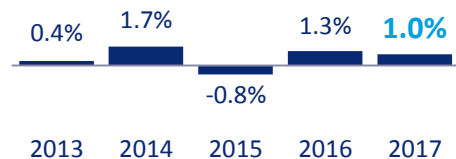
Gross domestic product



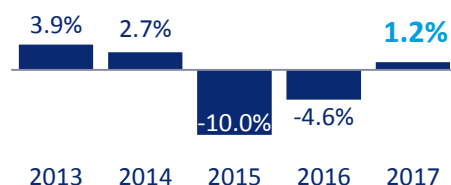
Investment in fixed assets



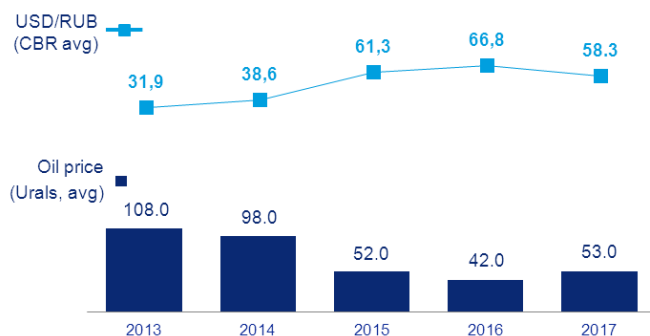
Industrial production



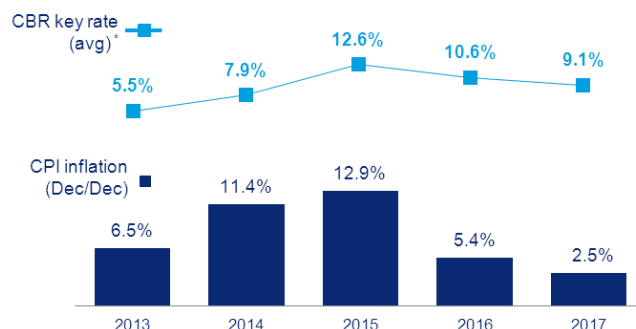
Retail turnover



Oil price ^{USD} and exchange rate ^{RUB}



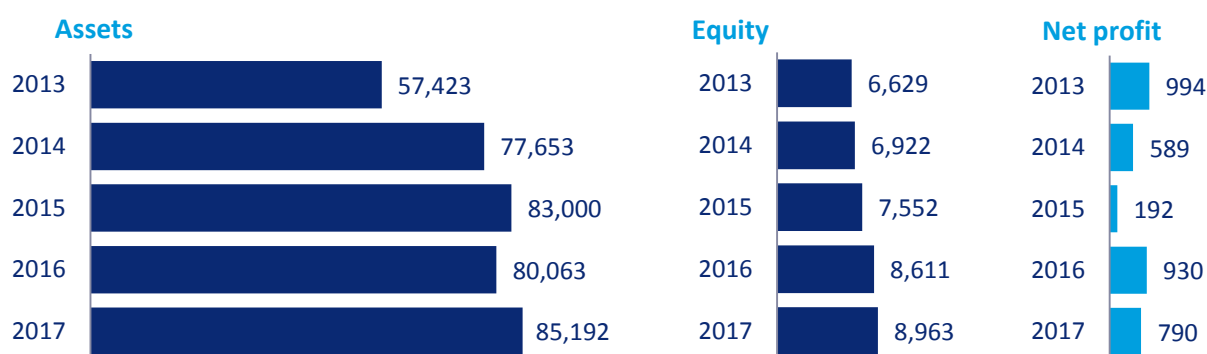
Inflation and CBR key rate



* In its current form key rate was introduced by the Bank of Russia in September 2013. Average figure for 2013 is calculated based on the period September 13, 2013 – December 31, 2013.

Russian banking sector

In 2017, Russian banking sector assets increased by 6.4%, compared to a decrease of 3.5% a year earlier. The penetration of banking services, defined as a banks' total assets divided by GDP, decreased by 1 pp to 92%.



The asset growth was primarily driven by the acceleration of retail lending (to 12.7% from 1.1% in 2016), continued high growth rates in mortgage lending (15.0% and 12.1%, respectively) and the resumption of growth in other retail loans (11.0% compared to a decrease of 5.6% in 2016).

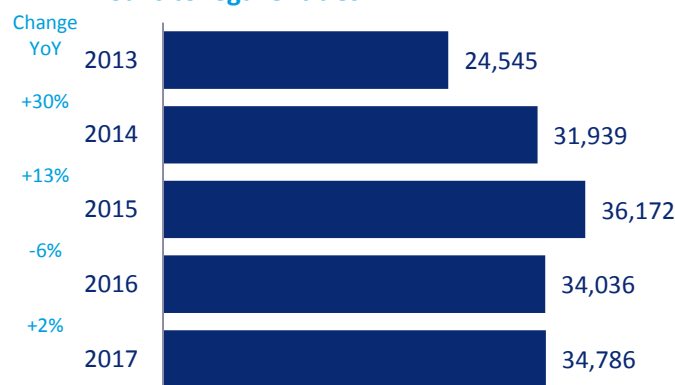
Corporate lending showed a more positive trend compared to a year earlier. In 2017, corporate loans increased by 2.2%, compared to a decrease of 5.9% in 2016. Total loan portfolio grew by 4.7% year-on-year (compared to a 4.3% decrease year-on-year in 2016).

The share of overdue loans in the corporate portfolio increased from 6.3% in 2016 to 6.4% at the end of 2017. In retail lending, the ratio of overdue loans decreased from 7.9% to 7.0%. The loan loss provision ratio increased to 8.8% from 8.2% at the end of 2016, including through the creation of additional provisions by banks in the process of restructuring through the Banking Sector Consolidation Fund. The coverage ratio increased to 171% from 158%.

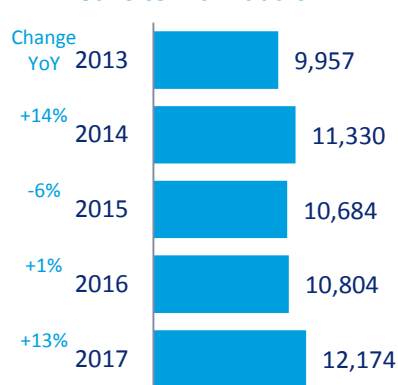
Despite the 5% appreciation of the rouble against the US dollar, corporate funding increased by 7.4%, compared to a 9.9% decrease in 2016. Retail deposits and accounts were up 7.4% year-on-year, compared to 4.2% in 2016. Total customer deposits grew by 7.4% in 2017, accounting for 70% of banks' liabilities. In 2016, customer deposits decreased by 3.5% and accounted for 69% of liabilities. During the year, the net loan-to-deposit ratio decreased by 3 pp to 70%.

Russian banking sector, RUB billion

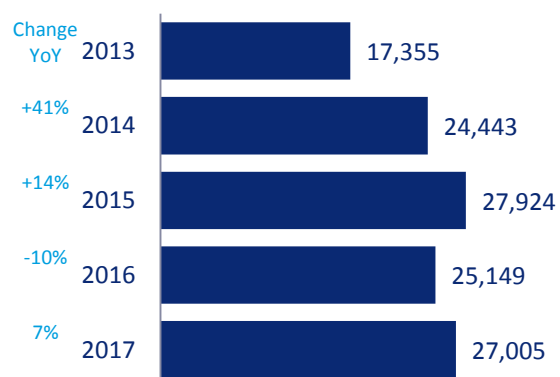
Loans to legal entities



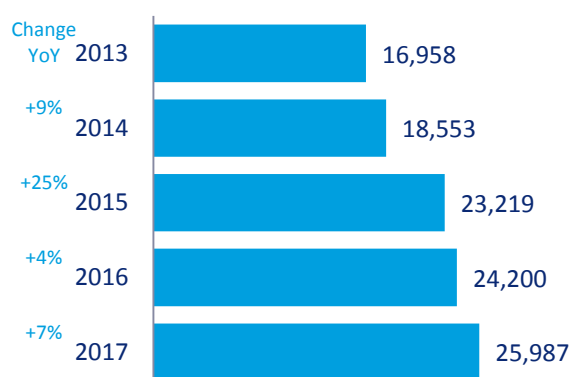
Loans to individuals



Deposits and accounts of legal entities



Deposits and accounts of individuals



Banking sector debt to the Bank of Russia decreased by 26% year-on-year, amounting to 2% of assets. Bank profits for 2017 decreased by 15.1% to RUB 790 billion due to the creation of additional provisions as part of the recovery in the banking sector. The number of unprofitable credit institutions decreased from 178 at the end of 2016 to 140 at the end of 2017.

1.3. STRATEGY

In 2016, VTB's Supervisory Council approved a new Development Strategy for VTB Group for 2017–2019. On the basis of lessons learned from the implementation of the Strategy for 2014–2016, current macroeconomic trends and developments in Russia's banking market, VTB Group's **three key development priorities** under the new Strategy are as follows:

- 1) **Increased profitability** – exponential growth in net profit to more than RUB 200 billion by 2019 and a return on equity of around 14%;
- 2) **Integration of the banking business** – the creation of a single universal bank;
- 3) **Modernisation** – a breakthrough in the development of a modernised, customer-oriented bank through large-scale technological transformation.

These priorities will determine VTB Group's Strategic Development Programme, which seeks to achieve substantial structural improvements and changes in the Group's business model to improve the quality of customer service, strengthen its market position and significantly boost financial results. The Group's overarching strategic initiatives for the achievement of its 2017–2019 goals are:

- significant structural improvements and cost reductions in the Group's funding;
- the merger of VTB Bank and VTB24, opening up a qualitatively new level of interaction between business lines;
- the digital transformation of the Group's business and processes.

The main priorities of the new Strategy for developing the global business lines are:

- a new scale for the Group's retail business;
- achieving profit targets in Corporate-Investment Banking while maintaining market leadership;
- developing a new model for Small and Mid-Corporate Banking – exponential growth in terms of the number of clients and income diversification.

2017 results of VTB Group's Development Strategy for 2017-2019

2017 was the first year of implementation of the goals established in the Strategy.



As of the end of the reporting period, the Group's retail loan portfolio had increased by 14.3%, while the retail lending market had grown by 12.7%, which led to an increase in the Group's market share from 19.6% to 20.2%.¹ The Group's market share in retail deposits increased by 1.6 pp to 12.6% by the end of the year. The Group expanded its relationships with corporate entities, improving its market share in corporate lending and deposit-taking to 16.8% and 22.2%, respectively. In 2017, the Group retained its status as the undisputed leader in Russia in investment banking services. According to Thomson Reuters, the Group's market share in debt capital markets was 29%, in equity capital markets 17.6% and in M&A 57.3%.

¹ Market share was calculated using VTB's own methodology and data from the Bank of Russia on the basis of the reporting by VTB Group banks, taking into account assignment transactions and securitisation of the mortgage portfolio.

In 2017, VTB Group reached its target levels for net profit and return on equity, as financial results improved year-on-year. This was driven by net interest margin recovery to 4.1%, compared to 3.7% in 2016, as funding costs declined. The Group's net fee and commission income increased by 16.5% in 2017, reaching a record RUB 95.3 billion. The cost-income ratio decreased from 45.8% in 2016 to 44.0% in 2017, in line with the strategic target.

2017 marked the beginning of a large-scale programme aimed at the transformation of the Group's business and operating model. A number of major projects were completed, such as the merger of VTB Bank and VTB24, the creation of the Small and Mid-Corporate Banking global business line, along with the simultaneous reorganisation of the North-West Regional Centre. Work on the digital transformation of the Group's business continued, including the transition to a consolidated IT architecture for the unified bank, the creation of optimised infrastructure based on a private cloud, the introduction of next-generation mobile banking for individuals and small businesses, as well as a new remote banking system, RBO 2.0, for corporate clients. The model for VTB Group's operations outside Russia was revamped, including the restructuring of the European sub-holding and diversification of the Group's Corporate-Investment Banking business in Europe, Asia, Africa and the Middle East.

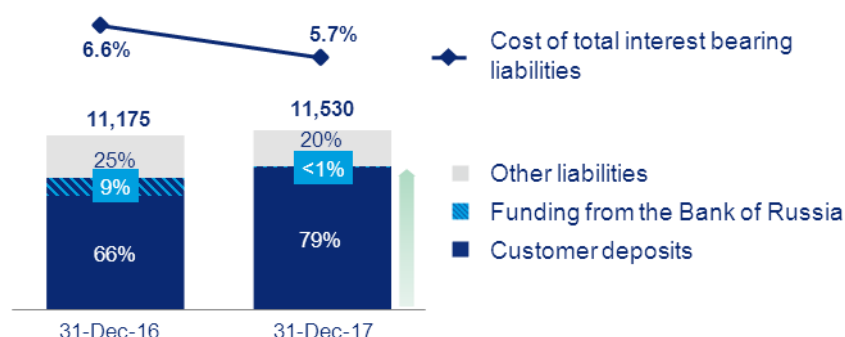
As part of the effort to improve oversight over the implementation of the Group's Strategy and to improve the effectiveness of strategic management, a new format for regular interaction between the Group's key executives was introduced, called Dialogue on Opportunities. In addition to this, the Group's regular management reporting will now include information that makes it possible to track progress on implementation of the Strategy with respect to major cross-functional initiatives, business lines and support and control functions, and also to see the status of implementation of all strategic initiatives and projects.

Improvement of the funding structure and reduction of funding costs

As one of its most important priorities, the Strategy emphasises improving the structure and reducing the costs of the Group's funding. Achieving this objective will involve doubling the volume of retail deposits over three years and increasing their share of the Group's interest-bearing liabilities to about 40%. At the same time, deposits from corporate clients shall include a larger share of funds from small and medium-sized businesses, and current-account balances for all client segments will need to grow faster than term deposits.

By the end of 2017, VTB Group had met its targets in terms of increasing customer deposits and the structure of interest-bearing liabilities. At the same time, the Group is ahead of schedule in terms of the Strategy's target for retail deposits, with an increase of 20.5% compared to 2016.

VTB Group total liabilities, RUB bln



Integration of VTB Bank and VTB24

One of the major objectives of VTB Group's Development Strategy is the transition to its target model of a universal bank in Russia. This will make it possible to create a unified, highly competitive organisation

capable of responding quickly to market changes, to strengthen the team leading the unified bank by choosing the best representatives from the merged banks and forming a single corporate culture, and to improve the operating model and the quality of horizontal interaction. The merger is expected to result in cost savings of up to RUB 15 billion a year.

In 2017, all key decisions were taken on the work of the unified bank: its organisational structure, the retail business model, the operating model as of the date of the merger and for 2018–2019; the IT landscape as of the date of the merger was specified, as was the target landscape; the financial model and budget were approved, and work on the harmonisation of regulations for the unified bank is being completed.

Systems integration testing prior to the merger was successfully carried out in November 2017. The IT, accounting and reporting, and operational support units of both banks took part in the testing.

The unified bank began operations as of 1 January 2018. A unified product line was made available to all of the Bank's clients, in addition to uninterrupted functioning of all of the Bank's systems and processes, including RBO for legal entities, Internet banking and mobile banking for individuals, processing, self-service devices and brokerage services.

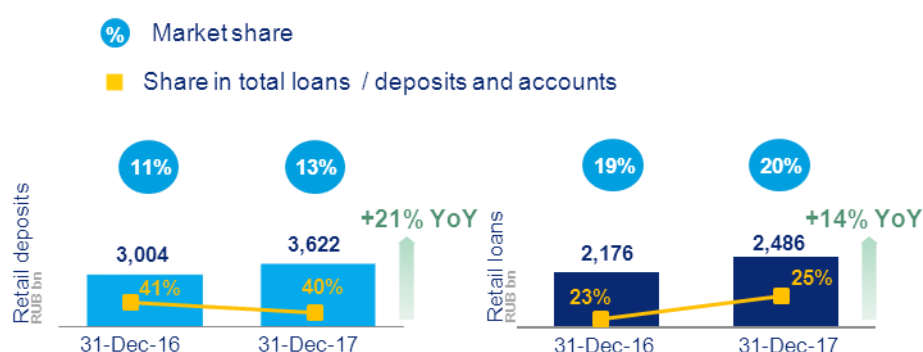
Digital transformation

In the field of IT, VTB Group's strategic objective by 2019 is to complete a large-scale digital transformation programme that includes improving the quality and efficiency of implementing business opportunities, ensuring the reliability and adaptability of the IT platform, and creating competitive advantages through the introduction of innovative technologies.

This programme delivered significant results in 2017. Thanks to the introduction of advanced approaches to management, key aspects of the digital transformation are being carried out in accordance with the programme, including the development of next-generation mobile banking for retail clients and small businesses, the implementation of the first pilot projects to use an agile development methodology, and the successful launch of a channel for ongoing testing of innovations.

New scale in Retail business

The main objectives of the retail business strategy are strengthening positions and increasing market share in terms of lending and deposits, ensuring funding for the Group's goals and developing modern applications for customers.



The unified VTB Bank should provide a fundamentally new level of interaction between business lines for the implementation of payroll projects and should increase the number of clients and market share by 50% over three years.

As of the end of 2017, the number of payroll clients had increased by 12.6% to 6.1 million people. On top of that, the sales target was exceeded by 174,000 salary cards. These results put the Group on its desired growth trajectory.

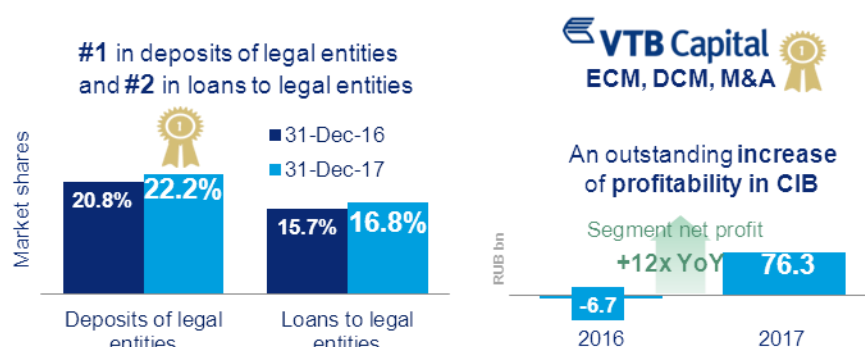
Post Bank's strategic goal by 2019 is to create the country's largest network of light offices and to ensure a breakthrough for VTB Group in the mass client segment and in servicing clients of retirement

age. Based on the results of 2017, Post Bank achieved its goals in terms of network expansion—with a total of 12,300 offices by the end of the year. As a result, it reached 6.3 million clients, its loan portfolio increased by 73% to RUB 201 billion, while customer deposits grew 4.7 times, reaching RUB 170 billion.

Achieving target profitability in CIB while maintaining market leadership

The key objectives for the Group's development in corporate-investment banking (CIB) are achieving its target level of profitability, maintaining its leading position in the corporate lending market, developing innovative products and upgrading its technology platform in the transaction business, as well as improving cross-selling and profitability per client.

In 2017, the normalisation of net interest margins and monitoring of risks and expenses enabled CIB to exceed its target for net profit.



VTB Group maintained its leading position in lending to major Russian companies. As of 31 December 2017, The CIB global business line's loan portfolio amounted to RUB 5.5 trillion,² up 0.9% during the year, which was generally in line with market performance.

As part of the implementation of strategic initiatives in the area of CIB, sectoral strategies were developed and are being implemented, work is ongoing to improve the efficiency of client-product teams through the development of a Client Portal and the introduction of an "all-in pricing" mechanism. The restructuring of the operating model of the European sub-holding and centralisation of support functions between VTB Bank and VTB Capital entered the final phases of implementation. A large-scale project aimed at the technological modernisation of the transaction business, which will make it possible to make the switch to a next-generation remote banking system within the established time frame, was also notable.

Developing a new business model in Mid-Corporate banking focused on ambitious customer base growth and revenue diversification

The current priority for the development of VTB Group in the area of Small and Mid-Corporate Banking is the creation of a unique value proposition and the necessary business infrastructure to ensure exponential growth in terms of the number of clients and diversification of the Group's revenues. The best approaches, products and service standards developed by the Group in these two segments should be combined in one business line to achieve the established strategic goals.

In this regard, 2017 was a year of significant transformations in the area of Small and Mid-Corporate Banking. The project to create a Small and Mid-Corporate Banking global business line is under way, including the integration of management teams and the transformation of the North-West Regional Centre. In addition, segment-based sales models are being introduced, package offers are being worked out, an analytical platform is being developed, and the contact centre is undergoing modernisation.

² The net portfolio of the CIB global business line according to the segment analysis of VTB Group's IFRS reports.



Long-Term Development Programme

Based on the Development Strategy for 2014–2016 approved by the Supervisory Council, the Development Strategy for 2017–2019 and in accordance with the requirements for companies outlined in the special list published by the Government of the Russian Federation (Decree No 91-r of 23 January 2003), the Bank developed and approved an updated Long-Term Development Programme for 2014–2019 (hereinafter the “Programme”).

The Programme contains a detailed list of measures to ensure that the Bank achieves the development goals specified by the Strategy (a more detailed description of the implementation of individual measures in 2017 is presented in the relevant sections of this Report).

Information on the auditor’s conclusions about the implementation of the Long-Term Development Programme

In accordance with the instructions of the Government of the Russian Federation (Directive No 4955p-P13 of 17 July 2014), the Programme’s implementation is subject to an annual audit.

The audit of the Programme’s implementation is governed by the Bank-approved Standards for Conducting an Audit of the Implementation of the Long-Term Development Programme, which contains information about the procedures of the planned audit, the procedures for the tender to select an auditor, conducting the audit, the time frame for completing audit-related work and on decision-making based on the results of the audit, as well as on the corresponding Terms of Reference for conducting the audit.

The audit of the implementation of the Programme for 2017 was carried out by Ernst & Young. The audit report of 11 April 2018 was prepared on the basis of the audit. On 16 April 2018, the Supervisory Council reviewed the report on the fulfilment of the Programme for 2017 and the results of the audit. On the basis of these procedures, the auditor concluded that the information in the report fairly represents:

- the actual values of the Bank’s performance indicators specified by the Programme for the year ending on 31 December 2017, and the extent of the attainment of the target values;
- information about the reasons for failing to implement measures included in the Programme, and deviations in the actual values of the Bank’s performance indicators against those envisaged in the Programme for the year ending on 31 December 2017.

Information about the system of key performance indicators

An important element in monitoring the implementation of the objectives of the Strategy and the Programme is the inclusion of key performance indicators (“KPIs”), as determined by the documents indicated below, in the system of incentives for responsible persons, guaranteeing employees a uniform course of action for the attainment of strategic goals.

In order to provide the basis for further development of the KPI system, the following documents were approved by the Bank:

- A list of key performance indicators to evaluate the performance of members of VTB Bank's Management Board (Minutes No 18 of the Bank's Supervisory Council of 1 December 2017);
- The Method for Calculating and Evaluating the KPI "Shareholder Returns" (Minutes No 26 of the Bank's Supervisory Council of 30 December 2014);
- The Procedure for Determining the Expected Amount of Remuneration for the Members of the Bank's Management Board Depending on the Degree of Fulfilment of the KPIs (Minutes No 26 of the Bank's Supervisory Council of 30 December 2014);
- Regulation on Remuneration of the Bank's Executive Bodies and the Key Performance Indicators for Their Activities (Minutes No 2 of the Bank's Supervisory Council of 26 February 2018).

On 1 December 2017, a new edition of the List of Key Performance Indicators for Evaluating the Activities of the Members of the Bank's Management Board was approved, which takes into account the instructions of Directive No 6362p-P13 of 24 October 2013 approved by the Prime Minister of the Russian Federation, Dmitry Medvedev, as well as Directives 2014 No 7389p-P13 of 31 October, No 7439p-P13 of 5 November 2014, No 4182p-P13 of 16 June 2016 and No 2303p-P13 of 16 April 2015, approved by the First Deputy Prime Minister of the Russian Federation, Igor Shuvalov, and corresponding decisions of VTB Bank's Supervisory Council, including with respect to reducing operating costs, improving labour productivity, changes in lending to small and medium-sized businesses and procurement from small and medium-sized businesses.

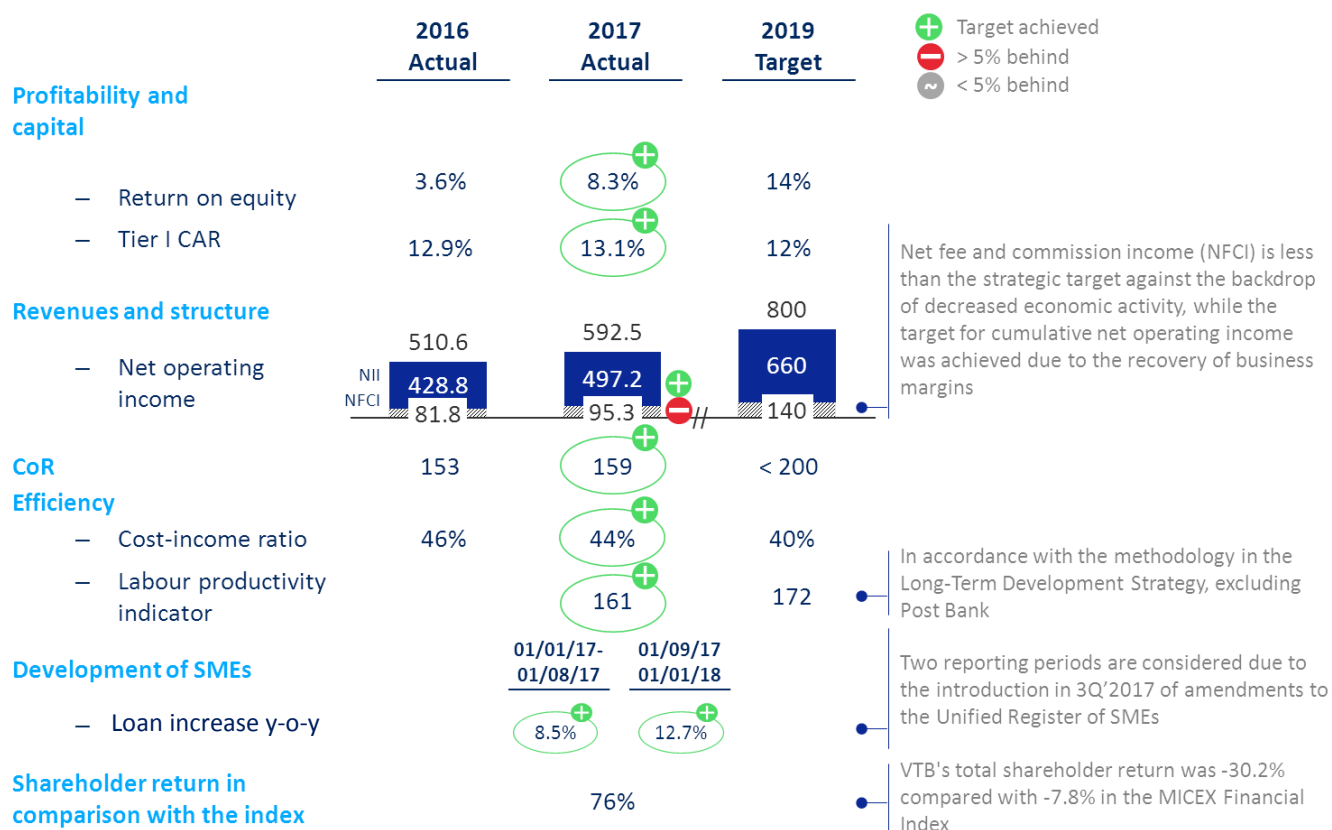
The current version of the Regulation on KPIs also contains the following information:

- appropriate remuneration for the tasks performed, the results of activities and the level of risks taken;
- correlation between the remuneration of the Bank's executive bodies and the achievement of the objectives and tasks specified in the Programme;
- correlation between the chief executive officer's KPIs and the achievement of performance targets of VTB Group, calculated on the basis of the IFRS consolidated financial statements of VTB Bank and its subsidiaries, as determined in the Programme.

The link between the expected amount of the variable part of remuneration for VTB Bank's Management Board and the execution of the established KPIs is set in the approved Procedure for Determining the Variable Amount of Remuneration for the Members of the Management Board of the Bank, as well as in the employment contracts of the Bank's senior management.

The above-mentioned documents were prepared in accordance with the Guidelines for the Use of Key Performance Indicators by State Corporations, State-Owned Companies, State Unitary Enterprises and Commercial Enterprises in Whose Charter Capital the Russian Federation or a Subject of the Russian Federation Has a Share of More than 50%, jointly developed by Russia's Ministry of Economic Development and the Russian Federal Property Management Agency.

Key performance indicators of the Group



On the basis of the above-mentioned KPIs, key performance indicators are established to assess the activities of the Bank's executive bodies, taking into account the areas of activity of the Bank's respective managers. It is also possible to use individual indicators for each respective manager to determine how successfully various projects/tasks/programmes have been implemented.

The list of KPIs and their weight in accordance with the Bank's governing documents are determined for the reporting period by a decision of the Supervisory Council on an individual basis for each member of the Management Board.

In accordance with point 4.1 of the Regulation on Key Performance Indicators, the approved business plan, budget and Bank Strategy can be used in establishing the KPI targets. In accordance with point 6.1 of the Regulation on Key Performance Indicators, the variable part of the remuneration of the executive bodies can be determined by taking into account performance indicators that measure specific areas of responsibility for any Management Board member (individual targets) or for the organisation in general (Group targets).

VTB Bank's programme for selling non-core assets

Work with non-core assets is one of the priority areas for improving VTB Bank's efficiency. As part of this work in 2017, the Bank continued to update and improve its regulatory framework for managing non-core assets.

As part of the implementation of Presidential Decree No 596 of 7 May 2012 on Long-Term State Economic Policy, Instruction of the President of the Russian Federation No Pr-348 of 22 February 2016 and Directive of the Government of the Russian Federation No 6604-p-P13 of 18 September 2017, the Bank analysed its Programme for Selling Non-core Assets (hereinafter referred to as the "Programme") and its Register of Non-core Assets (hereinafter referred to as the "Register") for compliance with the new Methodological Recommendations on the Identification and Sale of Non-core Assets (approved by Order of the Government of the Russian Federation No 894-r of 10 May 2017). Based on the results of the analysis, an updated Programme, Register and Action Plan for the Sale of the Bank's Non-core

Assets were developed (approved by the Bank's Supervisory Council, Minutes No 19 of 26 December 2017).

The Programme includes 10 sections that set out the goals, principles and objectives of managing non-core assets, the procedure for identifying non-core assets and the creation of a register of non-core assets, the methods for selling and the procedure for evaluating the Bank's non-core assets, and the requirements for communication and disclosure of information on the Bank's non-core assets.

Taking into account the Methodological Recommendations on the Identification and Sale of Non-core Assets, the updated Programme contains a number of changes in comparison with the previous edition:

- approval of the Programme, Register and Action Plan for the Sale of the Bank's Non-core Assets falls within the exclusive remit of the Bank's Supervisory Council;
- oversight over implementation of the Programme is entrusted to the Bank's Internal Audit Department;
- quarterly updates and approval of the Register by the Supervisory Council are foreseen, along with its subsequent publication on the Interagency Portal for the Management of State Property and on the Bank's website;
- quarterly reports to the Bank's Supervisory Council on the progress of the Programme are to be provided.

The updated Programme, Register and Action Plan for the Sale of the Bank's Non-core Assets have been published in accordance with the established procedure on the Interagency Portal for the Management of State Property and on the Bank's website: <https://www.vtb.ru/group/documents/#na>.

In 2017, as part of the work to dispose of non-core assets, the Bank conducted two transactions in accordance with its Programme for the Sale of Non-core Assets.

Information on the sale of VTB Bank's non-core assets in 2017, RUB thousand

Asset	Balance sheet line as of the reporting date, prior to the sale of the asset	Asset's carrying value	Actual value of the sale of the asset/value of assets received from liquidation of the company	Difference between the actual value of the sale and the carrying value of the asset
Alfeos Investment Fund Limited	60104810*00210000150	3,671,736	3,630,000	- 41,736
TLC Raduga	50709810*00216000011	2,815	3,000	185

1.4. OPERATING PERFORMANCE REVIEW

1.4.1. CORPORATE-INVESTMENT BUSINESS

The Corporate-Investment Banking (CIB) global business line specialises in servicing major corporate clients through sales of lending, transaction and investment products, as well as leasing and factoring services across all regions where VTB Group operates, including Russia, the CIS, Europe, Asia, the US and Africa.

Segment overview

Share of VTB Group total, 2017

Assets	51%
Customer loans and advances (net)	60%
Customer deposits	37%
Net interest income	34%
Net fee and commission income	24%

Provision charge ³	44%
Net operating income	39%
Staff costs and administrative expenses	24%

Source: VTB Group's IFRS consolidated financial statements for 2017.

To maximise the effectiveness of its CIB customer service, VTB created a dedicated client coverage unit and product units that are responsible for maintaining and developing a modern line of banking products.

The client coverage unit's service model centres on sector coverage, with dedicated teams responsible for doing business with clients from different sectors of the economy. This approach enables the Group to improve the quality of its sector expertise and build products and solutions tailored to the needs of specific clients.

The structure of the product units is also designed for sector specialisation and the requirements of major corporate clients. This allows the Group to enhance its approach to credit analysis and improve the quality of its corporate loan portfolio.

Transaction banking comprises two main product lines: the documentary business, which includes a variety of guarantees and letters of credit; and liquidity management products, including account management products, financing products (including accrual of interest on client account balances), as well as acquiring services, remote banking services, and settlement and cash services.

The Group's investment banking business offers a full range of investment banking products, including trading operations, organising debt and equity issuance, M&A transactions and consulting services, private equity, asset management, FX and interest-rate products and hedging strategies.

As the economic situation improved in 2017, we began seeing an increase in demand for credit products and an increase in capital markets activity. The Bank was successful in achieving its targets in terms of key financial indicators in corporate-investment banking, and was able to maintain its leading positions thanks to its mobile business model and willingness to make innovative decisions with due account of market conditions. The Bank focused in particular on diversifying its business, improving performance and continued cost reductions. An important achievement in terms of diversifying the corporate-investment banking business was the creation of a brokerage services department—a key source of investment products for retail customers—as part of the merger between VTB and VTB24. In terms of cost reduction, the restructuring of the Group's European sub-holding was completed at the end of the year, and VTB's European financial operations centre was moved to Frankfurt.

Lending

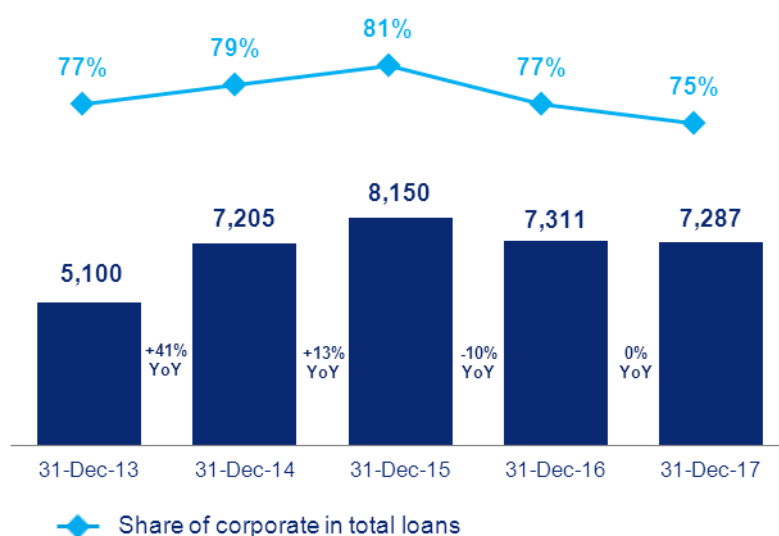
VTB offers a wide range of lending products for corporate clients, providing financing for varying time periods in all major global currencies. The Bank also offers various types of credit lines with drawdown limits, credit limits or a combination of the two.

In addition to traditional financing, VTB also offers major corporate clients complex credit products, including structured repo, investment and project financing, debt and equity financing services, consulting services on structuring investment projects, trade finance services and direct financing from institutional investors and banks. VTB's clients have access to structured financing products that make it possible to significantly reduce interest rates by allowing the Bank to select the currency for repayment. Leasing and factoring products are provided to the Group's customers through VTB Leasing and VTB Factoring.

At the end of 2017, the Group's corporate loan portfolio remained flat at RUB 7.3 trillion (compared with a 10% decrease in 2016). At the same time, the Group saw its market share in corporate lending increase from 15.7% to 16.8%, maintaining the No 2 market position in Russia.

³ Provision charges for impairment of debt financial assets, other assets, credit-related commitments and legal claims.

Loans and advances to legal entities, RUB billion



In 2017, the emphasis on financing strategic sectors, including import substitution, contributed to the recovery of the Russian economy.

The growth rate of VTB's loan portfolio in Russia in the sectors identified in 2015 by the Russian Government as priorities in its Programme for Recapitalisation of the Banking Sector exceeded 1% a month on average since the programme began. The transactions concluded have facilitated the creation of conditions for the rapid development of the priority Far East region and the fulfilment of contracts concluded on behalf of the Russian Federation in order to ensure state needs.

In 2017, the Group continued to develop its credit business in international markets in Central and Eastern Europe, the Middle East and Africa (CEEMEA) and Asia. Several strategic deals were concluded in Asia, work is ongoing to expand the business in CEEMEA countries through new transactions in existing and new regions of operations, and the focus on new opportunities in Eastern and Southern Europe was strengthened. The Group concluded new credit transactions in the CIS, including in Belarus and Mongolia under the aegis of the Export Insurance Agency of Russia (EXIAR).

An important area for development of the Group's CIB business in 2017 was the crediting and financing of infrastructure and investment projects in various sectors of the economy, as well as the development of public-private partnerships. In this area, VTB played an active role in financing new regional and federal projects related to social infrastructure, road construction and railway infrastructure; arranged financing for the construction of sea transport facilities for the oil and gas sector; and continued lending to companies in the area of transport infrastructure, including airports and maritime ports for bulk cargo. Work continues on financing projects in the mining sector, and VTB has begun financing green-energy projects in Russia.

Against the backdrop of positive trends in the construction and real estate sectors in 2017, VTB continued to provide financing for high-quality projects, including entering new target markets:

- cooperation with the largest, most stable players in the residential construction sector expanded: as of the end of 2017, five of the 10 largest Russian developers were clients of the Bank;

VTB has been working with Essar Group since 2014. During this time, VTB has provided financial support as part of the purchase of shares from minority shareholders and the delisting of shares of Essar Energy Limited and Essar Oil Limited on the stock exchange. In 2016, Essar Group was granted additional bridge financing until the successful completion in August 2017 of the sale of Essar Oil Limited to a consortium of investors, including Rosneft, Trafigura and UCP Fund, which resulted in the largest transaction by a Russian bank in India.

- in the commercial real estate sector, work continued with borrowers both in terms of construction projects and in lending secured by finished real estate;
- a deal was completed to finance the construction of an indoor theme park called “Island of Dreams”, which is a unique project in Russia;
- cooperation with companies in the housing and communal services sector was expanded;
- lending secured by commercial real estate and construction projects in Central and Eastern Europe was developed, as was lending secured by hotel real estate in Western Europe.

The Bank also carried out a large amount of work to improve its portfolio management:

- work with borrowers continued to improve the security of transactions;
- in the area of commercial real estate, significant progress was made in improving procedures for bank oversight of construction projects—VTB's performance in this area was called “exemplary” by Russia's Construction and Housing Ministry;
- considering amendments to laws on equity construction, which are expected to enter into force, new loan products are being developed, including with the use of banking support and escrow accounts;
- work continues on lending programmes for developers, closed-end mutual funds, the development of products as part of project financing for a diversified pool of early-stage construction projects and repo deals with companies in both Russian and international markets.

In 2017, VTB continued to develop trade and export financing everywhere the Group operates, and to support its clients' international transactions all over the world, completing more than 800 deals with counterparties from 50 countries in Europe, Asia, Africa, the Middle East, and North and South America.

The volume of new transactions using classical instruments of trade and export financing (letters of credit and guarantees) on the instructions of corporate clients doubled compared to 2016, while transactions with the risk on foreign counterparty banks tripled. The main driver of this growth was cooperation in the guarantee business with customers in the energy and transport sectors.

In 2017, VTB continued to carry out export credit transactions involving EXIAR. With the Bank's financial support and insurance coverage from EXIAR, exports of Russian value-added products were delivered to foreign markets, including the CIS, the European Union, Latin America and the Asia-Pacific region, and a project financing deal was also completed in the CIS. VTB Bank also began providing preferential export financing as part of a programme launched last year with the participation of Russia's Ministry of Economic Development and the Russian Export Centre.

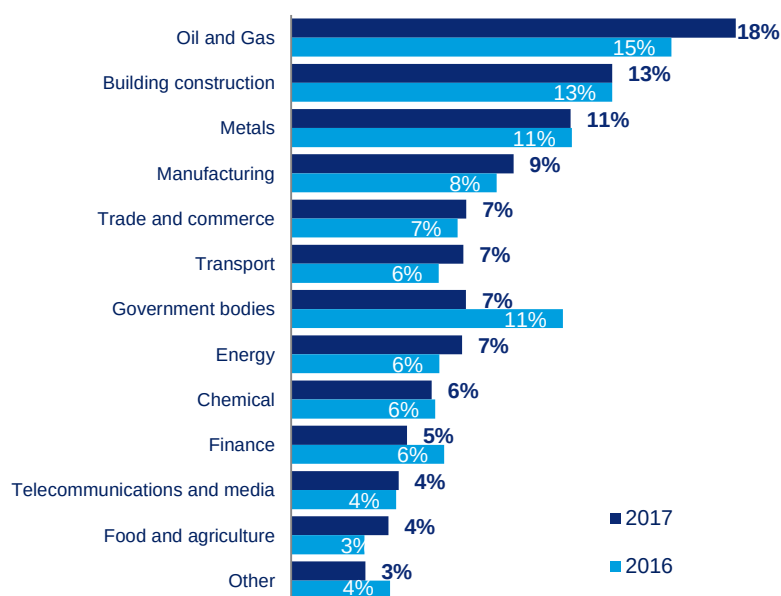
VTB successfully completed a number of long-term trade finance deals with the participation of leading export credit agencies (ECAs). Taking advantage of the Group's European operations, the main focus was on direct financing for clients with ECA coverage. Notably, the first-ever deal in the aviation financing market was completed with insurance coverage provided by the Italian ECA, SACE. The unique structure and market significance of this transaction was recognised by leading experts in the field of aviation finance, and the deal also received prestigious international awards.

To support trade between the Russian Federation and its partners in the Asia-Pacific region, the volume of business financed by the Bank and aimed at the Chinese market continued to grow in 2017, reaching CNY 12.6 billion.

In 2017, VTB Bank received numerous awards as the best bank for trade financing:

- the best bank for trade financing in Central and Eastern Europe according to Britain's *Global Trade Review*;
- the best bank for trade financing in Russia according to *International Finance Magazine*;
- the best bank for trade financing in Russia in 2017 according to the authoritative international magazine *Global Finance*.

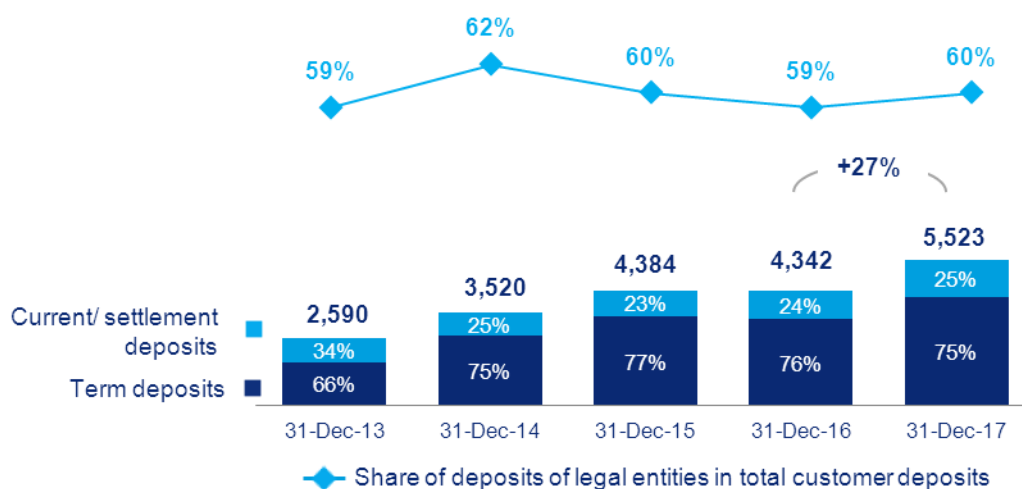
Loans and advances to legal entities by industry



Customer deposits

In 2017, VTB Group increased deposits from legal entities by 27% (according to IFRS) to RUB 5.5 trillion. VTB Group maintained its leading position in this sector in Russia, increasing its market share to 22.2% compared to 20.8% at the end of 2016.

Deposits of legal entities, RUB billion



In 2017, VTB continued to expand placement options for temporarily free cash. All of the Bank's clients were given the option, on individual terms, of accruing and paying interest on account balances and on average monthly balances using variable interest rates based on money market rates.

VTB is constantly taking steps to improve customer service and streamline business processes to further develop its deposit products and reduce operating expenses. In 2017, VTB granted clients an opportunity to conclude a General Agreement on General Conditions for Conducting Deposit Operations by agreeing to the Terms and Conditions for the Performance by VTB Bank of Deposit Operations with Corporate Clients, which was posted on the Bank's website. In order to conclude a General Agreement on General Conditions for Conducting Deposit Operations, clients have to submit an application that includes a set of documents in accordance with a list determined by the Bank; the application may be submitted electronically via the Bank's remote banking system or through a secure electronic document management system.

CIB transaction banking

Products for managing payments and liquidity In 2017, VTB Group continued to take measures to improve the quality of customer service in its transaction banking business by introducing best international practices and by responding promptly to market demands. This included the development of new products, with a special focus on developing the remote banking system (RBS) and making the Bank's interactions with its customers more user-friendly.

In 2017, VTB carried out a set of measures that made it much easier to connect to the RBS system. First, the possibility to make a connection was provided, and then it was also made possible to change the connection parameters based on information provided verbally by the client. Second, the functionality of the Dashboard module was expanded: now, customers can connect to new RBS services through their Dashboard without visiting the Bank. Third, in connection with the development of unified forms, it was made possible for customers to connect an account to the RBS system by specifying the necessary information in their application to open an account without then having to complete an additional application.

In addition, the list of formalised documents in the system was expanded in 2017, a system employing SMS confirmation for suspicious payments was introduced, and individual improvements were introduced for many of the Bank's major customers.

Separate work was carried out to improve the performance of liquidity management for clients. The Bank upgraded the architecture used for the Customer Settlement Centre to more advanced technology, which improved the system's overall performance and speed. Improvements were made to Material Pooling and Corporate Average Monthly Balances (CAMB) services. In terms of the CAMB, the interest deposit system was completely automated, resulting in a reduction in the time needed for data processing, while also reducing the likelihood of human error.

As part of the development of international cooperation, the Bank completed a project to integrate with China's largest payment system, Alipay, which made it possible to launch Alipay's acquiring payment service in Russia. Alipay is now available to Chinese tourists who use the service, and who can now pay for purchases in Russian stores using their usual means of payment. The Alipay mobile payment service, part of the Ant Financial Services Group, is the largest such service in the world and has more than 520 million active users. Payments are made using the Alipay mobile application. During the payment process, the QR code of the purchaser's wallet or the QR code of the transaction is scanned. VTB's unique transaction solution allows for Alipay payments in roubles with all participating banks in Russia.

Documentary business In 2017, VTB Group retained its leading position in the area of documentary business, as it adapted its business model to the current realities of a stagnating market. As a result, the Bank succeeded in stabilising the volume of its portfolio and improving its quality, while also maintaining the Group's market share.

The key drivers of business development in this area were:

- the versatility and high degree of flexibility of the product line, covering the whole range of product offerings;
- the complexity of interactions with customers, based on the synergy between the credit and transaction solutions offered by VTB Group;
- significant financial strength and high-performance products, which made it possible to complete low-risk transactions in a highly competitive environment;
- entering new product niches: the launch of streaming issue of guarantees for companies that are part of large holdings;
- the well-developed regional infrastructure and the formation of an efficient procedure for the completion of transactions that provides customers with convenient access to documentary products wherever VTB Group operates both inside and outside the country;

- high demand on the part of clients for VTB Group's expertise in the area of complex structured cross-border transactions and the availability of a developed infrastructure for the implementation of such transactions.

Traditionally, significant emphasis has been placed on the development of technologies and processes in order to ensure the implementation of documentary products and services for customers using the most up-to-date technological platform.

VTB Group continues to be an active participant in industry and professional associations in the documentary business, including ICC Russia, and it makes significant contributions of expertise to improving the mechanisms that have a regulatory impact on the market and the development of its infrastructure.

Transaction business abroad In 2017, VTB's subsidiary banks in Belarus, Kazakhstan, Western Europe and Africa continued to expand and improve their range of transaction banking products and to actively promote their services to clients. Steps taken enabled the Bank to increase foreign network revenues by more than 50%.

As a result of the restructuring of the Group's European banks, all of the major corporate business clients of VTB Bank (Austria) AG and VTB Bank (France) SA were successfully migrated to VTB Bank (Europe) SE.

Complex transactional solutions In 2017, VTB was actively involved in large-scale projects to centralise the management of cash flows, liquidity and financial risks at leading Russian corporations. During the year, VTB implemented complex transactional solutions for more than 80 groups of companies, including over 1,400 legal entities.

In 2017, VTB completed a project to migrate Russian Post to the Bank's account services. In terms of scale and volume, the project was one of the largest ever completed by the Bank: in addition to account management, the Bank provided comprehensive operational support across Russian Post's entire network, which includes some 42,000 branches.

In total, more than 450 accounts were opened for 82 branches of Russian Post, more than 50,000 payments are made every day, and the total volume of transactions that has passed through Russian Post is about RUB 3.5 trillion.

With the participation of VTB, the International Air Transport Association's (IATA) Cargo Accounts Settlement System (CASS) was introduced in Russia. The project was implemented by the IATA in cooperation with VTB and Aeroflot; VTB was named the system's official clearing operator.

In addition, VTB Bank offered banking support services for a number of major projects such as the reconstruction of sections of the Baikal-Amur Highway (carried out by the TIUS Ltd management company), the construction of Zaryadye Park in the centre of Moscow (carried out by Mosinzhproekt) and various infrastructure projects on the part of RZDstroy.

E-commerce and Internet acquiring in urban and municipal projects In 2017, VTB implemented a range of projects to develop payment services in the field of public transport. The Bank, together with Mosgortrans, is implementing a project to create a network of electronic terminals for the sale of tickets at transport stops. In 2017, 120 terminals were installed at the stops with the most passenger traffic, allowing passengers to purchase and top up Troika cards; buy tickets for land transport, the metro and Moscow central ring trains; and register for discounted student cards. In addition, passengers can use the terminals to check their balance or the number of trips available on Troika cards.

For the convenience of city residents, and in conjunction with the Department of Information Technologies of the Government of Moscow, a service was also introduced that makes it possible to top up Troika cards through the official website of the Mayor of Moscow <https://www.mos.ru/>.

In addition, VTB, Mosgortrans and MasterCard implemented a project to allow users to pay for land transport in Moscow using bank cards and smartphones through Apple Pay, Android Pay and Samsung Pay. VTB acted as the acquiring bank for the project.

VTB continued to develop its My Travel Card app. During the year, more than 1 million transactions were carried out through the application. At the same time, more than 600,000 operations were performed using NFC technology, an increase of over 50% compared to the previous year. There has also been a steady and stable increase in the number of active users of the application, with annual turnover doubling.

As part of public-interest projects implemented jointly with the Government of Moscow, growth could be seen in both volume and quantity. For example, the number of trips using Social Taxi more than doubled, and the amount of funds spent increased by nearly 80%.

The Moskvenok project, which allows schoolchildren in Moscow to top up their personal accounts, enjoyed its best-ever results since its inception in 2012. In 2017, more than 930,000 schoolchildren from no fewer than 1,718 schools in Moscow took part in the project. The total volume of credit top-up payments that passed through VTB Bank in 2017 increased by 150% compared to the previous year and amounted to RUB 442 million.

Similar growth was observed with the Social Assistant project, whereby technology was implemented to transfer funds to the social cards of wards of in-patient institutions for subsequent payment for grocery orders. The average monthly volume of payments increased by 20% from RUB 1.5 million in 2016 to RUB 1.8 million in 2017.

A separate area of work for all projects implemented by VTB in conjunction with the Government of Moscow was to enable the acceptance of cards using the Mir payment system. At the same time, the Bank was able to ensure extremely low commission payments for Mir cardholders when paying for housing and communal services in accordance with a single payment document through the mos.ru website.

Custody services VTB Group Custody is one of the largest custodians in Russia and provides a full range of custody services for all types of securities issued by Russian and foreign issuers. The majority of companies operating in the Russian market hold depository accounts with the Bank. During the reporting period, transaction services through accounts with Russian sovereign bonds remained in high demand among domestic and foreign participants in the Russian securities market through Euroclear Bank accounts. Euroclear Bank is one of the largest international account depositories, whose agent for custody operations in Russia is VTB Custody.

The Bank's depository acts as a Russian sub-custodian for the Bank of New York Mellon and Deutsche Bank Trust Company Americas, holding the underlying assets for issuing depository receipts for shares in a number of major Russian issuers.

Investment banking

VTB Group holds Russia's leading investment banking franchise and continues to be one of the key advisors for Russian corporate clients looking to access global capital markets. Investment services are primarily sold under the VTB Capital brand. In 2017, the Group maintained its leading position in various segments of Russia's investment banking market and gained leading positions in a number of markets in the CEE region.

Global markets

VTB Group offers a full range of services for fixed-income, equity and FX trading, as well as interest rate and global commodities market operations. The Group also provides currency and interest rate risk management services, including hedging solutions, as well as structured finance, structured deposits and notes, structured credit and hybrid products.

VTB Group clients are able to access equity capital markets in Russia, Turkey, Eastern Europe, the Middle East and Africa. VTB Capital is a member of the London Stock Exchange (LSE) and it also has access to a number of foreign markets through its extensive network of local brokers.

In 2017, VTB Capital strengthened its position in the Russian market and occupied a leading position by trading volume in the Moscow Exchange repo market.

The Group remains one of the leading players in the foreign exchange and derivatives markets, with market shares of 22% and 30%, respectively.

VTB Group maintained its position as one of the leading traders of government and corporate bonds on Moscow Exchange and in over-the-counter markets. It remains the market leader in Russia in fixed-income instruments. In 2017, the Group's share of trades in the bond market was 15% for both rouble-denominated bonds and Eurobonds.

Investment banking

VTB Group offers a full range of investment banking services, including advising on M&A transactions and organising debt and equity issuance. The business is focused on serving customers in key sectors of the economy in both Russia and international markets.

Corporate finance According to a number of information agencies, including Thomson Reuters, Bloomberg and Mergermarket, VTB Capital was once again the top M&A consultant in Russia, the CIS and Eastern Europe in 2017.

VTB Group strengthened its position in international M&A markets, providing consulting services to clients, including entering the top 20 consultants in the Chinese M&A market for the first time. According to Thomson Reuters, VTB Capital was the top consultant in 2017 in terms of the number of announced M&A transactions in the Middle East and Africa (not including Israel) and was in seventh place for deals announced in Switzerland. According to Dealogic, VTB Capital took first place in the M&A consulting market in India with a market share of 22.4%.

VTB Capital continued to work on complex transactions, including as a consultant for the Indian corporation Essar Global Fund in the sale of Essar Oil Ltd to Rosneft and a consortium of investors led by United Capital Partners and Trafigura for USD 12.9 billion, which became the largest M&A transaction ever in India, as well as the largest international acquisition by a Russian company. In China, VTB Capital has been acting as a consultant to CEFC China Energy in the acquisition of a 14.16% stake in Rosneft for about USD 9.1 billion. In Slovenia, VTB Capital also successfully completed a deal with ACH for the sale of Adria Mobil to the French manufacturer of camping equipment Trigano.

Among other awards in 2017, US magazine *Global Finance* named VTB Capital the Best Investment Bank in M&A Markets in Central and Eastern Europe for the second time. And UK magazine *Euromoney* recognised VTB Capital as the Best Investment Bank in Russia for the fifth year in a row.

Equity capital markets According to Thomson Reuters, VTB Capital again took first place in equity capital markets by volume of placements in Russia in 2017.

VTB Group concluded a number of transactions to purchase stakes in the share capital of some of Russia's largest companies, which enabled them to reduce the debt burden and optimise the capital structure. Notably, it acquired a 13% stake in RusHydro and a 7.6% stake in PIK Group. As part of these transactions, VTB hedged its price risk through entering into forward agreements, while allowing the companies to participate in their own capitalization growth.

In addition to organising 10 equity-related transactions in Russia, VTB Capital successfully completed a number of international transactions, among which it is worth mentioning the organisation of the IPO for the world's largest cruise port operator, Turkey's Global Ports Holding, for USD 206 million on the London Stock Exchange.

Debt capital markets By year-end 2017, VTB Capital had once again secured its leading position in terms of the number and volume of transactions in debt capital markets in Russia, the CIS and Eastern Europe (Thomson Reuters).

AHML and VTB Group completed a deal to securitise the mortgage portfolio of VTB24 by issuing mortgage bonds worth RUB 48.2 billion as part of the Factory of Mortgage-Backed Securities programme. Bonds are an innovative tool for the Russian financial market and are intended for sale to a wide range of investors.

Maintaining its leading position in Russia, VTB Capital continued to expand its presence in international debt capital markets by participating in the organisation of 12 issues on the part of issuers from China and in the first issue of sukuk.

In 2017, VTB Capital completed the landmark issue of Eurobonds by the Russian Ministry of Finance worth a total of USD 3 billion, acting as the sole organiser of the transaction. VTB Capital also organised issues of international bonds, including for Evraz, Damac Properties, 21Vianet Group, Nostrum Oil & Gas, Petropavlovsk, Polyus and Russian Railways.

Commodities markets

VTB Group offers an extensive line of financial products for commodities markets, including international and domestic trade in raw materials, structured financing and hedging strategies.

In 2017, VTB Group expanded its presence in commodities markets, mainly by increasing its volume of operations in international markets. Its line of basic assets includes: precious and non-ferrous metals (gold, aluminium, copper and tin), oil, petroleum products and petrochemical products, coking and power-generating coal, and agricultural products (soybeans, wheat, barley and sunflower seeds).

The Group's trading companies – VTB Capital Trading (Zug, Switzerland) and LLC VTB Capital Trading (Moscow) – continue to expand their range of services. Structured finance transactions (stocks and cargo in transit), advances on future deliveries (prepayment), and transactions on delinquent deliveries were concluded. A commodity trading infrastructure was established in Russian and international markets.

The most significant transactions for the industry are financing the extraction and production of raw materials, as well as optimising the usage of operating assets.

VTB Bank has offered an option structure for hedging the commodity risks of Russian oil producers. The use of this structure makes it possible to reduce the negative impact on companies' revenues when oil prices fall below a certain level. At the same time, due to the special currency component of the structure, the Bank has managed to establish a protection level that is economically attractive to oil producers. The total volume of this new type of transaction concluded in 2017 amounted to more than 15 million barrels.

An innovative financing structure was concluded with an international mining company. The financing coupon of more than USD 3 billion was tied to the price of an equally weighted basket of aluminium and copper. This allowed the borrower to reduce the cost of borrowing while simultaneously maintaining an acceptable level of risk, as it is a major producer of aluminium and copper.

Other key deals in 2017 included:

- a renewable transaction for hedging market risks with a consumer of petroleum products;
- hedging transactions on iron ore production;
- long-term prepayment on future supplies of 1.8 million tonnes of crude oil with an independent oil producer;
- the conclusion of the first international deals with Iran and China on the sale of petroleum products and oil, respectively;
- a structural transaction for the supply of crude oil with a deferred payment and a built-in currency conversion;

- an exclusive contract for the supply of product for recycling from an independent refinery for export;
- financing of warehouse stocks of grain crops.

Investment management

The Group offers sophisticated asset management solutions in Russian and international markets. These services are offered by subsidiaries of VTB Capital Investment Management (VTB Capital IM), one of the key divisions in VTB Group's corporate investment business.

VTB Capital IM increased its assets under management, taking first place among the largest Russian management companies as of the end of 2017.

As of 31 December 2017, the total volume of assets managed by VTB Capital IM exceeded RUB 594 billion. As of the end of 2017, all key business areas were showing growth, which made it possible to increase assets by 56% compared to 2016.

VTB Capital IM's subsidiaries are leaders in the Russian market in terms of the volume of institutional investors' funds in trust management. VTB Capital IM is the market leader in terms of the volume of insurance reserves and special-purpose endowment funds, and it also manages one of the largest funds of pension assets in the Pension Fund of the Russian Federation, as well as the assets of a number of major non-state pension funds.

In 2017, VTB Capital Asset Management won a tender for the conclusion of a trust management agreement with the Federal Administration of the Mortgage System for the Provision of Housing to Military Personnel.

VTB's volume of assets from institutional investors in trust management increased in 2017 by 68% and amounted to RUB 293 billion.

VTB Capital IM's subsidiaries are among the top three largest companies in terms of the volume of funds of private clients in individual trust management. By maximising its sales model and its communications with agents, constantly monitoring client preferences and actively working to attract new customers, VTB Capital IM was able to increase its operations with major private capital. By the end of 2017, the amount of assets under management had grown to RUB 60 billion, which was twice as much as the previous year.

VTB Capital IM continued to develop its closed-end mutual investment funds, is one of the three largest companies in terms of assets in closed-end mutual funds, and these funds have been used to implement a range of real estate and private equity projects, as well as incentive programmes for corporate management.

In 2017, the rating agency Expert RA assigned the subsidiaries of VTB Capital IM individual ratings of A++ (extremely high/highest level of reliability and quality of service).

VTB Capital Asset Management has repeatedly been named among the top 10 firms in the retail mutual funds sector by Investfunds.ru. The company's clients have access to 19 unique strategies for investing in the Russian economy and in foreign securities. A service has been launched that makes it possible to complete mutual funds transactions online, including through partner sites. In 2017, one-third of applications for the purchase of units in mutual funds was filed online.

Research

VTB Capital provides research services to clients representing both economic and corporate spheres in Russia, Eastern Europe, the Middle East and North Africa. In 2017, the VTB Capital Research Department prepared recommendations on 120 Russian and international companies and produced more than 2,500 publications with reviews of companies, the macroeconomic situation and specific sectors of the Russian economy.

Moreover, VTB Capital's analysts regularly provide independent research on Russian markets, including reports on the fixed-income, equity and commodity markets. In terms of research, VTB Capital provides analytical support to Group companies, customers and partners, as well as government agencies.

The Institutional Investor EMEA Research Team Report 2017 ranked VTB Capital's research team sixth in the EMEA region, which was the best result among Russian banks. VTB Capital's researchers were ranked first among global banks by investors from Russia, Eastern and Central Europe, and fourth by investors from Western Europe. In general, VTB Capital's EMEA team occupied nine of the leading positions in industry rankings, including first place in the Transport and Russia categories.

Awards received by VTB Capital in 2017

 Best Investment Bank in Russia 2013 – 2017	 Best Investment Bank in Russia and CEE 2013 – 2017	 Best Investment Bank in Russia 2010 – 2017	 Best Financial Services in Russia 2016, 2017
 Best FX Provider in Russia 2011 – 2015, 2017	 #1 Bond Market Company in Russia 2012, 2015, 2017	 Best securitisation house in CEE 2009, 2010, 2013 – 2017	 #1 All-Russia Sales Team 2012, 2014, 2015, 2017
 Best M&A Bank in CEE 2014, 2017	 #1 M&A Advisor in Russia and CEE 2017	 #1 ECM Bookrunner in Russia and CIS 2017	 #1 DCM Bookrunner in Eastern Europe 2017
 Best Rouble Bond House 2010, 2013, 2015, 2017	 #1 Research Team in Russia 2011, 2012, 2014, 2017	 #1 Pan European Conference: Investment Forum "RUSSIA CALLING!" 2016, 2017	 Best Asset Management Company in Russia 2017

VTB Capital's major investment transactions in 2017

 Essar Oil Limited USD 12.9 billion Sale of 98% of Essar Oil Limited  Sole Financial Advisor to EGFL 2017	 CEFC China Energy USD 9.1 billion Acquisition of a 14.16% stake in Rosneft from Glencore and Qatar Investment Authority  Financial Advisor 2017	 Bashneft USD 5.3 billion Privatization of 50.1% stake  Agent of the FASPM 2017	 Rosneft USD 10.8 billion Privatization of 19.5% stake  Agent of the FASPM 2017
 Ministry of Finance of the Russian Federation USD 6 billion Sovereign Eurobond  Sole Lead Manager and Sole Bookrunner 2017	 Private Shareholders of Vnukovo Undisclosed Vnukovo Airport Consolidation  Exclusive Financial Advisor 2017	 MVideo USD 300 million Accelerated Bookbuild Offering  Sole Global Coordinator 2017	 RUSAL USD 240 million Accelerated Bookbuild Offering  Joint Global Coordinator 2017
 TMK USD 174 million Fully-Marketed Follow-on Offering  Joint Global Coordinator 2017	 PhosAgro USD 250 million Accelerated Bookbuild Offering  Joint Global Coordinator and Joint Bookrunner 2017	 Polyus USD 858 million Initial Public Offering  Joint Global Coordinator 2017	 Etalon Group USD 132 million Accelerated Bookbuild Offering  Joint Bookrunner 2017
 Global Ports Holding USD 229 million Initial Public Offering  Joint Bookrunner 2017	 Metalloinvest USD 800 million and USD 667 million Eurobond Issue and Tender Offer  Global Coordinator and Bookrunner 2017	 Nostrum Oil and Gas USD 725 million USD 607 million Eurobond issue Tender Offer  Joint Lead Manager and Joint Bookrunner 2017	 Rosneft RUB 40 billion Local Exchange Bond  Lead Arranger 2017
 EVRAZ USD 750 million USD 682 million Eurobond issue Tender Offer  Joint Bookrunner and Dealer Manager 2017	 Russian Railways CHF 450 million Eurobond issue  2017	 21Vianet Group USD 200 million Eurobond issue  Joint Lead Manager and Joint Bookrunner 2017	 Gazprom RUB 15 billion Local Exchange Bond  Joint Lead Manager 2017
 China SCE Property Holdings USD 650 million High Yield Bond Issues  Joint Bookrunner and Joint Lead Manager 2017	 Damac Properties USD 500 million Sukuk issue  Joint Lead Manager and Joint Bookrunner 2017	 Guorui Properties USD 300 million Eurobond issue  Joint Lead Manager and Joint Bookrunner 2017	 Logan Property Holdings USD 750 million High Yield Bond Issues  Joint Global Coordinator, Joint Lead Manager and Bookrunner 2017

Non-banking financial business

Along with providing corporate clients with banking and insurance services, VTB Group also offers clients leasing and factoring services. Synergies and cross-selling of banking and non-banking products remain one of the Group's main development priorities.

Leasing

VTB Leasing is one of Russia's leading leasing companies. The company has 55 offices across Russia, as well as subsidiary businesses in the CIS and Europe. VTB Leasing is one of the top three leasing companies in Russia and one of the top 20 in Europe.

VTB Leasing's clients are large corporate clients, standard bearers in their industries, both state-owned and private: Aeroflot, Globaltrans, Rosneft, Rustranskom, Federal Freight and many others. At the same time, in the area of auto leasing, we partner with more than 20,000 small and medium-sized enterprises and individual entrepreneurs. As of the end of 2017, VTB Leasing was the largest player in this segment in terms of the number of leased cars and amount of specialised machinery.

At end of 2017, VTB Leasing's leasing portfolio amounted to RUB 406.8 billion, while the company's volume of new leasing contracts amounted to RUB 155.8 billion. The main sectors of the leasing portfolio remain rail transport, aviation equipment and equipment for oil production and refining. The share of transactions in rapidly expanding sectors for leasing such as automobiles, freight transport and specialised machinery continued to grow, reaching 14% of the portfolio by the end of 2017.

Factoring

VTB Factoring is the undisputed leader in the Russian factoring market. The Company operates across Russia through its network of affiliates located in 15 of the country's largest cities, and also through branches of VTB Bank. VTB Factoring offers a full range of factoring services for working with receivables and payables.

In 2017, the volume of financed cash claims amounted to RUB 411 billion, while the factoring portfolio was worth RUB 135 billion. For the sixth year in a row, the Company retained its leading position in the Russian factoring market in terms of both financing cash claims and its factoring portfolio, with a market share of about 30%. By the end of 2017, VTB Factoring's portfolio had grown by 50%, the largest increase in volume in the factoring market.

VTB Factoring's main areas of focus are Russia's largest companies in markets for goods and services, as well as maintaining its leadership in the factoring sector and the development of new opportunities in the factoring business, including long-term factoring, such as contracts in the energy sector and other solutions.

VTB Factoring was able to significantly expand its business in 2017 for several reasons: the harmonious work of VTB Group's unified team, which is based on an individual approach to the creation of unique solutions; the financing of accounts payable in supply chain finance operations; and the development of long-term factoring.

1.4.2. MID-CORPORATE BUSINESS

Segment overview

Share of VTB Group total, 2017

Assets	6%
Customer loans and advances (net)	8%
Customer deposits	10%
Net interest income	7%
Net fee and commission income	9%

Provision charge ⁴	11%
Net operating income	6%
Staff costs and administrative expenses	7%

Source: VTB Group's IFRS consolidated financial statements for 2017.

Mid-corporate business is an important segment of the banking services market in Russia, and the value of the market is only going to increase. Mid-corporate banking is one of the most competitive segments because it is accessible to the majority of players. Competition in this market comes from both large universal banks and regional banks that can offer customers more personalised service.

One of the important changes in the Bank's Mid-Corporate business during the reporting period was the decision taken in June 2017 to merge the small-business and mid-corporate segments into a single global business line called SME Banking. In accordance with the decisions taken, the formation of the SME Banking segment will be reflected in VTB Group's consolidated financial statements as of Q1 2018. In VTB Group's financial statements for 2017 and this Annual Report, the results of the small-business segment are taken into account as part of the Retail Business.

Mid-Corporate lending

VTB offers preferential financing terms through state programmes that support business.

Exports are one of the most important areas of business that VTB supports. Non-resource exporters are one of the priorities of state policy. In this area, VTB concluded an agreement with the SME Corporation and the Russian Export Centre on reduced rates on preferential loans for exporters.

Together with the Industrial Development Fund, VTB finances projects aimed at developing new high-tech products, technical re-equipment and the creation of competitive production operations. VTB Bank is also actively involved in a state programme approved by the Russian Government to Support Investment Projects on the Territory of the Russian Federation Based on Project Financing.

In 2017, a great deal of attention continued to be paid to supporting small and medium-sized enterprises (SMEs). Cooperation with the SME Corporation continued in terms of working with existing and potential SME customers.

In its work to support SME customers, VTB offers a lending programme with favourable terms against guarantees from the SME Corporation. Using the SME Corporation's tools for SMEs, it is now much easier for the real sector of the economy to access financing for business development, including regional production. Projects were financed in a wide range of industries, such as the production of medicines for the treatment of cancer, the construction of a greenhouse facility, the modernisation of the equipment at a fishing collective farm, the reconstruction of a butter factory and the construction of a factory for the production of high-precision bearings, among others.

In addition, the Bank played an active role in 2017 in the Programme for Supporting Lending to SMEs in Priority Sectors through the Provision of Subsidies to Banks from the Federal Budget through the Ministry of Economic Development of the Russian Federation. Through this programme, investment projects were financed for the construction of a plant for flexible pumping and compression pipes in the Tula Region and the construction of a residential house with built-in non-residential premises in Nizhny Novgorod, among others.

Since January 2017, a mechanism for subsidising loans to agribusinesses has been in operation, which allows the Bank to lend to agribusinesses at an annual rate of 1-5%. The Bank's Mid-Corporate business acts as the coordinator and "one-stop shop" for cooperation between VTB Bank and the Russian Ministry of Agriculture concerning the Programme for Preferential Lending to Agriproducers.

As part of Russia's import substitution policy, VTB financed a number of significant investment projects in agribusiness, such as the construction of a commercial pig-breeding facility in the Belgorod Region;

⁴ Provision charges for impairment of debt financial assets, other assets, credit-related commitments and legal claims.

the construction of a commercial mushroom facility in the Penza Region; the construction of a factory for the production of turkey meat in the Tyumen Region; the construction of a dairy farm in the Tomsk Region; the construction of a factory for the production of duck meat in the Novosibirsk Region; the construction and equipping of a high-tech enterprise for growing potatoes, grains and commercial crops and for their storage in the Tambov Region; and financing for a project to plant perennial gardens in the Lipetsk Region.

All of the financed projects are of major socio-economic importance for these regions, as they provide for the creation of new jobs and are aimed at providing consumers with quality local products.

Within the framework of various state support programmes, the following major projects were also financed with regard to the delivery of petroleum products:

- financing the purchase of fuel for supply to the Chukotka Autonomous District. The acquisition of fuel for housing and communal services will cover the entire heating season in Chukotka. In addition, the financing of Chukotsnab will meet the needs of fuel producers in the region for their work in the 2017-2018 season. The supply of oil products to the Chukotka Autonomous District is carried out within the framework of so-called northern deliveries, which are aimed at ensuring that the territories in the Far North, Siberia, the Far East and the European part of Russia have all of their essentials before the winter season starts.

in the area of machine-building:

- financing of the ongoing operations of a machine-building plant in the Moscow Region that is one of the main suppliers of equipment for thermal power plants not only in Russia but also in a number of foreign countries;

in the area of coal mining:

- financing of one of the largest coal-mining enterprises in the Rostov Region for the construction of a new group beneficiation plant. Modernisation of the enterprise will increase the competitiveness of the coal supplied by the company for export.

In the area of infrastructure and the construction of public-interest facilities, work was financed on the maintenance of regional or intercity public roads in all 26 districts of the Vologda Region.

VTB also funded important regional projects in other industries:

- replenishment of working capital and financing of the costs associated with the modernisation of a woodworking production facility in Kirov as part of the project "Organisation of New Production in the Area of Forest Development", which is on the list of priority investment projects in the Kirov region;
- financing the implementation of an investment project for the construction of a dairy farm in the Zadonsky District of the Lipetsk Region for 1,995 head of cattle. Financing was provided in the form of concessional loans to farmers through a programme of the Ministry of Agriculture of the Russian Federation;
- the purchase of fuel oil for boiler houses, gasoline, aviation kerosene and diesel fuel for delivery to the Magadan Region. Providing support for regional energy suppliers is one of the most important tasks that VTB undertakes in the public interest. Uninterrupted fuel supplies are particularly important for regions in the Far North, where many of the localities use boiler houses for heating;
- financing the ongoing operations of one of the largest exporters in the Republic of Karelia, a manufacturer of unique high-quality products, i.e., commercial pulp and products for the resin industry;
- financing of work on the construction of small hydroelectric power stations on the Kem River in Karelia. The project is on the list of priority projects in the Federal Targeted Programme for the Development of the Republic of Karelia for the Period until 2020;
- an investment project for the modernisation of the production facilities owned by the Selenginsk Pulp and Cardboard Mill, which has great socio-economic importance for the development of the economy in Buryatia.

Mid-Corporate documentary business

In 2017, VTB's documentary business focused on the development and commissioning of tools and product solutions designed to meet customer demand, including for the implementation of new Russian Government programmes, as well as in relation to the digitisation of the documentary business.

Customer demand was steady for documentary products in the area of servicing domestic contracts. In response to new market trends and customer needs, VTB Banks quickly developed new uses for documentary products (guarantees for participation of the Bank's clients in the procedure for allocating investment quotas in accordance with the Federal Law on Fisheries and Conservation of Aquatic Biological Resources, guarantees for the housing and communal services sector, etc.).

The result of the ever-increasing influence of new technologies on the documentary business was the transition to electronic document management when working with guarantees for tax and customs authorities, as well as developing new solutions for the issuance of guarantees in the form of electronic documents. Taking into account the expansion of the use of blockchain technology, VTB Bank, under the aegis of the Fintech Association, initiated a project on the practical application of blockchain technology for bank guarantees.

VTB carried out work on the establishment of common principles and approaches when working with bank guarantees in the Russian market. Notably, in March 2017, in cooperation with the Russian National Committee of the International Chamber of Commerce, a conference called "Bank Guarantees: International Experience and Russian Practice" was held. Bank employees played an active role in preparing a draft law on amendments to the Civil Code of the Russian Federation with regard to the provisions on independent guarantees, as well as recommended forms of bank guarantees (for the basic types of guarantees) that can be used by beneficiaries and principals in negotiating issues related to securing obligations under commercial contracts.

In 2017, VTB Bank improved its business processes related to issuing bank guarantees for corporate clients.

Based on the Bank's performance in 2017, the trends were positive for the documentary business: the documentary portfolio of transactions with mid-corporate clients grew by almost 16% in 2017.

Satisfying the growing demand of customers for documentary business products, the Bank was able to offer timely product solutions when structuring deals in 2017, including by using letters of credit to arrange client financing.

Mid-Corporate Transaction business

In 2017, VTB's transaction business continued to enjoy the advantages of its wide regional presence and vast experience in working with mid-corporate clients.

VTB confirmed and strengthened the position of a key financial partner of the City of Moscow, with regard to the most important issues related to the city's functioning. For example, the Bank ensured best practices in organising the reception and routing of payments received for housing and utilities from residents of Moscow, and expanded the list of available services while maintaining a high level of interaction with city structures and agent banks in monitoring the level of payment collections for utilities.

The Bank plays an active role in the development of a system for the repair of the common property of apartment buildings, maintaining its leading position in terms of servicing regional operators. In 2017, VTB Bank carried on its tradition of participating in the annual All-Russian Congress of Regional Operators on Common Property and Apartment Building Capital Repairs.

Particular attention was paid to product development. As a result of the merger of VTB Bank and VTB24, VTB was able to use the resources of both banks, making it possible to optimise and expand the range of services provided to mid-corporate clients. Within the framework of the VTB Group Strategy 2017-2019, large-scale strategic projects have been launched involving the creation of new transaction

services, as well as the development and improvement of the quality and accessibility of VTB's existing transaction services to be provided primarily through remote channels.

Mid-Corporate business outside the Russian Federation

Outside Russia, the Group has been actively working with mid-corporate clients in the CIS and Georgia.

As part of its work with its mid-corporate customer base, VTB Bank participated in the financing of infrastructure projects, food and agricultural production, the pharmaceutical industry, industries focused on import substitution, the development of innovative manufacturing and construction methods throughout Russia, as well as wherever its subsidiary banks are located in the countries of the CIS and Georgia.

In 2017, VTB subsidiary banks in the CIS countries and Georgia continued to support the development of social infrastructure projects in the transport sector, the financing of food and agricultural production of strategic importance not only for these countries, but for Russia as well, as this compensates for the withdrawal from the market of goods on the sanctions list.

VTB Kazakhstan continued to work in accordance with its Business Road Map 2020, a consolidated programme for business support and development that was approved by the Government of the Republic of Kazakhstan and is aimed at the development of regional private entrepreneurship and competitiveness, and also increasing the availability of financial services for the agricultural sector. The Bank played a role in financing the official ticket operator for EXPO 2017 in Astana. EXPO 2017, the first such exhibition held in a CIS country, was the largest national project carried out since Kazakhstan gained its independence.

VTB Georgia plays an active role in the Unified Agro-project state programme to support agribusiness and in the Make It in Georgia state programme to support local production. The purpose of these programmes is to expand and modernise both existing companies and start-ups that produce goods and food products in the country, to increase employment, to offer import substitution and to increase exports through the provision of concessional financing.

As part of its consumer lending, the Group continued to work on aligning processes and technologies, enabling a more adaptive, customer-oriented approach to the structuring of transactions that takes into account the specifics of each client's business.

1.4.3. RETAIL BUSINESS

VTB's Retail Business specialises in providing banking services for individuals and also includes a full range of insurance services and a line of pension products. The Pension business is reflected in the Retail Business global business line.

The core of the Group's retail business in 2017 was VTB24, the second-largest retail bank in Russia. In addition, VTB Group's retail banking services in Russia are provided by VTB Bank, as a universal bank; Russian Post Bank, which specialises in providing banking services through its branch network; and the wide use of Post Bank's remote banking channels.

Segment overview

Share of VTB Group total, 2017

Assets	25%
Customer loans and advances (net)	27%
Customer deposits	47%
Net interest income	55%
Net fee and commission income	63%
Provision charge ⁵	29%

⁵ Provision charges for impairment of debt financial assets, other assets, credit-related commitments and legal claims.

Net operating income	69%
Staff costs and administrative expenses	55%

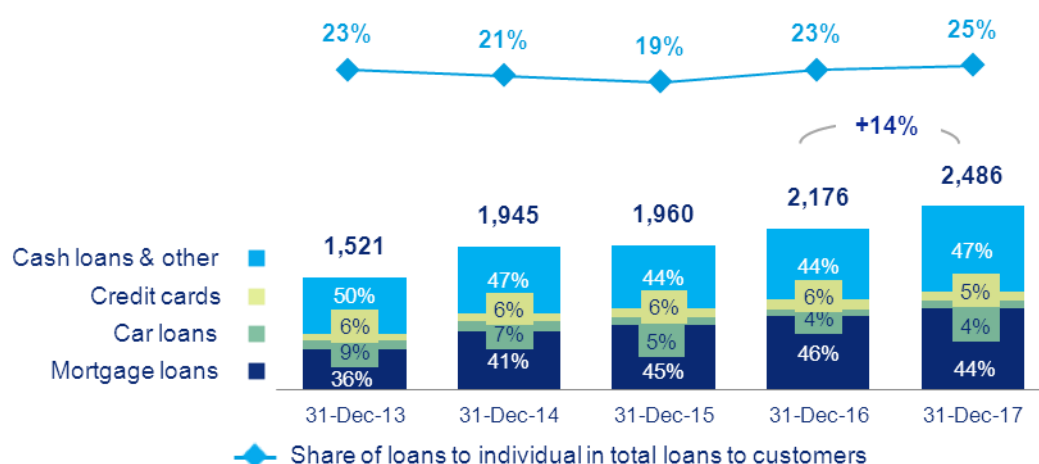
Source: VTB Group's IFRS consolidated financial statements for 2017.

Retail lending

The stabilisation of the macroeconomic situation in Russia in 2017, state anti-crisis subsidy programmes and a reduction of the key rate by the Bank of Russia enabled banks to improve retail lending conditions and proceed in building loan portfolios.

Under these conditions, VTB Group saw increased growth in retail lending, while its retail loan portfolio (according to IFRS) increased by 14.3% to RUB 2.5 trillion by the end of 2017. The Group remained the second-largest retail lender in Russia, increasing its market share by 0.6 pp to 20.2%. The Group saw growth in its consumer, automobile and mortgage loans, which amounted to 20.8%, 15.0% and 9.7%, respectively, in 2017.

Loans to individuals, RUB billion

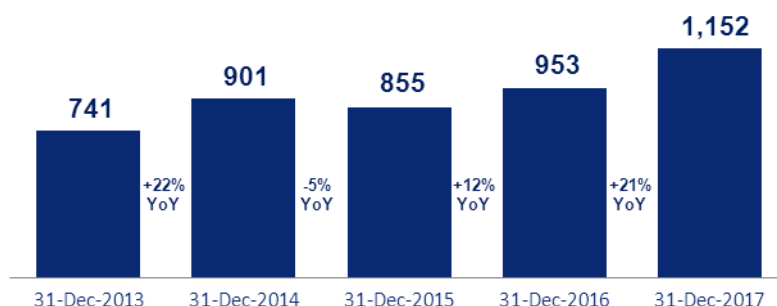


Mortgage loans accounted for 44.0% of loans to individuals. The shares of consumer loans and credit card loans in the portfolio were 46.3% and 5.1%, respectively, versus 43.8% and 5.9% as of 31 December 2016. The share of automobile loans remained flat at 4.1%.

Consumer loans

In 2017, consumer lending products were available to the Group's customers in Russia through VTB24, VTB Bank and Post Bank.

Consumer loans, RUB billion



As part of the Group's development strategy, high-income customers are the priority category for VTB24, while Post Bank focuses on serving the mid- and lower-income customer segments.

In 2017, VTB Group's retail business, based on VTB24 and VTB Bank, continued optimising its product line of

consumer loans. As part of this product line, the Group's banks consistently improved its pricing system to ensure optimal business results.

Throughout the entire reporting period, work was carried out to prepare for the merger of VTB Bank and VTB24 in terms of synchronising their product lines of consumer loans, and unifying the fees for the products and services to be offered by the consolidated VTB Bank.

VTB24 optimised the conditions and the process of providing loans for the purpose of refinancing debts in other banks. As of the end of 2017, the share of loans for refinancing had doubled.

A unique technology was launched to make loan decisions based on a short online application (15 fields), which makes it possible not only to evaluate customers qualitatively but also to offer the most favourable terms for the customer.

As part of the development of remote technologies, the Bank launched lending services through VTB 24-Online. Clients can receive a formal offer from the Bank and also receive their loan product without having to visit a branch office.

In 4Q 2017, the Bank launched a new service for front-line employees, making it possible for them to process an entire list of retail loan products and services as part of one customer application. Tentative decisions are made online.

VTB Bank In April 2017, a special programme was launched for VTB Bank shareholders that includes a comprehensive offer of financial services on preferential terms, including consumer lending.

The Bank tested new remote sales channels that have been gaining in popularity, such as social messenger services. A chat bot was launched for refinancing consumer loans that uses the Telegram, Facebook Messenger and Viber platforms. This service helps users calculate the terms of refinancing a loan taken from a third-party bank or a new consumer loan, and they can also submit a completed application through the messenger.

In May 2017, a new product was launched called Cash Loans for Working Pensioners, with a loan period of up to five years and a maximum loan amount of up to RUB 3 million. After transferring their pension to a VTB card, clients can count on an additional discount. The maximum age of clients eligible for this product was increased to 75 years of age at the time of loan repayment.

Post Bank Intensive development of its network and improvement of its cash loan product line in 2017 allowed Post Bank to secure the highest rate of organic portfolio growth among the top 15 Russian banks.

In 2017, the Bank took a number of measures that enabled it to reduce risk on its portfolio of consumer loans:

- improved credit procedures, introduced new scoring models;
- the effective use of facial-recognition technology and online verification of contact information;
- the new product line made it possible to change the Bank's focus to a higher-quality client stream.

In 2017, Post Bank continued to improve its credit procedures, as well as the quality and efficiency of its call centres, which make a significant contribution to the Bank's results. The number of credit contracts sold remotely in 2017 more than doubled compared with 2016, from 79,500 to 173,000. At the same time, the volume of cash loans increased by 140% to RUB 25.7 billion, while the volume of credit card loans increased by 120% to RUB 1.8 billion.

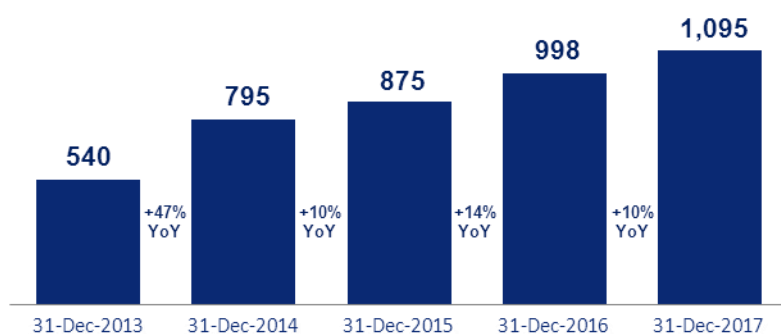
In 2017, more than 56% of cash loans were issued at post offices, which was the result of strategic cooperation with Russian Post.

Post Bank also launched a programme in 2017 for refinancing loans from third-party banks.

Mortgage lending

In 2017, mortgage products were available to the Group's customers in Russia through VTB24 and VTB Bank.

Mortgage loans, RUB bn



VTB24 issued more than 179,000 mortgage loans in 2017. At the end of the year, the Bank's mortgage portfolio included about 702,000 active mortgages.

The total volume of mortgage loans issued in 2017 amounted to RUB 377 billion, the highest ever in VTB Group's history. In 2017, one out of every five

mortgage loans in the Russian Federation was issued by VTB24.

VTB24's active presence in the sector of mortgage lending for housing under construction and its cooperation with the country's largest construction companies enabled customers to purchase new housing compliant with current quality requirements under the most favourable terms, including a reduced interest rate for mortgages, and the option of purchasing housing at an earlier stage of construction.

VTB24's stable partnerships with leaders in the secondary mortgage market allow our clients to select their desired property conveniently and to minimise transaction risks.

In 2017, VTB24 maintained its position as a market leader in lending to military personnel participating in the accumulative mortgage system, with a market share of about 25%. Mortgage loans worth over RUB 10 billion were issued under this programme.

In 2017, VTB24 completed a deal to securitise its mortgage portfolio as part of a programme run by the Agency for Housing Mortgage Lending (AHML) called Factory of Mortgage-Backed Securities. As part of the transaction, mortgage securities worth RUB 48.2 billion were issued, which were almost fully placed among market investors.

The Bank continued to support borrowers facing difficult financial situations. In 2017, VTB24 converted the foreign-currency mortgages held by about 30% of borrowers into RUB. At the same time, VTB24 was involved in efforts to help mortgage borrowers in the AHML programme. This programme benefited more than 1,100 mortgage borrowers.

VTB Bank issued 24,000 mortgage loans in 2017. At the end of the year, the Bank's mortgage portfolio included about 76,000 active mortgages. The total volume of mortgage loans amounted to RUB 57 billion.

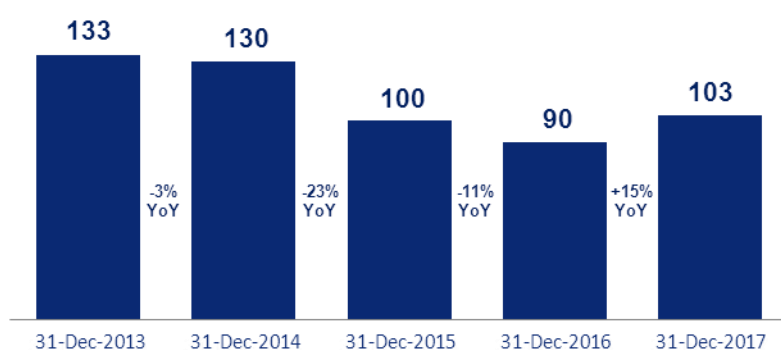
VTB Bank was active in issuing mortgage loans in the primary housing market. Loans for purchase accounted for 52% of the Bank's total mortgage loans issued. The Bank paid particular attention to working with clients in the public sector: under a special mortgage programme called Working Professionals, more than 22,000 clients working in the healthcare, education and law enforcement sectors were able to improve their housing conditions through a preferential mortgage from the Bank.

Automobile loans

In 2017, automobile loans were available to the Group's customers in Russia at VTB24.

VTB24 strengthened its position in the market for automobile loans. Sales of automobile loans in 2017 increased by 50% to RUB 71.5 billion. The increase in sales was reinforced by an increase in market share in both sales, by 1 pp, and in the automobile loan portfolio as a whole, by 0.3 pp. The market for new car sales in 2017 also grew by 12%, and VTB24's sales in the new automobile segment increased by 28%. There was significant development in the area of lending for used cars. In this segment, VTB24's sales increased by 170%, while the share of the used-car segment reached 16%.

Automobile loans, RUB billion



In 2017, the financing of used cars sold between individuals was developed. Transactions for this product are carried out in a single visit to the Bank's car loan centre. As part of the implementation of this programme in 2017, the Bank began working with a number of websites that specialise in car sales: auto.ru, avito.ru, drom.ru.

In February 2017, the Bank acted as an exclusive partner for the first-ever Black Friday event in Russia for car sales, called Black Friday Auto. A special lending programme with a lower interest rate was made available for the purchase of new cars during the event.

In 2017, VTB24 continued implementing the programme of Government Subsidies for Car Loans. In July 2017, the Bank was one of the first to take part in the First and Family Car programme, in which borrowers received a 10% discount off the car's sticker price. As of the end of the year, more than 80% of the Bank's loans for the purchase of new cars were completed with the involvement of various types of government subsidies.

The Bank's product range was transformed to offer a more flexible, customised offer for every particular customer: collateral insurance (CASCO) was changed from a mandatory requirement to an option, discounts were introduced on lending rates in the case of the purchase of insurance and maintenance services offered by the Bank specifically for customers receiving an automobile loan, and separate, individualised offers were made in the premium segment. Thus, customers were able to independently design a personal loan offer based on the options they needed.

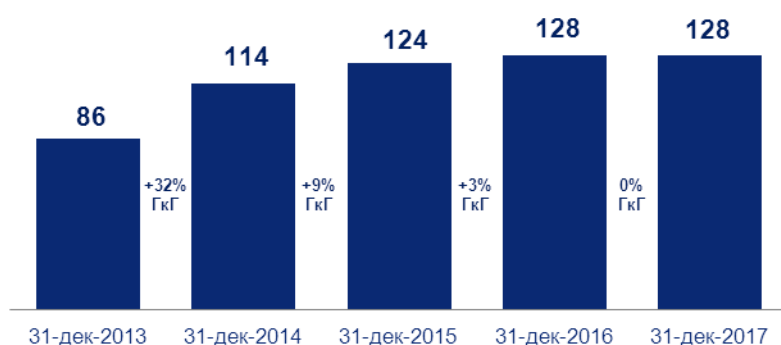
In November 2017, the Bank offered Super 1, a unique product that allows customers to minimise the repayment amount on loans within the first six months. A record low annual interest rate of 1% is fixed in the loan agreement, as is the rate of 5.5% for the subsequent period of servicing the loan. This offer was in great demand by customers, and it resulted in an overall 16% increase in sales in December.

The largest number of vehicles financed by VTB24 in 2017 were sold in Moscow (19%), St Petersburg (7%), Kazan (6%), Ufa (4%) and Krasnodar (4%).

Bank cards and acquiring

In 2017, VTB Group customers were able to receive bank cards at VTB24 and VTB Bank, as well as Post Bank.

Credit card portfolio, RUB billion



VTB24 launched in July 2017 a unique card product called Multicard, which combines all the advantages of the Bank's credit and debit cards, thereby simplifying the customer's choice and reducing the product line to a single product that can be used at points of sale.

Multicard is a single product

for all of a client's daily operations: card payments, savings, payments and transfers, obtaining a credit card loan, and it is also available as part of a product package.

According to the online portal banki.ru, Multicard was named the Best Card Product of 2017. In October 2017, Multicard became the main product in terms of sales of payroll products.

With the launch of Multicard, card applications saw a fivefold increase in the second half of 2017.

A number of special products were launched on the basis of Multicard:

- in July 2017, overdraft protection was offered to all payroll clients;
- in October 2017, a special product for the World Cup in 2018 in Russia was launched, called Multicard FIFA. In addition to this special product, the Bank launched a campaign that offers clients the opportunity to win tickets to World Cup matches in Moscow in 2018. Throughout the campaign, 420 tickets will be given away;
- in November 2017, a Multicard with special conditions for pensioners was launched: a card with all its privileges is provided free of charge if deposits are transferred from the Pension Fund of Russia.

In 2017, VTB24 issued 13 million plastic and 2.3 million virtual cards, exceeding the issue of plastic cards in 2016 by 29%.

As part of the roll-out of the Mir national payment system, VTB24 enabled Mir's cashback service. In 2017, 5,200 VTB24 customers joined the programme.

In addition to implementing Apple Pay and Samsung Pay, VTB24 added Android Pay (mobile phone) and Garmin Pay (smartwatch) for Visa and MasterCard payments in 2017. The total volume of transactions using mobile phones and watches in 2017 exceeded RUB 20 billion, and the service was used by more than 450,000 clients.

VTB Bank continued to issue its Super3 card, which has a bonus system that allows cardholders to save on travel on Moscow's public transport system. Clients can also choose one of eight card designs depicting Moscow metro stations. The bank began offering the Super3 card to payroll clients, and a total of about 130,000 retail debit cards with the Troika transport application were sold in 2017.

As part of its partnership with the Moscow Department of Transportation, VTB Bank became the first bank to allow users to top up their Troika cards at the Bank's self-service machines located at Moscow Metro subway stations. They can also top up their Troika card's electronic wallet and record the transaction using the Bank's self-service machines.

As part of the implementation of a social card for Moscow residents, VTB Bank was the first bank in the market to issue contactless Mir cards with the Troika transport app. The Bank was one of the first to offer contactless Mir cards to its payroll customers. In total, more than 1.5 million Mir cards were issued in 2017.

In May 2017, the Bank launched its Matryoshka credit card offer. As part of the offer, customers received 3% cashback on all purchases using the card. The offer made the product more attractive to customers, which had an impact both on sales – the number of applications increased by 30% – and on key portfolio indicators.

In total, VTB Bank issued over 3 million cards in 2017.

In 2017, VTB Bank continued to support infrastructure for cashless payment for transport tickets using bank cards at ticket offices and ticket machines in Moscow Metro stations. VTB Bank is the only provider of acquiring services at Moscow Metro ticket offices and ticket machines.

In 2017, the number of Moscow Metro stations increased to 206. The Bank has installed more than 2,100 POS terminals at all ticket offices and ticket machines.

As of the end of 2017, about 40% of Moscow Metro passengers were using cashless payment. In December 2017, the number of cashless transactions increased to 4.2 million, amounting to about RUB 2.2 billion.

By the end of 2017, a total of 36.5 million cashless transactions as payment for travel worth RUB 19.2 billion had been made at Moscow Metro stations, a fourfold increase compared to 2016.

In 2017, VTB Bank upgraded the software used in its POS terminals, enabling payments using Samsung Pay, Apple Pay and Android Pay.

In preparation for the Confederations Cup in 2017, VTB Bank installed an update that made it possible to provide information in English at its POS terminals.

In addition, VTB Bank participated in a pilot project at 22 Moscow Metro stations, allowing passengers to buy tickets using cashless payment without waiting in a queue at the cash desk thanks to the Bank's mobile POS terminals.

Post Bank saw the highest growth rate among the top 30 banks in terms of its credit card portfolio (+61% in 2017). Its flagship credit card product is the Element 120, which has the longest interest-free period of any card on the market. In 2017, a line of co-branded Pyaterochka debit and credit cards was launched. During four months of sales (September-December), 289,000 Pyaterochka cards were activated, making it the fastest-growing co-branded card in the Russian market. Pyaterochka credit cards have a limit of RUB 10,000-500,000 and a renewable interest-free period of 60 days.

To increase the availability of financial services and ensure reliable and secure payments, especially for pensioners and public-sector workers, the bank decided to transfer all newly issued cards to a Savings Account using the Mir payment system as of 1 July 2017. As of 31 December 2017, the Bank had issued 1.2 million Mir cards, making it one of the top five banks by size of card portfolio. The Bank also became the leader in issuing Mir cards with a Russian-made chip (SPA Mikron), with 600,000 cards issued in 2017.

Post Bank also took the following steps in 2017:

- launched the Garmin Pay contactless payment service for Visa cardholders, which works with the Vivoactive 3 series to allow payments without the use of a plastic card;
- launched the Android Pay contactless payment service for smartphones and Samsung Pay for Visa cards.

Asset quality and bad debt management

Throughout 2017, VTB24 and VTB Bank continued to prepare for their merger. A lot of work was done to ensure a smooth transition in terms of working with bad debts and non-core assets.

In 2017, significant changes were made to the system of selling property seized to pay off bad debts.

In April 2017, at VTB24's Remote Collection Centre in Cheboksary, a single call centre began operating with the sole goal of selling off non-core assets. By the end of 2017, 85% of calls to potential buyers were made through this call centre. In May 2017, VTB24 also began selling non-core assets through the online auction site avito.ru.

In 2017, the volume of non-core assets sold exceeded the volume of acquisition. Compared to 2016, the volume of sales of low-liquidity assets increased by 150%, while the motor vehicle transport portfolio was cut in half.

Work aimed at preventing arrears was reinforced by using a model to determine the probability that a client will miss their next payment. If there is a high risk that a client will miss their payment, the Bank reminds them in advance of their upcoming payment.

In 2017, VTB Group continued to develop its recovery technologies. The intelligent solutions system was supplemented with a scoring model for automobile loans that made it possible to determine the optimal strategy for working with problem assets, as well as the time frame for taking legal action. Improvements are still being made to Mobile Collection, the Bank's mobile interface for its automated collection system, which makes it possible to determine optimal routes for collectors and also contains information about borrowers.

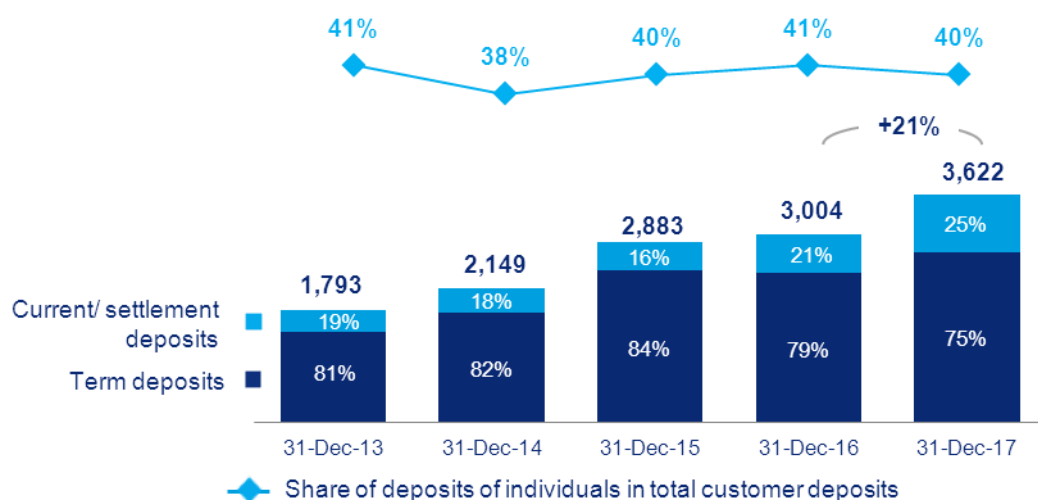
A Bank-wide project to support AHML's mortgage loan portfolio is still ongoing. The Bank takes measures to the full extent possible to deal with bad debts, including legal action and accompanying enforcement proceedings. AHML clients who are having difficulties in fulfilling their loan commitments are offered a wide range of opportunities to settle their debt.

Retail deposits

As part of VTB Group's development strategy 2017-2019, one of the Group's main objectives is to improve its funding structure by increasing its share of customer deposits, primarily from individuals.

As of 31 December 2017, VTB Group's retail deposits amounted to RUB 3.6 trillion, a 20.5% increase from the beginning of the year, outpacing the market by a significant margin. By the end of the year, the Group had strengthened its position in the market for retail deposits, increasing its market share in Russia from 11.0% to 12.6% and remaining the second-largest Russian bank in terms of retail deposits.

Deposits of individuals, RUB billion



VTB24 In April 2017, clients were given access to a new channel – ATMs – for managing their Savings Accounts.

In June 2017, the Bank introduced a special offer for customers who regularly use their cards: the Savings option as part of their Multicard retail package. Clients were offered an additional premium of up to 1.5% on their Savings Account depending on their monthly spending using their Multicard. From July 2017 until the end of the year, clients were offered up to 10% annual interest on new deposits in their Savings Account in the first month after signing up for the Multicard Savings option.

In May 2017, the Bank simplified its deposit line by introducing a single interest range for retail deposits and by offering the same rate for opening a deposit at branch offices or through a remote channel.

VTB Bank launched two seasonal promotional offers for deposits from new customers or from existing Bank customers depositing additional funds; these offers were a key driver during the year for the increase in the Bank's term deposit portfolio. In 3Q 2017, VTB's retail business increased the yield on its savings accounts. The Bank also capped the rate on deposits in the basic line regardless of the amount of funds deposited by the client, thereby increasing the yield on deposits of up to RUB 1.5 million.

Post Bank updated its line of deposits and brought new products to market, including Good Deposit, offering a base rate of 7.8% per year, which could increase to 8.3%; Postal Deposit, which is available at more than 8,000 branches of Russian Post; as well as Piggy Bank Deposit, a special deposit option created based on the Accumulative Deposit option for users of online and mobile banking. The formation of a clear and attractive line of deposit products facilitated:

- more than 84,000 new deposits;
- entry into the top five Russian banks by deposit portfolio growth;
- prompted brand awareness reached a historic high of 88% (top seven);

- more than 1.3 million customers hold a savings account (compared with 295,000 customers in 2016);
- more than 315,000 customers began to have their pensions deposited in their savings accounts (compared with 13,500 customers in 2016).

In 2017, Post Bank began issuing additional cards for savings accounts and for the Element 120 card. Bank customers can now receive additional cards for their savings account and Element 120 credit card, which allows them to share a single account with family members and instantly transfer funds from one card to another, while also providing access to the credit card's overall limit.

In 2017, a payroll project was launched for employees of Russian Post, which employs some 180,000 people. In the second half of 2017, Post Bank entered the market for external payroll projects; about 40% of the legal entities that signed on were state and municipal institutions (parks, universities, village administrations).

Remote banking services

VTB24 In 2017, the number of active clients using the VTB24-Online remote banking service (RBS) increased by 60% from 2.5 million to 4 million people, and the total number of VTB24-Online customers increased from 3.6 million to 10.8 million.

In early 2017, an updated version of the mobile banking system for Android was developed, and the online banking system was also upgraded. As part of the upgrading of remote channels throughout 2017, VTB24 introduced new functionality and implemented new services, such as:

- remote password recovery;
- partial and full early repayment functionality for cash loans;
- online chat in VTB24-Online;
- automatic creation of a template for mobile phone payments upon registration;
- fast Card2Card transfers from cards of other banks;
- cash loans using the "0 visits" technology through the online banking system.

In addition, infrastructure improvements were made to improve the stability of the mobile application and online banking.

By the end of 2017, about 2.7 million Bank customers were connected to the expanded SMS notification service (notification of all events selected by the client). In addition, 50% of clients were using the service free of charge (as part of a package of services). The number of active users of the application nearly doubled compared to 2016, and reached 221,000 people.

VTB Bank continued to implement a set of measures to transfer customers to remote banking channels to reduce the operational burden on the branch network.

By the end of 2017, 36% of the Bank's customers were active users of the online banking system and mobile application. Some 22% of deposit products were sold through remote channels.

During 2017, as part of the upgrading of VTB's remote channels, a number of new functions and services were introduced, the key ones being:

- login and confirmation of operations using Touch ID;
- the ability to view and send account details;
- a personal greeting function for clients, including VIP clients;
- collecting feedback from customers through voting.

In the course of the redesign of the mobile application, the logic of a number of services was optimised, such as the process of searching for fines from the traffic police.

At the end of 2017, as part of the merger between VTB24 and VTB Bank, a number of primary integration processes were implemented in remote channels, enabling VTB Bank customers to:

- see their products in the VTB24-Online application;

- make transfers between their accounts in the VTB24-Online application;
- log in to the VTB24-Online application using their card number.

Post Bank's development strategy provides for lowering transaction fees by scaling the model of accessible retail services at branch offices of Russian Post and through the wide use of remote banking channels. The Bank is focused on multi-channel work with individuals.

In 2017, work continued on getting customers to use electronic channels. Post Bank started issuing cash loans through remote service channels. As of 31 December 2017, there were more than 5 million registered users of Post Bank online, compared to 880,000 at the end of 2016. In response to online applications in 2017, loans and credit cards were issued worth a total of more than RUB 27 billion (RUB 11.5 billion in 2016). There was a more than fivefold increase in the number of cards issued online in 2017 compared with 2016 (from 454,000 to 2.6 million cards issued online).

In 2017, Post Bank and Western Union launched a service for international money transfers directly from customer accounts through the Post Bank mobile application. Through a connection to Western Union's system, Post Bank's customers can transfer money abroad in addition to the range of existing payments and transfers available in Post Bank Online.

In 2017, remote service channels were developed. Customers were given the possibility of communicating with the Bank through an online chat function.

According to the Markwebb Rank & Report research in 2017, Post Bank took third place in the ranking of mobile banks for iPhone, and topped the ranking of mobile banks for Android tablets.

Post Bank pays a great deal of attention to the security of transactions carried out through remote banking channels. In 2017, the following measures were taken:

- processes for confirming suspicious transactions were improved;
- behavioural rules for countering fraudulent transactions were introduced;
- a system for monitoring and blocking active operations in Post Bank Online on the part of customers who have been found to have replaced their SIM card;

In the reporting period, a pilot project was launched to introduce a facial-recognition system that will be used for, among other things, providing even greater security for the use of Post Bank Online.

In addition, systems for recognising documents and payment receipts were introduced in 2017 to simplify payments for housing and communal services and interbank transfers.

A lot of work was done to integrate Post Bank Online with the Government Services portal. Bank clients can confirm their user account on the Government Services portal through Post Bank Online.

A new customer service channel was put into commercial operation: Mobile Teller is a tool for mobile Bank employees that allows clients to open a savings account remotely and be issued a card without having to visit a bank branch.

Transfers and payments

Clients of VTB Bank and VTB24 carried out 110 million transfer and payment transactions in 2017.

During the year, VTB continued to develop its services for payments and money transfers. One of the key projects was integrated with the State Information System of Housing and Communal Services, through which the Bank's customers are automatically notified about all their utility bills.

In addition, new payment services were made available to customers in 2017:

- a service enabling simple and convenient payment to more than 1,000 suppliers of housing services in the largest cities in the Russian Federation;
- about 7,000 payments for state services at VTB BM ATMs;
- payment for state services through VTB ATMs with the possibility of having the change sent to a mobile phone number;

- the ability to pay taxes by going to one's personal account directly from the website of the Federal Tax Service;
- direct top-up of Troika cards at VTB BM ATMs, as well as payment of fines for traveling on the Moscow Metro without a ticket;
- Autopayment service, which makes it possible to automatically deduct payments from a card for mobile services provided by Megafon, Beeline and MTS.

In terms of transfers in 2017, VTB implemented several projects, including:

- the cancellation of commission for transfers from any cards from Russian banks to VTB Bank cards issued through the Bank's remote channels;
- the possibility to make payments and transfers from credit cards through the Bank's remote channels.

Services for high-net-worth customers

In 2017, VTB continued to be active in attracting customers to the premium service model.

In 2017, the premium segment of the VTB24 customer base – customers registered for Privilege services – increased to 430,000 customers.

As of the end of the reporting period, the Privilege package showed the following results:

- customer base: 430,000 people;
- Privilege holders accounted for 36% of the VTB24 deposit base and 52% of the Bank's savings accounts;
- Privilege holders' average deposit was RUB 1.6 million.

In 2017, one new dedicated office for Privilege clients was opened. Privilege holders are serviced at 545 banking offices, including 47 dedicated offices.

Private Banking

VTB24 Private Banking continued to strengthen its leadership in the private banking market in Russia. At the end of 2017, the VTB24 Private Banking network consisted of 26 offices.

In 2017, VTB24 saw a 20% increase in Private Banking clients to more than 12,000 customers. VTB24 Private Banking's assets under management grew by RUB 216 billion to RUB 1,080 billion. The average balance per customer at the end of 2017 was RUB 89 million.

In 2017, VTB24 Private Banking launched a number of new investment services. Notably, the Advisory Asset Management service is now available to clients, which provides advice on the creation of an investment portfolio in accordance with the client's wishes. With the help of its foreign partners and VTB Capital, VTB24 Private Banking provided customers with the opportunity to trade in every international market using any available tools.

In addition, new asset management strategies were offered as part of VTB Capital's trust management service. As a result of these and other changes, the portfolio of investment products managed by VTB24 Private Banking more than doubled in 2017, reaching RUB 236 billion.

Among banking products, the most popular among VTB24 Private Banking customers were deposits. In 2017, customers became more active in using cards and online banking (including the mobile application)—the development of remote channels remains one of the priorities of VTB Group.

Investment services for retail customers

As of the end of 2017, VTB Group had retained its position as one of the leading brokerage firms and banks providing brokerage services to individuals. As of 31 December 2017, about 273,500 brokerage accounts belonging to the Bank's customers (including individual investment accounts) were registered

on Moscow Exchange, compared to 250,000 brokerage accounts a year earlier. At the same time, the number of individual investment accounts increase by 60% compared to 2016, amounting to 18,500. The total client portfolio increased by 95% compared to 2016.

As of the end of December 2017, VTB Group was the top-ranked company in terms of the number of clients registered on Moscow Exchange, and it ranked fifth in terms of the number of active customers.

The total volume of VTB clients' transactions in the Exchange's stock and FX markets amounted to more than RUB 1.7 billion. As of the end of December 2017, VTB ranked fifth in Moscow Exchange's "Leading Market Operators – Shares: T+ trading" (top 50) ranking and sixth in the Exchange's "Trading Participants by Volume of Customer Transactions" ranking for the FX market.

The volume of margin lending in 2017 grew 19% compared to the previous year.

The volume of operations conducted by VTB customers in Moscow Exchange's futures and options market exceeded RUB 4.2 trillion.

The volume of over-the-counter operations with foreign securities by the Bank's clients increased by 120%, totalling USD 1.6 billion.

The volume of VTB client investment business almost doubled compared to 2016.

In 2017, the amount of mutual funds raised through VTB agent points amounted to around RUB 4 billion, up 220% over 2016.

Sales of forex services through the VTB Forex began in 2017. VTB Forex was named the best Russian forex dealer at the annual FINANCIAL B2B & B2C EXPO for financial technologies and services. Turnover in 2017 amounted to more than RUB 637 billion.

Services for small businesses

In 2017, VTB Group's banks continued their development in the small-business sector. VTB also continued developing its transaction business model for managing profitability in the sector.

As a result of the transaction model in 2017, the volume of funds attracted to the portfolio from small-business customers grew by 26% to RUB 486 billion, and fee and commission income increased by 30% compared to 2016.

Lending also developed: the volume of loans issued increased by 8% to RUB 135 billion, while the amount of overdue debt (90+ criterion) decreased by 28% for the year.

Particular attention is paid to creating convenient modern services that allow customers to use the Bank's services remotely. In 2017:

- a mobile application with payment and information functions was introduced; one out of every five small-business clients has already installed the application;
- the ability to complete interbank and internal transfers during extended business hours was introduced (interbank transfers until 20:00 local time (+3 hours), intra-bank and inter-branch transfers until 23:00 local time (+5 hours));
- an SMS information service was introduced for current accounts;
- the Business Online system was redesigned to correspond to the unified visual identity for the Bank's remote customer services;
- remote deposit placement was automated using the Business Online system;
- support for all modern browsers was implemented (with improved security thanks to a new encryption component);
- automated set-up of information exchange with clients' accounting systems using the 1C.DirectBank protocol.

During the reporting period, services were continuously updated and optimised for both new and existing customers of the small-business segment:

- a pilot project was launched to open current accounts for legal entities and individual entrepreneurs without visiting a Bank branch;
- the possibilities available through the Online Conversions service were expanded (a flexible line of benefits, a special rate for customers with a Foreign Economic Activities package, an individual rate for large single transactions, the ability to carry out conversions covered by overdraft protection);
- a Periodic Transfer of Funds service was introduced, making it possible to set up automatic payments at regular intervals;
- a service for remote business registration was introduced, whereby a representative of the certification centre visits the client for first-time identification;
- a service for electronic interaction with the Federal Chamber of Notaries was launched;
- a Client Settlement Information Centre was introduced: this allows the parent organisation of a legal entity client to receive information and set limits for payments on the accounts of subsidiary companies.

Updates to existing products and new offers in the Group's product line for small businesses in 2017 included:

- the possibility of providing legal entities and individual entrepreneurs with pre-approved loans (without collateral or guarantees) and pre-approved offers on bank guarantees was introduced;
- a project was implemented to issue express guarantees for state procurement contracts within the framework of Federal Law No. 44-FZ and Federal Law No. 223-FZ; a service was launched for the issuance of electronic guarantees without visiting a Bank branch in partnership with EETP;
- in order to increase the loyalty of existing customers with a positive credit history, a pilot project under the LE/IE TOP UP Programme was implemented to grant loans to legal entities and individual entrepreneurs in the amount of the repaid principal debt;
- updated self-collection cards were distributed;
- the unique Business Connect B2B platform is gaining momentum: more than 2,000 partners have already joined, more than 250,000 products have been submitted, offering simplified exports via large marketplaces like Amazon, eBay and AliExpress;
- the Trading Goods credit programme was introduced for trading companies. Its distinctive feature is that it allows lending that is secured only by pledged inventory.

Targeted or seasonal offers for individual client groups and in 2017 involved special campaigns, as has traditionally been the case:

- the Test Drive, Black Friday, and Cash Back offers provided preferential conditions for opening a current account or signing up for a package of services;
- the Pre-Approved Overdraft offer was aimed at increasing the loyalty of existing customers. It involved a commercial offer based on analysis of the turnover in the client's current account;
- the Business Outlook offer allowed customers to refinance loans with third-party banks on more favourable terms;
- the Everything in Cash and 11x24 offers were aimed at increasing the availability of financing for small-business customers through popular loan products.

As part of their lending programmes, VTB Group banks continued their cooperation with government agencies to support small businesses and, in 2017, under guarantees from regional guarantee funds, some RUB 8 billion in loans were issued in 60 regions of Russia.

Branch network and ATMs

Throughout 2017, VTB Group was preparing for the implementation of its priority project – the merger of the Group's two largest financial institutions, VTB Bank and VTB24, which occurred on 1 January 2018. As part of the merger, work was started on optimising the geography of the retail network of the consolidated Bank, which will generate significant cost reductions for VTB Group while maintaining a high quality of service for the Group's customers.

VTB24 At the end of 2017, VTB24's network had 1,111 sales offices in 75 regions and 387 cities.

During the year, 43 new offices were opened, and 33 projects were carried out to optimise the existing network. In the course of 2017, nine inefficient offices were closed.

The infrastructure for servicing high-net-worth clients was expanded. By the end of 2017, the network included 615 offices with service areas for high-net-worth clients (55% of the network), including 47 dedicated offices.

VTB24's network of self-service devices increased to 13,298 units in 2017. During the past year, VTB24 installed 1,205 self-service devices, 824 of which were universal ATMs with a closed cash cycle, and 171 were modern information and payment terminals for cashless payments.

In 2017, the number of VTB24's devices with cash-in functionality increased by 14%, while the number of ATMs with a closed cash cycle doubled. The availability of VTB24 self-service devices in 2017 was 97.27%, which was 0.23% higher than in 2016.

The services offered at VTB Group ATMs in Russia were consolidated. Now customers are not only able to make commission-free cash withdrawals at any VTB Group ATM with cash-out functionality, but they can also make commission-free cash deposits at any VTB Group ATM with cash-in functionality.

VTB's consolidated network has nearly 15,000 ATMs, or about 20,000 ATMs including Post Bank.

A unified personal dashboard was implemented and launched on all VTB24 self-service devices. The new service also allows customers to manage their accounts, deposits and other products either online or through mobile banking.

Now customers can independently carry out so-called service functions (without contacting a specialist at a bank branch), including transfers between their own accounts, make partial or full early loan repayment, view the statements on a card/loan/deposit and, if necessary, send the information to their personal e-mail account.

Transaction turnover in VTB24's network of self-service devices in 2017 increased by RUB 409 billion (up 12%) compared to 2016, while turnover in cash deposits made through the network of self-service devices increased by almost 50%.

VTB Bank At the end of 2017, the Bank's retail network comprised 223 sales offices offering a full range of banking services to retail customers, including 124 offices in Moscow and the Moscow Region, and 91 in 17 other regions of the Russian Federation.

VTB Bank's network of self-service devices increased by 3.75% in 2017 to 2,028 units, 514 of which are universal ATMs with cash-in and cash-out functions and 173 with recycling functionality. The number of ATMs with a closed cash cycle increased by 120% in 2017.

In 2017, VTB Bank replaced 188 obsolete self-service devices and reduced the proportion of obsolete devices to 1%.

The volume of transactions carried out at VTB Bank self-service devices in 2017 amounted to RUB 414 billion, while the average availability of the network of self-service devices was 96.44%.

As part of the development of cooperation with Moscow's Transport Department, VTB Bank made it possible in 2017 to top up Troika cards at self-service devices located at Moscow Metro stations, as well as to top up a Troika card's electronic wallet and record the transaction using the Bank's self-service devices.

In 2017, following a competitive tender, VTB Bank concluded a contract with Moscow Metro for the right to place 94 self-service devices with recycling functionality in stations. All of the installed self-service devices will make it possible to record transactions when topping up Troika card electronic wallets.

Post Bank One of Post Bank's strategic goals is to increase the share of cashless payments in the economy. To realise this goal, the Bank plans to develop channels for remote banking services and to expand its network of ATMs and POS terminals. In 2017, more than 6,000 points were opened for the provision of banking services. Thus, as of the end of the year, the number of points had increased from 6,000 to 12,000 (more than 11,500 of which are located at post offices).

Non-banking financial business

Insurance

Insurance forms part of the global retail business line and is represented by VTB Insurance, VTB Health Insurance and VTB Life Insurance.

VTB Insurance is one of the fastest-growing players in the Russian insurance market. Premium volumes have increased more than sevenfold over the past five years, making VTB Insurance one of the 10 largest insurers in Russia. Standard & Poor's has assigned VTB Insurance a financial stability rating of BB+, the highest given to an insurance company with Russian capital. VTB Insurance has the highest rating from the Expert RA ratings agency.

At the end of 2017, VTB Insurance's volume of business totalled RUB 81 billion, a 30% increase over 2016. At the same time, Russia's insurance market grew by less than 9.5% in 2017. VTB Insurance's market share by volume of premiums earned increased from 4.9% in 2016 to 5.9%.

In 2017, VTB Insurance's retail business grew by a rapid 35%. Premiums in the retail business reached RUB 67 billion.

VTB Insurance strengthened its position both in the insurance market as a whole and in individual segments. The company is the market leader for accident insurance, and among the top three for financial risk insurance and personal property insurance. VTB also ranks among Russia's 10 largest insurers in markets such as corporate property insurance, comprehensive insurance for aircraft and watercraft, voluntary health insurance and more. It is also one of the five largest Russian reinsurers.

VTB Insurance has introduced a number of innovative insurance products to the Russian insurance market, including products with a social dimension. For example, the Manage Your Health policy makes it possible, in the event of a cancer diagnosis, to resolve not only the financial difficulties associated with the patient's temporary disability, but also guarantees assistance in arranging treatment: getting a second opinion, consultations on the treatment plan and effective treatment by top oncologists, the selection of a leading medical centre in accordance with the disease profile, payment for treatment not covered by compulsory medical insurance of up to RUB 7 million, as well as psychological and legal support. More than 900,000 people have already become Manage Your Health policy holders.

In 2017, the company began selling two new insurance products: Your Personal Doctor, which combines telemedicine consultations with top-class doctors for both adults and children, and MedAdvisor, a programme that offers support navigating Russia's medical organisations.

Today, the company's portfolio includes products for carrying out a comprehensive medical examination with a view to detecting serious diseases at an early stage (MedControl) and for getting high-quality medical care in the format of an accessible medical insurance agreement for individuals (Excellent Personal Clinic).

In terms of classic insurance products, VTB Insurance helps improve the financial literacy of the general population by developing and implementing simple, affordable and clear insurance products that take into account the current needs and opportunities of a wide range of potential customers. One such example is the Hello Neighbour policy for individual property insurance, which is very popular among the company's customers and partners. Over the course of three years, the company has sold more than 2.2 million Hello Neighbour policies.

In 2017, VTB Insurance's products started to make headway in markets in neighbouring countries, with sales in Kazakhstan and Mongolia already under way. These products include health insurance policies

with telemedicine services, a cancer treatment programme at federal medical centres in the Russian Federation, home insurance and unemployment insurance policies.

Since 2014, VTB Insurance has served as the parent company of an insurance group that includes the subsidiaries VTB Life Insurance and VTB Health Insurance.

VTB Life Insurance, which launched endowment life insurance products in 2014 and investment life insurance in 2015, grew its sales to RUB 21 billion. In 2017, VTB Life insurance reached 45,000 customers, and the company became one of the five largest life insurers in the country.

In 2017, following the merger of ROSNO-MS and VTB Medical Insurance, the new insurer became the largest company in Russia in the compulsory health insurance segment both in terms of compulsory medical insurance funds and in terms of the number of insured individuals. In addition, VTB Insurance acquired the Irkutsk-based insurance company MASKI in 2017. Thus, more than 24 million people are insured through VTB Medical Insurance.

Pension Fund

VTB's non-state Pension Fund is one of the fastest-growing non-state pension funds in Russia and a leading player in the Russian market, providing a full range of services for compulsory pension insurance and non-state retirement benefits, including corporate pension programmes.

The Fund is a member of the National Association of Non-State Funds (NSF) and a member of the NSF Board. The Fund plays an active role in the development of the legislative framework for the next stage of pension reform, and representatives of the Fund are part of the Committee for Standards on the Activities of Non-State Pension Funds under the Bank of Russia, the Working Group on Legislative Support for the Development of the Pension System and Investing in Pension Savings under the State Duma Committee on the Financial Market, the Interdepartmental Working Group on the Improvement of the Legislation of the Russian Federation in Regulating the Activities of Non-state Pension Funds under the Ministry of Finance of the Russian Federation.

As of year-end 2017, the Fund was managing RUB 151 billion, a 16% increase over the previous year. The amount of pension savings (compulsory pension insurance) totalled RUB 146 billion (17% growth), while the amount of pension reserves under non-state coverage totalled RUB 3.3 billion (48% growth).

The Fund pursues an investment policy that combines high profitability and maximum investment security, ensuring the preservation and accrual of customer funds. In 2017, the yield on pension savings allocated to the Fund's customer accounts reached 8.44%. The yield on pension reserves as part of the programme for non-state provision of pensions amounted to:

- 8.47% through a well-balanced portfolio;
- 7.22% through a conservative investment portfolio.

In 2017, the principles of risk management were fully implemented in the activities of non-state pension funds and pilot stress testing was carried out according to the scenarios of the Bank of Russia, which resulted in confirmation of the Fund's high degree of financial stability.

As of the end of 2017, the Fund had served more than 1.6 million customers. In the first nine months of 2017, the Fund was Russia's seventh-largest by pension assets under management

In July 2017, the Expert RA ratings agency awarded the Fund a rating of ruAAA (highest level of creditworthiness/financial reliability/financial stability).

The Fund implemented initiatives planned for 2017 in the development of sales models, as well as the development of new and upgrading of existing products and technologies. The Fund also successfully transitioned to new operations standards in accordance with the requirements of the Bank of Russia (transition to industry accounting standards, transition to the XBRL reporting format).

1.5. FINANCIAL REVIEW

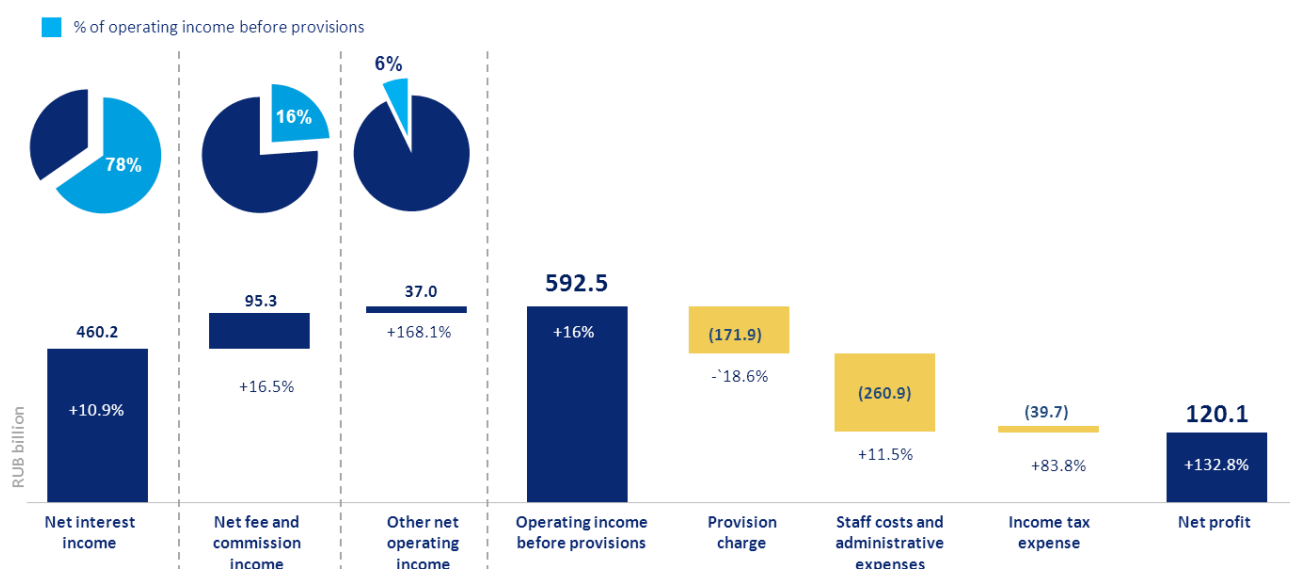
RESULTS IN BRIEF

Net profit 120.1 x 2.3 y-o-y	ROE 8.3% + 4.7 ppt y-o-y	Gross loans 9,773 + 3% y-o-y	5.7% - 70 bp y-o-y
Net interest income 460.2 + 11% y-o-y	NIM 4.1% + 40 bp y-o-y	Loans to individuals +14% y-o-y	Loans to legal entities flat y-o-y
Net fee & commission income 95.3 + 17% y-o-y	CoR 1.6% + 10 bp y-o-y	Customer deposits 9,145 + 24% y-o-y	LDR 100.3% - 20.2 ppt y-o-y
Staff & administrative expenses 260.9 + 12% y-o-y	CIR 44.0% - 1.8 ppt y-o-y	Deposits of individuals +21% y-o-y	Deposits of legal entities +27% y-o-y
Basel T1 capital ratio 13.1% + 20 bp y-o-y	Basel total capital ratio 14.8% +20 y-o-y		

ANALYSIS OF VTB GROUP'S PROFIT AND LOSS STATEMENT IN ACCORDANCE WITH IFRS

Key profit and loss indicators

<i>RUB billion</i>	2017	2016	Change
Net interest income	460.2	415.0	10.9%
Net fee and commission income	95.3	81.8	16.5%
Other net operating income	37.0	13.8	168.1%
Operating income before provisions	592.5	510.6	16.0%
Provision charge	(171.9)	(211.2)	-18.6%
Staff costs and administrative expenses	(260.9)	(233.9)	11.5%
Profit before tax	159.7	65.5	143.8%
Income tax expense	(39.7)	(21.6)	83.8%
Net profit after tax	120.0	43.9	173.3%
Profit after tax from subsidiaries acquired exclusively with a view to resale	0.1	7.7	-98.7%
Net profit	120.1	51.6	132.8%



Net interest income and net interest margin

Interest income on loans and advances to customers, debt securities and amounts due from other banks represent one of the main sources of the Group's operating income. In 2017, gross interest income amounted to RUB 1,056.2 billion, down by 4.7% during the reporting period.

Interest expense decreased by 14.6% to RUB 581.3 billion, as the Bank of Russia continued to reduce its key rate during the reporting period. The average return on interest-bearing assets had decreased by 50 bp by the end of the year. At the same time, cost of total interest bearing liabilities decreased by 90 bp. Thus, cost of total interest bearing liabilities decreased faster than return on interest-bearing assets, which had a favourable effect on net interest income.

Net interest income increased by 10.9% year-on-year in 2017, to RUB 460.2 billion, primarily as a result of improving the structure of the Group's funding, as well as through the growth of the retail loan portfolio. Net interest margin for the year was 4.1%, an increase from 3.7% in 2016.

Interest income

RUB billion	2017	2016	Change
Financial assets at fair value through profit or loss	15.6	19.5	-20.0%
Loans and advances to customers	973.4	1,017.8	-4.4%
Due from other banks	45.8	48.0	-4.6%
Other financial assets, including securities	21.4	22.5	-4.9%
Financial assets not at fair value through profit or loss	1,040.6	1,088.3	-4.4%
Total interest income	1,056.2	1,107.8	-4.7%

Interest expense

RUB billion	2017	2016	Change
Customer deposits	(433.9)	(475.0)	-8.7%
Due to other banks and other borrowed funds	(107.5)	(151.9)	-29.2%
Debt securities issued	(24.9)	(32.4)	-23.1%
Subordinated debt	(15.0)	(21.5)	-30.2%
Total interest expense	(581.3)	(680.8)	-14.6%
Payments to the deposit insurance system	(14.7)	(12.0)	22.5%
Net interest income	460.2	415.0	10.9%

Net fee and commission income

Growing fee and commission income remains one of the Group's priorities. Total fee and commission income in 2017 increased by 18.1%, amounting to RUB 129.6 billion. The bulk of fee and commission income came from settlement transactions and trade finance, accounting for 58.4% of the overall amount, up from 57.7% in 2016.

Total fee and commission expense increased by 22.9% in 2017, mainly due to growth in fees and commissions on settlement transactions and trade finance.

The Group achieved a record net fee and commission income of RUB 95.3 billion for the year, an increase of 16.5% year-on-year. The main drivers were the growth of the Retail business and Transaction Banking business (as part of the Corporate-Investment banking and Mid-Corporate business segments).

Net fee and commission income

<i>RUB billion</i>	2017	2016	Change
Commission on settlement transactions and trade finance	75.7	63.3	19.6%
Commission on guarantees and other credit-related commitments issued	13.2	13.3	-0.8%
Commission on operations with securities and capital markets	10.7	8.6	24.4%
Agents' fee received for insurance products distribution and other services	18.2	12.3	48.0%
Commission on cash transactions	6.7	6.2	8.1%
Other	5.1	6.0	-15.0%
Total fee and commission income	129.6	109.7	18.1%
Commission on settlement transactions and trade finance	(25.5)	(19.7)	29.4%
Commission on operations with securities and capital markets	(2.8)	(3.5)	-20.0%
Commission on cash transactions	(2.7)	(3.0)	-10.0%
Other	(3.3)	(1.7)	94.1%
Total fee and commission expense	(34.3)	(27.9)	22.9%
Net fee and commission income	95.3	81.8	16.5%

Provision charge for impairment

In 2017, the Group's provision charge for impairment of debt financial assets and other assets, credit-related commitments and legal claims amounted to RUB 171.9 billion, a decrease of 18.6% year-on-year. Cost of risk amounted to 1.6% in 2017 compared to 1.5% in 2016.

Staff costs and administrative expenses

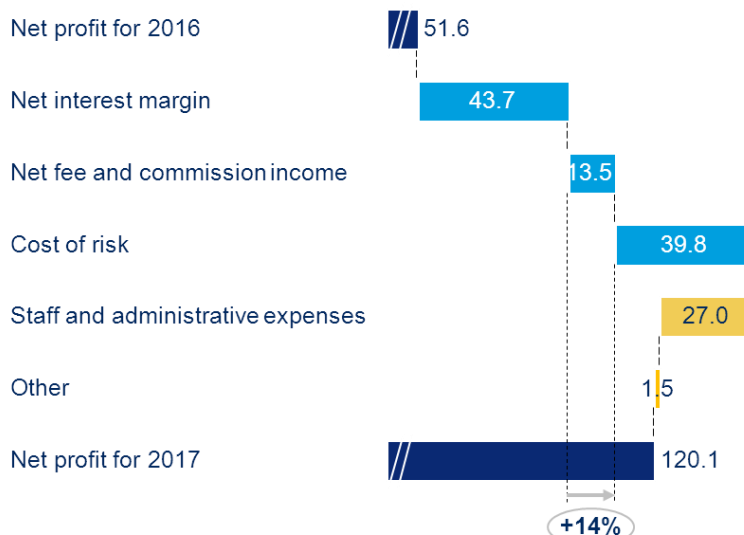
Staff costs and administrative expenses increased by 11.5% year-on-year in 2017, amounting to RUB 260.9 billion. VTB Group continued to adhere to a policy of strict cost control; the growth in expenses was mainly the result of corporate restructuring and an increase in the number of employees. In 2017, the restructuring of the Group's European sub-holding was completed, and VTB24 merged with VTB Bank at the beginning of 2018, a process that lasted more than a year.

The increase in the number of employees was due to the development of Post Bank. Without taking Post Bank into account, the total number of employees decreased year-on-year. At the same time, the Group improved its cost-effectiveness in 2017, reducing its ratio of costs to operating income before provisions to 44.0%, compared to 45.8% in 2016.

Net profit

In 2017, net profit increased by 132.8% year-on-year to RUB 120.1 billion as a result of an increase in net interest income and net fee and commission income, and a decrease in provisions amid continued improvement in asset quality.

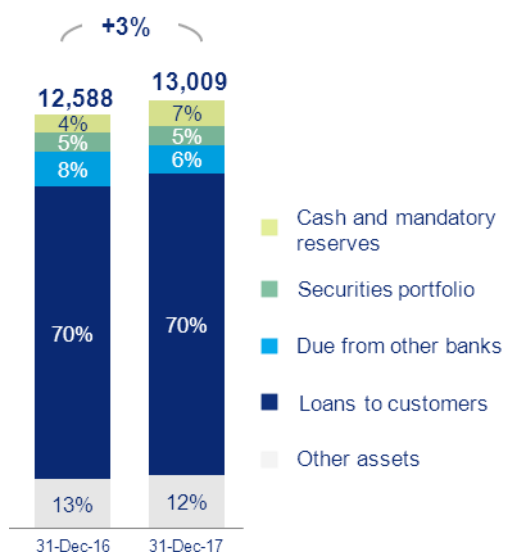
Factor analysis of 2017 net profit deviation comparing to 2016



ANALYSIS OF THE STATEMENT OF FINANCIAL POSITION ACCORDING TO IFRS

Assets

Assets structure, RUB billion



As of 31 December 2017, the Group's total assets amounted to RUB 13,009.3 billion, up 3.3% compared to 31 December 2016. Asset growth was balanced, with the net loan portfolio continuing to account for 70% of Group assets.

In 2017, the Group's gross loan portfolio (before provisions) increased by 3.0% to RUB 9,772.8 billion, while the Group's retail loan book increased by 14.3%. The volume of lending to legal entities decreased by 0.3% in 2017 to RUB 7,286.5 billion.

Growth in VTB Group's retail lending continued to accelerate, with the retail loan book increasing by 14.3% in 2017. The Group also saw growth in consumer loans, automobile loans and mortgages, amounting to 20.8%, 15.0% and 9.7%, respectively, in 2017. The share of retail loans in the portfolio structure increased to 25.4% compared to 22.9% in 2016.

RUB billion

	2017	2016	Change
Cash and short-term funds	773.8	452.9	70.9%
Mandatory cash balances with central banks	97.1	95.1	2.1%
Non-derivative financial assets at fair value through profit or loss, including pledged under repurchase agreements	313.4	267.1	17.3%
Derivative financial assets	175.6	180.5	-2.7%
Due from other banks, including pledged under repurchase agreements	835.0	1,051.2	-20.6%
Loans and advances to customers, including pledged under repurchase agreements	9,171.4	8,854.5	3.6%
Investment financial assets, including pledged under repurchase agreements	285.6	340.7	-16.2%
Investments in associates and joint ventures	117.1	93.3	25.5%
Assets of disposal groups and non-current assets held for sale	17.2	15.6	10.3%

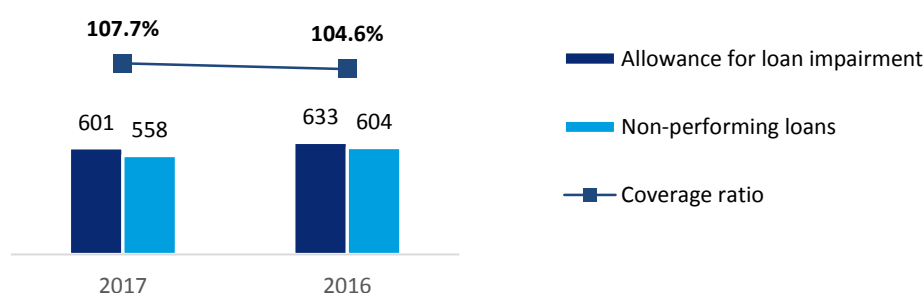
Land, premises and equipment	348.2	352.7	-1.3%
Investment real estate	210.4	235.5	-10.7%
Goodwill and other intangible assets	157.4	155.1	1.5%
Deferred income tax asset	98.7	87.8	12.4%
Other assets	408.4	406.2	0.5%
Total assets	13,009.3	12,588.2	3.3%

Asset quality

As of 31 December 2017, the share of non-performing loans in gross customer loans, including those pledged under repurchase agreements, amounted to 5.7%, down from 6.4% as of 31 December 2016. The Group continued its policy of clearing its loan portfolio by writing off fully provisioned loans. The volume of non-performing loans written off in 2017 increased to RUB 182 billion, compared to RUB 162 billion in 2016.

The ratio of allowance for impairment to the total loan portfolio reached 6.2% at the end of 2017, down from 6.7% as of 31 December 2016. The coverage ratio of non-performing loans was 107.7% as of 31 December 2017, compared to 104.6% a year earlier.

Non-performing loans and allowance for impairment, RUB billion



Liabilities

Total liabilities increased by 3.2% in 2017, amounting to RUB 11,529.6 billion.

As of 31 December 2017, customer deposits amounted to RUB 9,144.7 billion, up 24.5% from the end of 2016. As of the end of 2017, customer deposits accounted for 79.3% of the Group's total liabilities versus 65.7% at the end of 2016.

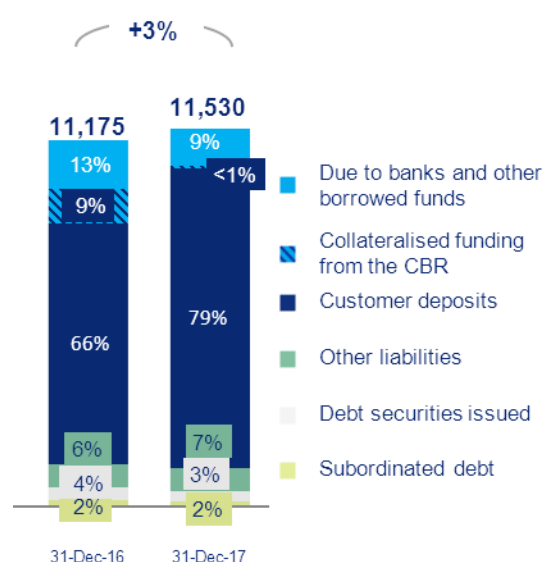
Deposits from legal entities amounted to RUB 5,523.1 billion, an increase of 27.2%, while deposits from individuals increased by 20.5% to RUB 3,621.6 billion.

The group achieved an important result in its funding structure, with its loans to deposits ratio reaching 100.3%.

The share of funding from the Bank of Russia decreased from 9% as of 31 December 2016 to 0.6% at the end of 2017.

The Group's dependence on funding from debt capital markets remains low. The share of funds raised through the issue of debt securities in total liabilities decreased to 2.8% as of 31 December 2017, compared to 3.6% a year earlier.

Liabilities structure, RUB billion



<i>RUB billion</i>	2017	2016	Change
Due to other banks	810.3	1,208.9	-33.0%
Customer deposits	9,144.7	7,346.6	24.5%
Derivative financial liabilities	134.0	165.0	-18.8%
Other borrowed funds	304.5	1,307.2	-76.7%
Debt securities issued	322.7	399.6	-19.2%
Liabilities of disposal groups held for sale	7.0	2.2	218.2%
Deferred income tax liability	30.7	35.2	-12.8%
Other liabilities	582.5	486.5	19.7%
Total liabilities before subordinated debt	11,336.4	10,951.2	3.5%
Subordinated debt	193.2	224.1	-13.8%
Total liabilities	11,529.6	11,175.3	3.2%

Capital and capital adequacy

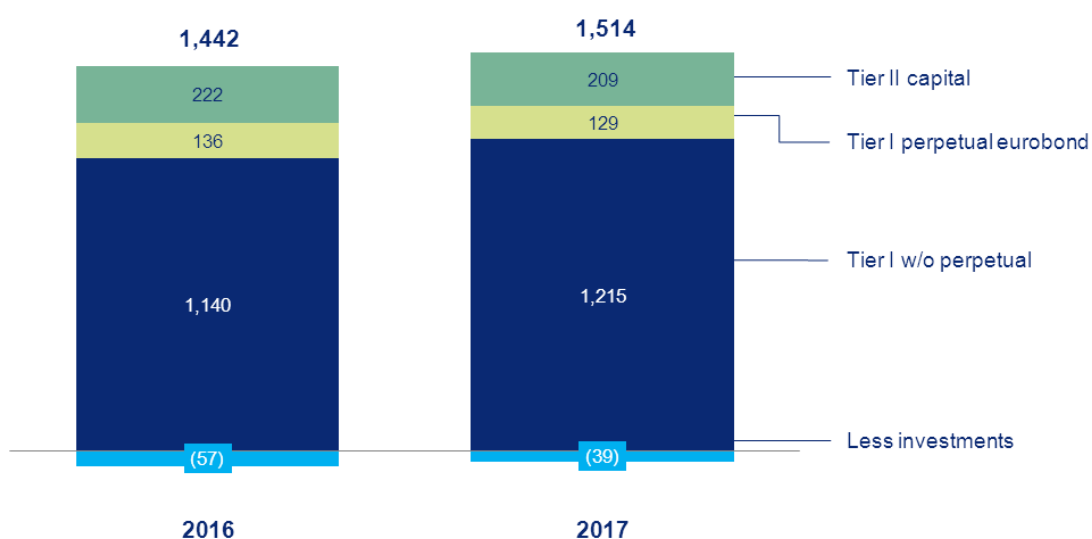
The Group's policy in the area of capital management is to maintain a sustainable capital base so as to retain the confidence of investors, creditors and market participants, as well as to ensure the future development of its operations.

VTB Group continued to maintain strong capital adequacy levels on the back of increased profitability in 2017. As of 31 December 2017, the Group's Tier 1 capital adequacy ratios (calculated according to the standard international methodology in accordance with the provisions of the 1998 Basel Accord and subject to subsequent amendments and additions) were 14.8% and 13.1%, respectively, compared with 14.6% and 12.9% as of at the end of 2016.

Capital and capital adequacy according to Basel standards

<i>RUB billion</i>	2017	2016	Change
Tier 1 capital	1,344.8	1,276.2	5.4%
Tier 2 capital	208.9	222.4	-6.1%
Deducted: equity investments in financial institutions and subordinated debt provided	(39.3)	(56.9)	-30.9%
Total capital after deductions	1,514.4	1,441.7	5.0%
Risk-weighted assets	10,262.7	9,875.4	3.9%
Tier 1 capital ratio to total risk-weighted assets	13.1%	12.9%	0.2 pp
Total capital ratio to total risk-weighted assets	14.8%	14.6%	0.2 pp

Capital structure according to Basel Standards



According to the requirements of the Bank of Russia, Russian banks must comply with the minimum

requirements for capital adequacy ratios, defined as a percentage of risk-weighted assets, calculated in accordance with the requirements of the Bank of Russia: common equity adequacy ratio (N 1.1), core capital adequacy ratio (N 1.2) and total capital adequacy ratio (N 1.0). As of 31 December 2017, the minimum levels were as follows: 4.5% for N 1.1, 6.0% for N 1.2 and 8.0% for N 1.0, compared to 4.5%, 6.0% and 8.0%, respectively, at the end of 2016.

In 2016 and 2017, the Bank's capital adequacy ratios calculated in accordance with the requirements of the Bank of Russia (without taking into account the effect of corrective events after the balance sheet date) exceeded the minimum.

VTB Bank's capital and capital adequacy (RAS, Bank of Russia standards)

<i>RUB billion</i>	2017	2016	Change
Capital	1,061.7	1,017.8	4.3%
Risk-weighted assets	9,413.1	9,162.0	2.7%
Common equity adequacy ratio (N 1.1)	8.9%	9.6%	-0.7 pp
Core capital adequacy ratio (N 1.2)	9.1%	9.7%	-0.6 pp
Total capital adequacy ratio (N 1.0)	11.3%	11.1%	0.2 pp

In other countries, the Group's banks comply with the requirements for the level of capital adequacy established by national central banks or other oversight bodies.

1.6. RISK MANAGEMENT

POLICY, ORGANISATION AND STRUCTURE OF RISK MANAGEMENT

VTB Group-level risk management

The main risks that VTB Group is exposed to are credit risk, market risks (including risks associated with changes in the market prices of financial instruments, interest rates and foreign exchange rates), liquidity risk and operational risks (including legal risks), as well as individual sub-types of concentration risk (risk of credit concentration within a group of borrowers, risk of concentration of financial instruments, risk of concentration of sources of liquidity).

VTB Group risk map



Information on the structure of all significant risks inherent to the Group's activities is disclosed on a regular basis in accordance with the requirements of the Bank of Russia at <https://www.vtb.ru/akcionery-i-investory/raskrytie-informacii/raskrytie-informacii-dlya-regulyativnyh-celej/>.

Risk management at the Group level includes risk identification, evaluation and monitoring; control over the size, structure and distribution of risks; identification of effective measures to optimise and minimise risks; and compiling regular risk reports.

One of the key principles of risk management at VTB Group is to manage the activities of the Group, considering risk appetite, which is determined in accordance with regulatory requirements and international practice. This approach involves the identification and oversight of indicators of the Group's overall risk target level and risk profile in accordance with its strategic objectives and the integration of risk appetite into business planning and risk management procedures.

A high-level risk appetite for the Group includes the following key provisions:

- The size of potential losses on risks accepted by the Group should not reach such a level that would lead to the cessation of the Group's operations, including under stress conditions;
- The Group must have enough capital to secure the interests of creditors in the hypothetical (extremely unlikely) event of unexpected losses as a result of risks taken;
- The structure of the Group's operational cash flow and liquidity buffers should ensure the timely fulfilment of obligations to clients in the short and long term;
- The structure of assets and liabilities must ensure the efficient use of resources and comply with the Group's business model;
- As part of its operations, the Group must try to avoid a high degree of concentration of credit risk in counterparties, industries and countries/regions with a high level of risk;
- Sustainable development and economic efficiency in the long term;
- Compliance with the national regulators in countries where the Group operates, as well as with the standards and recommendations of international agencies;⁶
- Maintaining an impeccable reputation, avoiding actions that could result in harm to the Group's reputation;
- Maintaining and improving credit ratings granted by international rating agencies (without state support).

VTB Group's high-level risk appetite is detailed through the establishment of specific quantitative and qualitative indicators, with corresponding reference values.

Quantitative indicators of risk appetite are divided into operational indicators (they may be passed down to the system of limits established for business lines, VTB Group companies and other allocation levels) and structural indicators (centrally managed at the Group level). Risk appetite indicators limit all significant risks inherent to VTB Group's operations.

The key principles of the Group's risk management system also include:

- Compliance with legal and other mandatory requirements;
- Transparency of risk-associated activities for shareholders, investors and other interested parties (primarily by disclosing information), taking into account their interests;
- Analysing and managing risks on a consolidated basis, covering all of the Group's Russian and foreign banks, as well as its key financial companies;
- Optimal distribution of risks within the Group; minimising exposure and potential losses from risks in markets where the Group operates;
- Developing a risk management culture within the Group's companies, including improving employees' skills in terms of identifying and preventing possible risks and losses in their areas of responsibility;
- Providing the risk management function with sufficient resources, introducing modern methods for assessing and monitoring risks and automated risk management systems based on industry best practices.

The Group's risk management system has a multi-layered structure, which includes consolidated (Group-level) and local-level risk management, with a high degree of centralisation of the Group's risk management function. The risk management system is built around the Group's global business lines (Corporate-Investment Banking, Mid-Corporate Banking, Retail Banking) and is based on the harmonisation of approaches to managing the main types of risks, including through the coordination of activities by specialised risk divisions of the Group.

The standard organisational structure of the Group's banks and financial companies includes an independent risk assessment and control division that corresponds to the appropriate risk profile and scale of the business, as well as a senior manager responsible for comprehensive risk management.

⁶ Basel Committee on Banking Supervision, the European Central Bank and others.

To coordinate risk management policies and practices across the Group, and to implement and improve the analysis of consolidated risk management procedures, a number of collective bodies report to the VTB Group Management Committee. These collective bodies include:

- The Group's Risk Management Committee, including its Commission on the Introduction of Risk Management and on Business Continuity Management within VTB Group;
- The Group's Corporate-Investment Business and Mid-Corporate Business Credit Committees;
- The Group's Retail Risk Committee;
- The Group's Assets and Liabilities Committee, as well as its subordinate commissions;
- The Committee for Risk Management of the Group's International Corporate-Investment Business.

Control over the risk management organisation policy within the Group's companies is carried out on a systematic basis, primarily through corporate governance (including through the representation of VTB Bank on subsidiaries' supervisory councils/boards of directors), as well as through the centres of competence for the Group's risk function. Key internal regulations of subsidiaries related to risk management are approved by governing bodies, taking into account the contribution of the specialised risk divisions.

During the year, the Group continued implementation of the strategy for the development of VTB Group's risk management system for 2017-2019, as well work on the long-term development programme for the Bank for 2014-2018 approved by the Bank's Supervisory Council, including:

- the implementation of measures to ensure the transition to a methodology for assessing credit risk and the level of reserves in accordance with IFRS 9;
- the system of indicators was improved, as were the procedures for preparing, approving and passing down the Group's risk appetite;
- internal procedures for assessing capital adequacy (ICAAP) at the Group level were implemented in accordance with the regulatory requirements of the Bank of Russia;
- work continued on the development of a methodology and procedures for managing certain types of risks (including interest rate risk);
- projects were implemented to develop the IT infrastructure for risk management and to prepare risk reporting, including taking into account the requirements of the Bank of Russia.

VTB Bank-level risk management

The Bank's main internal documents specify key principles of and approaches to the organisation and development of its risk management system (including subsidiaries included in the Group's consolidated risk management), including:

- The Regulation on the VTB Bank Risk Management System, designed in line with the Procedures endorsed by the Russian Government and approved by the Supervisory Council on 16 November 2015;
- VTB Bank's Strategy for Managing Risk and Capital and the Procedure for Managing VTB Bank's Most Significant Risks, developed in accordance with the regulatory requirements of the Bank of Russia and subject to revision at least once a year to update its provisions.

In 2017, an updated edition of VTB Bank's Strategy for Managing Risk and Capital was approved by a decision of the Bank's Supervisory Council on 31 July 2017; a new edition of the Procedure for Managing VTB Bank's Most Significant Risks was approved by a decision of the Supervisory Board on 1 December 2017.

The main strategic objective in the field of risk management is to minimise potential financial losses from exposure to the risks faced by the Bank's operations, ensuring financial strength and sustainable growth for the Bank in accordance with the strategic objectives specified by the Supervisory Council.

VTB Bank's policy aims to create an integrated risk management system that corresponds to the nature and scale of the Bank's operations and risk profile, and that enables further development of the business.

The Bank's risk management is developed and improved in accordance with banking best practices, regulations and recommendations of the Bank of Russia, as well as generally accepted international standards.

In terms of organisation, VTB Bank's risk management system comprises the Supervisory Council, executive bodies, credit committees, the Assets and Liabilities Committee, the Credit Risk Management Committee and other special committees and structural units involved in the risk management processes.

The division responsible for developing the risk management system and controlling the credit, market and operational risks within VTB Bank and VTB Group is the VTB Bank Risk Department.

As part of the merger of VTB24 and VTB Bank, the Bank established a Retail Credit Risk Department as of 1 January 2018, whose main task is to ensure the effective functioning and development of the retail credit risk management system, so as to minimise possible losses stemming from operations in the retail business.

CREDIT RISK

Credit risk is the risk of financial loss (loss of revenue or additional expenses) should a borrower/counterparty/issuer fail to meet its contractual obligations.

VTB Group is exposed to credit risk through its loan portfolios, securities portfolios, guarantees, letters of credit, derivatives portfolios and other credit-related contractual commitments.

VTB Group-level credit risk management

Credit risk at VTB Group is managed simultaneously at the local level with VTB Group companies and at the Group (consolidated) level.

Within the framework of the local credit risk management system, Group companies assume and manage credit risks independently (including insurance and hedging risks), within the scope of their authority and limits with regard to risk indicators, and in accordance with national regulations and Group standards. VTB Group's companies are responsible for the results of their lending activities and the quality of their loan portfolios, and also for monitoring and controlling the credit risks associated with their portfolios.

The key elements of the Group's consolidated credit risk management are as follows:

- Harmonisation of credit policies (credit risk management policies) of the Group's companies;
- Development and adoption of common standards (principles and methods) concerning credit procedures and managing credit risk to be used throughout the entire Group (including the methodology for assessing counterparties, pricing credit operations, collateral, monitoring, backup, stress testing);
- Establishing consolidated limits and other restrictions within the Group (including limits on counterparties/groups of related counterparties, large transactions, countries, industry sectors);
- Assessing the capital necessary to cover the Group's credit risks;
- Maintaining a centralised database of Group borrowers, including those requiring particular attention;
- Preparing regular consolidated financial statements regarding the Group's credit risk and submitting them to the Group's governing bodies for review.

Consolidated credit risk management covers all essential assets and off-balance-sheet operations of the Group's companies that bear credit risk and that require control over their concentration within the

Group as a whole. Within the context of consolidated control and reporting, the scope and range of such operations is determined by the Group's coordinating bodies.

In 2017, specialised units within VTB Bank (including the Non-Core Bad Assets Department and the Bad Assets Department at VTB24) worked to identify, monitor and resolve potential problems and bad debt at the Group level.

The centralised management of retail risks at VTB Bank's subsidiary banks in 2017 was carried out by a specialised unit, a risk management group as part of the Retail Credit Risk Department. This unit is the Group's risk competence centre responsible for the development of common approaches and procedures for retail credit risk management; the centralised, systematic evaluation of such risk; and the formation of an optimal structure for retail credit risk taken by the Group, including with regard to compliance with the Group's risk appetite.

VTB's subsidiary banks that perform the above-mentioned operations are guided by a set of documents approved by the Group's Management Committee that establish standards and approaches for managing retail lending risks at the level of each subsidiary bank and at the Group level.

As part of the transition to the IFRS 9 standard at VTB Bank and at the Group level in 2017, a number of activities were implemented:

- changes were made to the procedures for monitoring corporate clients, and, in particular, for monitoring the internal credit ratings of VTB Bank clients;
- a methodology and procedure were developed for identifying defaults on the part of the Bank's corporate clients;
- an intra-bank provisions methodology was developed in accordance with IFRS 9, as well as general group approaches to the establishment of provisions;
- approaches to the calibration of ranking models were unified both in terms of methodology and through the introduction of common tools and libraries for modelling purposes.

VTB Bank-level credit risk management

VTB Bank manages credit risk by:

- Restricting credit risk through the Bank's existing system of limits, which comply with the Bank of Russia's mandatory regulations and other requirements. They are regularly reviewed by the VTB Risk Management Department and approved by VTB Bank's authorised collective body;
- Accepting collateral and insurance to cover credit risks, charging adequate fees for the credit risk and establishing provisions for possible loan losses;
- Assessing the level of credit risk assumed by the Bank for each counterparty, as well as regularly monitoring the credit portfolio, individual customers, transactions and collateral (including by ranking borrowers);
- Preventing credit risk at the loan application review stage and taking prompt measures as soon as credit risk factors have been identified through monitoring.

The Bank applies the following main methods of credit risk assessment:

- Determining a customer's level of creditworthiness by analysing financial indicators and conducting an expert assessment (in compliance with the Bank's internal procedures for ranking); the level at which a customer (or a group of related customers) is ranked is taken into account when determining the cost levels of loan transactions;
- Analysing the level of concentration of the Bank's credit risk for individual borrowers (or group of related borrowers), the industry, country, customer segments, types of credit products;
- Estimating possible losses from credit risk in the process of calculating and creating provisions for possible losses (in compliance with the requirements of the Bank of Russia and IFRS);
- Assessing capital adequacy and the scale of credit risk when calculating the required ratios established by the Bank of Russia;

- Determining internal capital needs (economic capital calculation) for credit risk, taking into account the actual quality of the loan portfolio (as required by the Bank of Russia and under Basel II);⁷
- Conducting stress testing of loan portfolio losses, taking into account different macroeconomic scenarios.

The main types of credit risk limits are:

- Limits on the aggregate level of credit risk for the loan portfolio overall and for individual segments;
- Limits restricting the level of risk for a particular customer (or group of related customers). These limits include limits for operations with a customer (group of related customers), including sub-limits for various types of operations with a credit risk/designated purpose (credit, documentary limits, limits on trading activities, limits on transactions with debt securities, etc.);
- Limits on the concentration of credit risk (by industry, country, credit products);
- Credit and deposit limits are established for credit organisations (including overdraft sub-limits, nostro accounts, provision of funds), limits on trading operations, limits on transactions with debt securities, and limits on contingent liabilities;
- Limits in accordance with the requirements (mandatory regulations) of the Bank of Russia.

The Bank employs collaterals to reduce credit risk.

As part of the transition to the IFRS 9 standard in 2017, the Bank changed its methodology for assessing the required provisions, and the main approaches to determining the amount of provisions were developed and approved.

LIQUIDITY RISK

VTB Group-level liquidity risk management

Liquidity management is applied at the Group level based on bylaws approved by the Group's Management Committee. Within the Group, liquidity management is based on the following principles:

- Each bank/company within the Group manages its own liquidity on a separate basis to meet its obligations and to comply with the requirements of the national regulator and the recommendations of VTB Bank;
- VTB manages the Group's liquidity by centrally controlling and managing the key measures taken by the Group.

Methods for controlling and reducing the Group's liquidity risk include:

- monitoring compliance with the established appetite for liquidity risk;
- monitoring compliance with the regulatory limit set by the Bank of Russia for the short-term liquidity of a banking group.

VTB Bank-level liquidity risk management

The Bank has current and forecast liquidity risk management in place.

Managing current liquidity entails short-term forecasting and management of cash flows in respect of currencies and terms (time frames) so that the Bank can ensure that it will meet its obligations, complete settlements on behalf of its customers and fund ongoing operations.

Current liquidity management is carried out by the Treasury Department based on a real-time (intraday) determination of the Bank's current payment position and forecast future payment position, taking into account the payments schedule and other scenarios.

⁷ Approach based on internal credit ratings.

The objective in forecast liquidity management is to develop and implement instruments to manage assets and liabilities to support the Bank's instant funding capability, and to plan increases in its asset portfolio by optimising the ratio of liquid assets and profitability.

The Bank achieves this by making long-term liquidity forecasts and by adhering to internal liquidity standards (standards for liquid and highly liquid assets and the liquidity standard for the Treasury securities portfolio), as formulated by the Assets and Liabilities Management Committee. The liquidity accounting standards of the Bank of Russia are also applied when carrying out forecast liquidity management.

Each forecast includes receivables and payments according to the contractual terms for operations, while also taking into account the following:

- Planned transactions;
- Possible extension of clients' funds (deposits and promissory notes);
- Possible outflows of unstable "on-demand" funds (clients' settlement and current accounts, as well as Loro accounts).

In addition, the Risk Division conducts stress testing to assess risk factors that can have an impact on the Bank's liquidity forecast.

Liquidity gaps are closed through new borrowings and the renewal of existing deposits. The Group's medium-term liquidity is managed by attracting interbank loans and customer deposits, repo transactions and secured loans from the Bank of Russia.

The currency structure of liquidity is managed by conducting "conversion swap" transactions.

A significant proportion of VTB Group's liabilities is represented by customer deposits (deposits, promissory notes, current accounts of corporate and retail customers), resources from the Bank of Russia, interbank deposits and Eurobonds.

Although a considerable portion of customer liabilities are short-term deposits and "on-demand" accounts, the diversification of these liabilities and VTB's past experience indicate that these liabilities are consistently refinanced by customers and that they are, for the most part, a stable source of funding. The stable element of short-term customer liabilities is determined for various currencies using a statistical trend analysis of the cumulative balances of these accounts over time.

Money-market instruments (interbank loans and deposits, repurchase agreements) are used to control short-term liquidity, and are not considered as a source of funding for long-term assets.

Methods for controlling and reducing liquidity risk include:

- Monitoring compliance with established internal limits and regulations, including appetite for liquidity risk;
- Analysing liquidity risk using a set of quantitative and qualitative indicators;
- Implementing forecasting, situational modelling and stress testing of the Bank's liquidity;
- Monitoring calculated gaps, taking into account the scenario analysis of the Bank's liquidity for various time periods to identify disparities between receipts and payments;
- Identifying and analysing the impact of internal and external factors on the Bank's liquidity, and the forecast for changes;
- Adopting and implementing solutions for management of assets and/or liabilities of the Bank to maintain liquidity risk at a level that complies with internal and regulatory liquidity ratios;
- Developing a detailed plan of action for mobilisation of liquid assets by the Bank in the event of insufficient liquidity;
- Ensuring compliance with the Bank of Russia's mandatory liquidity ratios by monitoring actual and forecast values of established intra-bank maximum permissible values for mandatory ratios.

MARKET RISK

Market risk is the risk of downward pressure on the Group's financial results or the capital base due to adverse changes in the value of the Group's assets/liabilities (claims/liabilities) as a result of market conditions, i.e., risk factors (such as exchange rates, interest rates, the yield on debt securities and credit spreads, stock quotes and stock market indices, commodity prices, etc.), as well as due to changes in the volatility of these indicators and correlations between them.

Interest-rate risk

Interest-rate risk management is based on VTB Group's bylaws and includes:

- Setting standard interest rates for deposits and internal rates for funding, taking into account current market conditions;
- Calculating interest-rate risk (ECap, etc.);
- Setting capital limits for covering the interest rate risk for the Group and individual banks.

The basic parameters used to assess interest-rate risk are:

- The sensitivity of the Group's interest position to a change in interest rates, measured in terms of (1) the size of the reduction in the net present value of the interest position; and (2) the net interest income under an unfavourable change in interest rates, as well as a parallel movement of the yield curves by 100 and 400 bp;
- The capital for covering interest-rate risk, measured by assessing reductions in the current value of the Bank's interest-rate position in the event of potentially unfavourable interest-rate movements.

Currency risk

The Group uses internal regulations adopted by the Group's Management Committee to manage its currency risk. It also ensures that the currency of its assets matches that of its liabilities and maintains an open currency position (OCP) in each of the Group's banks within established limits, including internal OCP and VaR (Value-at-Risk) limits and regulatory OCP limits.

Approved stress scenarios are used to calculate the capital required to cover VTB Bank's open currency risk structural OCP. A VaR assessment is carried out using the VaR method to monitor the established risk appetite index for structural OCP. The VaR assessment is used to estimate the largest potential negative effect (within a specified confidence interval) of changes in the value of FX positions on the Group's financial performance. The VaR assessment is conducted via historical modelling over a period of two years with a one-trading-day time horizon and a confidence interval of 95%.

Market risk on trading operations

The Group's securities portfolio is exposed to the risk of losses resulting from changes in the market prices of securities, commodities and stock indices.

To limit price risk, the Group's Management Committee sets/revises, on an annual basis, the Group's appetite for market risk (including stress-test limits, VaR limits and limits on allowable losses, i.e., "stop-loss"), which are then passed down by the Group's Risk Management Committee to business lines and subsidiaries.

The Risk Department monitors compliance with the Group's market risk limits on a weekly basis. Local market risk limits are monitored by the subsidiary banks' risk divisions on a daily basis.

The Risk Department informs business divisions about compliance with the Group's limits on a weekly basis and submits a report to the Assets and Liabilities Management Committee on a monthly basis regarding compliance with limits, recommendations for the modification thereof, and proposals to reduce/hedge market risk.

VTB uses VaR to evaluate risks in its securities portfolio. The key assumptions that are used in calculating VaR for currency risk are also applicable for the calculation of VaR for market risk associated with the Group's securities portfolio. VaR is calculated by using historical modelling over a period of two years with a one-trading-day time horizon and a confidence interval of 95%.

Due to the limited liquidity in the Russian market for corporate fixed-income instruments (typical for emerging markets), the selection of historical data concerning quotes was based on the following approach: historical data was used for instruments with a quote history of at least 200 trading days in the previous year, no more than 10 successive trading days without quotes, and an issue date no later than the beginning of the reporting year.

VaR is assessed for less liquid securities that do not meet the above requirements by using historical data on comparable (proxy) instruments that meet the following criteria:

- The proxy instrument should be the same type of financial instrument as the original instrument;
- The issuer of the proxy instrument should be from the same sector and country as the original instrument, and should have comparable credit ratings;
- The proxy instrument and the original instrument should be denominated in the same currency;
- The proxy instrument and the original instrument should have comparable durations.

Proxy instruments were used for the VaR calculation for approximately one-quarter of the securities in the Group's portfolio.

OPERATIONAL RISK

Operational risk is the risk of loss resulting from flaws in the type and scale of the Group's operations or inconsistency between internal processes and legislative requirements for banking operations, their violation by VTB staff or other individuals (due to unintentional or intentional acts or omissions), lack of functionality of IT and other systems or the breakdown thereof, as well as damaging external events.

VTB Bank's operational risk management system is designed to prevent potential losses and to reduce the possibility of business process failures and the inability to provide high-quality services to the Bank's clients caused by staff errors, system breakdowns, internal or external fraud or violations of the law.

In managing operational risk, the Bank adheres to the Bank of Russia's regulations, as well as the recommendations of the Basel Committee on Banking Supervision. To implement its operational risk strategy, VTB carries out regular procedures to identify, assess, control and limit operational risk. All significant deficiencies from a risk perspective that are identified within the internal control system are subjected to rigorous analysis. Based on the analysis, measures are developed and implemented to eliminate the causes and sources of the risk.

To manage operational risk, the Bank has implemented the following unified mechanisms to identify, assess and monitor the level of operational risk: a centralised process to collect information on incidents of operational risk and related operating losses; control over the level of key performance indicators related to operational risk, and procedures to minimise operational risk. This makes it possible to carry out a quantitative assessment of operational risk indicators in relation to the Bank's products and the Bank's various business activities, processes and systems, including in the context of individual risk categories, the identification of sources of risk and implementation of measures to limit risk, reflected in management reporting.

The Bank uses the following methods to respond to operational risks:

- Minimising risk: developing and implementing the necessary corrective measures to reduce identified risks;

- Taking risk: questions related to whether or not to take a certain risk are subject to approval by the authorised bodies/individuals within the bank in the event that measures aimed at minimising the risk are not economically feasible;
- Avoiding risk: refusal to carry out a business operation subject to an identified risk if the potential losses as a result of the risk would be critical for the Bank and/or if carrying out the operation in question could jeopardise the Bank's solvency, and if measures aimed at minimising the risk are not economically feasible;
- Transferring risk (risk insurance): risk insurance involves those operational risks that the bank is unable to manage and that exceed the Bank's direct control (including the risk of the loss of collateral pledged to the Bank to secure credit, the risks associated with the transportation and storage of valuables and cash, property risks, etc.).

The Bank uses the following key methods to reduce and limit its operational risk:

- Maintaining an integrated system of current and backup internal controls that is common to all business units and operations throughout the Bank;
- Regulating all key operations using internal standards and codes of practice;
- Registering and documenting banking operations and transactions, and maintaining consistent control over primary documents and operating accounts;
- Applying the principles of dividing and limiting employees' functions, authority and responsibilities; implementing dual controls; collective decision-making; setting limits on the terms and scale of operations;
- Automating banking operations using high-performance IT systems that are constantly monitored and repaired promptly in case of breakdown;
- A well-managed HR policy, good staff training and education;
- Prevention measures to ensure continuity of the financial and economic activities related to the Group's banking operations and transactions by setting up alternative communications channels, geographically distributed server rooms, independent sources of power, heat and water supply, and by taking fire protection measures.

The insurance programmes covering risks to the Bank's professional activity risks in 2017 were provided by insurance against crime under the Financial Institution's Blanket Bond scheme (including electronic and computer crimes), liability insurance for directors and officials of the Group's companies, insurance for funds and valuables while in storage and during transit, ATM insurance, etc. VTB Bank also insures against risks related to business activities (including buildings, equipment and vehicles).

In 2017, the Group took the following steps to develop its system for managing operational risk:

- Development of mechanisms to monitor the level of operational risk at the level of the Bank and the Group's companies as part of the concept of managing risk appetite;
- Unification of methodological approaches to operational risk management at the Group level, including with regard to risk management regarding fraud and IT risks;
- Development of the methodology for a unified system of tools to be used for operational risk management (self-assessment, key risk indicators, corrective action plans to reduce risks and the consequences thereof, scenario analysis);
- Improving regular reporting on the Group's operational risks.

Operational risk did not have a significant impact on the Bank's performance in 2017.

1.7. TECHNOLOGICAL TRANSFORMATION

Today, demand for changes in the banking system comes from clients, not from software developers or the banks themselves. As lifestyles change, so too does client behaviour. On the one hand, customer demand sets the agenda for technological changes within VTB Group, while, on the other hand, the digital transformation is aimed at improving economic efficiency and profitability in the face of declining

margins in the banking business. Thus, the digital transformation taking place within VTB Group should result in both better customer service and lower costs and increased profits.

Key objectives of VTB Group's technological transformation



Bringing products to market quickly



Large-scale transition to digital channels



Improved reliability of IT systems



Improved return on investment

In order to systematise our work with technology and to bring innovations to market, VTB Group developed a digital strategy, and a cross-structural digital team was established that includes representatives from various business lines, information security, IT and HR.

The basic principles of working with technological innovations within VTB Group are:

- Analysis of the experience of both Russian and international banks and selection of the best solutions that may be useful for VTB customers;
- Collaboration with the technological and business communities to find the best market solutions;
- Development of a work culture and the introduction of innovations within the Group;
- Collaboration with the leading players in the financial sector (the FinTech Association and others) and regulators to develop the legislative framework.

Main IT projects completed by VTB Group in 2017

Primary objectives
involved in the merger
of VTB24 and VTB Bank

**Unified bank
for regulatory and
oversight bodies**

- transfer of VTB24's assets/liabilities to VTB Group companies and the parent company;
- centralisation of the management reporting;
- interaction with the Federal Tax Service and the Federal Bailiff Service was centralised.

**Unified internal
processes**

- transition to unified systems:
 - personnel records and payroll
 - support for procurement and cost planning
 - electronic document management for employees of the parent company and of the retail business's branch network;

Unified bank for clients

- integration of IT support.
- products: a single line of retail products, loan repayment for retail customers of either bank, transactions can be completed by customers of either bank;
- remote channels: a single ATM menu, a single online bank, a new sales website;
- customer service for retail banking clients at any point of sale.

Unified bank with integrated infrastructure

- integrated accounts, a single domain, shared e-mail and telephone network;
 - shared file resources and support service portals.
-

VTB for retail customers: development of remote channels and improved products

VTB for corporate clients: improved tools for remote service and extended business hours

Main IT projects in 2017 in retail and corporate businesses

Retail business



Profitable bank

- launch of the new Multicard package;
- improved fraud prevention:
 - automated verification conducted for remote banking services and bank cards;
 - voice biometrics for individual clients.

Corporate business

- an extended business day (processing of RUB payments after hours);
- automated opening of deposits for legal entities through remote channels;
- automated provision of guarantees;
- automated business support for loans and guarantees;
- a number of new packages and products for small business introduced;
- launch of a new overdraft product for payroll clients.



Long-term client relations

- the number of payment recipients for housing and utilities services, etc., more than doubled;
- universal application for all loan products;
- remote support: clients can chat with a bank employee through a mobile application; client access to virtual consultants.
- remote opening of cash management services (CMS) for legal entities with account reservation, reduced time for opening CMS;
- less time needed for payroll accounting;
- automation of services for social projects carried out by the Moscow Department of Labour and Social Protection and the Pension Fund of the Russian Federation;
- automation of services for Russian Railways' payroll programme;
- remote state registration of legal entities and individual entrepreneurs;
- creation and storage of keys for



Integrated group

- new design for the unified Bank;
- product functionality through remote channels: replenishment of brokerage accounts in various currencies through mobile banking;
- connection to American Express and China UnionPay, NSPK World (card issue);
- AliPay acquiring.
- storage of electronic files on products for legal entities;
- increased capacity up to 23,000 records a day (business registration service);
- currency conversion for electronic commerce for the National Payment Card System for international settlements for MIR-ArCa (Armenia) and for AliPay in settlements with Russian counterparties.



High-tech bank

- new design for remote banking services;
- pilot project on the use of bimodal biometric verification in mobile banking;
- P2P transfers, including transfers to other banks;
- introduction of Apple Pay and Samsung Pay;
- online application for loan products for Bank customers;
- paperless office (pilot launched) and paperless PIN;
- booking a place in the electronic queue management system through remote channels;
- reservation of a safety deposit box through the Bank's website.
- Remote "light" banking for small-business customers;
- introduction of a new front end for legal entities;
- introduction of a pilot module for CMS in RUB; about 1,200 legal entities have been migrated.

IT achievements in retail business in 2017

▲ from 27% **to 41%**
percentage of active online clients⁸

▼ from 5 to **2 minutes**
time needed to make credit decisions⁹

4 rating for VTB24's mobile application in a research by Markswebb¹⁰

IT achievements in corporate business in 2017

▼ from 1 day **to 15 minutes** time for transfers to payroll cards¹²

▼ from 5 days **to 1 day** time to open CMS for legal entities

⁸ Customers with one or more online connections within the preceding 90 days.

⁹ Pre-scoring also implemented, an automated system that makes it possible to tell clients 92% of the time within 30 seconds whether a decision will be made in the subsequent few minutes.

¹⁰ Markswebb Mobile Banking Rank CIS 2017/2016.

2 rating for VTB24's mobile application according to UsabilityLab¹¹

Key technological projects implemented by VTB Group in 2017

VTB Registrar electronic voting system This service enables shareholders to take part in voting without waiting for information from the nominal holder. Voting is recorded immediately, and the shareholder's voting history is saved. During VTB Bank's Annual General Meeting of Shareholders in April 2017, 54% of shareholders, including the Federal Property Management Agency, used the e-voting system, including the mobile application.

VTB24 Business Online This service allows small-business customers to manage their finances online: to get information about their available funds and working capital adequacy, make express payments, place deposits, carry out currency control, access non-banking services, etc.

VTB Business Connect B2B platform An electronic platform for export companies that allows you to place your goods on different international electronic trading platforms, such as eBay and Amazon. The companies represented on the platform are customers that conduct their operations through VTB and have a good business reputation.

VTB Group customer portal This is a Group CRM system that enables efficient interaction among business units in the processes of attracting customers, selling the Group's products, increasing the volume of cross-sales and improving the quality of management within the Group. The portal makes it possible to create individual targeted marketing offers for clients, as well as to carry out advanced client analytics and to connect additional sources of information about the client.

Computerised linguistics technology and machine learning in VTB24 Internet banking for small businesses The technology that has been introduced allows Internet banking customers for small businesses to use the service on any device, simplifies the process of creating payments and documents, and makes it possible to sign documents via SMS.

Contact Centre voice analysis system This system makes it possible to get information about compliance on the part of every employee with procedures, standards and norms of communication with clients in all conversations.

Experimental project commissioned by the Government of the Russian Federation called "Creation of a Mechanism for Remote Identification of Individuals for Remote Opening of Bank Accounts and Deposits" VTB specialists created a system prototype and developed and standardised business processes for customers to register a business and open accounts using remote channels.

"Voice Biometrics for VIP Clients" pilot project This project involves a transformation of the approach to identification for VIP clients.

Foresight projects VTB is implementing a systematic approach to the implementation of IT innovations: five foresight projects have been launched,¹³ one of which has moved on to the stage of business implementation.

Foresight project

2017 results

Unified identification system: customer

- system prototype created: authentication (self-
-

¹² For some clients (with payroll programmes), the processing time for payments was 30 minutes.

¹¹ 2017/2016 usabilitylab.ru rating of the ease of use of mobile applications.

¹³ A foresight project involves multi-stage testing of promising solutions and technologies: a search for innovative solutions, prototyping and running pilot projects based on the developed prototypes.

authentication using biometric technologies	certification, through the government services and social networks portal), biometric identification, personal user accounts.
Digital communication system: a communication system based on modern communication platforms	■ specifications for targeted integrated communication platforms have been determined; ■ prototype Telegram and Skype for Business gateway created.
Digital transactions service: support for paperless transactions on the basis of distributed ledger technology (blockchain)	■ VTB is implementing this project within the framework of the FinTech Association. VTB is working to create a blockchain of digital bank guarantees based on Masterchain technology. The goal of the project is to simplify the process of obtaining and verifying guarantees for all participants in the chain (the bank, the principal, the beneficiary), to increase the security of bank guarantees and to move away from paper-based document flow. Users will be banks that have the right to issue guarantees, trading platforms (they will be able to obtain information from the register about guarantees related to transactions), legal entities and individuals, state bodies.
Digital settlement service: a system that uses blockchain technology to conduct instant payments	■ prototype for fast payments, online clearing, and real-time gross settlement (RTGS) between banks was created; ■ a concept for settlements involving multiple issuers on the blockchain platform was approved.
Data monetisation service: a big data analytics system for building predictive and advisory models with the application of machine learning	■ analytical space created, data sources connected, tools for data analysis and processing launched; ■ pilot project implemented for a monitoring system for corporate clients.

2. CORPORATE GOVERNANCE

2.1. OVERVIEW OF THE CORPORATE GOVERNANCE SYSTEM

VTB Group corporate governance

VTB Group is structured as a strategic holding. This model entails a single common growth strategy for all Group companies, as well as a single brand, centralised management of financial performance and risk, and unified control systems.

Under its current management model, the Group is governed along two key lines:

- Administrative management – executing the rights of the parent bank as the main shareholder by allowing its representatives to participate in the management bodies of subsidiary companies;
- Functional management – managing the Group’s business, support and control lines within VTB Group as a whole. Functional coordination is a supplementary governance mechanism that provides early-stage expert review of management decisions.

To meet key strategic objectives, the following business lines have been established within the Group: Corporate-Investment Banking, SME Banking, Retail Banking (for more information on the global business lines and their performance, see *Section 1.4, “Review of operating performance”*).

The Group's Corporate Centre sets the overall strategic direction of the Group and promotes best practices within the Group.

The management system established by the Group enables the Bank to develop a global mechanism for client service, to closely coordinate the work of every business line in all of the Bank's regions of operation, to increase profitability through synergies between business lines and best practices, and to optimise costs by sharing infrastructure and resources more extensively among Group companies. Furthermore, this management model is a platform for the effective integration of assets acquired by VTB Group.

VTB Group pays significant attention to improving its governance system, which is designed to comply fully with corporate and antimonopoly legislation in countries where the Group operates.

In 2017, as part of the project to establish a unified Bank, VTB Bank was restructured through a merger with VTB24, which will enable more efficient and more effective interaction both among the Bank's global business lines and in terms of the support and control functions in accordance with the Group's management model.

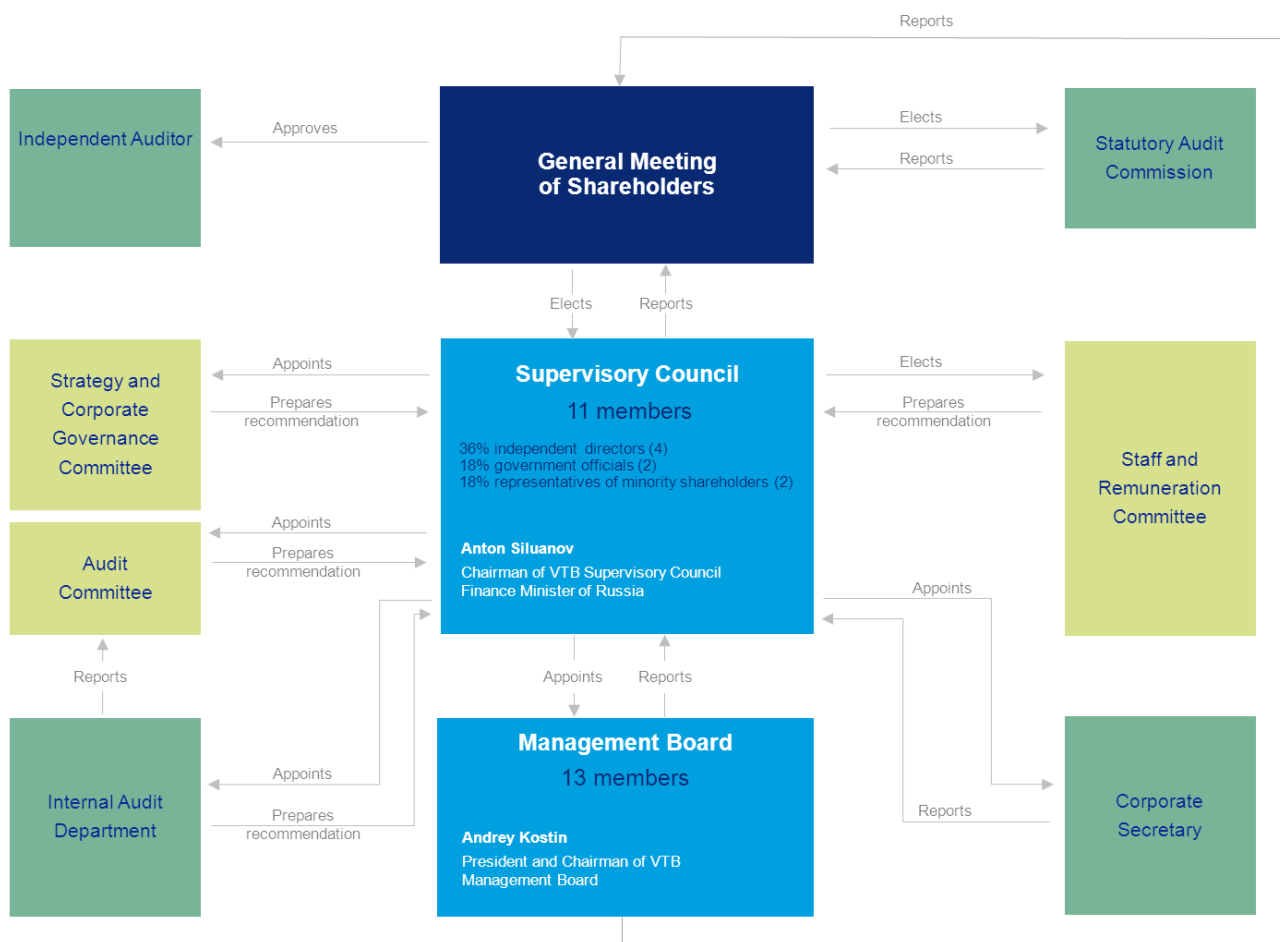
In an effort to improve the quality of work with corporate clients, small-business clients were removed from the remit of the Retail Business, and a new global business line called SME Banking was formed.

In 2017, restructuring of the European sub-holding was completed. The sub-holding had previously been represented by three separate banks in continental Europe: in Germany, Austria and France. As a result of the restructuring, the Bank transitioned to a single licence in Europe by merging the three banks into one, VTB Europe, with its head office in Germany. The restructuring of the European sub-holding is aimed at improving VTB Group's efficiency in Europe in line with the Bank's business development strategy in the region and applicable legislation. In addition, the transition to a single operating platform and the creation of a consolidated management team will help improve the manageability and efficiency of VTB Group's European business.

In addition, updated criteria came into force in 2017 regarding the inclusion of the Bank's subsidiaries and affiliates in VTB Group. The criteria were adopted by the Antimonopoly Service of Russia with respect to compliance with anti-monopoly legislation. As a result, an agreement was signed with all VTB Group companies acknowledging their agreement with the goals, objectives, mechanisms, principles and management structure of VTB Group.

Corporate governance of VTB Bank

Corporate governance at VTB Bank is a system of interaction between the executive bodies, the Supervisory Council, shareholders and other stakeholders aimed at realising the rights of shareholders and investors, increasing the investment attractiveness and transparency of the Bank's operations, creating effective risk assessment mechanisms that can have an impact on the Bank's value, and the effective use of funds provided by shareholders (investors).



The Bank's corporate governance system is based on the principle of unconditional compliance with legislative requirements and the requirements of stock exchange operators in Russian and foreign securities markets. It is also focused on the recommendations of the Code of Corporate Governance ("the Code") approved by the Bank of Russia, the recommendations of the Basel Committee on Banking Supervision and of the Financial Stability Board that are applicable to financial institutions, and international best practices and standards of corporate governance.

The Bank is a public joint-stock company whose securities are listed and traded on the Moscow Stock Exchange and are included in the London Stock Exchange's Level 1 list (its highest quotation list), where they are traded as global depository receipts (GDRs).

The General Meeting of Shareholders is the supreme governing body of VTB Bank. Regardless of where their shareholdings are registered, all shareholders of VTB Bank have access to the electronic voting system developed by the Bank's registrar, VTB Registrar. Electronic voting is possible online at www.vtbreg.com, as well as through the VTB Shareholder application.

The Supervisory Council, elected by the shareholders and accountable to them, provides strategic management of and oversight over the Bank's executive bodies, namely the President and Chairman of the Management Board and the Management Board itself. The Supervisory Council approves the Bank's strategy and long-term development programme and its policy on remuneration and reimbursement for expenses for executive bodies and other key executives of the Bank, plays a key role in the Bank's significant corporate events, and determines the key principles and overall approach to the risk management and internal control system.

The executive bodies are responsible for the day-to-day management of the Bank and carry out the tasks entrusted to them by the shareholders and the Supervisory Council.

The following committees function under the Bank's Supervisory Council:

- The Staff and Remuneration Committee drafts recommendations on key appointments and incentives for members of the Supervisory Council and the Bank's executive and control bodies;
- The Audit Committee, whose main activity is to analyse and support an effective and adequate system of internal control.
- The Strategy and Corporate Governance Committee considers and makes recommendations on strategic development issues and on improving VTB's corporate governance, as well as on streamlining the management of the Bank's own stock.

The Bank has established a special structural unit, the Administration of the Bank's Supervisory Council, headed by the Bank's Corporate Secretary, whose candidacy is approved by the Bank's Supervisory Council.

The Bank's financial and economic affairs are monitored by the Statutory Audit Commission and also by the Internal Audit Department, an independent structural unit of VTB Bank that operates under the direct supervision of the Supervisory Council. It verifies and assesses the effectiveness of the Bank's internal control and risk management systems; verifies the reliability, completeness, objectivity and timeliness of accounting and management reports; establishes uniform approaches to the organisation of internal control systems in companies controlled by the Bank; gathers information about their status; and develops recommendations for improvement. The Supervisory Council approves the Internal Audit Department's work plans and monitors their implementation.

In order to reduce managerial risks, liability insurance is purchased for the Bank, as well as for members of the Supervisory Council and executive bodies (D&O insurance).

A Shareholders Consultative Council functions within the Bank. This is an independent expert consultative and advisory body that consists of minority shareholders, and whose meetings are attended by members of the Bank's Supervisory Council and executive bodies. Members of the Shareholders Consultative Council play an active part in VTB Bank's activities, discussing with the Group's top management the most pressing issues affecting the interests of shareholders, including issues related to strategy development and implementation, as well as improving corporate governance practices.

VTB adheres to a policy of full and timely disclosure of reliable information, giving shareholders, investors and counterparties the opportunity to make properly informed decisions. Information is disclosed in compliance with Russian legislation and the requirements of the UK financial regulator, the Financial Conduct Authority (FCA). The Bank's Supervisory Council has approved the Regulation on Information Policy of VTB Bank, which is posted on the Bank's website and specifies the ways in which information may be disclosed, as well as the time frame for such disclosure and the forms such disclosure may take; it provides a list of information that the Bank has taken on a duty to disclose in addition to what is required by law, as well as measures to ensure compliance with the Bank's Information Policy.

The Bank regularly publishes its financial results in accordance with both Russian and international standards. In order for all stakeholders to obtain the most up-to-date information on VTB Group's activities as quickly as possible, the Bank publishes information from its IFRS management reports on a monthly basis in addition to quarterly and annual reports.

Development of corporate governance in 2017

One of the main areas where VTB Bank's corporate governance system was enhanced during the reporting period was the full implementation of the Action Plan, adopted by the Supervisory Council, for the implementation of the provisions of the Corporate Governance Code approved by the Bank of Russia in March 2014.

In accordance with the directives of the Government of the Russian Federation and instructions of the Federal Property Management Agency on the implementation of the Code in companies whose main

shareholder is the state, VTB assessed its compliance with the corporate governance principles outlined in the Code by comparing the Code's provisions with its own corporate governance standards.

As a result of this analysis, VTB developed an action plan (roadmap) to integrate the Code's provisions into VTB Bank's operations. In February 2015, the roadmap was approved by VTB Bank's Supervisory Council.

During the reporting year, the Bank implemented the following recommendations as set out in the Code:

- the Supervisory Council's Audit Committee is made up exclusively of independent directors;
- the Bank's Charter specifies a list of the most important issues decided at meetings of the Bank's Supervisory Council, which are held exclusively in-person, including approval and termination of the agreement with the Bank's registrar, applications for listing the Bank's shares, approval of regulations on the Bank's structural unit for internal audit, approval of the regulations on the Bank's dividend policy, etc.;
- the list of the most important issues for the Bank that are decided by a majority of all elected members of the Bank's Supervisory Council was significantly expanded. These include additional matters related to the submission to the General Meeting of Shareholders of questions concerning the restructuring of the Bank, amendments to the Bank's Charter, increases or decreases in the Bank's charter capital, filing an application to delist the Bank's shares, etc.

During the reporting year, the Bank's Supervisory Council approved a new edition of the Bank's Regulation on Information Policy. Notably, the document contains an expanded list of material information regarding which the Bank voluntarily assumes a disclosure obligation, and it also specifies that the distribution of such information is to be carried out in an expeditious manner taking into account its relevance for investment and management decisions on the part of the relevant stakeholders. The new edition of the Regulation also specifies a list of material information disclosed by the Bank as a credit institution and as a professional participant in the securities market.

As part of the further development of the Bank's corporate governance system, it is expected that, at the next General Meeting of Shareholders, a new edition of the Bank's Charter will be approved, in which, in accordance with the recommendations of the Corporate Governance Code, it is planned to expand the remit of the Bank's Supervisory Council to include considering (approving) candidates for positions on the Supervisory Councils/Boards of Directors and the sole executive body of entities of significant importance that are controlled by the Bank, as well as to enshrine provisions on major corporate actions in the Bank's Charter.

The Bank's performance in the area of corporate governance enabled it to maintain a high position in the National Corporate Governance Rating, where it was accorded a score of 7++, corresponding to "well-developed corporate governance practice". The Russian Institute of Directors (RID) provides the annual rankings, which are based on an independent review. A rating of 7++ is assigned to a company that complies with the requirements of Russian legislation in the field of corporate governance, and denotes fairly low risk to shareholders of losses associated with corporate governance.

In April 2017, VTB's Annual General Meeting of Shareholders (AGM) was held, at which the new composition of the Supervisory Council and the Statutory Audit Commission were approved. Four independent directors became part of the Supervisory Council, including minority shareholder representatives Shahmar Movsumov and Valery Petrov. The Statutory Audit Commission is composed of six people, none of whom is a VTB officer or employee. The RID considers the current composition of the Bank's Supervisory Council to be balanced and sensitive to the interests of all investors and shareholders.

2.2. GENERAL MEETING OF SHAREHOLDERS

The General Meeting of Shareholders is the supreme governing body of VTB Bank. Any holder of ordinary shares may exercise the right to participate directly in the management of the Bank by voting

on the agenda of the General Meeting of Shareholders. Preference shares carry voting rights only in special cases, as stipulated by law.

Shareholders may take part in a meeting of shareholders either in person (in the event that an in-person meeting is held) or through absentee voting. On 1 July 2016, legislative amendments entered into force concerning the procedure for nominal shareholders to provide information to the issuer on the identities of the ultimate owners of shares. In accordance with these amendments, the distribution of ballots by post is restricted to those individuals whose rights to securities are recorded directly with the registrar.

Regardless of where their shareholdings are registered, all shareholders of VTB Bank have access to the electronic voting system developed by the Bank's registrar, VTB Registrar. Electronic voting is possible on the site www.vtbreg.com, as well as through the VTB Shareholder application.

The decision to convene a General Meeting of Shareholders is taken by the Supervisory Council. In accordance with applicable Russian law and the Bank's Charter, information about the date and venue of the General Meeting of Shareholders, as well as the publication date of the list of shareholders eligible to participate, is published on VTB's website. During the time frame specified by law, shareholders can review materials for the General Meeting of Shareholders on the Bank's official website or at Shareholder Liaison Centres in Moscow, St Petersburg and Yekaterinburg. When voting electronically, the materials for meetings are also available through the mobile application and in each user's personal account on the VTB Registrar website.

Two General Meetings of Shareholders were convened in 2017.

Annual General Meeting of Shareholders

The Annual General Meeting of Shareholders of VTB Bank was held on 26 April 2017 at the Oktyabrsky Grand Concert Hall in St Petersburg. The meeting was attended by 513 shareholders and their representatives (compared to 449 in 2016). In total, 1,086 shareholders took part, including through voting by proxy, which accounted for 10,028,018,403,411 votes, or 77.3735% of the total votes.

Fourteen agenda items were discussed at the meeting:

1. Approval of VTB Bank's Annual Report;
2. Approval of VTB Bank's annual financial statements;
3. Approval of VTB Bank's profit allocation for 2016;
4. The amount, terms and form of the 2016 dividend payment and the record date to determine eligibility to receive dividends;
5. The remuneration of Supervisory Council members who are not state employees, in accordance with VTB Bank's bylaws;
6. Remuneration of Statutory Audit Commission members who are not state employees, in accordance with VTB Bank's bylaws;
7. The number of VTB Bank Supervisory Council members;
8. The election of VTB Bank Supervisory Council members;
9. The number of VTB Bank Statutory Audit Commission members;
10. The election of VTB Bank Statutory Audit Commission members;
11. Approval of the VTB Bank auditor;
12. Approval of a new edition of VTB Bank's Charter;
13. Approval of a new edition of the Regulation on VTB Bank's Supervisory Council;
14. Approval of a new edition of the Regulation on VTB Bank's Management Board.

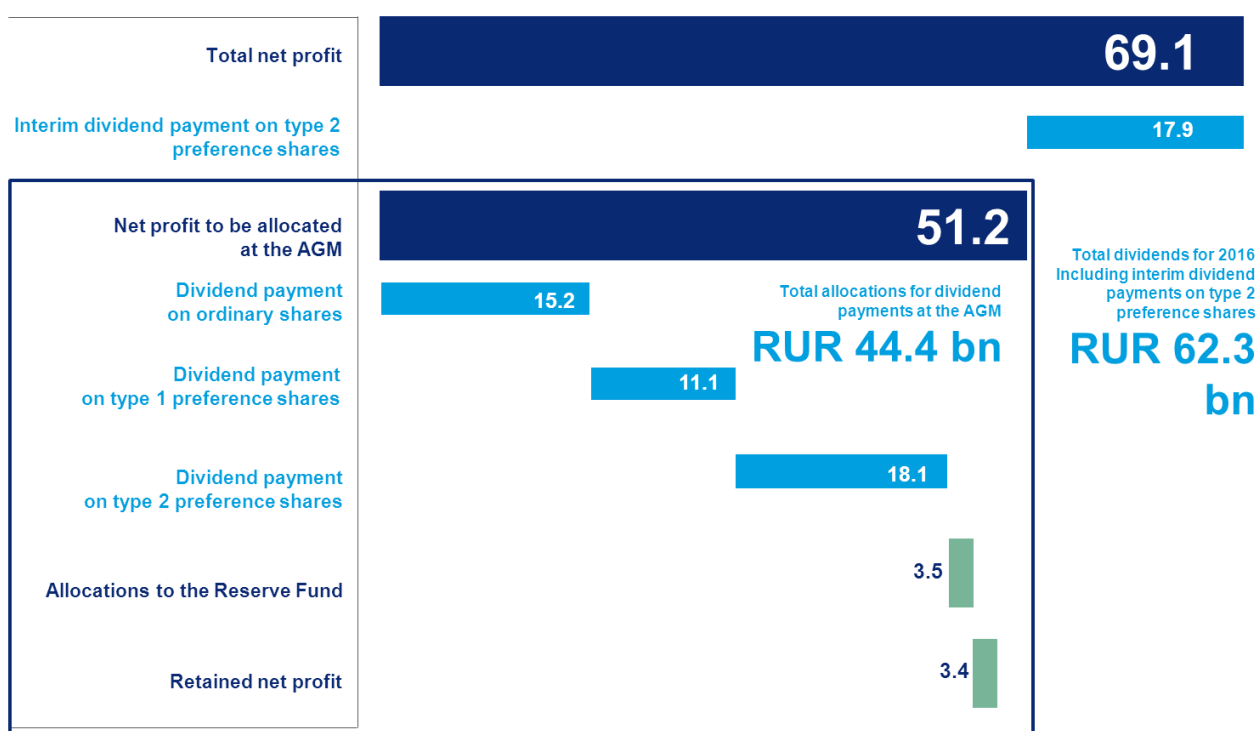
Meeting participants supported the proposed draft decisions on all 14 agenda items.

In addition, shareholders agreed to the following distribution the Bank's profits from 2016:

- net profit to be allocated: RUB 51,217,614,586.20;¹⁴
- allocations to the Reserve Fund: RUB 3,454,417,267.28;
- dividend payment allocations on ordinary shares: RUB 15,163,833,364.69;
- dividend payment allocations on Type 1 registered preference shares: RUB 11,129,974,453.00;
- dividend payment allocations on Type 2 registered preference shares: RUB 18,100,658,853.45;
- retained net profit: RUB 3,368,730,647.78.

Shareholders approved a dividend payment of RUB 0.00117 per ordinary share, the same as the previous year. Detailed information on dividend payments for 2016 is available in Section 5.2, "Dividends".

Distribution of VTB Bank profit for 2016 in accordance with RAS, RUB billion¹⁵



The growing interest of shareholders in taking part in the annual meeting can be seen not only in the increase in the number of shareholders who personally attended the meeting, but also in the 2.4-fold increase in the number of views of the traditional webcast of the meeting, shown on the Bank's website and at the Shareholder Liaison Centre in Yekaterinburg. At the Oktyabrsky Grand Concert Hall, Bank shareholders were able to obtain information about products and services offered by subsidiaries, as well as information from the shareholder registry, make changes to registered users' profiles, and familiarise themselves with meeting materials, which were made available in both paper and electronic form.

For the first time, a special area was provided for meeting participants to use electronic terminals to vote on agenda items. A new system was used for the registration of shareholders that, in addition to identifying registered individuals, also issued shareholders individualised badges with their photo and a card with a login and password for electronic voting. For the convenience of shareholders, consultants were available near the terminals at all times to help shareholders use the new technology. As a result, about 60% of meeting participants voted electronically.

¹⁴ A portion of the net profit in the amount of RUB 17,870,730,759.45 was used for the payment of dividends on Type 2 registered preference shares for the first three quarters of 2016.

¹⁵ Figures used in this chart were rounded, which result in slight differences in total amounts compared to those provided at the Annual General Meeting of Shareholders.

Meeting participants also had an opportunity to vote for the new Shareholders Consultative Council, using either paper or electronic voting. A consultation area was also set up at the meeting to provide information about the new programme of special offers and products for minority shareholders.

The voting results on agenda items and all decisions taken can be seen in the section "Investor Relations" on the Bank's official website at www.vtb.ru.

Extraordinary General Meeting of Shareholders on 9 November 2017

In addition to the Annual General Meeting, one extraordinary meeting was also held in 2017. Taking place on 9 November 2017 in the form of absentee voting, the subject of the meeting was the Bank's merger with VTB24.

The agenda included three items:

1. The restructuring of VTB Bank through its merger with VTB24.
2. Approval of the amended Charter of VTB Bank.
3. Approval of a new edition of the Regulation on VTB Bank's Management Board.

Of the 90,000 shareholders eligible to participate in the meeting, 1,337 took part in the voting, 23% more than at the annual meeting. On the issue of restructuring, holders of Type 1 and Type 2 preference shares also voted, in addition to holders of ordinary shares.

Some 92.3% of individual shareholders who took part in the meeting voted for the restructuring. The number of votes in favour was 90.9% of the total number of votes cast by all shareholders. At the same time, more than 75% of shareholders voted electronically, a clear expression of shareholders' preference for e-voting.

2.3. SUPERVISORY COUNCIL

Scope of responsibilities

The Supervisory Council is one of the most important elements of VTB's corporate governance system. The Council is guided in its activities by the interests of the Bank and its shareholders. Acting in accordance with Russian legislation, the Bank's Charter, the Regulation on the Supervisory Council and the Code of Corporate Governance, it provides general oversight over the Bank's operations.

The main tasks of the Supervisory Council are the elaboration and adoption of the Bank's development strategy, as well as the formation of the Bank's executive bodies and oversight over their activities, organising assessments of the performance of the internal control and risk management system, determining the Bank's personnel policy, including remuneration of executive bodies and Bank management, and participation in decision-making on issues pertaining to Bank management.

The Supervisory Council determines the rules for the functioning of the Bank's corporate governance system through the adoption of bylaws that regulate the principles and procedures of its individual elements and oversight over the effectiveness of the corporate governance system as a whole.

The Supervisory Council is entrusted with the function of managing conflicts of interest between the Bank's management bodies, shareholders and employees.

Members of the Supervisory Council are elected by the General Meeting of Shareholders for a term of one year. Shareholders holding at least 2% of the Bank's voting shares have the right to nominate candidates to the Supervisory Council. Members of the Supervisory Council are elected by means of a cumulative ballot at the General Meeting of Shareholders.

The Supervisory Council in place at the end of 2017 was elected at the AGM on 26 April 2017. As of 31 December 2017, the Supervisory Council consisted of 11 members, 10 of whom were non-executive directors, and four were independent directors. This combination of directors is in line with international best practices and ensures that all shareholders' interests are represented on the

Supervisory Council. The composition of the Supervisory Council is reviewed annually to ensure the right level of professionalism, experience and effectiveness, and to ensure that it is in line with VTB's strategic objectives.

VTB places great importance on the appointment of independent directors. These directors' effective work on the Supervisory Council strengthens shareholders' and investors' trust in the Bank and ensures a high level of transparency for its governance system and the objectivity of the Supervisory Council's decision-making. The independent directors play an active role in Supervisory Council discussions and the decision-making process. Together, they monitor the Bank's performance and its competitive position, analyse the effectiveness of the management team, assess mechanisms and systems of internal control and risk management, and settle corporate conflicts.

According to the Bank's Code of Corporate Governance, the Supervisory Council should include at least three directors who meet the independence criteria established by the listing rules of the exchange operator whose quotation list includes the Bank's securities. The independent members of the Supervisory Council must not have any relationship with the Bank that would prevent them from fairly and impartially making decisions with regard to VTB's strategy and ongoing activities. In determining the independence criteria for the members of the Supervisory Council, VTB Bank is guided by the requirements of current legislation, the listing rules of the stock exchange, and the Bank's internal regulations.

In order to fulfil the recommendations of the Code of Corporate Governance, the Annual General Meeting of Shareholders of 25 June 2015 approved a new edition of the Regulation on the Supervisory Council that specifies the rights and duties of the members of the Supervisory Council, as well as the option of electing a Senior Independent Director from among the members of the Supervisory Council serving as independent directors. The Senior Independent Director acts as an adviser to the Chairman of the Supervisory Council and coordinates interactions between the independent directors. The Senior Independent Director also interacts with the Bank's shareholders. If a dispute arises, the Senior Independent Director should undertake measures to resolve the dispute through cooperation with the Supervisory Council Chairman, the other members of the Supervisory Council and the Bank's shareholders to ensure the smooth operation of the Supervisory Council.

Sergey Galitsky has been the Senior Independent Director since 23 July 2015.

Liability insurance for Supervisory Council members

Supervisory Council members are insured under the directors' liability insurance programme (Directors' and Officers' Liability, D&O). In accordance with the D&O, compensable losses (including legal expenses) incurred due to unintentional wrongful acts, negligence or omission on the part of members of the Supervisory Council related to the Bank's financial operations are reimbursed in relation to claims filed during the insurance period by investors, shareholders or government bodies. The grounds for a claim may be the personal responsibility of members of the Supervisory Council for mistakes made during the decision-making process, shortfalls in financial control and risk management leading to losses, a reduction in share price or asset value or damages caused to third parties.

In 2017, a contract for directors' liability insurance was signed for a new term. The feasibility of the extension was approved by VTB's Bank's Committee on Operational and Regulatory (Compliance) Risks, as well as by VTB Group's Risk Management Committee.

Remit

The Supervisory Council provides strategic direction; determines VTB's long-term priorities; approves its development strategy and long-term development programme; determines the key principles and overall approach to risk management and internal control, remuneration policy and compensation paid to members of the Supervisory Council, executive bodies and other key executives; and exercises

oversight over the activity of executive bodies and corporate governance. The Supervisory Council plays a key role in the Bank's main corporate activities.

In 2017, the Annual General Meeting of Shareholders expanded the Supervisory Council's remit to include approval of the provision on the Bank's dividend policy.

The main functions of the Supervisory Council are specified in the Charter and the Regulation on VTB Bank's Supervisory Council. These documents can be viewed on the Bank's website at:

https://www.vtb.com/akcionery-i-investory/raskrytie-informacii/ustav-i-vnutrennie-dokumenty/#tab_0_1#.

Chairman of the Supervisory Council

The Chairman of the Supervisory Council is elected by a majority vote of the members of the Supervisory Council. The Supervisory Council has the right to re-elect its Chairman at any time by majority vote.

The Chairman is not permitted to combine this role with the position of President and Chairman of the Management Board. The Chairman of the Supervisory Council may not also be a member of the VTB Bank Management Board, nor may he or she have any type of employment relationship with the Bank.

The Chairman organises the work of the Council, convenes and chairs its meetings, ensures that minutes are kept and presides over General Meetings of Shareholders. In the absence of the Chairman, his or her duties are assumed by a Supervisory Council member as decided by the Supervisory Council.

On 28 April 2017, Anton Siluanov was elected Chairman of VTB's Supervisory Council.

Composition of the Supervisory Council

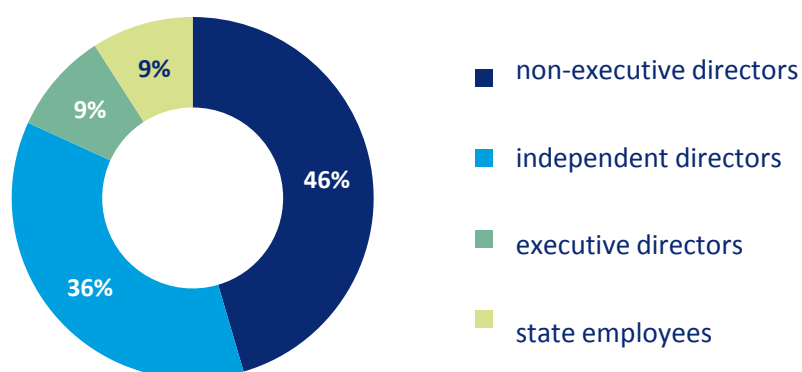
On 26 April 2017, the Annual General Meeting of Shareholders elected Anton Siluanov and Nikolai Podguzov to the Supervisory Council for the first time, while Alexey Moiseev left the Council. Four independent directors remained on the Council: Sergey Galitsky and Yves Thibault de Silguy, as well as Shahmar Movsumov and Valery Petrov, representatives of minority shareholders.

The Staff and Remuneration Committee assesses the independence of candidates for the Supervisory Council and considers issues related to the independence of independent directors. On 26 December 2017, the Bank's Supervisory Council, upon the recommendation of the Staff and Remuneration Committee, reviewed the question of Sergey Galitsky's compliance with the criteria for independence and found him to be an independent member of the Supervisory Council.

Corporate governance in partially state-owned companies differs as a result of the special status of their major shareholder, the Russian Federation.

VTB Bank's Supervisory Council includes representatives of state interests who are state employees: Alexey Moiseev (until 26 April 2017), Anton Siluanov (since 26 April 2017), Nikolai Podguzov (from 26 April 2017 until 7 July 2017), as well as representatives of the state: Sergei Dubinin, Matthias Warnig, Andrey Kostin, Vladimir Chistyukhin and Andrey Sharonov.

Structure of the Bank's Supervisory Council



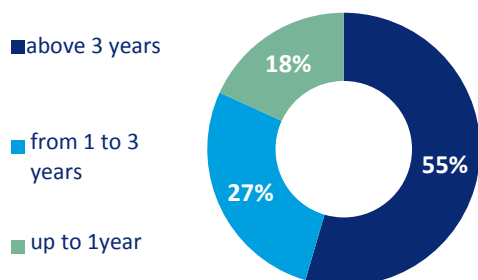
In carrying out their functions on the Supervisory Council, the representatives of state interests must take into account the position of the shareholder and vote on certain issues as directed by the shareholder on the basis of the directives of the Russian Federation.

Professional competencies of members of the Supervisory Council¹⁶

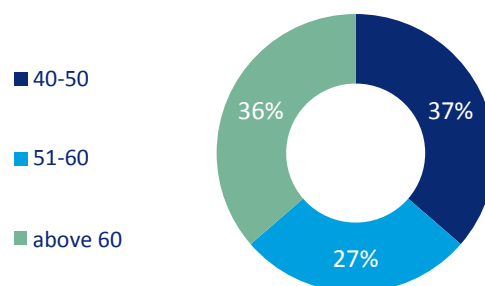
Supervisory Council member	Term of Service on the Supervisory Council	Strategy	Finance and economics	Risk management, audit	Corporate governance, legal issues	Business administration
Anton Siluanov	Since 2017	✓	✓	✓		
Matthias Warnig	Since 2007	✓	✓	✓		✓
Sergey Galitsky	Since 2015	✓	✓	✓		✓
Yves Thibault de Silguy	Since 2007	✓		✓	✓	✓
Sergey Dubinin	Since 2011	✓	✓	✓		
Andrey Kostin	Since 2002	✓	✓	✓	✓	✓
Shahmar Movsumov	Since 2013	✓	✓	✓		✓
Valery Petrov	Since 2015			✓	✓	
Nikolai Podguzov	Since 2017	✓	✓			✓
Vladimir Chistyukhin	Since 2014		✓	✓	✓	
Andrey Sharonov	Since 2015		✓		✓	✓

¹⁶ Competencies are established based on the basis of information on the education and experience of the members of the Supervisory Council in professional fields and are not a complete list of competencies that the members of the Bank's Supervisory Council possess.

Continuous time as a member of the Bank's Supervisory Council



Composition of the Bank's Supervisory Council, by age

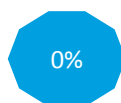


Composition of VTB Bank's Supervisory Council as of 31 December 2017



Anton Siluanov, born in 1963

Chairman of the Supervisory Council



36%

**Independent members
on the Bank's Supervisory Council**



Matthias Warnig, born in 1955

*Member of the Supervisory Council,
Member of the Strategy and Corporate Governance
Committee*



Sergey Galitsky, born in 1967

*Independent member of the Supervisory Council, Senior
Independent Director,
member of the Audit Committee, member of the Staff
and Remuneration Committee, member of the Strategy
and Corporate Governance Committee*



Sergey Dubinin, born in 1950

*Member of the Supervisory Council,
Chairman of the Staff and Remuneration Committee*



Yves Thibault de Silguy, born in 1948

*Independent member of the Supervisory Council,
Chairman of the Audit Committee*





0.00183%

Andrey Kostin, born in 1956

*President and Chairman of the Management Board,
Member of the Supervisory Council,
Chairman of the Strategy and Corporate Governance
Committee*



0%

Shahmar Movsumov, born in 1972

*Independent member of the Supervisory Council,
Member of the Strategy and Corporate Governance
Committee*



0.00000003%

Valery Petrov, born in 1966

*Independent member of the Supervisory Council,
Member of the Strategy and Corporate Governance
Committee, member of the Audit Committee, member
of the Staff and Remuneration Committee*



0%

Nikolai Podguzov, born in 1974

*Member of the Supervisory Council,
Member of the Strategy and Corporate Governance
Committee*



0%

Vladimir Chistyukhin, born in 1973

*Member of the Supervisory Council,
Member of the Strategy and Corporate Governance
Committee*



0%

Andrey Sharonov, born in 1964

*Member of the Supervisory Council,
Member of the Strategy and Corporate Governance
Committee*



- percentage of ordinary shares in VTB
Bank

In 2017, no members of the Supervisory Council purchased or sold Bank's shares.

Anton Siluanov

Chairman of the Supervisory Council since 28 April 2017

Since May 2012 – Minister of Finance of the Russian Federation. Member of the Board of Directors of Russian Export Centre. Chairman of the Supervisory Council of Alrosa. Governor from the Russian Federation to the BRICS New Development Bank. Member of the Supervisory Council of State Corporation Rostec, the Russian Direct Investment Fund, the Organising Committee of the Autonomous Non-governmental Organisation Russia 2018, Vnesheconombank. Member of the Board of Trustees of the SKOLKOVO Foundation, the Charitable Foundation for the Restoration of the Voskresensk Stavropegial Resurrection (New Jerusalem) Monastery. Member of the Academic Council of the Financial University. Authorised representative of the Russian Federation in the Eurasian Development Bank. Governor from the Russian Federation to the International Monetary Fund. Chairman of the Board of the Eurasian Fund for Stabilisation and Development. Chairman of the National Financial Council of the Bank of Russia.

Class 1 Full State Counsellor of the Russian Federation

Previous positions:

1992-2012 – Deputy Head of Section, Deputy Department Manager-Head of Section, Deputy Department Manager, Deputy Head of Department, Head of Department, Department Manager, Deputy Minister, Director of Department, Deputy Minister, acting Minister of Finance of the Russian Federation, Minister of Finance of the Russian Federation, acting Minister of Finance of the Russian Federation, Ministry of Finance of the Russian Federation;
1989-1992 – Senior Economist, Category 1 Economist, Senior Economist, Deputy Head of Subdivision, Consultant, Ministry of Finance of the RSFSR;
1987-1989 – military service in the Soviet Army;
1985-1987 – Economist, Senior Economist, Ministry of Finance of the RSFSR.

Awards: 20 Years of the Federation Council Medal; Honorary Title Honoured Economist of the Republic of Tatarstan; Order for Merit to the Fatherland III Degree; Letter of Acknowledgment from the President of the Russian Federation; Honorary Diploma from the Chairman of the Investigative Committee of the Russian Federation; Honorary Officer of the Investigative Committee of the Russian Federation Badge; Medal of the Foreign Intelligence Service of the Russian Federation for Assistance; Silver Medal for Contributions to the Development of the Russian Penal System from the Federal Corrections Service of the Russian Federation; Badge for the Development of International Cooperation from the Federal Customs Service of Russia; Medal for Brotherhood in Arms from the Ministry of Internal Affairs of the Russian Federation; Order for Merit to the Fatherland IV Degree; Badge of Distinction for Achievements in Strengthening Cooperation with the Accounts Chamber of the Russian Federation; 90 Years of the Republic of Karelia Commemorative Badge; Honorary Diploma from the President of the Russian Federation; Medal for Strengthening the Customs Commonwealth from the Federal Customs Service of the Russian Federation; Medal for Cooperation in Search and Rescue from the Ministry of the Russian Federation for Civil Defence, Emergencies and Elimination of Consequences of Natural Disasters; Diploma accompanying a Medal in Commemoration of the 30th Anniversary of the Games of the XXII Olympiad of 1980 in Moscow; Medal for Assistance to the Federal Security Service of Russia; Medal for Assistance to the Investigative Committee of the Prosecutor's Office of the Russian Federation; Medal for Achievements in the Development of the Russian Transport Industry from the Ministry of Transport of the Russian Federation; Honorary Diploma from the Government of the Russian Federation; Medal of the Order for Merit to the Fatherland I Degree; Medal for Achievements in Conducting the 2006 National Agricultural Census from the Federal State Statistics Service; Letter of Acknowledgment from the Chairman of the Council of the Federation of the Federal Assembly of the Russian Federation; Letter of Acknowledgment from the Minister of Finance of the Russian Federation; Medal in Commemoration of the 300th Anniversary of St Petersburg; 200 Years of the Ministry of Finance of the Russian Federation Jubilee Medal; Letter of Acknowledgment from the President of the Russian Federation; Honorary Diploma from the Minister of Finance of the Russian Federation.

Born in 1963. In 1985, graduated from the Moscow Financial Institute, majoring in Finance and Credit. In 2007 and 2010, completed professional development programmes at the National State Tax Academy of the Ministry of Finance of the Russian Federation and the Financial University under the Government of the Russian Federation. PhD in Economics.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Sergey Dubinin

Member of the Supervisory Council since 3 June 2011

Chairman of the Supervisory Council from 16 June 2011 to 25 June 2015 and from 14 December 2016 to 26 April 2017

Since February 2014 – Head of the Finance and Credit Department at the Lomonosov Moscow State University Faculty of Economics. Advisor and member of the Board of Directors of VTB Capital. Member of the Board of Directors of VTB Capital IB Holding and VTB Capital Holding.

Previous positions:

2005–2008 – Member of the Management Board, Chief Financial Officer of RAO UES;
2004–2005 – Member of the RAO UES Management Board;
2001–2004 – Deputy Chairman of the RAO UES Management Board;
1998–2001 – Deputy Chairman of Gazprom Management Board;
1995–1998 – Chairman of the Bank of Russia;
1995 – Member of Gazprom Management Board;
1994–1995 – First Deputy Chairman of the Management Board of Imperial Commercial Bank;
1994 – Acting Minister of Finance of the Russian Federation;
1993–1994 – First Deputy Minister of Finance of the Russian Federation;
1992–1993 – Deputy Chairman of the Russian State Committee for Economic Cooperation with the CIS Countries;
1991–1992 – Economics Expert in the Executive Office of the USSR President;
1981–1991 – Associate Professor of Foreign Economies and Foreign Economic Relations at the Lomonosov Moscow State University Faculty of Economics;
1977–1981 – Assistant Professor of Foreign Economies and Foreign Economic Relations at the Lomonosov Moscow State University Faculty of Economics;
1976–1977 – Teaching Assistant in Foreign Economies and Foreign Economic Relations at the Lomonosov Moscow State University Faculty of Economics;
1975–1976 – Junior Research Associate at the Lomonosov Moscow State University Faculty of Economics;
1974–1975 – Secretary of the Komsomol Committee at Lomonosov Moscow State University Faculty of Economics.

Awards: Medal Commemorating the 850th Anniversary of Moscow; Honorary Diploma from the Government of the Russian Federation and Honorary Badge for Achievements in the Russian Electric Power Industry; Winner of Best Financial Director and Best Independent Director of the Year, Aristos Award 2013; Winner of the Best Independent Director in the Financial Sector, Reputation of the Year Award 2013; in 2014, Sergey Dubinin ranked among the 25 Top Chairmen of the Board of Directors.

Born in 1950. In 1973, graduated from Lomonosov Moscow State University, majoring in Political Economy, and in 1976 as an extramural postgraduate student at the Lomonosov Moscow State University. Higher Doctorate in Economics, Associate Professor.

Holds shares equivalent to 0.00033% of the Bank's charter capital as of 31 December 2017.

Holds 0.00164% of ordinary shares of the Bank as of 31 December 2017.

Matthias Warnig

Member of the Supervisory Council since 28 June 2013

Independent member of the Supervisory Council from 4 April 2007 to 28 June 2013

Since September 2015 – Executive Director of Nord Stream 2 (Switzerland), since 2008 – Director of Interatis (Switzerland). Also serves as a member of the Board of Directors of Transneft, Chairman of the Board of Directors of United Company RUSAL (Jersey), Deputy Chairman of the Board of Directors of Rosneft, member of the Administrative Board of GAZPROM Schweiz (Switzerland), Chairman of the Administrative Council of Gas Project Development Central Asia (Switzerland) and Interatis Consulting (Switzerland).

Previous positions:

2006–2016 – Managing Director of Nord Stream (Switzerland);
2005–2006 – Chairman of the Board of Directors of Dresdner Bank;
2004–2005 – Chairman of the Management Committee of Dresdner Kleinwort for Russia and the CIS;
2002–2005 – President of Dresdner Bank;
2001–2006 – Chief Coordinator of Dresdner Bank Group in Russia;
1999–2001 – Managing Director of the BNP-Dresdner Bank branch in St Petersburg;
1997–1999 – Deputy Manager of the Moscow branch of BNP-Dresdner Bank;
1990–1997 – Management Board Advisor of Dresdner Bank AG;
1981–1990 – Officer at the Ministry of Foreign Trade, then at the Council of Ministers of the German Democratic Republic.

Born in 1955. In 1981, graduated from the Bruno Leuschner Higher School of Economics in Berlin and Karlshorst, majoring in National Economics. In 1995, received additional professional training at Dresdner Bank AG, Bad Homburg (Germany) and London (United Kingdom) through the Lending and Risk Management programme.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Sergey Galitsky

Independent Member of the Supervisory Council since 25 June 2015

Senior Independent Director since 23 July 2015

Since April 2006 – Director General of Magnit; since 2014 – President of Krasnodar Football Club. Chairman of the Board and member of the Board of Directors of Magnit.

Previous positions:

2009–2014 – President of Krasnodar Football Club;
1996–2006 – Director General of Tander.

Born in 1967. In 1992, graduated from Kuban State University with a degree in Finance and Credit.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Yves-Thibault de Silguy

Independent member of the Supervisory Council since 28 June 2013

Independent member of the Supervisory Council from 4 April 2007 to 26 June 2008

Since May 2010 – Vice President of the Board of VINCI SA (France), Senior Director of the Board of Directors of VINCI Group (France). Also serves as President of YTSeuropaconsultants SARL (France), manager of YSILOP consulting SARL (France), Chairman of the Supervisory Council of Sofisport SA (France), member of the Board of Directors of SOLVAY SA (Belgium) and of Louis Vuitton Moët Hennessy SA (France).

Previous positions:

2005–2012 – Member of the Council for Foreign Affairs, French Foreign Ministry;
2004–2011 – Member of the Board of Directors of SMEG (Societe monegasque d'eau et d'électricité);
2007–2008 – Member of the Supervisory Council of VTB Bank;
2004–2006 – Vice President of Suez Environnement (Belgium);
2003–2006 – Acting General Director, member of the Executive Committee of SUEZ (Belgium), President of Aguas Argentinas (Argentina);
2002–2010 – Member of the Economic Council, French Defence Ministry;
2001–2002 – General Director, SUEZ (Belgium);

2000–2006 – President, Sino-French Holdings (Hong Kong);
 1995–1999 – Member of the European Commission responsible for economic, monetary and financial affairs;
 1993–1995 – Secretary-General of the Interdepartmental Committee for Questions of Economic Cooperation in Europe. Advisor for European affairs responsible for the preparation of summits of industrialised nations in the Cabinet of French Prime Minister Edouard Balladur;
 1988–1993 – Director of International Affairs of Usinor Sacilor Group;
 1986–1988 – Advisor for International Economic Affairs in the Cabinet of French Prime Minister Jacques Chirac;
 1985–1986 – Counsellor for Economic Affairs, French Embassy in Washington;
 1981–1984 – Advisor, then Deputy Head of the Cabinet, then Vice President of Economic and Monetary Affairs for the Commission of the European Communities;
 1976–1981 – Authorised representative of the Department for Economic Cooperation at the Ministry of Foreign Affairs, France.

Awards: Knight of the Légion d'Honneur, French National Order of Merit for Services to the Fatherland; French National Order of Merit for Services to Development of Agriculture; French National Order of Merit for Services to Art and Literature; Bronze Medal of the French Republic for Voluntary Military Service.

Born in 1948. In 1971, graduated from the University of Rennes II-Upper Brittany and from the University of Paris-I (Pantheon-Sorbonne) with degrees in Law, from the Paris Institute of Political Studies (Sciences Po) in 1972, and from the École nationale d'administration (ENA) in 1976, Guernica class.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Andrey Kostin

Member of the Supervisory Council since 29 November 2002

Since 2002 – President and Chairman of the VTB Bank Management Board.

Chairman of the Supervisory Councils of VTB24 and the Russian Gymnastics Federation. Member of the Board of Directors at VTB Capital, VTB Capital Holding, VTB Capital IB Holding. Member of the Bureau of the Board, Russian Union of Industrialists and Entrepreneurs. Member of the Supervisory Council of the Russian Volleyball Federation. Member of the Board of Trustees of the Foundation for Supporting and Developing Physical Culture and Sport, the Sports Foundation Dynamo Hockey Club, the Financial University under the Government of the Russian Federation, Lomonosov Moscow State University, St Petersburg State University, Friends of the Russian Museum Development Fund, the Russian Orthodox Church Charitable Foundation for the Restoration of the Voskresensk Stavropegial Resurrection (New Jerusalem) Monastery, the Bolshoi Theatre, the State Mariinsky Academic Theatre, the associations I.K.O. Centre, the State Primorsky Opera and Ballet Theatre, the National Coordination Centre for Developing Economic Cooperation with Countries of the Asia-Pacific Region, the Deaf-Blind Support Fund, the Russian Geographical Society, the Doctors, Innovation, Science for Children Foundation for Support and Development in the Field of Paediatric Haematology, Oncology and Immunology. Member of the Supreme Council, United Russia political party. Member of the Management Board of the non-profit partnership National Council on Corporate Governance. Professor at the Department of Finance and Accounting, Director of the Graduate School of Management, St Petersburg State University. Member of the Council of the Association of Russian Banks.

Previous positions:

1996–2002 – Chairman of the State Corporation Bank for Development and Foreign Economic Affairs (Vnesheconombank);

1995–1996 – First Deputy Chairman of the Management Board of the National Reserve Bank;

1993–1995 – Deputy Head of the Foreign Investment Department at Imperial Bank;
1979–1992 – diplomatic service at the USSR Consulate General in Australia (1979-1982) and the Embassy to the UK (1985-1990).

Born in 1956. In 1979, graduated with Honours from the Economics Department of the Lomonosov Moscow State University with a PhD in Economics.

Holds shares equivalent to 0.00036% of the Bank's charter capital as of 31 December 2017.

Holds 0.00183% of ordinary shares of the Bank as of 31 December 2017.

Shahmar Movsumov

Independent member of the Supervisory Council since 28 June 2013

Since 2006 – Executive Director of the State Oil Fund of Azerbaijan and Chairman of the National Committee on the Extractive Industries Transparency Initiative.

Previous positions:

2005–2006 – General Director of the National Bank of Azerbaijan;
1995–2005 – Chief FX Markets Economist, Head of Group, Head of Section, Deputy Head of Department, Head of Department, Chief Advisor to the CEO – all at the National Bank of Azerbaijan.

Awards: Taraggi Medal, Republic of Azerbaijan.

Born in 1972. In 1995, graduated from the Moscow State Institute of International Relations with a degree in International Economics, and in 2004 from the John F. Kennedy School of Government at Harvard University with an MBA in Public Finance.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Alexey Moiseev

Member of the Supervisory Council from 24 June 2016 to 26 April 2017

Member of the Supervisory Council from 28 June 2013 to 25 June 2015

Since 2012 – Deputy Finance Minister of the Russian Federation. Also serves as Chairman of the Board of Directors of GOZNAK, as a board member of the Deposit Insurance Agency and as a member of the Supervisory Council of AHML.

Previous positions:

2010–2012 – Deputy Head of the Analytics Department, Head of Macroeconomic Analysis Division of VTB Capital;
2001–2010 – Senior Economist, Deputy Head of the Analytics Department at Renaissance Capital – Financial Advisor;
1998–2001 – Economist and Senior Analyst in Sovereign Instruments Market, Fixed Income Instruments Market Department at BNP Paribas, London, UK;
1995–1996 – Category 1 Economist, Leading Economist at the Bank of Russia.

Awards: Honorary Diploma of the Government of the Russian Federation; Letter of Acknowledgement from the Chairman of the Bank of Russia and an Honorary Diploma from the Bank of Russia; Letter of Acknowledgement from Igor Shuvalov, First Deputy Prime Minister of the Russian Federation; Honorary Diploma from the Council of Federation of the Federal Assembly of the Russian Federation; Silver Medal for Assistance to the Federal Financial Monitoring Service.

Born in 1973. In 1995, graduated from Ordzhonikidze State University of Management with a degree in International Economics; in 1998, from the University of Rochester (USA) with an MBA in Business Management.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Valery Petrov

Independent Member of the Supervisory Council since 25 June 2015

Since August 2016 – Deputy General Director of the Institute of Financial Markets Development; since July 2016 – Lecturer, Department of Economics and Finance, International University in Moscow. An independent member of the Board of Directors of Finam.

Previous positions:

2013–2017 – Chairman of the VTB Bank Shareholders Consultative Council;
2013–2016 – Deputy Chief Executive Officer, Arsenal Insurance Company;
2011–2016 – Deputy Chairman of the Board, Institute of Financial Markets Development;
2009–2013 – Deputy General Director, RCB Group;
2007–2009 – General Director, Ingosstrakh-Investments Asset Management;
2005–2007 – Chief Managing Director, Alfa Capital Asset Management;
2003–2005 – Deputy General Director, Moscow Interbank Currency Exchange;
1999–2003 – Director of the Market Analysis Department, Rosbank;
1997–1999 – General Director, Alyans Asset Management.

Awards: Recognised among the Top 50 Independent Directors for the Director of the Year 2017 National Award, as decided by the Association of Independent Directors; recognised as one of the Top 100 Professional General Directors of Russia (2008); Award for Personal Contribution to the Development of the Stock Market (2008); Diploma for Top 100 Professional Commercial Directors of Russia (2005); Diploma for Top 200 Professional Commercial Directors of Russia (2004); Diploma for Top 100 Professional Careers in Business and Government (2004).

Born in 1966. In 1988, graduated from the Alexander Mozhaisky Military Space Academy (previously the Alexander Mozhaisky Military Engineering Institute), majoring in Radio Engineering and Automatic Control Systems Programming. In 1999, graduated from the Chernomyrdin Moscow State Open University, majoring in Law. PhD in Economics.

Holds shares equivalent to 0.00000002% of the Bank's charter capital as of 31 December 2017.

Holds 0.00000008% of ordinary shares of the Bank as of 31 December 2017.

Nikolai Podguzov

Member of the Supervisory Council since 26 April 2017

Since July 2017 – General Director of Russian Post. Member of the Board of Directors of Rosseti, RusHydro, and the Deposit Insurance Agency. Member of the Supervisory Council of Post Bank.

Previous positions:

2013–2017 – Deputy Minister of Economic Development of the Russian Federation;
2012–2013 – Deputy Director of the Department of Economics and Finance of the Government of the Russian Federation;
2010–2012 – Head of Investment Strategy Section and the Analytics Department, Head of Analysis of the Fixed-Income Securities Market in the Analytics Department at VTB Capital;

2006–2010 – Vice President for Debt Analysis in the Financial Consulting Department, Vice President for Debt Analysis in the Analytics Department, Director for Debt Analysis in the Analytics Department at Renaissance Capital – Financial Advisor;

2003–2006 – Vice President of the Debt Market Analysis Group in the Department for Debt Market Research, Vice President of the Strategic Analysis Group in the Debt Market Research Department of the Fixed Income Products Directorate of Trust Investment Bank;

2000–2003 – Senior Specialist in the Law Enforcement and State Security Section of the Defence Industry for Law Enforcement Agencies Department, Chief Specialist on External Debt Monitoring and Structuring Section of the External Debt Department, Consultant for the External Debt Management Section of the Department for International Cooperation and External Debt Management of the Ministry of Finance of the Russian Federation.

Born in 1974. In 1997, graduated from the St Petersburg State Institute of Technology (technical university) with a degree in Applied Physics and Mathematics; in 2000, graduated from the Russian Foreign Ministry's Moscow State Institute of International Relations (MGIMO), majoring in International Economics.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Alexey Ulyukayev

Chairman of the Supervisory Council from 25 June 2015 until 14 December 2016

Member of the Supervisory Council from 29 November 2002 to 19 June 2014, and again from 14 December¹⁷ 2016 to 26 April 2017

From June 2013 to November 2016 – Minister of Economic Development of the Russian Federation.

Previous positions:

2004–2013 – First Deputy Chairman of the Bank of Russia;

2000–2004 – First Deputy Minister of Finance of the Russian Federation;

1999–2000 – Deputy Director of the Institute for Economies in Transition;

1998–1999 – Deputy Director of the Institute of Economic Problems during Transition Periods;

1996–1998 – Deputy of the Moscow City Duma.

Born in 1956. Graduated in 1979 from the Lomonosov Moscow State University majoring in Political Economy. PhD in Economics, Professor.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Vladimir Chistyukhin

Member of the Supervisory Council since 19 June 2014

Since 2014 – Deputy Governor of the Bank of Russia. Member of the Board of Directors of the Bank of Russia and of the Deposit Insurance Agency.

Previous positions:

2013–2014 – First Deputy Head of the Financial Markets Service, Bank of Russia;

2011–2013 – Director of the Financial Stability Department, Bank of Russia;

2004–2011 – Deputy Director of the Banking Regulation and Supervision Department, Bank of Russia;

2002–2004 – Deputy Director of the Department of Foreign Exchange Regulation and Control, Bank of Russia;

2000–2002 – Deputy Director of the Department of Foreign Exchange Regulation, Bank of Russia;

¹⁷ In December 2016, VTB Bank received a letter from Alexey Ulyukayev announcing his voluntary resignation as VTB Bank Supervisory Council Chairman and his departure from the Supervisory Council of VTB Bank.

1999–2000 – Head of the Foreign Exchange Operations Analysis Division, Department of Foreign Exchange Regulation, Bank of Russia;
1997–1999 – Deputy Head of the Division of Foreign Exchange Control of Capital Operations, Division Head of the Department of Foreign Exchange Regulation and Control, Bank of Russia;
1996–1997 – Lead Economist of the Foreign Exchange Regulation Division, Chief Economist of the Division of Foreign Exchange Control of Capital Operations, Department of Foreign Exchange Regulation and Control, Bank of Russia;
1995–1996 – Category 2 Economist, Category 1 Economist, Lead Economist in the Foreign Exchange Regulation Division, Chief Director of Foreign Exchange Regulation and Control, Bank of Russia.

Born in 1973. In 1995, graduated from Lomonosov Moscow State University with a degree in Law.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Andrey Sharonov

Member of the Supervisory Council since 25 June 2015

Since September 2016 – President of the Skolkovo Moscow School of Management. Member of the Board of Directors, Sovcomflot, PhosAgro. Chairman and independent member of the Board of Directors, NefteTransService Management Company. Independent member of the Board of Directors, Novatek.

Previous positions:

2013–2016 – Rector of the Skolkovo Moscow School of Management;
2010–2013 – Moscow Deputy Mayor for Economic Policy;
2007–2010 – Managing Director, Troika Dialog Investment Company.

Awards: Order of Honour (2009), Letter of Acknowledgment from the President of the Russian Federation (2008), Title of Merited Economist of the Russian Federation (2006), Letter of Acknowledgment from the President of the Russian Federation (2003).

Born in 1964. In 1986, graduated from the Ufa Aviation Institute, majoring in Aviation Engineering; in 1996, graduated from the Russian Presidential Academy of Public Administration with a degree in Law, PhD in Sociology.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Introduction to membership of the Supervisory Council

An induction programme for first-time members of the Supervisory Council of VTB Bank was introduced in order to ensure the efficient operation of the Supervisory Council. It will also improve the Bank's corporate governance practices in accordance with the best international corporate governance principles, including those provided by the Code of Corporate Governance approved by the Board of Directors of the Bank of Russia, the Regulation on the Staff and Remuneration Committee of the Bank's Supervisory Council and the Bank's Code of Corporate Governance. The induction programme was created by decision of the Staff and Remuneration Committee of the Bank's Supervisory Council on 7 October 2016.

As part of this programme, meetings were held with the newly elected members of the Supervisory Council at which information was presented about the work of the Supervisory Council and other bodies of the Bank. The organisational structure, the Bank's Charter, strategy, corporate governance system, risk management and internal control system and the division of responsibilities among the Bank's

executive bodies were also presented. Other information regarded as important for the proper performance of the duties of members of the Supervisory Council was also provided.

Report on the activities of the Supervisory Council

Meetings of the Supervisory Council are convened at the initiative of its Chairman or at the request of a Council member, the Statutory Audit Commission, the Auditor, the Management Board or the President and Chairman of the Management Board. A quorum is formed by the attendance of half of the elected members.

Decisions are taken by a majority vote of participating members unless otherwise provided in the Charter and the Regulation on the Supervisory Council. For decision-making purposes, each member of the Council has one vote at meetings.

Meetings of the Supervisory Council are held on a scheduled basis, although, if necessary, they may be held outside the schedule with absentee voting. The format of each Supervisory Council meeting is decided based on the importance of its agenda. The most significant matters are brought before in-person meetings.

At every Supervisory Council meeting, a report is provided to update members on the implementation of previously approved decisions and programmes, as well as on directives and assignments stipulated by the Russian Government.

Members are able to review materials for meetings in advance, as well as recommendations and conclusions of the Council's Committees on each agenda point. The schedule for the Council is compiled for the period between AGMs and is approved by the Supervisory Council. Meetings are scheduled in advance based on the Bank's business cycle and may be held in person or through absentee voting. Any member unable to attend a meeting can still participate via video conference (including voting on the agenda items); they can also submit a written opinion on agenda items.

Depending on the results of in-person meetings or absentee ballots, minutes are drawn up reflecting the position of each member of the Supervisory Council based on his or her vote on the agenda items.

In 2017, the Supervisory Council held 19 meetings (compared to 21 in 2016), including seven in-person meetings and 12 through absentee voting.

Statistics on the meetings of the Supervisory Council

Year	Total number of in-person meetings and meetings held by absentee voting	In-person	By absentee voting	Number of matters considered
2017	19	7	12	205
2016	21	8	13	240
2015	28	8	20	197
2014	26	8	18	207

The Supervisory Council actively engaged with the Bank's minority shareholders and also considered the Report on Cooperation with the Bank's Shareholders and a plan of action for working with shareholders during the upcoming calendar year. Independent members of the Supervisory Council took part in meetings with minority shareholders.

*Participation of members of the Supervisory Council and its committees in meetings/absentee voting
in 2017*

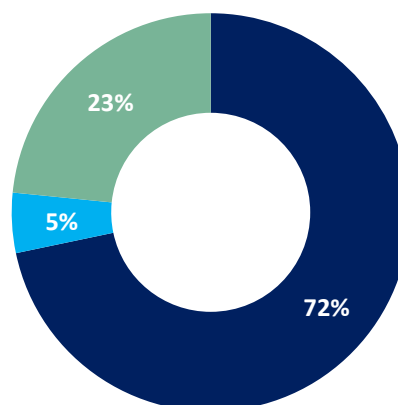
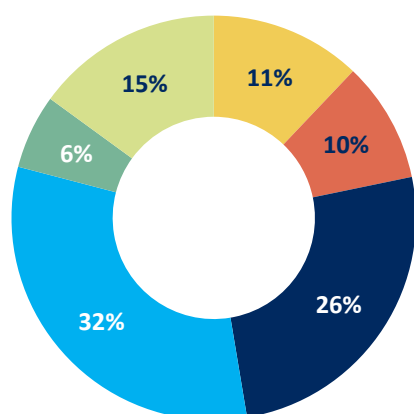
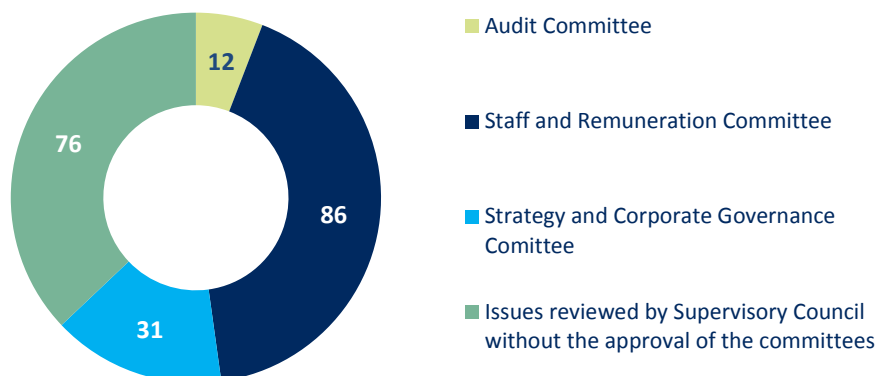
Supervisory Council member	Position	Number of meetings (absentee voting) of the Supervisory Council with the member's participation			Number of meetings (absentee voting) of the Supervisory Council's Audit Committee with the member's participation			Number of meetings (absentee voting) of the Supervisory Council's Staff and Remunerations Committee with the member's participation			Number of meetings (absentee voting) of the Supervisory Council's Strategy and Corporate Governance Committee with the member's participation		
		in-person meetings, personal participation	in-person meetings, written opinion	absentee ballot	in-person meetings, personal participation	in-person meetings, written opinion	absentee ballot	in-person meetings, personal participation	in-person meetings, written opinion	absentee ballot	in-person meetings, personal participation	in-person meetings, written opinion	absentee ballot
Anton Siluanov (since 26 April 2017)	Chairman of the Supervisory Council, public official	13 of 13											
		5/100%	0/0%	8/100%									
Matthias Warnig	Non-executive director, member of the Strategy and Corporate Governance Committee	18 of 19			5 of 5 (until 26 April 2017)						6 of 8 (since 28 April 2017)		
		4/57%	3/43%	11/92%	1/50%	1/50%	3/100%				0/0%	1/100%	5/71%
Sergey Galitsky	Senior Independent Director, Member of the Audit Committee, Member of the Staff and Remuneration Committee, Member of the Strategy and Corporate Governance Committee	19 of 19			9 of 9 (since 28 April 2017)			12 of 13			13 of 13		
		5/71%	2/29%	12/100%	0/0%	3/100%	6/100%	3/75%	1/25%	8/89%	1/33%	2/67%	10/100%
Yves-Thibault de Silguy	Independent Director, Chairman of the Audit Committee	18 of 19			14 of 14								
		6/86%	1/14%	11/92%	5/100%	0/0%	9/100%						
Sergey Dubinin	Non-executive Director, Chairman of the Staff and Remuneration Committee	19 of 19						13 of 13					
		6/86%	1/14%	12/100%				4/100%	0/0%	9/100%			
Andrey Kostin	Independent Director, Chairman of the Strategy and Corporate Governance Committee	18** of 19									13 of 13		
		7/100%	0/0%	11/92%							0/0%	3/100%	10/100%
Shahmar Movsumov	Independent Director, member of the Strategy and Corporate Governance Committee	18 of 19									12 of 13		
		5/71%	2/29%	11/92%							1/33%	1/33%	10/100%
Alexey Moiseev (until 26 April 2017)	Non-executive Director, public official, member of the Strategy and Corporate Governance Committee	6 of 6									5 of 5 (until 26 April 2017)		
		1/50%	1/50%	4/100%							2/100%	0/0%	3/100%
Valery Petrov	Independent Director, member of the Strategy and Corporate Governance Committee, Member of the Audit Committee, Member of the Staff and Remuneration Committee	19 of 19			14 of 14			13 of 13			13 of 13		
		7/100%	0/0%	12/100%	5/100%	0/0%	9/100%	4/100%	0/0%	9/100%	3/100%	0/0%	10/100%
Nikolai Podguzov (from 26 April 2017)	Non-executive Director, member of the Strategy and Corporate Governance Committee	13 of 13									4 of 8 (from 28 April 2017)		
		5/100%	0/0%	8/100%							0/0%	1/100%	3/43%
Vladimir Chistyukhin	Non-executive Director, member of the Strategy and Corporate Governance Committee	19 of 19									13 of 13		
		5/71%	2/29%	12/100%							0/0%	3/100%	10/100%
Andrey Sharonov	Non-executive Director, member of the Strategy and Corporate Governance Committee	19 of 19									13 of 13		
		5/71%	2/29%	12/100%							2/67%	1/33%	10/100%

* Did not participate in meetings (absentee voting) whose agenda items could have involved him in a legal or business-related conflict of interest.

** Andrey Kostin did not take part in absentee voting for Supervisory Council meetings whose agenda contained only matters on the approval of transactions in the execution of which he had an interest, and thus his vote was not taken into account in the voting results in accordance with Article 83 of the Federal Law on Joint Stock Companies.

Key issues considered by the Supervisory Council in 2017

The Bank's Supervisory Council considered a total of 205 issues in 2017, and the Supervisory Council committees prepared recommendations on 129 of these issues.



- Defining priorities for VTB activities
- Risks, internal control
- Personnel –related matters
- Corporate governance and procedural matters
- Review of reports
- Approval of transactions

- Issues related to Federal law on Joint-Stock Companies
- Issues related to Federal law on Banks and Banking Activities
- Other issues, including directives

Priority areas for the Bank's operations:

- approval of VTB Bank's business plan and financial plan (budget) for 2018;
- fulfilment of targets in VTB Bank's Long-Term Development Programme for 2014–2018 based on 2016 results and the results of the audit of its implementation;
- acquisition and disposal of shares in the Bank's subsidiary companies;
- restructuring of VTB Bank (Austria) AG, VTB Bank (Deutschland) AG and VTB Bank (France) SA;
- approval of the programme for the disposal and registration of the Bank's non-core assets, and of the action plan for the sale of the Bank's non-core assets for 2018;
- opening and closing of the Bank's branches;

- approval of the Bank's Investment Programme for 2018 and the Programme for Improving Operating Efficiency and Reducing the Bank's Expenses for 2018.

Corporate governance and procedural issues:

- calling and determining the agenda for the Annual and Extraordinary General Meetings of Shareholders, establishing the date for drawing up the list of persons entitled to participate in the General Meeting of Shareholders, and other issues related to the preparation and conduct of the General Meeting of Shareholders;
- consideration of issues proposed by Bank shareholders for inclusion on the agenda for the Annual General Meeting of Shareholders;
- consideration of candidates proposed by Bank shareholders for election to the Supervisory Council and the Statutory Audit Commission;
- recommendations on the distribution of profits and the amount of dividends on Bank shares;
- approval of the forms and texts for voting ballots at General Meetings of Shareholders, as well as the determination of the list of information (materials) provided to shareholders and the procedure for the provision thereof;
- preliminary approval of the Bank's Annual Report;
- proposals of candidates for the Bank's auditor;
- review of the results of the evaluation of the corporate governance system for 2016;
- approval of new editions of the Regulation on Information Policy of VTB Bank; the List of Key Performance Indicators for Assessing the Activities of the Members of the Management Board of VTB Bank; the Regulation on the Procurement of Goods, Works and Services by VTB Bank; and VTB Bank's Code of Ethics;
- recognition of Sergey Galitsky as an independent member of the Supervisory Council of VTB Bank.

Staff issues:

- election of the Chairman of the Supervisory Council;
- election of the Senior Independent Director;
- approval of the Supervisory Council to allow the President and Chairman of the Board and members of the Management Board to hold management positions in other organisations;
- the election of the President and Chairman of the Management Board and the members of the Management Board of VTB Bank, the establishment of remuneration and compensation payable to the Chairman and President of the Management Board and to members of the Management Board of VTB Bank.

Risks and internal control:

- new editions of the VTB Bank Risk and Capital Management Strategy, the Procedure for Managing the Most Significant Risks, and the Procedure for Applying Risk Management Techniques and Quantitative Risk Assessment Models (using an internal ratings approach in respect of credit risk) were approved;
- review of reports on the activities of the Internal Audit Department and approval of its work plan;
- review of a report on the results of the implementation in 2016 of the Rules on Internal Monitoring in Respect of the Prevention of Money Laundering and Terrorist Financing (AML/CTF) and recommended measures to improve the AML/CFT system;
- review of the quarterly reports by inspectors on the Bank's professional activities in the securities market and specialised depositary;
- review of quarterly reports on significant risks and capital adequacy of VTB Bank, as well as on the results of stress testing at VTB Bank.

Review of reports:

- on the activities of the Supervisory Council's committees;
- on the Bank's sponsorship and charitable activities for 2016;

- on the work of the Corporate Secretary in 2016;
- on interaction between VTB Bank and its shareholders in 2016 and plans to work with shareholders for 2017;
- approval of a report on the results of shareholder requests for redemption of Bank shares held by them;
- on the structure and volumes of VTB Bank's problem assets;
- on the financial results and performance of VTB Group companies.

In addition, the Supervisory Council also approved a number of related-party transactions in 2017.

Evaluation of the work of the Supervisory Council

Since 2012, VTB Bank has conducted an annual assessment of its corporate governance system (including assessments of the work of the Supervisory Council and its committees).

The assessment methodology was developed on the basis of the provisions of the Russian Law on Joint-Stock Companies and the recommendations of the Bank of Russia and was approved by a decision of the Supervisory Council Strategy and Corporate Governance Committee. The assessment also includes a self-evaluation of the activities of the Supervisory Council based on a questionnaire completed by the members of the Council.

In accordance with the methodology approved by the Supervisory Council Strategy and Corporate Governance Committee, the Bank's corporate governance system is assessed with respect to nine components:

- the division of powers between management bodies;
- organisation of the activities of the Supervisory Council;
- approval of the Bank's development strategy and oversight over its implementation;
- coordination of risk management;
- prevention of conflicts of interest on the part of shareholders, members of the Supervisory Council, the Bank's executive bodies and its employees;
- relations with affiliated parties;
- determination of rules and procedures ensuring compliance with the principles of professional ethics;
- coordination of the disclosure of information about the Bank;
- monitoring the internal control system.

Based on the results of the corporate governance assessment conducted in 2017, the members of the Supervisory Council continue to give it a high rating. The average score of the corporate governance assessment increased slightly compared to 2016, amounting to 3.93 points (98% of the maximum value). Five components received the maximum score of 4 points: coordination of disclosure of information about the Bank, the division of powers between management bodies, monitoring of the internal control system, relations with affiliated parties, and coordination of risk management.

Based on the results of the assessment, the following changes were noted in comparison with the previous assessment:

- a number of important issues were included in the Supervisory Council's remit, including approval of the Bank's financial plan (budget); the most important issues decided by a majority of all elected members of the Bank's Supervisory Council were also identified;
- in the reporting year, a significant number of strategic issues were considered, including a report on the implementation of the Long-Term Development Programme;
- a new edition of the Risk and Capital Management Strategy was approved, as was the Procedure for Managing the Most Significant Risks;
- The Supervisory Council began reviewing the Report on the Bank's Significant Risks and Capital Adequacy on a quarterly basis.

In addition, as part of the self-assessment in 2017, members of the Supervisory Council positively assessed the following:

- the favourable nature of the list of competencies of the Supervisory Council and the division of powers among management bodies;
- the existence of sufficient experience among Directors in the fields of banking, accounting and auditing;
- the awareness on the part of the Supervisory Council of best practices in respect of issues related to the competence of the Supervisory Council;
- the existence of requirements for Directors/Independent Directors in the Bank's bylaws;
- the favourable nature of the way in which meetings of the Supervisory Council are conducted and of the procedure for convening the Supervisory Council for the adoption of strategic decisions;
- the timeliness and completeness of information provided by executive bodies.

Members of the Supervisory Council noted a decrease in the number of meetings of the Supervisory Council due to a decrease in the number of meetings by absentee ballot on the approval of related-party transactions and on issues related to participation in subsidiary companies.

The personal participation of members of the Supervisory Council in in-person meetings increased, amounting to 79.2%, while the percentage of members of the Supervisory Council not taking part in meetings conducted by absentee voting amounted to 6.1%.

A detailed report on the results of the evaluation of the Bank's corporate governance system was provided, in accordance with the recommendations of the Bank of Russia, for review by the Supervisory Council's Strategy and Corporate Governance Committee and for review by the Supervisory Council.

Approval of related-party transactions

In accordance with the amendments to the Federal Law on Joint Stock Companies that entered into force on 1 January 2017, the procedures for carrying out related-party transactions changed significantly.

Under the new rules, a related-party transaction does not require mandatory prior consent for its execution.

In respect of related-party transactions, the Bank is required to inform the members of the Bank's Supervisory Council, the members of the Management Board and, in the case of a related-party transaction involving all the members of the Supervisory Council, the Bank's shareholders.

At the same time, a related-party transaction may be approved prior to its conclusion by the Supervisory Council or the General Meeting of Shareholders at the request of the President and Chairman of the Bank's Management Board, a member of the Management Board, a member of the Supervisory Council or a shareholder (or shareholders) holding no less than 1 per cent of the Bank's voting shares.

In addition, in accordance with the Federal Law on Joint-Stock Companies, the following are not considered related-party transactions:

- transactions completed in the ordinary course of the Bank's operations, provided that the Bank has repeatedly, over a long period of time, completed similar transactions under similar conditions where there is no related-party interest, including transactions completed in accordance with Article 5 of the Federal Law on Banks and Banking Activities;
- property transactions whose price or book value is not more than 0.1 per cent of the book value of the Bank's assets according to its financial statements on the preceding reporting date, provided that the amount of the such transactions does not exceed the limits established by the Bank of Russia (in accordance with Instruction N 4334-U of the Bank of Russia of 31 March 2017 on the Establishment of Limits on the Amount of Transactions Involving Joint Stock Companies

or Limited Liability Companies beyond which Such Transactions May Be Recognised as Related-Party Transactions; for companies whose assets have a book value of more than RUB 2 trillion, the limit on the size of transactions is RUB 2 billion).

The procedure for related-party transactions is specified in the Regulation on the Procedure for Providing Information about VTB Bank Related-Party Transactions, approved by the Bank's Supervisory Council (Minutes No 21 of 14 December 2016) and provides that:

- The Bank's Corporate Secretary, upon being informed about indications of a possible related-party interest in the execution of transactions by the Bank, shall notify the members of the Bank's Supervisory Council, the Chairman and President of the Bank's Management Board and the members of the Management Board prior to the date of the execution of said transactions.
- If all the members of the Bank's Supervisory Council have a related-party interest in the completion of a transaction, the Bank's Corporate Secretary shall notify the Bank's shareholders about the proposed related-party transaction by posting information on the Bank's website at: www.vtb.ru.
- On the basis of the notification received, any member of the Bank's Supervisory Council, the Chairman and President of the Bank's Management Board or any shareholder (shareholders) of the Bank holding no less than 1 per cent of the voting shares of the Bank (in the event that shareholders are notified) has the right to demand prior consent for the execution of a related-party transaction.
- In the event that such a demand is received prior to the completion of a related-party transaction, the Bank's Corporate Secretary shall inform the person submitting notification of said demand of the necessity to put the issue of consent for the execution of the transaction before the Bank's Supervisory Council or the General Meeting of Shareholders for consideration. In this case, the transaction shall be executed only after obtaining the consent of the Bank's Supervisory Council or the General Meeting of Shareholders.
- In the event that no demand for prior consent for the related-party transaction has been received, the transaction shall be completed on the planned date.

Committees of the Supervisory Council

The Supervisory Council has standing committees that support the effective implementation of the Council's managerial and supervisory functions and that provide preliminary detailed analysis and recommendations regarding the issues that the Council deems most important.

At the end of 2017, the Supervisory Council had the following committees:

- Audit Committee;
- Staff and Remuneration Committee;
- Strategy and Corporate Governance Committee.

The Supervisory Council committees are not governing bodies of the Bank and cannot act in the name of the Supervisory Council.

Supervisory Council Committees and their members (as of 31 December 2017)



Audit Committee

The Audit Committee performs an analytical and support function to ensure that internal control systems work effectively. The Committee's remit includes general oversight over the preparation of financial reports and the functioning of the Bank's risk management and internal control procedures, as well as the appraisal of candidates for external auditor, review of the audit report, review of the effectiveness of the internal control procedures and the drafting of proposals to improve them. Since 28 April 2017, the Audit Committee has been made up of independent members of the Supervisory Council.

In 2017, 14 meetings (five in-person meetings and nine with absentee voting) were held by the Audit Committee. Considerable focus was placed on analysis and improvement of internal controls at the Bank and within VTB Group, including in the context of VTB's merger with VTB24, as well as the effectiveness of various types of risk management.

In 2017, the following key areas were addressed by the Audit Committee:

- strategic issues related to development and risk management within the Bank and VTB Group, including changes in the quality of corporate and retail loan portfolios, and the results of the management of operational and market risks, as well as liquidity risk at VTB Bank;
- review of information on the preliminary assessment of the impact on the amount of provisions of the entry into force of the new IFRS 9 standard, "Financial Instruments";
- discussion of the status of the implementation of measures related to the merger of VTB Bank and VTB24, including strategies for the development and implementation of IT projects in the consolidated Bank;
- analysis of instruments implemented by VTB aimed at maintaining the effectiveness of the internal control system in combating money laundering and the financing of terrorism;
- oversight over the annual open tender for the selection of an external auditor and providing recommendations to the Bank's Supervisory Council on the candidacy of the external auditor;
- coordinating with the external auditor, assessment of the external auditor's report and recommendations provided as part of the audit process and of the review of the Bank and Group's interim and annual RAS and IFRS financial statements;
- regular review of the consolidated financial statements of VTB Bank in compliance with IFRS and quarterly monitoring of the financial results of VTB Group;
- preliminary review of matters related to the Bank's Internal Audit Department: analysis of the schedule for internal auditing, discussion of reports of the Department of Internal Audit on significant violations and shortcomings discovered at VTB Bank and its subsidiaries, recommendations by internal audit and external supervisory bodies to further improve the procedures involved in internal and external auditing;

- review of other matters related to the Bank's activity, in some cases based on particular assignments from the Supervisory Council.

Staff and Remuneration Committee

The Staff and Remuneration Committee assists the Supervisory Council in resolving matters within its remit in accordance with the Regulation on the Staff and Remuneration Committee of the Supervisory Council of VTB Bank.

The Committee comprises members of the Supervisory Council who have relevant expertise and experience in this area.

In 2017, 13 Committee meetings (four in-person meetings and nine in the form of absentee voting) were held. The meetings considered issues such as the composition of the Supervisory Council and the Statutory Audit Commission, including consideration of the status of independent members; discussed proposals regarding the remuneration policy for the members of the Supervisory Council and the Statutory Audit Commission, the selection and remuneration of members of the Bank's Management Board, proposals aimed at improving the system of incentives and remuneration for members of the Bank's Board of Directors, proposals related to the key performance indicators for assessing the work of the President and Chairman of the Management Board and the work of the members of the Management Board; discussed the issue of whether VTB Bank Supervisory Council member Sergey Galitsky fulfilled the issuer's criteria for the independence of the members of the Board of Directors (Supervisory Council), provided for by the Listing Rules of the Moscow Exchange, as well as other issues within the Committee's remit.

Strategy and Corporate Governance Committee

The Strategy and Corporate Governance Committee assists the Supervisory Council on matters of strategy and corporate governance. The Committee's main tasks are to set the Bank's short-, medium- and long-term strategic objectives and priorities and to monitor progress towards achieving them; to support and improve corporate governance; and to assist in the effective strategic management of the Bank's capital.

In 2017, the Strategy and Corporate Governance Committee held 13 meetings (three in-person meetings and 10 with absentee voting). At these meetings, the following matters were considered:

Strategic objectives and priorities

- proposals for adjusting (updating) VTB Bank's Long-term Development Programme for 2014–2018;
- VTB Bank's business and financial plans for 2018;
- VTB Bank's investment programme;
- VTB Bank's programme to improve operational efficiency and reduce costs;
- the internal regulations on increasing the investment and operational efficiency and reducing costs at VTB Bank;
- on the planned development of IT projects at VTB Bank;
- report on the implementation of VTB Bank's Long-Term Development Programme for 2014–2018 based on the results of 2016;
- progress report on the implementation of a set of measures (list of activities) within the framework of the Long-Term Development Programme aimed at reducing operating costs in 2016 by at least 10 per cent;
- restructuring of VTB Bank (Austria) AG, VTB Bank (Deutschland) AG and VTB Bank (France) SA.

Managing the Bank's capital

- distribution of profits for 2016 and determination of the amount of dividends to be paid out;
- VTB Bank's risk and capital management strategy;
- the Bank's participation in subsidiaries;

Corporate governance

- VTB Bank's programme for the disposal of non-core assets;
- register of VTB Bank's non-core assets;
- results of the evaluation of VTB Bank's corporate governance system;
- procedures for managing VTB Bank's most significant risks;
- VTB Bank's Ethics Code;
- Regulation on the Information Policy of VTB Bank.

More information about the Supervisory Council and its committees can be found on the Bank's website at: <http://www.vtb.ru/ir/governance/council/>.

Corporate Secretary

VTB Bank established the position of Corporate Secretary in 2011 while introducing measures to improve its corporate governance system.

The Corporate Secretary is a Bank official who oversees compliance of the Bank's management and employees with applicable legislation, the Charter and bylaws that guarantee shareholders' interests and their ability to exercise their legal rights. The Corporate Secretary also provides a liaison between the Bank and its shareholders, promotes the development of corporate governance practices and supports the smooth operation of the Bank's Supervisory Council. Functionally, the Corporate Secretary is elected by and reports to the Supervisory Council and, administratively, to the President and Chairman of the Bank's Management Board. The Corporate Secretary is subordinate to the Supervisory Council and is appointed and dismissed by decision of the Supervisory Council. The report on the work of the Corporate Secretary is reviewed and approved on an annual basis by the Bank's Supervisory Council. The report on work for 2016 was approved by the Supervisory Council on 22 March 2017.

The administration of the Supervisory Council operates under the guidance of the Corporate Secretary. The Corporate Secretary is secretary to the Supervisory Council and also serves as secretary for the General Meeting of Shareholders.

The Staff and Remuneration Committee reviews candidates for the position and provides recommendations to the Supervisory Council.

The Corporate Secretary acts on the basis of the Regulation on the Corporate Secretary of VTB Bank, approved by the Bank's Supervisory Council (minutes No 22 of 7 September 2015), which takes into account the requirements of the Listing Rules of Moscow Exchange, the recommendation of the Corporate Governance Code approved by the Board of Directors of the Bank of Russia and the guidelines of the Federal Property Management Agency.

The Regulation on VTB Bank's Corporate Secretary is available on the Bank's website at: <http://www.vtb.ru/upload/iblock/b7c/polozhenie-o-korporativnom-sekretare-2015.pdf>.

The Corporate Secretary's main responsibilities include:

- participation in preparations for and the holding of General Meetings of Shareholders and compliance with the requirements of Russian legislation, VTB Bank's Charter and other Bank bylaws;
- administration of the Supervisory Council's operations and supervision of preparations for and the holding of Council meetings;
- ensuring the disclosure of information about the Bank and archiving the Bank's corporate documents;
- coordinating and monitoring interaction between the Bank and its shareholders;
- helping to avoid corporate conflicts;

- participating in improving the system and functioning of the Bank's corporate governance;
- ensuring interaction with the Bank's regulatory agencies, trade operators, the registrar and the Statutory Audit Commission;
- other matters in accordance with the Regulation on the Corporate Secretary.

The Corporate Secretary keeps the Supervisory Council informed about the work of VTB Bank by providing information to the members of the Supervisory Council about:

- significant events and key personnel changes at the Bank, reviews of financial markets, the Bank's stock prices and global depository receipts, press reviews about the Bank and VTB Group, information on the work carried out with shareholders and the Bank's shareholder structure (weekly);
- the Bank's liquidity, the list of persons affiliated with the Bank (quarterly);
- the results of audits of the Bank, its subsidiaries and departments by the Bank of Russia;
- changes in Russian legislation with implications for members of the Supervisory Council.

In order to maintain the Bank's listing in accordance with the Moscow Exchange Listing Rules, the Corporate Secretary carries out the following:

- monitoring the compliance of shares with the Listing Rules, as well as the preparation and presentation to the Moscow Exchange of quarterly and periodic financial reports and Bank documents;
- providing profiles of the independent directors;
- disclosure and reporting.

On 28 September 2011, the Supervisory Council elected Evgeniy Ignatyev as Corporate Secretary following recommendations from the Strategy and Corporate Governance Committee and the Staff and Remuneration Committee.

Biography

Since June 2013 – Chief of Staff of VTB Bank Supervisory Council and Corporate Secretary;



2011–2013 – Corporate Secretary of VTB Bank;
 2010–2011 – Director of the Shareholder Relations Service at VTB Bank;
 2008–2010 – Senior Manager of the Debt Origination and Investor Relations Department at VTB Bank;
 2004–2008 – Chief Consultant, Deputy Director (acting director) of the Corporate Governance Department at VTB Bank North-West (former Industrial Construction Bank);
 2003–2004 – Lawyer, Investtorg;
 2002–2003 – Assistant Lawyer, Exchange Complex (St Petersburg).

Born in 1981. In 1999, graduated from the St Petersburg Social Services School, majoring in Law. In 2002, received a Law Degree from St Petersburg State University of Maritime and Inland Shipping. In 2017, received an international certificate as a Certified Director from the British Institute of Directors, as well as title "Cert IoD".

Winner of the Corporate Governance Director–Corporate Secretary category at the Director of the Year awards held by the Independent Directors Association and the Russian Union of Industrialists and Entrepreneurs. Member of the Board of the National Association of Corporate Secretaries.

Holds no shares of VTB Bank's charter capital.

Has no family ties to other members of the governing or supervisory bodies of VTB Bank.

2.4. MANAGEMENT BOARD

The Management Board is the collective executive body of VTB Bank. The Management Board reports to the General Meeting of Shareholders and the Supervisory Council.

The Management Board acts in accordance with Russian legislation, the Bank's Charter and the Regulation of the Management Board as approved by the General Meeting of Shareholders.

The Supervisory Council is responsible for determining the size and composition of the Management Board, for electing its members, and for pre-term termination of their powers, if necessary. Members of the Management Board are appointed by the Supervisory Council. The term of an employment contract with a member of the Management Board may be no more than five years before it must be reviewed for renewal.

The Management Board is in charge of the day-to-day operations of VTB that fall within its area of expertise, and it is responsible for implementing the decisions of the General Meeting of Shareholders and the Supervisory Council. More detailed information on the powers of the Management Board is provided in the Regulation on the Management Board, available on the Bank's website at:

https://www.vtb.com/akcionery-i-investory/raskrytie-informacii/ustav-i-vnutrennie-dokumenty/#tab_1_1#.

Composition of Management Board as of 31 December 2017:



0.00183%

%

percentage of ordinary
shares in VTB Bank

Andrey Kostin, born in 1956

President and Chairman of the Management Board



0.01819%

Yuri Soloviev, born in 1970

First Deputy President and Chairman of the Management Board

oversees the Corporate and Investment Business global business line



0.0003%

Andrey Puchkov, born in 1977

Deputy President and Chairman of the Management Board

oversees the legal and administrative areas, work with non-core businesses and bad assets



0%

Denis Bortnikov, born in 1974*Deputy President and Chairman of the Management Board*

oversees the SME Banking global business line



0%

Olga Dergunova, born in 1965*Deputy President and Chairman of the Management Board*

oversees the Information Technology Department



0.00046%

Valery Lukyanenko, born in 1955*Deputy President and Chairman of the Management Board*

oversees the Department for Clients from the State and Defence Sectors



0.01042%

Herbert Moos, born in 1972*Deputy President and Chairman of the Management Board*

oversees the Financial Unit and the Strategy Department



0.000011%

Anatoly Pechatnikov, born in 1969*Deputy President and Chairman of the Management Board*

oversees the Retail Business global business line



0%

Mikhail Sukhov, born in 1968*Deputy President and Chairman of the Management Board*

responsible for improving banking practices in connection with the gradual transition to Basel III, as well as for matters related to tax policy and other financial issues



0%

Vladimir Verkhoshinsky, born in 1981*Member of the Management Board*

oversees the Retail Network, Digital Business and Customer Service Departments



0%

Maxim Kondratenko, born in 1973*Member of the Management Board*

oversees the Risk Department



Норов Эркин Рахматович, 1954 г.р.

Member of the Management Board

oversees issues related to internal control and audit



Gennady Soldatenkov, born in 1952

Member of the Management Board

oversees issues related to implementation of the financial recovery plan for BM-Bank

Andrey Kostin

President and Chairman of the Management Board, Member of the Supervisory Council

President and Chairman of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.
(For a detailed biography, see the Supervisory Council section, p. 95).

Yuri Soloviev

First Deputy President and Chairman of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Bank in April 2008. Since May 2011 – First Deputy President and Chairman of the Management Board.

He is also Chairman of the Board of Directors of VTB Capital, Holding VTB Capital, VTB Capital IB Holding, VTB Capital Investment Management, VTB Leasing, VTB Infrastructure Investment and T2 RTK Holding. Member of the Supervisory Council of VTB Bank (Ukraine). Member of the Board of Directors of VTB Capital Investment Management Holding, VTB Capital Private Equity Holding, and VTB Insurance.

Previous positions:

2008–2011 – Senior Vice President of VTB Bank; President of VTB Capital;

2006–2008 – Head of Investment Banking, First Deputy Chairman of the Management Board, Deutsche Bank Russia;

2002–2006 – Director, Head of Eastern European Operations at Deutsche Bank, London;

1996–2002 – Analyst, Executive Director of Emerging Markets Department, Lehman Brothers Bank, London;

1994–1996 – Dealer, Senior Dealer at the Currency Trading Department, INCOMBANK.

Born in 1970. In 1994, graduated from Plekhanov Russian University of Economics. In 2002, graduated from London Business School with an MBA.

Holds shares equivalent to 0.00362% of the Bank's charter capital as of 31 December 2017.

Holds 0.01819% of ordinary shares of the Bank as of 31 December 2017.

Andrei Puchkov

Deputy President and Chairman of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Bank in 2002. Since December 2008 – Deputy President and Chairman of the Management Board. Before December 2008, held the following positions in the Bank's legal department: Deputy

Head of Department, Head of Department, Vice President (Head of Department), Senior Vice President (Head of Department), Senior Vice President and member of the Management Board.

He is also Chairman of the Supervisory Council of VTB Development. Member of the Supervisory Council of VTB24. Chairman of the Board of Directors of VTB Debt Centre, Hals-Development and BM-Bank.

Previous positions:

1999–2002 – Member of the Moscow City Bar Association;

1996–1997 – Legal consultant in the Central Economic Department of the Bank of Russia.

Born in 1977. In 1998, graduated from the Law Department of Lomonosov Moscow State University.

Holds shares equivalent to 0.00006% of the Bank's charter capital as of 31 December 2017.

Holds 0.0003% of ordinary shares of the Bank as of 31 December 2017.

Denis Bortnikov

Deputy President and Chairman of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Bank in January 2006. Since November 2011 – Member of the Management Board. Before November 2011 – Head of North-Western Regional Centre. Senior Vice President, Chairman of the Management Board, First Deputy Chairman of the Management Board, Deputy Chairman of the Management Board of VTB Bank North-West. Deputy Head of Vneshtorgbank Branch, St Petersburg.

He is also a member of the Board of Directors of Holding VTB Capital. Member of the board of the Leningrad Regional Chamber of Commerce and Industry. Member of the Board of Trustees of the Federal State Budget Institution of Higher Professional Education St Petersburg State University of Economics.

Previous positions:

2004–2006 – Advisor to the General Manager and Deputy General Manager of GUTA-BANK, North-West branch;

1996–2004 – Consultant with the Liquidity Management Department, Consultant with the Transfer Operations Department, Consultant with the Department of Financial Instruments, Senior Consultant with the Brokerage Department, Chief Acquiring and Authorisation Expert, Head of the Acquiring and Authorisation Department at Industry and Construction Bank.

Born in 1974. In 1996, graduated from St Petersburg State University of Economics and Finance, majoring in National Economy.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Olga Dergunova

Deputy President and Chairman of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Bank in 2016, and previously employed at VTB Bank from 2007 to 2012. Since July 2016 – Deputy President and Chairman of the Management Board. Until July 2016 – Advisor and Senior Vice President.

She is also a member of the Supervisory Board of the Federal State Autonomous Educational Institution of Higher Professional Education Moscow Institute of Physics and Technology (State University) (MIPT) and of the Association for the Development of Financial Technologies. Member of the Board of Trustees

of the Graduate School of Management at the Federal State Budget Institution of Higher Professional Education St Petersburg State University and of the Target Capital Fund of the National Research University Higher School of Economics. Member of the Board of the non-profit foundation Forum Analytical Centre.

Previous positions:

2012–2016 – Deputy Minister of Economic Development of the Russian Federation – Head of the Federal Agency for State Property Management;

2007–2012 – Member of the Management Board of VTB Bank;

1994–2007 – General Director of Microsoft Rus, President of Microsoft Russia and CIS countries;

1992–1994 – Senior Researcher at the limited liability partnership Mikroinform;

1990–1991 – Senior Researcher at the joint Soviet-American enterprise Paragraph;

1987–1990 – Engineer, Software Engineer at the Voskhod Research Institute.

Born in 1965. In 1987, graduated from the Plekhanov Russian University of Economics.

Holds no shares of VTB Bank's charter capital as of 31 December 2017.

Valery Lukyanenko

Deputy President and Chairman of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Bank in 2002. Since August 2016, Deputy President and Chairman of the Management Board. Since December 2008 – Member of the Management Board. Before 2008 – Head of the First Corporate Business Division and Senior Vice President; Senior Vice President and Head of Mid-Size Business in the First Corporate Business Division; Senior Vice President of the First Corporate Business Division; Vice President and Head of Large Corporate Business in the Fourth Corporate Business Division; Vice President; Counsellor to the President and Chairman of the Management Board of VTB.

He is also Chairman of the Board of Directors of VTB Bank (Belgrade). Member of the Supervisory Council of VTB24.

Previous positions:

2001–2002 – Chairman of the Council of Experts in Project Financing and Forecasting at Lanta-Bank;

1994–2002 – Deputy Head of the State Programmes Division, Head of the Foreign Economic Relations Division at the Office of the President of the Russian Federation;

1993–1994 – Director, Chairman of GagarinStroi Industrial and Investment Centre.

Born in 1955. In 1982, graduated from the Novosibirsk Agricultural Institute. PhD in Economics.

Holds shares equivalent to 0.00009% of the Bank's charter capital as of 31 December 2017.

Holds 0.00046% of ordinary shares of VTB Bank as of 31 December 2017.

Herbert Moos

Deputy President and Chairman of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Bank in 2009. Since November 2009 – Deputy President and Chairman of the Management Board. Before November 2009 – Senior Vice President.

He is also Chairman of the Board of Directors of VTB Capital plc. Member of the Board of Directors of VTB Leasing, VTB Factoring, VTB Capital IB Holding, Holding VTB Capital, VTB Capital, HALS-

Development, VTB Debt Centre. Member of the Supervisory Council of VTB24, Post Bank and VTB Bank (Ukraine).

Previous positions:

2008–2009 – CEO, VTB Capital Plc, London;

2007–2008 – CFO, Lehman Brothers Asia-Pacific, Hong Kong;

2002–2007 – Head of Asset and Liability Management, Treasurer, Lehman Brothers Asia-Pacific, Tokyo;

1995–2002 – served in Debt Management, Capital and Transaction Planning, Asset and Liability Management at Lehman Brothers, London.

Born in 1972. In 2002, graduated from London Business School with a Master's Degree in Finance.

Holds shares equivalent to 0.00207% of the Bank's charter capital as of 31 December 2017.

Holds 0.01042% of ordinary shares of the Bank as of 31 December 2017.

Anatoly Pechatnikov

Deputy President and Chairman of the Management Board

Term of office in accordance with employment contract: 14 July 2017 to 9 June 2022.

Joined VTB Group in 2003. Since July 2017 – Deputy President and Chairman of the Management Board. From 2010 to 2017 – Deputy President and Chairman of the Management Board of VTB24. From 2006 to 2010 – Senior Vice President, Director of the Mortgage Lending Department at VTB24. From 2003 to 2006 – Head of the Mortgage and Consumer Lending Department at Vneshtorgbank.

He is also Chairman of the Supervisory Council of VTB Insurance, VTB Debt Centre and VTB Pension Fund. Member of the Supervisory Council of VTB Forex, Post Bank and Strategic Planning Committee at AHML.

Previous positions:

2001–2003 – Head of the Credit Department, Deputy Chairman of the Management Board at DeltaCredit Bank;

1998–2000 – Head of the Purchases and Mortgage Lending Monitoring Department, Agency for Housing Mortgage Lending;

1996–1998 – Senior Specialist in the Retail Lending Section, Senior Specialist in the Credit Department, Head of the Retail Credit Section of the Credit Department at Diamant Bank;

1994–1996 – Expert Consultant on real estate, Head of the Credit Section at Krasnye Vorota;

1993–1994 – Executive Manager, Russian Independent Service for Industrial and Intellectual Property Vesta LLP.

Born in 1969. In 1992, graduated from Moscow Engineering Physics Institute.

Holds shares equivalent to 0.000002% of the Bank's charter capital as of 31 December 2017.

Holds 0.000011% of ordinary shares of the Bank as of 31 December 2017.

Mikhail Sukhov

Deputy President and Chairman of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Bank in 2016. Since November 2016 – Deputy President and Chairman of the Management Board.

Previous positions:

2012–2016 – Deputy Chairman of the Bank of Russia;

2001–2012 – Director of the Bank of Russia Department for Licensing and Financial Rehabilitation;
2001–2012 – Director of the Bank of Russia Department for Licensing and Financial Rehabilitation;
1998–2001 – Deputy Director of the Prudential Banking Supervision Department, Bank of Russia;
1998 – Deputy Director of Prudential Banking Supervision and Head of the Prudential Supervision Methodology Division, Bank of Russia;
1996–1997 – Director of the General Analysis Division of the Prudential Banking Supervision Department, Bank of Russia;
1994–1996 – Director of the Research and Forecasting Management Division, Moscow branch of the General Office of the Bank of Russia;
1993–1994 – Deputy Director of the Research and Forecasting Division, Director of the Department of Financial Markets and Monetary Policy, Moscow branch of the General Office of the Bank of Russia;
1993 – Director of the Department of Financial Markets and Monetary Policy, Moscow branch of the General Office of the Bank of Russia.

Born in 1968. In 1990, graduated from Lomonosov Moscow State University. PhD in Economics.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Vladimir Verkhoshinsky

Member of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Group in 2009. Since June 2016 – Member of the Management Board. Until June 2016 – Senior Vice President of VTB Bank; Deputy President and Chairman of the Board, Member of the Board, Vice President of Bank of Moscow; Vice President and Head of Corporate Development and Strategy of the Department of Strategy and Corporate Development, Department Head, Managing Director of VTB Bank.

He is also a member of the Board of Directors of VTB Pension Fund.

Previous positions:

2008–2009 – Financial Analyst at the representative office of the VR Capital Investment Fund (Moscow);
2003–2006 – Junior Analyst, Analyst at the representative office of the McKinsey & Company Consulting Company (Moscow);
2002–2003 – Specialist in the Internal Control Service for Operations Management for Private Clients, Citibank.

Born in 1981. In 2003, graduated from the Finance Academy under the Government of the Russian Federation. In 2008, graduated from Stanford University (USA) with an MBA.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Maxim Kondratenko

Member of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Bank in August 2013. Since November 2015 – Member of the Management Board. Until November 2015 – Head of the Risk Department and Senior Vice President.

He is also a Member of the Supervisory Council of VTB Bank (Ukraine). Member of the Board of Directors of BM Bank.

Previous positions:

2012–2013 – Director of Restructuring and Bad Loan Department, UniCredit Bank;
 2009–2012 – Director of the Credit Restructuring Department, UniCredit Bank;
 2008–2009 – Member of the Management Board, Russian Standard Bank;
 2008 – Deputy Director of the Retail Business Department, Russian Standard Bank;
 2007–2008 – Department Head, Executive Director of the Retail Sales and Private Banking Department, Mezhdunarodny Moskovsky Bank (since 26 December 2007, UniCredit Bank);
 2006–2007 – General Manager, Mezhdunarodny Moskovsky Bank;
 2003–2006 – Head of the Retail Sales Department, Mezhdunarodny Moskovsky Bank;
 2001–2003 – Deputy Head of the Private and Corporate Services Department, Mezhdunarodny Moskovsky Bank;
 1999–2001 – Head of the Corporate Services Department, Austria Creditanstalt Bank (Russia) (from 28 September 2001, Mezhdunarodny Moskovsky Bank);
 1999 – General Director, CitiConsult;
 1997–1999 – Deputy Department Manager, RK-International Rossiysky Kredit Commercial Bank (since 13 January 1998, Rossiysky Kredit Bank);
 1996–1997 – Chief Specialist for operations with non-residents and client development in the Liabilities Department, Rossiysky Kredit Commercial Bank;
 1996 – Deputy Head, Chief Specialist, Regional Clients Section, Regional Development and Regional Policy Department, Rossiysky Kredit Bank;
 1995–1996 – Deputy Head, Chief Specialist, Information and Analysis Section, Regional Development, Analysis and Planning Department, Rossiysky Kredit Bank;
 1994–1995 – Manager, Clients Sector, Passive Operations Department, Rossiysky Kredit Bank.

Born in 1973. Graduated in 1996 from Lomonosov Moscow State University, majoring in Philosophy. In 1999, he graduated from the Russian Foreign Trade Academy of the Russian Trade Ministry with a specialisation in International Economics. PhD in Economics. In 2007, he graduated from London Business School with an MBA.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Erkin Norov

Member of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Bank in 2002. Member of Management Board from 2002 to 2007 and since September 2009.

He is also a member of the Board of Directors of BM-Bank.

Previous positions:

2007–2009 – Senior Vice President, Management Board member of NOMOS-BANK;
 2002–2007 – Vice President, Senior Vice President, member of Management Board of the Bank for Foreign Trade of the Russian Federation (Vneshtorgbank);
 1999–2002 – Development Director, Development and Strategic Planning Director, USSR Bank for Foreign Economic Activities;
 1999 – Department Head, Calculation of Taxable Base and Tax Revenue Planning Department, Russian Ministry of Taxes and Duties;
 1992–1999 – Deputy Chairman of the Management Board for Development of AvtoVAZ servicing – Lada Service; Marketing and Trade Director, General Director of the Economy and Finance Department at AvtoVaz Corporation.

Born in 1954. In 1976, graduated from Lomonosov Moscow State University and in 2001 from the Academy of National Economy under the Government of the Russian Federation. Holds a PhD in Economics.

Holds no shares of the Bank's charter capital as of 31 December 2017.

Gennady Soldatenkov

Member of the Management Board

Term of office in accordance with employment contract: 10 June 2017 to 9 June 2022.

Joined VTB Group in 2001. Since December 2016 – Member of the Management Board of VTB Bank, in addition to other duties. Since May 2016 – President and Chairman of the Management Board of BM-Bank. Until May 2016 – President and Chairman of the Management Board of Bank of Moscow, First Deputy President and Chairman of the Management Board of Bank of Moscow (2011–2015), Deputy President and Chairman of the Management Board of VTB Bank (2001–2011).

He is also a member of the Board of Directors of BM-Bank.

Previous positions:

1997–2001 – Deputy Chairman of the Management Board, Sberbank, Chairman of the Moscow Regional Head Office of Sberbank;

1992–1997 – Vice President of Sberbank, Chairman of Moscow Regional Head Office of Sberbank.

Born in 1952. In 1975, graduated from the Moscow Finance Institute. In 1989, graduated from the Moscow Higher Party School, and in 1990 from the Higher Commerce School of the Academy of National Economy under the USSR Council of Ministers.

Holds shares equivalent to 0.00024% of the Bank's charter capital as of 31 December 2017.

Holds 0.0012% of VTB BaNK'S ordinary shares as of 31 December 2017.

2.5. COMPENSATION OF THE MEMBERS OF THE SUPERVISORY COUNCIL AND THE MANAGEMENT BOARD

The amount of and procedure for the payment of remuneration and compensation to the members of the Bank's Supervisory Council is determined in accordance with the Regulation on Remuneration and Compensation Paid to the Members of the Supervisory Council of VTB Bank, approved pursuant to the recommendations of the Supervisory Council's Staff and Remuneration Committee at the Annual General Meeting of Shareholders.

In accordance with a resolution of the General Meeting of Shareholders, the members of the VTB Bank Supervisory Council may receive remuneration and compensation for expenses incurred in the course of their duties during their term in office.

In case of early termination, as well as the re-election of members of the Supervisory Council at an Extraordinary General Meeting of Shareholders, the remuneration of a newly elected (outgoing) member of the Supervisory Council is determined proportionate to the time spent as a member of the Supervisory Council, as Chairman of the Supervisory Council, as a member of a Supervisory Council committee or as the Chairman of a Supervisory Council committee during the corporate year.

The total remuneration of a Supervisory Council member for the performance of their duties during the corporate year includes:

- their base payment: for performing the functions of a member of the Bank's Supervisory Council;
- bonus: for the performance of additional duties.

According to a decision of the General Meeting of Shareholders, the base of the remuneration is paid to a Supervisory Council member provided that, in the reporting year, he or she attended in person or participated via video-conferencing in at least half of the meetings of the Council, and that he or she also participated in at least half of the absentee votes of the Supervisory Council.

The total remuneration of a member of the Supervisory Council for their work during the corporate year depends on their participation in the work of the Supervisory Council and is determined by taking into account:

- actual participation in the work of the Bank's Supervisory Council as a member of the Supervisory Council or the Chairman of the Supervisory Council;
- actual participation in the work of a Supervisory Council committee as its Chairman;
- actual participation in the work of a Supervisory Council committee as a member of said committee.

In this regard, a bonus has been established amounting to 30% on top of the base payment of a Supervisory Council member for chairmanship of the Supervisory Council, with a 20% bonus on top of the base pay for chairmanship of a Council committee and a 10% bonus on top of the base pay for membership of a Supervisory Council committee.

The bonus is paid to a Supervisory Council member or a member of a committee of the Supervisory Council provided that, in the reporting year, he or she attended in person or participated via video-conferencing in at least half of the meetings of the Council, and that he or she also participated in at least half of the absentee votes of the Supervisory Council.

In accordance with current Russian legislation, members of the Supervisory Council who are state employees do not receive any remuneration.

Remuneration is paid by the Bank through bank transfers; no other forms of remuneration are stipulated.

Remuneration of members of the Supervisory Council of VTB Bank

		Remuneration (in RUB)				
		2012	2013	2014	2015	2016
Base		2012				
	For work on the Supervisory Council	4,600,000 each	4,600,000 each	4,600,000 each	4,600,000 each	4,600,000 each
Bonuses	For the chairmanship of the Supervisory Council	1,380,000	1,380,000	1,380,000	1,380,000	1,380,000
	For the chairmanship of a Supervisory Council committee	920,000 each	920,000 each	920,000 each	920,000 each	920,000 each
	For membership in a Supervisory Council committee	460,000 each	460,000 each	460,000 each	460,000 each	460,000 each

Compensation	To provide compensation to Supervisory Council members who are not state employees for expenses they incur while carrying out their duties, namely: accommodation, food, travel expenses (including VIP lounge services), other duties and fees for air and rail transport.	To provide compensation to Supervisory Council members who are not state employees for expenses they incur while carrying out their duties, namely: accommodation, food, travel expenses (including VIP lounge services), other duties and fees for air and rail transport.	To provide compensation to Supervisory Council members who are not state employees for expenses they incur while carrying out their duties, including accommodation, food, travel expenses (including VIP lounge services), other duties and fees for air and rail transport.

Remuneration for the members of the Supervisory Council, RUB thousand

Period	Amount of remuneration (before taxation)	Reimbursement for expenses related to the performance of official duties on the part of members of the Supervisory Council
for 2017	47,948	2,510
for 2016	53,820	1,525
for 2015	49,680	956
for 2014	45,540	1,490
for 2013	51,060	-
for 2012	43,094	-

The Supervisory Council is responsible for determining the amount of the remuneration and compensation paid to members of the Management Board. Salaries, including compensation and incentive payments, are fixed in the employment contracts of the Management Board members.

Remuneration (salary, bonuses) for members of the Management Board, RUB thousand

Period	Amount of remuneration
for 2017	1,399,794
for 2016	361,805
for 2015	399,031
for 2014	1,597,668
for 2013	1,325,135
for 2012	1,325,669

Remuneration of key management personnel of VTB Group

The key management personnel includes certain senior members (executive body) of the Group Management Committee, Heads of Global Business Lines, all members of the Management Board of VTB Bank, as well as all members of the Supervisory Council of VTB Bank and their aggregate remuneration for the year ended 31 December 2017 amounted to RUR 3.8 billion (for year ended 31 December 2016: RUR 2.4 billion).

Under the Group's updated policy of key management personnel remuneration, starting from 2017 the Management Board of VTB Bank receives 60% of the annual bonus in cash, and 40% is deferred for the period of 3 years. The deferred amount is paid in three equal instalments in one, two and three years after the grant date, subject to the certain non-vesting conditions. Half of the deferred amount is paid in cash and another half is paid under a cash-settled share based payment plan. The share-based

payment expense for 2017 was RUR 0.3 billion. The liability arising from cashsettled share-based payment transaction totalled RUR 0.3 billion.

2.6. INTERNAL CONTROL AND AUDIT

VTB Group's internal control and audit functions operate in compliance with international best practices and applicable legislation in the countries where the Group operates. The system is guaranteed the necessary independence by the way its parts function together and by its reporting structure.

VTB Group's internal control system ensures:

- efficiency of VTB Group's and VTB Bank's activities;
- effective management of assets and liabilities (including asset integrity) and risks;
- reliable, complete and timely financial and management information and reporting;
- security of information;
- compliance with legislation, regulating acts, rules and standards;
- non-involvement of the Group and its employees in unlawful activity.

The VTB Group Management Committee established an Internal Audit Coordination Committee, as well as a Coordination Committee for compliance and internal control aimed at preventing money laundering and the financing of terrorism.

The main objectives of VTB Group's internal control functions include:

Internal audit	Compliance control	Combating money laundering and the financing of terrorism
•independently assessing the effectiveness of the internal control and risk-management systems, accounting reports, business processes and the activities of departments and individual employees, as well as assessing the economic expediency and effectiveness of operations and transactions; •verifying the reliability of internal control over automated information systems, as well as verifying methods used to secure property; •monitoring key risk areas and risk-control mechanisms, with a view to identifying shortcomings in the internal control system and emerging risks, and to create mechanisms to prevent these risks; •developing recommendations to improve the efficiency of systems, processes, procedures, transactions and activities by Group structural units and employees; •organising efficient communications with external regulatory bodies and auditors.	•ensuring compliance of the activities of the credit and non-credit financial institutions included within VTB Group with the legislation of the country of registration, internal regulations, standards of self-regulatory organisations and common business practice; •effective management of regulatory (compliance) risks; •creation and maintenance of an effective system of governance information and reporting; •preventing the involvement of VTB Group stakeholders or employees in unlawful activities (including corruption), improper use of insider information and market manipulation; •maintenance of VTB Group's strong reputation and raising its investment appeal in financial markets.	•ensuring compliance with the requirements of legislation in the sphere of combating money laundering and the financing of terrorism; •effective internal control for AML/CFT purposes as a means of ensuring the Bank's stability, reliability and solid reputation, as well as a way of safeguarding the interests of creditors and depositors; •minimising the risk of customer transactions involving money laundering or terrorist financing, as well as the risk of non-compliance with international sanctions; •avoiding involving Group employees in money laundering or terrorist financing.

The Bank's internal control system includes:

- governing bodies (General Meeting of Shareholders, Supervisory Council, Management Board, and the President and Chairman of the Management Board as the sole executive body);
- Statutory Audit Commission;
- Chief Accountant (and his or her deputies);
- Branch managers (and their deputies) and branch chief accountants (and their deputies);
- Structural units (responsible managers) in charge of internal control.

Monitoring of the internal control system is carried out on an ongoing basis by management and employees of the Bank's structural units, as well as by the Internal Audit Department.

Audit Committee

The Audit Committee operates as part of the structure of the Supervisory Council in order to facilitate the effective performance of the functions of the Supervisory Council in the area of control over the Bank's financial and economic activities.

More detailed information on the composition and activity of the Audit Committee can be found in Section 2.3 “Supervisory Council”.

Internal Audit Department

The Internal Audit Department provides direct support to the Bank’s governing bodies to ensure that VTB Group works effectively. The Internal Audit Department monitors internal control systems, conducts audits and provides impartial recommendations for improving banking operations and control procedures.

The Internal Audit Department is an independent structural unit of VTB Bank and operates under the direct supervision of the Supervisory Council. The Supervisory Council approves the Internal Audit Department’s work plans and monitors their implementation, reviews the Internal Audit Department’s reports on the results of audits and on monitoring of the internal control system, as well as reports on the implementation of the Internal Audit Department’s recommendations to address previously identified issues.

The Internal Audit Department’s organisational structure comprises a number of units responsible for day-to-day monitoring, coordination of internal control systems across the Group, and auditing. To increase the effectiveness of the monitoring of the internal control system in the Bank’s regional branches, the structure of the Internal Audit Department includes dedicated internal control teams at the branch level.

The Internal Audit Department is responsible for:

- verifying and assessing the effectiveness of the Bank’s internal control system;
- verifying the effectiveness of the Bank’s risk management system;
- verifying the reliability, completeness, objectivity and timeliness of the preparation of accounting and management reports;
- verifying compliance with Russian legislation and the requirements of regulatory and supervisory authorities;
- verifying the adequacy and reliability of the systems of internal control for the use of automated information systems;
- establishing uniform approaches to the organisation of VTB’s internal control systems.

The Internal Audit Department liaises with the Audit Committee and independent auditors, providing information on the internal control system and reporting any shortcomings during the audit period.

In 2017, the Internal Audit Department conducted 40 audits, including 10 audits of business processes at the Bank’s parent company and 30 audits of branch activities. In addition, as part of its ongoing monitoring, Internal Audit Department staff members conducted 713 thematic audits at the branch level.

The Internal Audit Department is also developing remote monitoring of retail activity at the branch level, which allows for rapid detection of violations/shortcomings and also provides more focused audits of the most critical areas, while reducing the pressure on the entities being audited.

In addition to conducting audits and monitoring the Bank’s internal control system, the Internal Audit Department’s priority is to monitor the activities of subsidiaries. In 2017, the Internal Audit Department conducted eight audits related to the activities of the Bank’s subsidiaries.

The Internal Audit Department also analyses, on a regular basis, reports on the work of Group companies’ internal audit services. To enhance the level of professionalism and to exchange experience, on-the-job training is provided for staff from the internal audit services within Group companies, including with the involvement of VTB Group functional coordinators.

Compliance control

The Bank established a Department of Compliance Control and Financial Monitoring to assist the Bank's governing bodies with the effective management of regulatory (compliance) (risks resulting in losses due to non-compliance with the legislation of the country of registration, the Bank's Charter, standards for self-regulatory organisations, and also as a result of the application of sanctions and/or the impact of other measures on the part of the supervisory authorities) in order to counteract money laundering and the financing of terrorism (AML/CFT), as well as to ensure a unified approach to internal (compliance) control and AML/CFT in the credit and non-credit financial institutions included in VTB Group.

The Department of Compliance Control and Financial Monitoring includes units that perform the function of internal (compliance) control and counteracting money laundering and the financing of terrorism.

The Department's remit includes:

- identifying regulatory (compliance) risks, keeping records of developments related to regulatory (compliance) risks, determining the probability of their occurrence and providing quantitative assessments of the possible consequences;
- monitoring regulatory (compliance) risks, including an analysis of new banking products and services introduced by the Bank, as well as their planned implementation methods, in terms of regulatory (compliance) risks;
- coordination and participation in the development of comprehensive measures aimed at reducing the level of regulatory (compliance) risk within the Bank and VTB Group;
- monitoring the effectiveness of regulatory (compliance) risk management;
- identification of conflicts of interest in the Bank's activities and among its employees, and participation in the development of bylaws aimed at minimising such conflicts;
- analysis of indicators related to customer complaints (requests, claims) and the Bank's compliance with customer rights;
- analysis of the economic expediency of the Bank's conclusion of contracts with legal entities or individual entrepreneurs for the provision of services and/or the completion of outsourcing operations by the Bank;
- participation in the development of bylaws aimed at preventing commercial bribery and corruption, and compliance with the rules on corporate conduct and professional ethics;
- establishment of a Violations and Corrupt Practices Hotline that can report messages from the Bank's employees about existing or potential violations, and reviewing such reports;
- coordination of Bank activities in order to comply with applicable legislation of other countries (FATCA, MAR, CRS, etc.);
- making recommendations, when necessary, on managing regulatory (compliance) risks;
- participation in the development of bylaws on regulatory risk management;
- functional coordination of the compliance function in the credit and non-credit financial institutions included within VTB Group;
- monitoring and oversight measures in terms of managing regulatory (compliance) risk within the Bank and within the credit and non-credit financial institutions included within VTB Group, complying with the requirements of the laws of the country of registration of the organisation in question within the framework of the rights granted to the Bank as a shareholder/participant;

- organisation of training for Bank employees on matters within the remit of the Compliance Control Department;
- informing VTB Group employees about issues related to the management of regulatory (compliance) risk.

In terms of countering money laundering and the financing of terrorism (AML/CFT), the following functions are performed:

- ensuring the efficient preparation and submission of information foreseen under legislation on AML/CFT to the authorised body;
- cooperation with state authorities of the Russian Federation, as well as Russian, foreign and international organisations and institutions (including financial institutions) on matters related to AML/CFT;
- development of an internal control system for AML/CFT and analysis of the results of the Bank's activities in the area of AML/CFT;
- organisation of work for the implementation of internal controls for AML/CFT purposes by the Bank's structural units and the coordination of their interaction;
- development and improvement of the rules for internal control for AML/CFT purposes and programmes for their implementation, as well as other internal regulations on issues related to AML/CFT;
- development of guidelines, regulations and procedures for cooperation in the implementation of tasks for AML/CFT purposes;
- consulting employees on matters that arise during the implementation of internal control rules for AML/CFT purposes, including the preparation of responses to requests concerning the methodology;
- coordination and organisation of training for Bank employees on AML/CFT matters;
- participation in the development of functional requirements for automated systems used to carry out functions related to AML/CFT;
- operational oversight over the implementation of rules and internal control programmes for AML/CFT purposes;
- functional coordination of the AML/CFT function in the credit and non-credit financial institutions included within VTB Group.

The key activities in the areas of internal (compliance) control and AML/CFT for VTB Bank and VTB Group in 2017 were measures related to the merger of VTB Bank and VTB24.

In 2017, the Department of Compliance Control and Financial Monitoring took part in the preparation of proposals on priority areas for improving internal (compliance) control systems and AML/CFT within VTB Group, in the development of common standards and principles, standardised methods and forms of reporting, bylaws on functional interaction based on the use of best practices and recommended for application within VTB Group in the field of internal (compliance) control and AML/CFT, and also took part in the harmonisation of technical objectives and requirements for the automation of processes in the field of internal (compliance) control and AML/CFT within the unified Bank and VTB Group.

In the context of activities aimed at the effective development of the systems of internal (compliance) control and AML/CFT within VTB Group, the Department of Compliance Control and Financial Monitoring interacts with the Coordination Commission on Compliance and Internal Control for the Purpose of Preventing Money Laundering and Terrorist Financing, under VTB Group's Management Committee, which includes the following tasks:

- development of common principles and standards for internal (compliance) control and AML/CFT within VTB Group;
- optimisation of information interaction between the credit and non-credit financial institutions included within VTB Group on matters related to compliance and AML/CFT;
- development and coordination of measures to optimise and unify actions and procedures in the area of internal (compliance) control and AML/CFT;
- introduction of best practices;
- improvement of the overall professional level of specialists in the field of internal (compliance) control and AML/CFT.

In 2017, the Coordination Commission on Compliance and Internal Control for the Purpose of Preventing Money Laundering and Terrorist Financing held two in-person meetings and three meetings with absentee voting, during which decisions were discussed and adopted for the purposes of ensuring the unity of approaches and the continuity of internal (compliance) control and AML/CFT in the credit and non-credit financial institutions included within VTB Group.

2.7. STATUTORY AUDIT COMMISSION

The Statutory Audit Commission is responsible for providing financial control over the Bank's financial and economic activities. The Statutory Audit Commission checks VTB Bank's compliance with regulations established by the laws of the Russian Federation on accounting procedures, compiling and reporting, the reliability of the information contained in reports and other financial documents of VTB Bank, the organisation of the Bank's internal control system, the execution by the Bank of instructions from the President and the Government of the Russian Federation. The Statutory Audit Commission is elected at the AGM, which determines its size and composition for the period until the next AGM.

At the AGM on 26 April 2017, shareholders re-elected the Statutory Audit Commission as follows:

1. Sergei Platonov – Chairman of the Statutory Audit Commission, Deputy Director of the Financial Policy Department, Ministry of Finance of the Russian Federation, member of the Statutory Audit Commission of Gazprom, member of the Statutory Audit Commission of AHML;
2. Yevgeny Gontmakher – Acting Chief Academic Official at the Primakov National Research Institute of World Economy and International Relations (affiliated with the Russian Academy of Sciences), Deputy Director of the Kudrin Fund of Civil Initiatives, member of the Management Board, Institute of Contemporary Development;
3. Mikhail Krasnov – Director of Vrysell (Switzerland), member of the Statutory Audit Commission of Rostelecom;
4. Anastasia Olshanova – Head of the Department for the Privatisation of Market Organisations at the Office of Property Relations and the Privatisation of Large Organisations of the Federal Agency for State Property Management, member of the Statutory Audit Commission of RNCB Bank;
5. Igor Repin – Deputy Executive Director of the Association of Professional Investors, Chairman of the Board of Directors of Vichugskaya Gorodskaya Elektroset, Chairman of the Board of Directors of Kineshenskaya GES, member of the Board of Directors of Magadanenergo, Chairman of the Board of Directors of Ekologiya;
6. Zahar Sabantsev – Head of the Division for Monitoring the Banking Sector, Analytical and Associated Work of the Financial Policy Department of the Ministry of Finance of the Russian Federation.

In 2017, the Statutory Audit Commission elected by the Annual General Meeting of Shareholders on 24 June 2016, in accordance with the Work Plan for VTB Bank's Statutory Audit Commission for 2016–

2017, audited VTB Bank's financial and economic activities for 2016, as a result of which the Statutory Audit Commission reached the following conclusions:

- VTB Bank's 2016 annual financial statements were prepared in accordance with the applicable legislation and regulations of the Russian Federation and the Bank of Russia;
- VTB Bank's 2016 annual report was prepared in accordance with the applicable legislation of the Russian Federation;
- the information contained in the Bank's accounting records and published financial statements for 2016 is true;
- no substantial violations of legal acts of the Russian Federation on accounting and reporting procedures or violations of legal acts of the Russian Federation in conducting financial and economic activities were found;
- no violations by the Bank of the statutory requirements set by the Bank of Russia were found;
- the Bank's systems of corporate governance, risk management and internal control meet the requirements established by the laws of the Russian Federation and regulations of the Bank of Russia, and are in accordance with the nature and scale of the Bank's operations.

During 2017, VTB Bank's Statutory Audit Commission held two in-person meetings. In accordance with a resolution of the General Meeting of Shareholders, the members of VTB Bank's Statutory Audit Commission may receive remuneration and compensation for expenses incurred in the course of their duties during their term in office.

Since 2016, the Regulation on Remuneration and Compensation Paid to the Members of the Statutory Audit Commission has been in force at the Bank. According to this document, the basic part of the remuneration paid to members of the Statutory Audit Commission is 20% of the average remuneration paid to a member of the Supervisory Council who is an independent director or representative of the state. The actual amount of remuneration paid to a member of the Statutory Audit Commission during the reporting period is determined based on the number of days in the corporate year during which said member of the Statutory Audit Commission carried out their duties. For chairing the Statutory Audit Commission, the Regulation on Remuneration and Compensation Paid to the Members of the Statutory Audit Commission establishes a bonus of 30% of the basic remuneration for members of the Bank's Statutory Audit Commission.

In accordance with applicable Russian legislation, members of the Statutory Audit Commission who are civil servants do not receive any remuneration.

At VTB Bank's Annual General Meeting of Shareholders on 26 April 2017, on the matter of the payment of remuneration to members of the Statutory Audit Commission who are not civil servants in the amount established by the bylaws of VTB Bank, it was decided:

to pay remuneration to members of the Statutory Audit Commission of VTB Bank who are not civil servants:

- for work as part of the Statutory Audit Commission of VTB Bank: RUB 920,000 each;
- for chairing the Statutory Audit Commission of VTB Bank: RUB 1,196,000.

To compensate members of the Statutory Audit Commission of VTB Bank who are not civil servants, during the performance of their duties, for all expenses associated with the performance of their duties as members of the Statutory Audit Commission of VTB Bank, namely: accommodation, travel and other fees and charges for various types of transport.

In 2017, the members of the Statutory Audit Commission of VTB Bank received remuneration in the amount of RUB 3,680,000.

In 2017, the Statutory Audit Commission was provided with information necessary to monitor the financial and economic activities of VTB Bank on a regular basis, including information concerning

indicators related to financial statements prepared in accordance with RAS standards, consolidated financial statements prepared in accordance with IFRS, information on the implementation of the directives issued by the government of the Russian Federation and the programme for selling non-core assets.

More details on VTB Bank's Statutory Audit Commission can be found on VTB's website at: <https://www.vtb.com/akcionery-i-investory/korporativnoe-upravlenie/revizionnaya-komissiya/>.

2.8. INVESTOR RELATIONS

Developing relations and maintaining a constructive dialogue with shareholders, investors and all interested parties within the investment community is one of VTB Group's key priorities. The Bank is one of the few issuers in the Russian market whose system of interaction with shareholders goes beyond required corporate procedures.

VTB senior management and authorised units engage with investors on an ongoing basis. The Investor Relations Department is responsible for communications with institutional investors, and the Shareholder Relations Service is responsible for communications with individual shareholders.

In early 2017, the Bank started implementing its Plan (Roadmap) on Improving the Perception of VTB among Minority Shareholders. The purpose of the programme is to create conditions for improving the investment attractiveness of the Bank's shares and expanding the retail business by improving how it is perceived by minority shareholders. The programme's key points include an increase in the proportion of long-term investors that are Group clients, increasing the degree of understanding of and support for the Bank's activities, growth in the involvement of shareholders in VTB's activities, as well as the further development of shareholder support programmes.

In 2017, the key investor relations events were:

- the Annual General Meeting of Shareholders;
- an extraordinary General Meeting of Shareholders and other corporate actions related to the merger with VTB24, including the redemption of VTB Bank and VTB24 shares and the conversion of VTB24 shares into VTB Bank shares;
- election of a new Shareholders Consultative Council;
- development of electronic communication channels and the introduction of e-voting at the General Meetings of Shareholders.

holding of a VTB Investor Day in London as part of the 10th anniversary of VTB's IPO and the launch of trading of the Bank's securities on the London Stock Exchange.

Merger with VTB24

At the end of 2017 and the beginning of 2018, VTB Group carried out a large-scale restructuring that required the approval of the General Meeting of Shareholders. In addition to the Annual General Meeting, an extraordinary General Meeting was convened in the form of absentee voting, where VTB Bank shareholders voted in favour of the restructuring of the Bank in the form of its merger with VTB24. In accordance with applicable legislation, those VTB Bank shareholders who voted against the merger or who did not take part in the voting had the right to redeem their shares at the price determined by VTB Bank's Supervisory Council on the basis of the report of an independent appraiser, i.e. RUB 0.038 per ordinary share. The Bank's registrar accepted requests from shareholders for the redemption of VTB shares from 9 November to 25 December 2017. In total, 53 shareholders requested redemption of their shares. Forty-four requests were satisfied, eight were provided with a justified refusal, and one request was withdrawn.

In early 2018, in the course of completing the restructuring process, VTB24's ordinary shares were purchased as part of the redemption in accordance with Article 75 of the Federal Law on Joint-Stock Companies.

The swap ratio was determined by the appraiser, Rossiiskaya otsenka, and set at 1/79 (one share of VTB24 was converted into 79 shares of VTB Bank). The terms of the conversion were the same for all VTB24 shareholders. At the same time, shares of VTB24 owned by VTB24 and VTB Bank were not subject to conversion and were redeemed. After the completion of the merger, VTB Bank became the legal successor to VTB24, taking on all its liabilities. As a result of the conversion of VTB24 shares into shares of VTB Bank, the number of VTB shareholders increased by 2,696, including 2,611 individuals.

Development of electronic communication channels and introduction of an e-voting system

As part of the reform of corporate activities in the Russian market undertaken by the central depository, a gradual transition of issuers and shareholders towards electronic channels of interaction is being carried out on all issues, including the realisation of the rights of investors in the implementation of various corporate actions.

In 2017, VTB Bank worked on the development of its electronic channels of communication with shareholders. The VTB Shareholder application, launched in December 2015, was installed by more than 11,800 users during the year, 3,500 of whom use it regularly. The application's most popular sections are Investment Ideas and Forecasts, Quotes, News and the Shareholder Calendar. In early 2017, the application added a Voting section for participation both in e-voting at General Meetings of Shareholders and in other surveys and ballots. This new means of voting was used by one out of every four voters who voted at the annual and extraordinary meetings of VTB's shareholders, making this the second most popular voting option, trailing only voting by personal computer.



In general, e-voting was firmly established in 2017 as the main voting tool for the Bank's shareholders. At the Annual General Meeting in April, for example, nearly 60% of participants took advantage of e-voting options, while about 75% of the more than 1,000 participants did so at the extraordinary meeting in November. In one survey, 88% of respondents said the e-voting system was fast, simple and convenient to use.

In 2017, as part of the development of the new structure for a unified corporate website, usability testing was carried out on sections of the site intended for shareholders and investors. The practice of sending out regular newsletters via email to clients of the VTB24 depository and users registered on the site www.vtb.ru continued.

Facebook and Twitter remained among the priority means of communication with shareholders, with engagement led through the accounts of the Shareholders Consultative Council. The number of Facebook followers increased by 70% over the year.

Meetings with shareholders and investors

Alongside the introduction of electronic technologies and services for shareholders, VTB Bank continued to hold regular meetings with shareholders and investors in Russia and abroad. This format of



interaction is one of the key elements of the Roadmap on Improving the Perception of the Bank.

In 2017, VTB held a traditional Investor Day for institutional investors in London, where VTB Group was represented by the President and Chairman of the Board of VTB Bank, Andrey Kostin, and representatives of the Group's top management. Held at the London Stock Exchange, the event began with a market opening ceremony, a right granted to the head of VTB Bank in honour of the 10th anniversary of VTB's IPO and the beginning of trading of the bank's securities on the London Stock Exchange. More than 130 representatives of the investment community attended the event.

During the reporting period, VTB held a strategic session for analysts from leading international investment banks in London; more than 300 meetings with institutional investors in Europe, the United States and Russia; and also took part in 16 investment conferences.

In 2017, 31 events were held for minority shareholders, including three Investor Days, 11 Open Doors Days, 10 stock market seminars, three broadcasts from major corporate events, three meetings with major shareholders, and one round table.

The largest events for individual shareholders in 2017 were Investor Days in Moscow (28 October 2017) and St Petersburg (11 December 2017). In total, 923 visitors attended these events. The Investor Day event in Moscow welcomed 527 visitors, an all-time record. In turn, VTB's Investor Day in St Petersburg was the first event to present VTB Group's new corporate identity to the public. The Bank's minority shareholders were the first to receive souvenirs featuring the new logo.

All Investor Days held in Russia included a consultation area where participants were able to take part in individual discussions about exercising their rights, brokerage and depositary services, the merger of VTB Bank and VTB24, discounted products and insurance, retirement benefit plans and insurance, dividends and securities management.

Seminars about the stock market were held in the cities that are classified as priority regions in terms of developing relations with shareholders. Among those invited to take part were VTB Bank shareholders and Group customers, in particular those with brokerage accounts. During the year, 517 participants took part in seminars in 10 cities: Samara, Krasnoyarsk, Tyumen, Surgut, Kazan, Vladivostok, Voronezh, Irkutsk, Rostov-on-Don and Ufa. The most popular events were those in Kazan and Irkutsk.

As has traditionally been the case, Open Doors Days were the most popular events, which, in 2017, were held in 11 different cities based at Bank branches and operational offices. At these meetings, shareholders were able to discuss their questions in detail with VTB experts and also take part in individual consultations. Some 176 shareholders participated in these events last year.

In connection with the launch of a programme of special offers for individual shareholders in 2017, a number of meetings were organised with the owners of large shareholdings that give them the right to receive maximum privileges within the programme.

In addition, in those cities where Investor Days and seminars for shareholders were held during the year, VTB Bank experts met with representatives of investment and brokerage companies, analysts and journalists. During the year, five events were held for representatives and investment companies, including a meeting with analysts from Russian brokerage and investment companies in Moscow, as well as seven press lunches, which were attended by journalists from 66 regional media outlets. Maintaining such contacts is included in the Roadmap on Improving the Perception of VTB Bank and Increasing the Investment Attractiveness of Its Shares.

During the meetings, topics discussed included the activities of VTB Group, as well as the concerns of private investors and investment companies and readers of the regional business press. Journalists and analysts also took part in other events, including Investor Days, seminars for shareholders and a round table in Yekaterinburg.

Shareholders Consultative Council

VTB's Shareholders Consultative Council is an independent, public, expert, consultative and advisory body that includes minority shareholders. The Shareholders Consultative Council has been operating since 2009 and aims to improve communication with VTB shareholders and to protect their rights and interests.

A new Council was elected in 2017 in line with the four-year cycle enshrined in the Regulation on the Shareholders Consultative Council. As with the two previous elections, any VTB shareholder over 21 years of age could run for election. Fifty-two people stood as candidates, 30 of whom were selected by a jury of experts and admitted to an open vote in which all Bank shareholders could participate—a right that 652 shareholders exercised in 2017. As a result, a new Shareholders Consultative Council was elected, which was expanded from 10 to 12 people for the purpose of improving efficiency. Of those elected, one has been a member of the Council since 2009, six since 2013, and five are first-time members. The Shareholders Consultative Council includes shareholders from Moscow, St Petersburg, Yekaterinburg and Irkutsk. As of 2017, the Chairman of the Council is Igor Repin.

At the Annual General Meeting of Shareholders, representatives of the Shareholders Consultative Council were once again elected by shareholders to the Bank's oversight and management bodies. Valery Petrov is a member of the Board of Directors and a member of the Supervisory Council, while Igor Repin represents the interests of shareholders on the Statutory Audit Commission.

In 2017, seven meetings of the Shareholders Consultative Council were held: two were held by the old Council and five by the newly elected Council. The first meetings of the newly elected Council showed the high level of interest on the part of its members in the development of VTB Group's business, in the interests of shareholders and in further strengthening the relationship of trust between the Bank and its minority shareholders.

Based on the results of discussions that took place at meetings of the Shareholders Consultative Council, improvements were made in customer service technologies and in Internet services, the terms of the programme of special offers for shareholders were amended, and recommendations were made on adjusting the Group's dividend policy.

More detailed information about VTB Bank's engagement with the investment community can be found in the Investor Relations section on VTB's website: www.vtb.ru.

2.9. DISCLOSURE POLICY

VTB Bank adheres to the principle of providing shareholders, potential investors and professional market participants with reliable information about the Bank's operations that may be useful for making investment and management decisions.

VTB discloses information in accordance with the requirements of the Federal Law on the Securities Market, the Federal Law on Joint-Stock Companies, the Regulation on Disclosure of Information by Securities Issuers, as well as the requirements of Moscow Exchange's Listing Rules and those of the London Stock Exchange, and in accordance with the recommendations of the Code of Corporate Governance.

In 2017, new editions of the Regulation on Information Policy (approved by the Bank's Supervisory Council on 1 December 2017, Minutes No 18) and the Regulation on the Procedure for Disclosure of Information in the Bank (approved by the Order No 700 of the President and Chairman of the Management Board of VTB Bank of 30 May 2017) entered into force.

In order to determine the procedure for companies under the Bank's control to provide information to the Bank, the Regulation for Cooperation on Information Disclosure in the Securities Market was approved by VTB Group's Management Committee (minutes No 26 of 31 December 2014).

The main platforms for disclosure are:

- the Interfax newswire and the Bank's dedicated page at: [www.e-disclosure.ru, http://www.e-disclosure.ru/portal/company.aspx?id=1210](http://www.e-disclosure.ru/portal/company.aspx?id=1210);
- the London Stock Exchange's website: www.londonstockexchange.com;
- and VTB Bank's corporate website www.vtb.ru, where the most complete information about the Bank's activities is regularly updated in accordance with the requirements of legislation and the Bank's bylaws.

VTB Bank pays particular attention to ensuring that any relevant information is available simultaneously to all shareholders and analysts in accordance with the principles of openness and transparency. The Bank strives to maintain the highest level of transparency in relation to its activities and it discloses a wide range of corporate information.

The Bank discloses its information in the form of an annual report, quarterly reports, lists of affiliates, material facts and announcements about events that are required to be disclosed in securities markets in Russia and abroad, listing prospectuses, annual financial statements, and other information subject to mandatory disclosure by joint stock companies.

Information about the system and practice of corporate governance is disclosed on the Bank's corporate website. This includes detailed information about compliance with the principles and recommendations of the Corporate Governance Code approved by the Board of Directors of the Bank of Russia on 21 March 2014, along with information about the organisation and general principles of corporate governance at VTB Bank, information about members of the Supervisory Council, members of the executive bodies, the Corporate Secretary, the chief accountant and his or her deputies, and the managers and chief accountants of Bank branches.

At the end of each financial year, VTB Bank publishes audited consolidated financial statements in accordance with IFRS, with an audit report and interim condensed consolidated financial statements in accordance with IFRS every three, six and nine months at: <https://www.vtb.ru/akcionery-i-investory/finansovaya-informaciya/>, as well as on VTB Bank's dedicated Interfax page at: www.e-disclosure.ru/portal/company.aspx?id=1210.

An electronic version of the Annual Report is uploaded onto the Bank's corporate website at <https://www.vtb.ru/akcionery-i-investory/raskrytie-informacii/godovoj-i-socialnyj-otchet/>, and the Bank's dedicated Interfax page at www.edisclosure.ru/portal/company.aspx?id=1210.

VTB Bank discloses a list of affiliates on a quarterly basis at www.vtb.ru/ir/disclosure/affiliated/ and on VTB Bank's Interfax page at www.edisclosure.ru/portal/company.aspx?id=1210.

In addition, in accordance with para. 7 of Article 7.1 of Federal Law No. 129-FZ on State Registration of Legal Entities and Individual Entrepreneurs of 8 August 2001 and Article 7 of Federal Law No. 127-FZ on Insolvency (Bankruptcy) of 26 October 2002, VTB Bank discloses information through a specialised resource called the Unified Register of Information on Facts about Legal Entities at www.fedresurs.ru.

The scope of the right of access to the Bank's documents and information is differentiated depending on the size of the shareholder's ownership of the Bank's voting shares. Shareholders with the same amount of rights are given equal access to the Bank's documents.

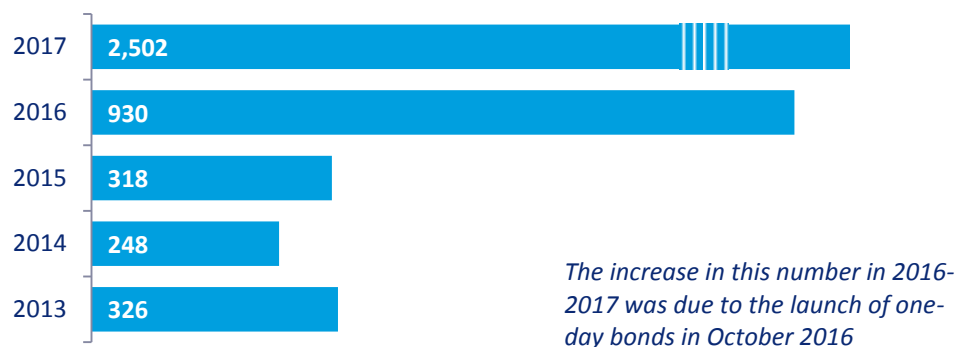
The procedure for providing shareholders and other eligible persons with information and documents upon their request is specified in the Regulation on the Procedure for the Provision of Documents at the Request of Persons Entitled to Such Access, which is posted on the Bank's website.

Detailed procedures for obtaining access to Bank documents, as well as the procedures for assessing the cost to the Bank for making copies of documents and bank details for payment are provided on the Bank's official website: www.vtb.ru.

Shareholders have the right to access documents that are publicly disclosed by the Bank, without sending requests to the Bank, via the Bank's website (www.vtb.ru) and through VTB Bank's Interfax page at www.e-disclosure.ru/portal/company.aspx?id=1210.

According to Interfax news agency, VTB Bank ranked second among "Information Disclosure Leaders for 2017". In 2017, the Bank disclosed 2,502 pieces of information.

Statistics on information disclosed by VTB Bank on the Interfax newswire



3. CORPORATE SOCIAL RESPONSIBILITY

In addition to complying with legislative requirements and providing high-quality service to its customers, VTB Group also takes on a number of voluntary obligations in its relationship with society.

Corporate social responsibility is one of the key elements of VTB's corporate conduct and helps to strengthen the Group's reputation in Russia and abroad; to unite the Group's subsidiary financial and credit companies around common values; and to reduce strategic, reputational and operational risks, which ultimately contributes to increased capitalisation and confirmation of the Bank's status at the international level.

This section of the report presents VTB Group's main results and achievements in 2017 in the field of personnel development, the implementation of social projects and resource management.

VTB Group's key performance results in the area of corporate social responsibility for 2017 (as of 31 December 2017)

Personnel

96,957 employees work for VTB Group

1,741 employees took part in VTB Group volunteer activities

26,863 employees underwent training to improve their qualifications and acquire professional skills

Social projects

RUB 6,371.5 million spent by VTB Bank on charity projects

RUB 7,195.66 million spent by VTB Bank on sponsorship projects

147 charity and **80** sponsorship projects implemented with the support of VTB Bank

26 children's hospitals in the capital and various regions of the Russian Federation were provided with assistance through the "A World without Tears" programme

For more details:

see VTB Bank's website: <https://www.vtb.ru/o-banke/bank-vtb/socialnaya-otvetstvennost/>
the VTB – Russia portal <https://vtbrussia.ru/>.

3.1. PERSONNEL

As part of the VTB Group strategy for 2017-2019, work continued in 2017 on all key areas of personnel management, while new strategic initiatives in the field of HR were launched. The most important large-scale project that took place during the year was the merger of VTB Bank and VTB24 into a single universal bank, which involved more than 50,000 employees (as of 1 January 2018).

VTB Group employees

average age: **34**

average work experience within VTB Group: **4 years**

75% women and **25%** men

81% of employees have higher education

Incentive and remuneration system

VTB's incentive and remuneration system is designed to motivate employees to be efficient and results-oriented. Incentives provided within the system reflect the results of the Group overall, as well as its business lines and divisions and the individual performance of employees.

In 2017, work continued in a number of priority areas, including improving the remuneration system to reflect changes to labour legislation and in accordance with new requirements to ensure that remuneration systems in place at credit institutions correspond to the type and scale of their operations, performance results, and the level and combination of assumed risks.

A key project in the area of incentives was the harmonisation of remuneration systems during the merger of VTB Bank and VTB24. In 2017, a remuneration and goal-setting system for the merged bank was developed and approved, which entered into force in 2018.

Simultaneously, based on the best practices of VTB Bank and VTB24 in the area of social programmes, a unified system of benefits for employees of the merged bank was developed, and mechanisms for providing material assistance to employees and other elements of the social package were synchronised.

Staff assessment and career planning

In 2017, an updated model and methodology for managing the performance of personnel in the merged bank was developed and approved. The model developed for performance management is designed to support the implementation of VTB Group's strategy, to guide employees towards achieving results, and to promote the main messages of the corporate culture. The model includes the Group's best practices in the area of performance management, provides for the establishment of goals on an annual basis in terms of both activities and development, and presents unified parameters for assessing the performance and behavioural skills of all employees of the merged bank.

2017 was also devoted to the development of important systemic solutions for the future of the merged bank. The principles and procedures for the formation of the staff reserve in the merged bank were updated. The updated approach takes into account the specifics of the scale of the merger and the creation of a universal bank. The solution implemented makes it possible to flexibly and quickly create a staff reserve in priority areas for the business, provides for a balance of the employer and employees' interests, while also providing opportunities for career and professional growth to the best-performing high-potential employees.

Training and development

VTB Group's corporate training programmes are aimed at improving the quality and effectiveness of management, updating knowledge and developing employees' skills in accordance with the strategic priorities and current business objectives of the Bank and VTB Group.

One of the achievements of 2017 in the field of training personnel was the VTB Negotiations Academy, which received rave reviews in the professional community: at "ReForum", a major annual business forum, the programme was awarded the Skolkovo Trend Award 2017 for developing partnerships in a comprehensive approach to training.

The programme takes the form of an educational kit that allows participants to select relevant topics, suitable formats and the time that they are ready to invest in developing negotiating skills. The programme's teachers are professional trainers with both Russian and international experience in the field of negotiations. The programme, which trained 620 people in 2017, was developed in close cooperation with the Group: the heads of various departments co-authored the programme's training modules, which made it possible to lend the course a highly practical element.

In 2017, employees of the Group's subsidiaries took part in a modular programme called "Project Thinking". To support integration processes, the programme included a "Team Training" module that was aimed at increasing the effectiveness of teamwork.

The flagship development programmes for managers in VTB Group—"New Leadership Energy" and "Management Procedures"—once again received high marks from participants and their managers in 2017.

Seventy middle managers from 11 VTB Group companies took part in the "New Energy Leadership" programme, which culminated with the defence of certification projects before the Expert Council, which included members of the Management Board, as well as heads of departments, directorates and subsidiaries. The cross-cutting theme of programme participants' certification projects was the

development of VTB's corporate culture, which made it possible to support the integration processes taking place in the Bank.

In 2017, more than 800 people underwent training through the "Management Procedures" programme for line managers. Participants included employees of VTB Group from various regions of Russia from St Petersburg to Khabarovsk. As part of the programme, a mentoring project was launched that enabled the most active participants to work on their personal development under the guidance of mentors from among VTB Bank's middle management.

During the reporting period, the VTB Knowledge Academy took place once again. Fifteen sessions were held during the year, covering a wide range of topics: from digital business transformation to coaching-style management. The interest in this training format is constantly growing within the Group, especially on the part of the employees of regional offices and subsidiaries, who were given an opportunity to take part through videoconferencing.

In support of the Group's digital transformation strategy, work has begun on teaching agile development management techniques (Agile/Scrum) for teams carrying out innovative projects. In the second half of 2017, a pilot training programme was successfully launched. Based on the results of the pilot programme, a target model of the programme was constructed, including pre-training diagnostics (an assessment of the team's maturity and collecting practical cases), training for all members of project teams, and post-training support for teams in the format of coaching consultations.

Another important initiative was the implementation of the information support programme for managers and employees during the merger of VTB and VTB24. The use of a variety of training formats, both face-to-face and remote, made it possible to offer the tools most needed by employees during the transition period. The section of the corporate training portal dedicated to integration processes is filled with training courses, notes, and recommended literature that employees can study independently at their convenience. A block of classroom events was developed for managers who need to quickly update their skills on topics such as "Change Management", "Staff Motivation", "Team Building", "Stress Management" and others.

Social training projects for employees

In addition to training programmes aimed at developing professional and managerial skills, first-aid training was organised during the year in the format of master classes for Bank employees. During the year, 15 training events were held on topics such as "A Universal Procedure for Emergency Response", "First Aid in Emergency Situations", "First Aid for Sudden Cardiac Arrest", "First Aid for Bleeding and Other Wounds", and "First Aid for Traffic Accidents and Trauma". More than 350 employees took part in the master classes. During the interactive classes, participants had the opportunity to learn first-aid skills for emergencies, how to treat bleeding and other wounds, and how to correctly transport wounded individuals.

This topic was very much in demand by all staff categories, and the training events were well received. According to participants, taking part in a master class on a particular subject enables them to qualitatively improve the level of their knowledge and skills on life-saving techniques in various critical situations.

The "Children 360" programme was further developed in 2017, for which VTB Bank received a prestigious first-place "HR-brand" award in the "Capital" category. This programme is a unique project in its scope for employees and their children. It helps staff strike a balance between professional and family life. To this end, the Bank carries out educational activities for both children and their parents ("financial literacy", "development of communication skills", "development of presentation skills"). In addition, employees, within the framework of the Parents Club, together with psychologists search for answers to the most important questions in the field of education.

3.2. RESPONSIBLE RESOURCE MANAGEMENT

One of VTB Group's main priorities is taking a responsible approach to the use of natural resources, with a great deal of attention paid to improving systems for managing the Group's own resource and power consumption.

In 2017, the Group continued to implement its Energy Conservation and Energy-Efficiency Programme.

VTB Group companies adhere to a policy of renovating existing real estate, which is aimed at, among other things, increasing the resource and energy efficiency of the facilities, compliance with high environmental standards and minimising the negative impact on the environment. These properties are then to be sold, which makes it possible to reduce the share of aging property in the Group's portfolio and to significantly reduce costs.

In 2017, several VTB Group companies finished moving into the Nevskaya Ratusha property in St Petersburg. In addition, preparatory measures and the optimisation of the deployment of VTB Bank divisions after the merger with VTB24 were completed.

As part of improving the resource and energy efficiency of VTB Group properties, resource- and energy-saving technologies are being introduced everywhere, and utility systems are being replaced or upgraded, which is having an impact on resource consumption and energy efficiency.

The resource- and energy-saving technologies used by VTB Group companies have a twofold impact, as they also reduce the harmful impact on the environment and the formation of hazardous waste.

In addition to the use of resource- and energy-saving technologies aimed at reducing the environmental impact, VTB Group companies are constantly reducing their own fleet and freight traffic and are optimising routes for automobile traffic. Every year, more and more tires and automotive batteries are being turned in for recycling.

In addition, the process of optimising office printing and the transition to electronic document management are still ongoing. Used batteries are constantly being collected, and waste paper is recycled. VTB Group employees also take part in voluntary environmental activities.

More information on the results of initiatives to reduce resource consumption and environmental programmes is available in VTB's Social Reports at <https://www.vtb.ru/o-banke/bank-vtb/socialnaya-otvetstvennost/>.

VTB Bank's resource consumption

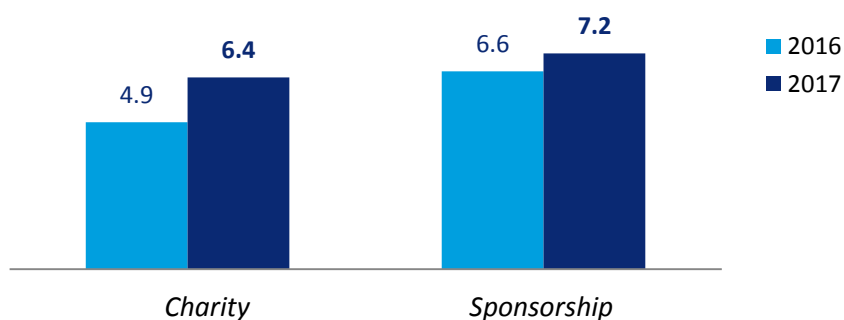
Resource type	2016		2017	
	Monetary equivalent, RUB million	Natural equivalent	Monetary equivalent, RUB million	Natural equivalent
Thermal energy, Gcal	44 717	56,2	45 918	59,1
Electricity, thousand kWh	83 186	355,1	80 817	356,5
Paper, tonnes	446	26,8	549	33,9
Fuel consumption, thousand litres	893	27,5	949	31,7

3.3. SOCIAL PROGRAMMES

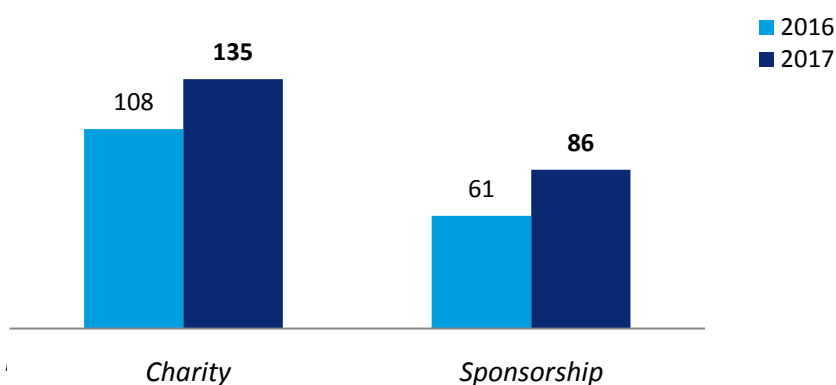
During the reporting period, VTB continued to support public-interest projects in the form of sponsorship and charitable assistance.

In 2017, VTB donated about RUB 13.6 billion for charitable and sponsorship projects (compared to RUB 11.5 billion).

VTB Bank expenses for sponsorship and charity (RUB billion)

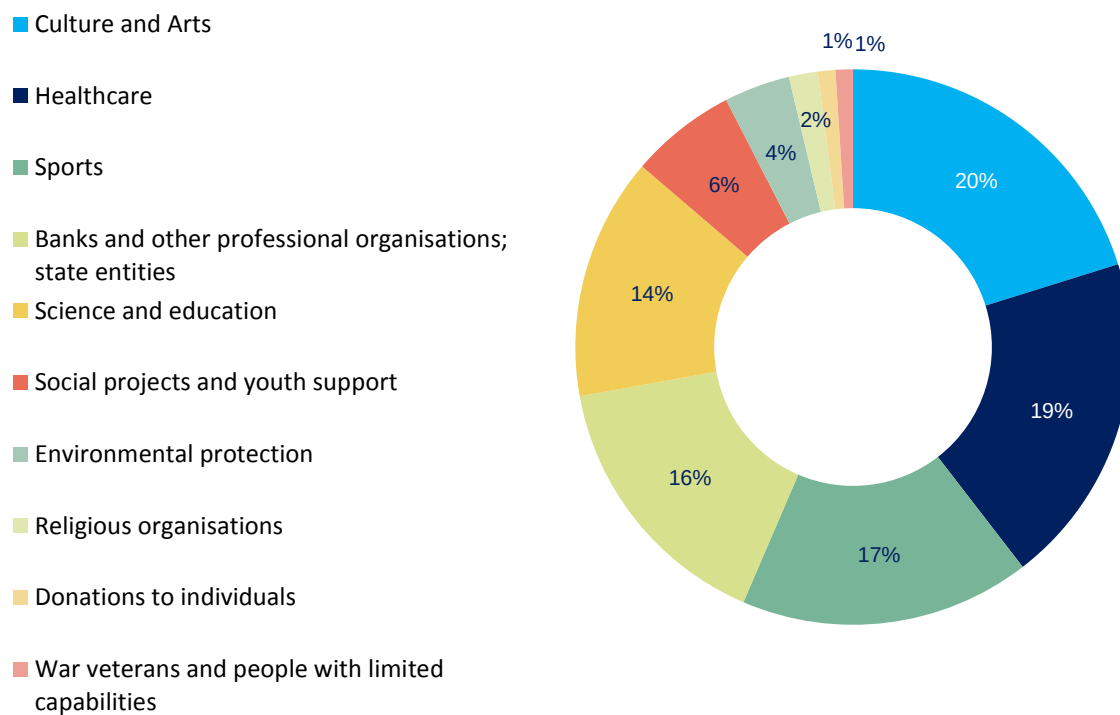


VTB Bank sponsorship and charitable activities



The main areas of VTB's sponsorship and charitable activities, in accordance with the Bank's Corporate Social Responsibility Policy, remain supporting sports, cultural events, the working environment and healthcare.

VTB Bank's charitable activities in 2017



Support for sport

Support for elite sport, the development of sporting infrastructure and the promotion of healthy lifestyles are important to VTB, allowing us to make a worthy contribution to the health of future generations and to maintain the prestige of Russian sports throughout the world.

In 2017, VTB Group companies continued to support international and national sports associations, as well as organisers of major sporting competitions and events. The total amount of allocated funds was RUB 7 billion.

In 2017, VTB Group supported various Russian and international and national sports associations and event, including:

Dinamo Sports Society	Formula 1
Russian Ice Hockey Federation	VTB United Basketball League
Activities within Sochi Autodrom	VTB Kremlin Cup tennis tournament
KAMAZ-master rally team	International Gymnastics Federation (FIG)
Public bicycle rental network in Moscow	"Zazhiganie" festival
Russian men's volleyball team	Students Basketball Association
Russian Men's Basketball team "Spartak"	Gaz-engine Truck KAMAZ-Master
Georgian School Olympic Games	Georgian Federation of Horse Racing
Federation of Sports Gymnastics of Russia	Georgian National Gymnastics Federation

Sponsorship of culture and art

From year to year, VTB Bank supports iconic domestic cultural institutions (museums, theatres) and key cultural events. In 2017, about RUB 2 billion was allocated for these purposes. Among the most impactful projects in 2017 were an exhibition of works by Zinaida Serebriakova in Moscow, the exhibition "The Winter Palace and the Hermitage" in St Petersburg and the annual Dmitry Shostakovich Prize ceremony

In February 2017, VTB Group became the title partner for the FORMULA 1 VTB RUSSIA GRAND PRIX

The Russian Grand Prix has been held in Sochi at the Sochi Autodrome in the Olympic Park since 2014, the year which marked 100 year after the last Russian Grand Prix, held in the pre-revolutionary period

The exhibition "Winter Palace and the Hermitage, 1917: History was made here" took place with support from VTB.

For the 100th anniversary of the Russian Revolution, the State Hermitage prepared a large-scale project under the general title "Storming of the Winter Palace". The project's central event was the exhibition "Winter Palace and the Hermitage, 1917: History was made here".

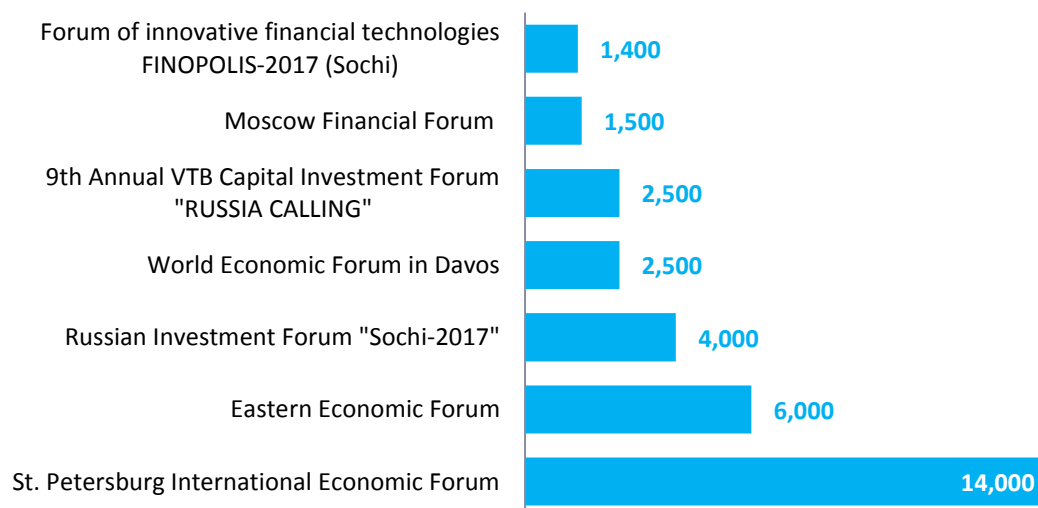
VTB's top 10 cultural projects in 2017

The ballet "Romeo and Juliet" staged by Alexei Ratmanský (Bolshoi Theatre)
A production of "Russian Hamlet" (Eifman Ballet)
An exhibition of works by Zinaida Serebriakova (State Tretyakov Gallery)
An exhibition for the 175th anniversary of the birth of Vasily Vereshchagin (State Russian Museum)
The Exhibition "Winter Palace and the Hermitage, 1917: History was made here" (State Hermitage)
The Exhibition "Chaim Soutine: A Retrospective" (Pushkin State Museum)
The "Chief Cadres" cultural and educational exhibition project (Manezh)
The official ceremony to award the Dmitry Shostakovich Prize
The exhibition "Venice in the Era of the Renaissance: Titian, Tintoretto, Veronese" (Pushkin Museum)
The Exhibition "Lords of the Ocean: Treasures of the Portuguese Empire in the 16th-17th Centuries" (Moscow Kremlin Museums)

Participation in business life

VTB Group is a leading international financial group based in Russia. Given the scale of VTB's activities, we believe it is extremely important to be a partner in major economic forums and industry events held both in Russia and abroad.

VTB's top 10 cultural projects in 2017



Support for healthcare

An important area of VTB Bank's socially oriented activities is its support for children's medical institutions. In total in 2017, 56 hospitals and children's institutions were provided with charitable assistance worth RUB 1.2 billion.

The most impactful project, which VTB has been implementing for 14 years, is the "A World without Tears" programme, which supports large children's hospitals throughout Russia.

Within this project, VTB Bank provides hospitals with medicines, consumables and equipment based on their requests. Throughout the programme's existence, more than 100 children's hospitals in the capital and various regions of the Russian Federation have received assistance. Every year, more than 20,000 children receive medical assistance within the framework of the "A World without Tears" charitable programme. In 2017 alone, charitable assistance amounting to RUB 47 million was provided to 26 children's medical institutions across Russia.

14 years

100 children's hospitals
20,000 children every year



"A World without Tears" programme

2017

26 children's medical institutions
RUB 47 million donated within the "A World without Tears"
programme

Supporting environmental protection projects

Concern for the environment is one of the main aspects of the Group's social activities. Activities aimed at minimising the Group's impact on the natural environment are implemented in two main areas: improving the Group's environmental efficiency and supporting environmental projects and initiatives.

Due to the announcement of 2017 as the Year of the Environment in Russia, VTB Bank paid special attention to supporting activities aimed at protecting the environment and solving global environmental problems. Notably, the Bank acted as a partner for three forums devoted to problems of environmental protection, held in Moscow and Arkhangelsk.

In 2017, VTB Bank continued its cooperation with the World Wildlife Fund (WWF) through the programme "Conservation of Big Cats in the Russian Federation", launched in 2015. In 2017, the second tranche of USD 1 million was paid.

Since March 2014, VTB Bank has been performing the functions of the Russian Executive Agency (REA) for the Arctic Council Project Support Instrument. The main task of the REA is to assist in the preliminary selection, evaluation and preparation of project proposals and projects at its own cost and using its own personnel.

In addition, the Bank worked with charitable organisations on environmental issues in 2017.

More details about VTB's social projects:

on the VTB - Russia portal at <https://vtbrussia.ru/>,

in VTB's Social Reports at <https://www.vtb.ru/o-banke/bank-vtb/socialnaya-otvetstvennost/>.

In December 2017, VTB Bank was declared the winner of the annual ERAECO 2017 National Environmental Prize in the "Eco-World" category for support for environmental projects, in particular for work within the framework of a large-scale project called "Conservation of Big Cats in the Russian Federation".

4. FINANCIAL STATEMENTS

4.1. RESPONSIBILITY STATEMENT

VTB Management is responsible for preparing the Annual Report and the Group's consolidated financial statements in accordance with applicable laws and regulations.

I confirm that to the best of my knowledge:

- the consolidated financial statements of VTB Bank and its subsidiaries (together "the Group"), prepared in accordance with IFRS, give a true and fair view of the assets, liabilities, financial position and profit or loss of the Group; and
- this Annual Report includes a fair review of the development and performance of the Group's business and position, together with a description of the principal risks and uncertainties that the Group faces.

VTB Bank President and Chairman of the Management Board

Andrey Kostin

VTB Bank

SUMMARY CONSOLIDATED FINANCIAL STATEMENTS DERIVED FROM
THE AUDITED CONSOLIDATED FINANCIAL STATEMENTS
AND INDEPENDENT AUDITOR'S REPORT

FOR THE YEAR ENDED 31 DECEMBER 2017

**INDEPENDENT AUDITOR'S REPORT
ON THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS**

Translation of the original Russian version

To the Shareholders and Supervisory Council of VTB Bank (Public Joint-Stock Company)

The accompanying summary consolidated financial statements, which comprise the summary consolidated income statement and summary consolidated statement of comprehensive income for the year ended 31 December 2017, summary consolidated statement of financial position as at 31 December 2017, summary consolidated statements of cash flows and changes in shareholders' equity for the year ended 31 December 2017, are derived from the audited consolidated financial statements of VTB Bank (Public Joint-Stock Company) and its subsidiaries (hereinafter, the Group) for the year ended 31 December 2017. We expressed an unmodified audit opinion on those consolidated financial statements in our auditor's report dated 26 February 2018. Those consolidated financial statements and the summary consolidated financial statements of the Group do not reflect the effects of events that occurred subsequent to the date of our auditor's report on those consolidated financial statements.

The summary consolidated financial statements do not contain all the disclosures required by International Financial Reporting Standards. Reading the summary consolidated financial statements, therefore, is not a substitute for reading the audited consolidated financial statements of the Group.

Management's responsibility for the summary consolidated financial statements

Management is responsible for the preparation of a summary of the audited consolidated financial statements on the basis described in the footnote to the summary consolidated financial statements.

Auditor's responsibility

Our responsibility is to express an opinion on the summary consolidated financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 "Engagements to Report on Summary Financial Statements", as adopted in the Russian Federation by Order No. 207n of the Ministry of Finance of the Russian Federation dated 9 November 2016.

Opinion

In our opinion, the summary consolidated financial statements derived from the audited consolidated financial statements of the Group for the year ended 31 December 2017 are consistent, in all material respects, with those audited consolidated financial statements, on the basis described in the footnote to the summary consolidated financial statements.

P.P. TSEBERNYAK
Partner
Ernst & Young LLC

16 April 2018

Details of the audited entity

Name: VTB Bank (Public Joint-Stock Company)
Record made in the State Register of Legal Entities on 22 November 2002, State Registration Number 1027739609391.
Address: Russia 190000, Saint-Petersburg, Bolshaya Morskaya st, 29.

Details of the auditor

Name: Ernst & Young LLC
Record made in the State Register of Legal Entities on 5 December 2002, State Registration Number 1027739707203.
Address: Russia 115035, Moscow, Sadovnicheskaya naberezhnaya, 77, bldg 1.
Ernst & Young LLC is a member of Self-regulated organization of auditors "Russian Union of auditors" (Association) ("SRO RUA"). Ernst & Young LLC is included in the control copy of the register of auditors and audit organizations, main registration number 11603050648.

VTB BANK SUMMARY CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)

	2017	2016 (restated)	Change
Interest income	1,056.2	1,107.8	-4.7%
Interest expense	(581.3)	(680.8)	-14.6%
Payments to deposit insurance system	(14.7)	(12.0)	22.5%
Net interest income	460.2	415.0	10.9%
Provision charge for impairment of debt financial assets	(169.2)	(144.7)	16.9%
Net interest income after provision for impairment	291.0	270.3	7.7%
Net fee and commission income	95.3	81.8	16.5%
Gains net of losses arising from financial instruments at fair value through profit or loss	12.8	8.8	45.5%
Gains net of losses from investment financial assets available-for-sale	13.6	7.7	76.6%
Losses net of gains arising from foreign currencies and precious metals	(12.4)	(17.6)	-29.5%
Other gains net of losses on financial instruments at amortised cost	39.1	3.5	1,017.1%
Share in profit of associates and joint ventures	1.2	3.0	-60.0%
(Losses)/gains from disposal of subsidiaries and associates	(0.5)	6.3	-107.9%
(Losses net of gains)/gains net of losses arising from extinguishment of liabilities	(0.1)	0.3	-133.3%
Provision charge for impairment of other assets, credit related commitments and legal claims	(2.7)	(66.5)	-95.9%
Other operating income	13.1	7.8	67.9%
Non-interest gains/(losses)	64.1	(46.7)	237.3%
Income from operating lease of equipment	22.5	18.8	19.7%
Expenses related to equipment leased out	(14.1)	(25.5)	-44.7%
Net income/(loss) on operating leasing	8.4	(6.7)	225.4%
Net insurance premiums earned	82.6	59.2	39.5%
Net insurance claims incurred, movement in liabilities to policyholders and acquisition costs	(61.8)	(49.1)	25.9%
Revenues less expenses from insurance activity	20.8	10.1	105.9%
Revenue and other gains from other non-banking activities	61.4	43.5	41.1%
Cost of sales and other expenses from other non-banking activities	(61.5)	(42.8)	43.7%
Impairment of land, premises and intangible assets other than goodwill used in non-banking activities	(16.1)	(3.6)	347.2%
Net (loss)/gain from change in fair value of investment property recognised on revaluation or disposal	(23.1)	8.2	-381.7%
Gain/(loss) from disposal of disposal group held for sale	0.8	(1.3)	161.5%
Revenues less expenses from other non-banking activities	(38.5)	4.0	-1,062.5%
Impairment of land, premises and intangible assets other than goodwill	(3.7)	(0.8)	362.5%
Impairment of goodwill	(2.7)	–	n/a
Other operating expense	(14.1)	(12.6)	11.9%
Staff costs and administrative expenses	(260.9)	(233.9)	11.5%
Non-interest expenses	(281.4)	(247.3)	13.8%
Profit before tax	159.7	65.5	143.8%
Income tax expense	(39.7)	(21.6)	83.8%
Net profit after tax	120.0	43.9	173.3%
Profit after tax from subsidiaries acquired exclusively with a view to resale	0.1	7.7	-98.7%
Net profit	120.1	51.6	132.8%
Net profit/(loss) attributable to:			
Shareholders of the parent	120.3	52.3	130.0%
Non-controlling interests	(0.2)	(0.7)	-71.4%
Basic and diluted earnings per share (expressed in Russian roubles per share)	0.00855	0.00318	168.9%
Basic and diluted earnings per share before profit after tax from subsidiaries acquired exclusively with a view to resale (expressed in Russian roubles per share)	0.00854	0.00258	231.0%

These summary consolidated financial statements do not contain all the disclosures required by International Financial Reporting Standards (IFRS), namely summary of principal accounting policies and other explanatory information as presented in the audited consolidated financial statements of VTB Bank and its subsidiaries (together "the Group") prepared in accordance with IFRS for the years ended 31 December 2017. For a better understanding of the Group's financial position, its financial performance and its cash flows, these summary consolidated financial statements should be read in conjunction with the audited consolidated financial statements of the Group from which these summary consolidated financial statements were derived. Copies of audited consolidated financial statements can be obtained from VTB Bank.

Translation from original in Russian

**VTB BANK SUMMARY CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)**

	2017	2016
Net profit	120.1	51.6
Other comprehensive income/(loss):		
Other comprehensive income/(loss) to be reclassified to profit or loss in subsequent periods:		
Net result on financial assets available-for-sale, net of tax	2.5	9.3
Cash flow hedges, net of tax	(0.1)	(0.9)
Share of other comprehensive loss of associates and joint ventures	(0.4)	(3.0)
Effect of translation, net of tax	0.3	(31.5)
Total other comprehensive income/(loss) to be reclassified to profit or loss in subsequent periods	2.3	(26.1)
Other comprehensive income/(loss) not to be reclassified to profit or loss in subsequent periods:		
Actuarial gains net of losses / (losses net of gains) arising from difference between pension plan assets and obligations	1.1	(1.3)
Revaluation reserve of assets of disposal groups held for sale	–	(0.4)
Land and premises revaluation, net of tax	(0.1)	(0.1)
Total other comprehensive income/(loss) not to be reclassified to profit or loss in subsequent periods	1.0	(1.8)
Other comprehensive income/(loss), net of tax	3.3	(27.9)
Total comprehensive income	123.4	23.7
Total comprehensive income/(loss) attributable to:		
Shareholders of the parent	123.6	25.0
Non-controlling interests	(0.2)	(1.3)

These summary consolidated financial statements do not contain all the disclosures required by International Financial Reporting Standards (IFRS), namely summary of principal accounting policies and other explanatory information as presented in the audited consolidated financial statements of VTB Bank and its subsidiaries (together “the Group”) prepared in accordance with IFRS for the years ended 31 December 2017. For a better understanding of the Group’s financial position, its financial performance and its cash flows, these summary consolidated financial statements should be read in conjunction with the audited consolidated financial statements of the Group from which these summary consolidated financial statements were derived. Copies of audited consolidated financial statements can be obtained from VTB Bank.

VTB BANK SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)

	2017	2016 (restated)	Change
ASSETS			
Cash and short-term funds	773.8	452.9	70.9%
Mandatory cash balances with central banks	97.1	95.1	2.1%
Non-derivative financial assets at fair value through profit or loss	313.4	267.1	17.3%
- Non-derivative financial assets at fair value through profit or loss	313.1	240.7	30.1%
- Non-derivative financial assets at fair value through profit or loss, pledged under repurchase agreements	0.3	26.4	-98.9%
Derivative financial assets	175.6	180.5	-2.7%
Due from other banks	835.0	1,051.2	-20.6%
- Due from other banks	835.0	1,037.4	-19.5%
- Due from other banks, pledged under repurchase agreements	—	13.8	-100.0%
Loans and advances to customers	9,171.4	8,854.5	3.6%
- Loans and advances to customers	9,171.4	8,664.8	5.8%
- Loans and advances to customers, pledged under repurchase agreements	—	189.7	-100.0%
Investment financial assets	285.6	340.7	-16.2%
- Investment financial assets	285.2	324.2	-12.0%
- Investment financial assets, pledged under repurchase agreements	0.4	16.5	-97.6%
Investments in associates and joint ventures	117.1	93.3	25.5%
Assets of disposal groups and non-current assets held for sale	17.2	15.6	10.3%
Land, premises and equipment	348.2	352.7	-1.3%
Investment property	210.4	235.5	-10.7%
Goodwill and other intangible assets	157.4	155.1	1.5%
Deferred income tax asset	98.7	87.8	12.4%
Other assets	408.4	406.2	0.5%
Total assets	13,009.3	12,588.2	3.3%
LIABILITIES			
Due to other banks	810.3	1,208.9	-33.0%
Customer deposits	9,144.7	7,346.6	24.5%
Derivative financial liabilities	134.0	165.0	-18.8%
Other borrowed funds	304.5	1,307.2	-76.7%
Debt securities issued	322.7	399.6	-19.2%
Liabilities of disposal groups held for sale	7.0	2.2	218.2%
Deferred income tax liability	30.7	35.2	-12.8%
Other liabilities	582.5	486.5	19.7%
Total liabilities before subordinated debt	11,336.4	10,951.2	3.5%
Subordinated debt	193.2	224.1	-13.8%
Total liabilities	11,529.6	11,175.3	3.2%
EQUITY			
Share capital	659.5	659.5	0.0%
Share premium	433.8	433.8	0.0%
Perpetual loan participation notes	129.6	136.5	-5.1%
Treasury shares and bought back perpetual loan participation notes	(3.3)	(2.5)	32.0%
Other reserves	46.1	44.8	2.9%
Retained earnings	200.4	131.1	52.9%
Equity attributable to shareholders of the parent	1,466.1	1,403.2	4.5%
Non-controlling interests	13.6	9.7	40.2%
Total equity	1,479.7	1,412.9	4.7%
Total liabilities and equity	13,009.3	12,588.2	3.3%

Approved for issue and signed on 26 February 2018

A.L. Kostin
President – Chairman of the Management Board

Herbert Moos
Chief Financial Officer – Deputy Chairman of the Management Board

These summary consolidated financial statements do not contain all the disclosures required by International Financial Reporting Standards (IFRS), namely summary of principal accounting policies and other explanatory information as presented in the audited consolidated financial statements of VTB Bank and its subsidiaries (together "the Group") prepared in accordance with IFRS for the years ended 31 December 2017. For a better understanding of the Group's financial position, its financial performance and its cash flows, these summary consolidated financial statements should be read in conjunction with the audited consolidated financial statements of the Group from which these summary consolidated financial statements were derived. Copies of audited consolidated financial statements can be obtained from VTB Bank.

Translation from original in Russian

VTB BANK SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)

	2017	2016 (restated)
Cash flows from / (used in) operating activities		
Interest received	1,068.6	1,090.8
Interest paid	(560.9)	(684.1)
Payments to deposit insurance system	(14.3)	(11.3)
Gains received on operations with financial assets at fair value through profit or loss	(4.0)	14.9
Losses incurred on dealing in foreign currency	(27.4)	(164.2)
Fees and commissions received	130.1	110.8
Fees and commissions paid	(35.1)	(28.3)
Other operating income received	8.0	8.9
Other operating expenses paid	(17.9)	(10.4)
Income received from operating lease of equipment	20.6	17.0
Expenses paid related to equipment leased out	(2.4)	(4.2)
Net insurance premiums received	111.0	83.8
Net insurance claims paid	(28.4)	(26.1)
Income received from non-banking activities	36.8	56.6
Expenses paid in non-banking activities	(34.5)	(38.9)
Staff costs, administrative expenses paid	(238.0)	(209.9)
Income tax paid	(52.1)	(31.6)
Cash flows from operating activities before changes in operating assets and liabilities	360.1	173.8
Net decrease/(increase) in operating assets		
Net increase in mandatory cash balances with central banks	(2.5)	(25.9)
Net decrease in restricted cash	–	2.8
Net (increase)/decrease in correspondent accounts in precious metals	(31.5)	2.0
Net increase in financial assets at fair value through profit or loss	(46.9)	(4.1)
Net decrease in due from other banks	176.6	142.1
Net increase in loans and advances to customers	(229.8)	(149.8)
Net decrease/(increase) in other assets	35.5	(69.5)
Net (decrease)/increase in operating liabilities		
Net (decrease)/increase in due to other banks	(473.3)	274.0
Net increase in customer deposits	1,635.5	617.8
Net increase/(decrease) in debt securities issued other than bonds issued	22.4	(84.2)
Net (decrease)/increase in other liabilities	(12.4)	72.8
Net cash from operating activities	1,433.7	951.8
Cash flows from / (used in) investing activities		
Dividends and other distributions received	5.8	8.8
Proceeds from redemption and sales of investment financial assets available-for-sale	416.8	272.5
Purchase of investment financial assets available-for-sale	(345.0)	(259.8)
Purchase of subsidiaries, net of cash	0.2	(12.8)
Disposal of subsidiaries, net of cash	14.5	3.2
Purchase of and contributions to associates	–	(2.3)
Proceeds from sale of share in associates	4.1	2.6
Purchase of investment financial assets held-to-maturity	(7.1)	(41.5)
Proceeds from redemption of investment financial assets held-to-maturity	9.3	26.5
Purchase of land, premises and equipment	(61.5)	(81.7)
Proceeds from sale of land, premises and equipment	6.2	4.2
Purchase or construction of investment property	(60.7)	(14.8)
Proceeds from sale of investment property	29.9	6.8
Purchase of intangible assets	(11.2)	(5.7)
Proceeds from sale of intangible assets	0.2	1.2
Net cash from / (used in) investing activities	1.5	(92.8)

These summary consolidated financial statements do not contain all the disclosures required by International Financial Reporting Standards (IFRS), namely summary of principal accounting policies and other explanatory information as presented in the audited consolidated financial statements of VTB Bank and its subsidiaries (together “the Group”) prepared in accordance with IFRS for the years ended 31 December 2017. For a better understanding of the Group’s financial position, its financial performance and its cash flows, these summary consolidated financial statements should be read in conjunction with the audited consolidated financial statements of the Group from which these summary consolidated financial statements were derived. Copies of audited consolidated financial statements can be obtained from VTB Bank.

Translation from original in Russian

VTB BANK SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS (CONTINUED)
FOR THE YEAR ENDED 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)

	2017	2016
Cash flows from / (used in) financing activities		
Dividends paid	(44.5)	(51.1)
Proceeds net of repayment in short-term local bonds issued	25.0	25.2
Repayment of local bonds	(6.0)	(73.8)
Buy-back of local bonds	(4.7)	(32.9)
Proceeds from sale of previously bought-back local bonds	7.1	51.5
Repayment of Eurobonds	(105.2)	(36.0)
Buy-back of Eurobonds	(11.4)	(12.3)
Proceeds from sale of previously bought-back Eurobonds	9.8	10.3
Proceeds from syndicated loans	–	0.5
Repayment of syndicated loans	(10.0)	(136.4)
Proceeds from sale of previously bought-back syndicated loans	–	13.7
Proceeds from other borrowings and funds from local central banks	473.2	2,910.2
Repayment of other borrowings and funds from local central banks	(1,446.1)	(3,576.5)
Purchase of non-controlling interest in subsidiaries	(1.6)	–
Repayment of subordinated debt	(24.3)	(6.2)
Buy-back of subordinated debt	(0.3)	(9.0)
Proceeds from sale of previously bought-back subordinated debt	0.2	0.6
Cash received from sale of treasury shares	2.2	17.9
Cash paid for treasury shares	(2.5)	(17.9)
Proceeds from sale of non-controlling interest in subsidiaries	–	2.5
Proceeds from issue to non-controlling interest holders in subsidiaries	3.4	5.5
Buy-back of perpetual loan participation notes	(5.4)	(7.9)
Proceeds from sale of previously bought-back perpetual loan participation notes	4.9	8.3
Amounts paid on perpetual loan participation notes	(12.3)	(14.0)
Net cash used in financing activities	(1,148.5)	(927.8)
Effect of exchange rate changes on cash and cash equivalents	2.8	(44.2)
Net increase/(decrease) in cash and cash equivalents	289.5	(113.0)
At the beginning of period	448.6	561.6
At the end of period	738.1	448.6
Non-cash changes in liabilities arising from financial activities	2017	2016
Foreign currency translation		
Local bonds	(0.1)	0.7
Eurobonds	11.7	19.4
Syndicated loans	(3.4)	0.2
Funds from local central banks	(0.3)	59.0
Subordinated debt	5.2	25.7
Other non-cash changes		
Short-term local bonds	0.2	–
Local bonds	2.5	1.9
Eurobonds	1.4	(1.6)
Syndicated loans	1.0	2.6
Funds from local central banks	19.8	3.5
Subordinated debt	1.4	(1.6)

These summary consolidated financial statements do not contain all the disclosures required by International Financial Reporting Standards (IFRS), namely summary of principal accounting policies and other explanatory information as presented in the audited consolidated financial statements of VTB Bank and its subsidiaries (together “the Group”) prepared in accordance with IFRS for the years ended 31 December 2017. For a better understanding of the Group’s financial position, its financial performance and its cash flows, these summary consolidated financial statements should be read in conjunction with the audited consolidated financial statements of the Group from which these summary consolidated financial statements were derived. Copies of audited consolidated financial statements can be obtained from VTB Bank...

Translation from original in Russian

VTB BANK SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS (CONTINUED) FOR THE YEAR ENDED 31 DECEMBER (IN BILLIONS OF RUSSIAN ROUBLES)

	Attributable to shareholders of the parent						Non-controlling interests	Total equity
	Share capital	Share premium	Perpetual loan participation notes	Treasury shares and bought back perpetual loan participation loan notes	Other reserves	Retained earnings		
Balance at 1 January 2016	659.5	433.8	164.0	(2.9)	72.2	127.6	(0.1)	1,454.1
Changes in accounting policies	–	–	–	–	–	2.7	–	2.7
Balance at 1 January 2016 (restated)	659.5	433.8	164.0	(2.9)	72.2	130.3	(0.1)	1,456.8
Net result from bought back perpetual loan participation notes transactions	–	–	–	0.4	–	–	–	0.4
Profit/(loss) for the period	–	–	–	–	–	52.3	(0.7)	51.6
Other comprehensive loss	–	–	–	–	(26.0)	(1.3)	(0.6)	(27.9)
Total comprehensive income/(loss) for the period	–	–	–	–	(26.0)	51.0	(1.3)	23.7
Transfer of premises revaluation reserve upon disposal or depreciation	–	–	–	–	(1.1)	1.1	–	–
Share-based payments	–	–	–	–	–	(0.2)	–	(0.2)
Increase in share capital of subsidiaries	–	–	–	–	–	0.2	2.3	2.5
Acquisition of subsidiaries	–	–	–	–	–	–	1.7	1.7
Disposal of subsidiaries	–	–	–	–	(0.3)	0.4	1.0	1.1
Sale and purchase of non-controlling interests	–	–	–	–	–	(0.6)	6.3	5.7
Amounts paid on perpetual loan participation notes	–	–	–	–	–	(14.0)	–	(14.0)
Foreign exchange translation of perpetual loan participation notes	–	–	(27.5)	–	–	27.5	–	–
Tax effect recognised on perpetual loan participation notes	–	–	–	–	–	(2.7)	–	(2.7)
Dividends declared	–	–	–	–	–	(50.9)	(0.2)	(51.1)
Other distributions	–	–	–	–	–	(11.0)	–	(11.0)
Balance at 31 December 2016 (restated)	659.5	433.8	136.5	(2.5)	44.8	131.1	9.7	1,412.9
Net result from treasury shares transactions	–	–	–	(0.3)	–	–	–	(0.3)
Net result from bought back perpetual loan participation notes transactions	–	–	–	(0.5)	–	–	–	(0.5)
Profit/(loss) for the period	–	–	–	–	–	120.3	(0.2)	120.1
Other comprehensive income	–	–	–	–	2.2	1.1	–	3.3
Total comprehensive income/(loss) for the period	–	–	–	–	2.2	121.4	(0.2)	123.4
Transfer of premises revaluation reserve upon disposal or depreciation	–	–	–	–	(1.6)	1.6	–	–
Share-based payments	–	–	–	–	–	(0.1)	–	(0.1)
Increase in share capital of subsidiaries	–	–	–	–	–	–	3.6	3.6
Disposal of subsidiaries	–	–	–	–	–	–	(0.8)	(0.8)
Purchase and other operations with non-controlling interests	–	–	–	–	0.7	(4.9)	2.2	(2.0)
Amounts paid on perpetual loan participation notes	–	–	–	–	–	(12.3)	–	(12.3)
Foreign exchange translation of perpetual loan participation notes	–	–	(6.9)	–	–	6.9	–	–
Tax effect recognised on perpetual loan participation notes	–	–	–	–	–	1.1	–	1.1
Dividends declared	–	–	–	–	–	(44.4)	(0.9)	(45.3)
Balance at 31 December 2017	659.5	433.8	129.6	(3.3)	46.1	200.4	13.6	1,479.7

These summary consolidated financial statements do not contain all the disclosures required by International Financial Reporting Standards (IFRS), namely summary of principal accounting policies and other explanatory information as presented in the audited consolidated financial statements of VTB Bank and its subsidiaries (together “the Group”) prepared in accordance with IFRS for the years ended 31 December 2017. For a better understanding of the Group’s financial position, its financial performance and its cash flows, these summary consolidated financial statements should be read in conjunction with the audited consolidated financial statements of the Group from which these summary consolidated financial statements were derived. Copies of audited consolidated financial statements can be obtained from VTB Bank.

5. ANNEXES

5.1.SHARE CAPITAL

In 2017, the structure of VTB Bank's share capital did not undergo significant changes. There was also no change in the amount of the Bank's charter capital, remaining at RUB 651,033,883,623.38, which is divided into ordinary and preference shares:

Type of shares	Number of shares	Nominal value
Ordinary shares	12,960,541,337,338	RUB 0.01
Type 1 preference shares	21,403,797,025,000	RUB 0.01
Type 2 preference shares	3,073,905,000,000	RUB 0.1
Total	37,438,243,362,338	

In accordance with its Charter, the Bank has the right to issue a maximum of 14,000,000,000,000 ordinary shares with a nominal value of RUB 0.01 each. The state registration number of VTB Bank's outstanding ordinary shares is 10401000B. The record date for the state registration of the VTB Bank's issue of ordinary shares is 29 September 2006.

The state registration number of VTB Bank Type 1 preference shares is 20301000B. The record date for the state registration of the issue is 13 December 2016. All shares of this type are placed at the disposal of a sole purchaser, the Russian Federation, as represented by the Ministry of Finance of the Russian Federation.

The state registration number of VTB Bank Type 2 preference shares is 20401000B. The record date for the state registration of the issue is 13 December 2016. All shares of this type are placed at the disposal of a sole purchaser, the Deposit Insurance Agency.

VTB Bank's ordinary shares trade on Moscow Exchange and on the London Stock Exchange in the form of global depositary receipts (GDRs). Moscow Exchange has included VTB Bank's shares in its Level 1 list, and they are included in the following indices: Blue Chips, MICEX 10, Broad Market, Banks and Finance, Moscow Exchange Index and the RTS Index. One lot is 10,000 shares.

VTB Bank Type 1 and Type 2 preference shares are not traded on exchanges, and do not offer a fixed dividend for the year. The amount of the dividend is subject to approval at the Annual General Meeting of Shareholders. In addition, the Bank's Charter provides for the possibility of paying out interim dividends.

The total number of shareholders of the Bank as of December 2017 was 94.6 thousand, including 93.6 thousand individuals. During 2017, the number of shareholders of the Bank increased by 5.15%, or by 4.6 thousand individuals.

The Bank's largest shareholders are the Federal Agency for State Property Management (12.13% of the charter capital or 60.93% of ordinary shares) and the Russian Ministry of Finance (32.88% of the charter capital), as well as the Deposit Insurance Agency (47.22% of the charter capital).

As of 27 December 2017, ordinary Bank shares were held by the following entities:

Shareholder	% of ordinary shares	% of charter capital
The Russian Federation as represented by the Federal Agency for State Property Management	60.93	12.13
State Oil Fund of the Republic of Azerbaijan	2.95	0.59

Credit Suisse	2.58	0.51
Bank Otkritie Financial Corporation	8.10	1.61
Other legal entities and individuals	25.44	5.06

5.2.DIVIDENDS

Dividend payments

VTB Bank's Annual General Meeting of Shareholders on 26 April 2017 approved the payment of dividends for 2016 in the amount of:

- RUB 0.00117 per ordinary nominal share with a par value of RUB 0.01;
- RUB 0.00052 per Type 1 preference share with a par value of RUB 0.01;
- RUB 0.00588849 per Type 2 preference share with a par value of RUB 0.1.

The total amount of dividends paid out for 2016 amounted to RUB 44.4 billion, not including the payment of interim dividends for the first three quarters of 2016, and RUB 62.3 billion including interim dividends (compared to RUB 33.1 billion for 2015), including RUB 15.2 billion on ordinary shares, RUB 11.1 billion on Type 1 preference shares and RUB 18.1 billion on Type 2 preference shares. In addition to these payments, in December 2016, the Deposit Insurance agency was paid RUB 17,870,730,759.45 in interim dividends of the first nine months of 2016 on its Type 2 preference shares.

As of 31 December 2016, the amount paid in dividends on ordinary shares amounted to RUB 15,163,309,014.08, with the proportion of dividends paid out of the total declared dividends amounting to 99.997%. Dividends on all types of preference shares were paid in full.

The amount of dividends paid to major shareholders in 2017 was as follows:

- The Russian Federation, represented by the Federal Agency for State Property Management: RUB 9,240,048,588.34;
- The Russian Federation, represented by the Ministry of Finance of the Russian Federation: RUB 11,129,974,453.00;
- The Deposit Insurance Agency: RUB 18,100,658,853.45.

Dividend policy

One of the main rights of shareholders is the right to receive a share of the Bank's net profit in the form of dividend payments. Dividend payments are approved by the AGM, following recommendations made by the Supervisory Council. In determining the recommended dividend amount, the Supervisory Council is guided by the amount of the Bank's net profit and by the Dividend Policy. The Bank's Charter also provides for the possibility of the payment of interim dividends for each quarter to holders of Type 1 and Type 2 preference shares.

In accordance with the current Regulation on the Dividend Policy, the recommended amount for dividend payments shall be determined by the Bank's Supervisory Council on the basis of the Bank's consolidated financial statements in accordance with IFRS. The recommended amount of dividend payments, according to the Regulation, is not less than 25% of the Group's consolidated net profit under IFRS. The Dividend Policy is available in the Investor Relations section on the Bank's website:

www.vtb.ru.

Record of VTB Bank dividend payments for the last five years

	2012	2013	2014	2015	2016 ¹⁸
Net profit under RAS (RUB million)	18,096	34,485	19,674	49,140	69,088
Total amount of dividend payments (RUB million)	14,959	15,034	18,000	33,093	62,265
Dividend payout ratio (% of VTB Bank's net profit under RAS)	83	44	91	67	90
Dividend payout ratio (% of VTB Group's net profit under IFRS)	17	15	2,250	1,947	121
Dividend payout for ordinary shares (RUB million)	14,959	15,034	15,164	15,164	15,164
Dividend payout for Type 1 preference shares (RUB million)	-	-	2,836	90	11,130
Dividend payout for Type 2 preference shares (RUB million)	-	-	-	17,839	35,971
Dividend per ordinary share (RUB)	0.00143	0.00116	0.00117	0.00117	0.00117
Dividend per Type 1 preference share (RUB)	-	-	≈0.000132	≈0.0000042	0.00052
Dividend per Type 2 preference share (RUB)	-	-	-	≈0.0058	0.01170218

The amount of the dividend payment per share, as well as the period and form of payment are determined at the General Meeting of Shareholders separately for ordinary shares and for all types of preference shares. The amount of the dividend payment may not exceed the amount recommended by the Supervisory Council. The amount of accrued dividends per share is calculated to the nearest kopeck. Rounding is performed in accordance with the rules of mathematical rounding.

The date when the list of persons entitled to a share of the Bank's net profit is compiled is determined at the General Meeting of Shareholders, but can be no earlier than 10 days before the date when the decision to pay dividends is due to be made, and no later than 20 days following such a decision. The time period for the payment of dividends depends on the type of registered shareholder. Dividend payments to nominal shareholders and trustees listed on the shareholder register must be made within 10 working days, while dividend payments to other registered shareholders must be made within 25 working days of the date when the list of persons entitled to dividends is compiled.

At their request, shareholders appearing on the register receive dividends by bank transfer to their accounts (if bank details are provided) or by postal order. Shareholders whose rights are registered via nominal shareholders receive dividends in monetary form in accordance with the procedure stipulated in Russian laws on securities. The current legislation, which was amended on 1 January 2014, does not provide for dividend payments in cash.

Any dividends accrued but unclaimed by shareholders within a period of three calendar years are subject to allocation back to the profit of the Bank. Therefore, if a shareholder does not claim his or her accrued dividends within three years, he or she loses the right to receive them. If dividends are transferred to a shareholder's bank account, they are considered paid.

Dividend taxation

A tax agent calculates and deducts tax from the dividend payments it makes at year end. Since 1 January 2014, when income is distributed in the form of dividends on shares issued by a Russian organisation, a tax agent can be considered not only an issuer of these shares, but also, in cases stipulated by law, a trustee, a depository and so on.

Given the above, and taking into account that the income tax is calculated and withheld by a tax agent, mutual funds, foreign institutional investors and individual investors can apply for a tax exemption or a reduced tax rate on dividends received by submitting documents that demonstrate that they have the right to preferential tax treatment to the Bank's registrar, VTB Registrar, or to the depository where

¹⁸ Including interim dividends on Type 2 preference shares for the first three quarters of 2016, paid in December 2016

their shares are registered. In the case of share transfer to beneficial ownership, documents should be submitted to a trust manager. A complete list of the required documents can be found in the Investor Relations section of the Bank's website: www.vtb.ru.

The tax rate on dividends for both individuals and legal entities that are residents of the Russian Federation is 13%, and it is 15% for non-residents. This rate applies to the total dividend sum, which can be less than the total volume of payments based on the income received by VTB Bank as dividends from participating in other companies, as tax has already been paid on these amounts.

If a double taxation agreement applies, tax payments are made in accordance with the rate specified in the agreement, taking into account Russian legislation.

5.3. REPORT ON COMPLIANCE WITH THE PRINCIPLES AND RECOMMENDATIONS OF THE CORPORATE GOVERNANCE CODE

The report on compliance with the principles and recommendations of the Code of Corporate Governance was reviewed by the Supervisory Council of VTB Bank at its meeting on 16 April 2018 within the framework of this Annual Report. VTB Bank's Supervisory Council confirms that the data presented in this report present complete and accurate information about the Company's compliance with the principles and recommendations of the Code of Corporate Governance in 2017.

No.	Principles of Corporate Governance	Criteria for assessing compliance with the relevant principle of corporate governance	Status <1> of compliance	Comments/explanation <2>
1.1	The company shall ensure equal and fair treatment for all its shareholders in exercising their rights to participate in the management of the company.			
1.1.1	The company creates the best possible conditions for its shareholders to participate in the general meeting, for the development of sound positions related to agenda items at the General Meeting, for coordinating their activities, as well as an opportunity to express their views on the issues under consideration.	1. There is a publicly available internal company document, approved by the General Meeting of Shareholders, that governs the procedures for conducting General Meetings. 2. The company has established a straightforward means of communicating with the company, such as a hotline, e-mail or online forums, allowing shareholders to express their opinions and send questions regarding the agenda during preparations for the General Meeting. The company undertook such actions before every General Meeting that took place during the reporting period.	✓ Compliance ☐ Partial compliance ☐ Non-compliant	
1.1.2	The procedure for giving notice of the General Meeting and the provision of materials for the General Meeting gives shareholders an opportunity to properly prepare for participation in the meeting.	1. Notice of an upcoming General Meeting of Shareholders is posted (published) on the website no later than 30 days before the date of the General Meeting. 2. The notice about an upcoming meeting must indicate the place of the meeting and the documents required for admission to the premises. 3. Shareholders were provided with access to information about who proposed the agenda items and who nominated individuals to the Board of Directors and the Statutory Audit Commission.	✓ Compliance ☐ Partial compliance ☐ Non-compliant	
1.1.3	In the course of the preparation for and the holding of a General Meeting, shareholders had the opportunity to receive information about the meeting and materials for the meeting without hindrance and in a timely manner to put questions to the executive bodies and the members of the Board of Directors and to communicate with one another.	1. Shareholders had the opportunity to put questions to members of the executive bodies and the members of the Board of Directors prior to and during the Annual General Meeting. 2. The position of the Board of Directors (including dissenting opinions entered in the minutes) on each agenda item at General Meetings held during the reporting period was included in the materials for the General Meeting of Shareholders. 3. The company provided those shareholders with a right to access the list of persons entitled to participate in the General Meeting from the date of its receipt by the	✓ Compliance ☐ Partial compliance ☐ Non-compliant	

company in all cases regarding General Meetings held during the reporting period.

1.1.4	Implementation of the shareholder right to request that a general meeting be convened, to nominate candidates to the management bodies and to make proposals for inclusion on the agenda of the general meeting did not involve needless difficulties.	1. During the reporting period, shareholders had the opportunity to submit proposals for inclusion on the agenda of the Annual General Meeting during a period of no less than 60 days after the end of the corresponding calendar year. 2. During the reporting period, the company did not refuse to accept proposals for the agenda or nominations to the company's various bodies as a result of typos or other insignificant errors in the shareholder's proposal.	✓ Compliance ☐ Partial compliance ☐ Non-compliant
1.1.5	Every shareholder had an opportunity to freely exercise their right to vote in the simplest and most convenient way for them.	One of the company's bylaws (internal policy) contains provisions pursuant to which each participant of a General Meeting may request a copy of their completed ballot certified by the counting commission prior to the completion of the meeting in question.	✓ Compliance ☐ Partial compliance ☐ Non-compliant
1.1.6	The procedure established by the company for conducting General Meetings provides an equal opportunity to all individuals present at a meeting to express their opinions and ask questions.	1. When conducting General Meetings of Shareholders during the reporting period in the form of a meeting (with the joint presence of shareholders), sufficient time was provided for reports on agenda items, as well as time to discuss those items. 2. Candidates for the company's management and oversight bodies were available to answer questions from shareholders at the meeting at which their nominations were put to a vote. 3. When making decisions related to the preparation and holding of General Meetings of Shareholders, the Board of Directors considered the use of telecommunications facilities to provide remote access to shareholders to participate in General Meetings during the reporting period.	✓ Compliance ☐ Partial compliance ☐ Non-compliant
1.2	Shareholders are given equal and fair opportunities to participate in the profits of the company by receiving dividends.		
1.2.1	The company has developed and implemented a transparent and clear mechanism for determining the amount and payment of dividends.	1. The company has developed an open dividend policy that has been approved by the Board of Directors and that has been disclosed. 2. If the company's Dividend Policy uses the company's reporting indicators to determine the amount of the dividend, then the relevant provisions of the Dividend Policy take into account the Group's consolidated financial statements.	✓ Compliance ☐ Partial compliance ☐ Non-compliant

1.2.2	The company does not take a decision on the payment of dividends if such a decision, while not formally in violation of legal restrictions, is unjustified from an economic point of view and could lead to the formation of misconceptions about the company's activities.	The company's Dividend Policy provides clear guidance on the financial/economic circumstances under which the company should not pay dividends.	 Compliance ☐ Partial compliance ☐ Non-compliant
1.2.3	The company does not permit any diminution of the dividend rights of existing shareholders.	During the reporting period, the company did not take any actions that led to the diminution of the dividend rights of existing shareholders.	 Compliance ☐ Partial compliance ☐ Non-compliant
1.2.4	The company is committed to preventing shareholders from using other means of earning a profit (income) at the company's expense beyond dividends and liquidation value.	In order to prevent shareholders from using other means of earning a profit (income) at the company's expense beyond dividends and liquidation value, the company's bylaws have established monitoring mechanisms that ensure the timely discovery of and a procedure for the approval of transactions with persons affiliated (associated) with major shareholders (individuals with the right to make use of the votes stemming from voting shares) in cases where the law does not formally recognise such transactions as related-party transactions.	 Compliance ☐ Partial compliance ☐ Non-compliant
1.3	The corporate governance system and practices shall ensure equal terms and conditions for all shareholders owning shares of the same class (category), including minority and foreign shareholders, as well as their equal treatment by the company.		
1.3.1	The company has created the conditions for the fair treatment of each shareholder by the company's management and oversight bodies, including conditions ensuring the inadmissibility of abuse by major shareholders in relation to minority shareholders.	During the reporting period, the procedures for managing potential conflicts of interest involving major shareholders were effective, and conflicts between shareholders, if any, were given due attention by the Board of Directors.	 Compliance ☐ Partial compliance ☐ Non-compliant
1.3.2	The company does not undertake actions that lead or may lead to the artificial redistribution of corporate control.	There were no quasi-treasury shares, or they did not vote during the reporting period.	 Compliance ☐ Partial compliance ☐ Non-compliant
1.4	Shareholders must be provided with reliable and effective ways to register their rights to their shares, as well as the possibility to dispose of their shares freely and easily.		
1.4.1	Shareholders must be provided with	The quality and reliability of the activities performed by	 Compliance

	reliable and effective ways to register their rights to their shares, as well the possibility to dispose of their shares freely and easily.	the company's registrar to maintain the register of securities holders meet the needs of the company and its shareholders.	☐ Partial compliance ☐ Non-compliant
2.1	The Board of Directors carries out strategic management within the company, defines the basic principles and approaches to organising a risk management and internal control system within the company, supervises the activity of executive bodies and also performs other key functions.		
2.1.1	The Board of Directors is responsible for decisions relating to the appointment and dismissal of members of executive bodies, including in connection with the improper performance of their duties. The Board of Directors also carries out oversight measures to ensure that the company's executive bodies act in accordance with the approved development strategy and the company's main areas of activity.	1. The Board of Directors has the authority, per the Charter, to appoint and dismiss members of executive bodies, as well as to determine the terms of their contracts. 2. The Board of Directors reviewed the report(s) of the sole executive body and of members of the collective executive body on the implementation of the company's strategy.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.1.2	The Board of Directors establishes the basic guidelines for the company's activities in the long term, evaluates and approves the company's key performance indicators and key business goals, and evaluates and approves the strategy and business plans for the company's core activities.	During the reporting period, meetings of the Board of Directors addressed issues related to progress on implementation and updating of the company's strategy, approval of the company's financial and economic plan (budget), as well as the consideration of criteria and indicators (including interim) related to implementation of the company's strategy and business plans.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.1.3	The Board of Directors determines the principles of risk management and internal control system in the company.	1. The Board of Directors has determined the principles of risk management and internal control system in the company. 2. The Board of Directors assessed the company's risk management and internal control system during the reporting period.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.1.4	The Board of Directors determines the company policy on remuneration and/or reimbursement (compensation) for expenses for members of the company's Board of Directors, executive bodies and other key executives.	1. The company has developed and implemented a policy (policies), approved by the Board of Directors, on the remuneration and reimbursement (compensation) of expenses for members of the company's Board of Directors, executive bodies and other key executives. 2. Issues related to this policy (policies) were considered during the reporting period at meetings of the Board of Directors.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.1.5	The Board of Directors plays a key role in	1. The Board of Directors plays a key role in the	 Compliance

	the prevention, detection and resolution of internal conflicts between the company's executive bodies, shareholders and employees.	prevention, detection and resolution of internal conflicts. 2. The company has established a system for identifying transactions involving a conflict of interest, and a system of measures aimed at resolving such conflicts.	☐ Partial compliance ☐ Non-compliant
2.1.6	The Board of Directors plays a key role in ensuring the transparency of the company, the timeliness and completeness of the company's disclosure of information, and shareholders' unhindered access to company documents.	1. The Board of Directors approved the Regulation on Information Policy. 2. The company has appointed responsible officials for implementation of its Information Policy.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.1.7	The Board of Directors oversees the corporate governance practices within the company and plays a key role in significant corporate events.	During the reporting period, the Board of Directors considered the issue of the company's corporate governance practices.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.2	The Board of Directors is accountable to the company's shareholders.		
2.2.1	Information about the work of the Board of Directors is disclosed and presented to the shareholders.	1. The company's Annual Report for the reporting period includes information on individual directors' attendance at board and committee meetings. 2. The Annual Report contains information about the main results of the assessment of the work of the Board of Directors carried out during the reporting period.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.2.2	The Chairman of the Board of Directors must be available to the company's shareholders.	The company has a transparent procedure for providing shareholders with an opportunity to direct their questions and their position on those questions to the Chairman of the Board of Directors.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.3	The Board of Directors must be an efficient and professional governing body that is capable of making objective and independent judgements and passing resolutions in the best interests of the company and its shareholders.		
2.3.1	Only individuals who have an excellent business and personal reputation, and who also have the knowledge, skills and experience required to make decisions related to the remit of the board of directors and required for the effective performance of its functions may be elected by the members of the Board of Directors.	1. The company has adopted a procedure for assessing the effectiveness of the Board of Directors that includes an assessment of the professional qualifications of the members of the Board of Directors. 2. During the reporting period, the Board of Directors (or its Nominating Committee) evaluated candidates for the Board of Directors in terms of whether they had the necessary experience, knowledge and business reputation, as well as whether or not they had any	 Compliance ☐ Partial compliance ☐ Non-compliant

conflicts of interest.

2.3.2	The members of the Board of Directors are elected through a transparent procedure that allows shareholders to receive information about the candidates that is sufficient to form a picture of their personal and professional qualities.	Whenever a General Meeting of Shareholders was held during the reporting period whose agenda included the issue of the election of the Board of Directors, the company provided the shareholders with the CVs of all candidates for members of the Board of Directors and the results of the evaluation of the candidates conducted by the Board of Directors (or the Nominating Committee). It also provided information on each candidate's compliance with the independence criteria in accordance with recommendations 102-107 of the Code, as well as the written consent of the candidates for election to the Board of Directors.	 ☐ Partial compliance ☐ Non-compliant
2.3.3	The composition of the Board of Directors shall be balanced, including in terms of the qualifications of its members, their experience, knowledge and business qualities, and it shall enjoy the confidence of the shareholders.	As part of the procedures for assessing the work of the Board of Directors carried out during the reporting period, the Board of Directors analysed its own requirements in the area of professional qualifications, experience and business skills.	 ☐ Partial compliance ☐ Non-compliant
2.3.4	The quantitative composition of the Board of Directors shall make it possible to organise the activities of the Board of Directors in the most efficient manner possible, including the possibility of the formation of the board committees. It shall also provide the company's significant minority shareholders with an opportunity to elect to the Board of Directors a candidate of their choice.	As part of the procedures for assessing the work of the Board of Directors carried out during the reporting period, the Board of Directors considered the issue of the compliance of the quantitative composition of the Board of Directors with the company's requirements and the interests of shareholders.	 ☐ Partial compliance ☐ Non-compliant
2.4	The Board of Directors shall include a sufficient number of independent directors.		
2.4.1	An independent director is a person who has sufficient professionalism, experience and independence to form their own positions, is able to formulate objective and honest opinions, is independent from the influence of the company's executive bodies, individual groups of shareholders and other interested parties. It should be kept in mind that, under normal conditions, a candidate (elected member of the Board of Directors) who is associated with the company, its major shareholders, a significant counterparty or competitor or	During the reporting period, all independent members of the Board of Directors met all the criteria for independence set out in recommendations 102-107 of the Code or were recognised as independent by a decision of the Board of Directors.	 ☐ Partial compliance ☐ Non-compliant

the state may not be considered independent.

2.4.2	An assessment of the compliance of candidates for the Board of Directors with the criteria for independence shall be carried out, along with a regular review of the compliance of independent members of the Board of Directors with the independence criteria. In conducting such an assessment, content should prevail over form.	1. During the reporting period, the Board of Directors (or its Nominating Committee) formed an opinion about each candidate's independence and presented shareholders with their conclusions. 2. During the reporting period, the Board of Directors (or its Nominating Committee) reviewed, on at least one occasion, the independence of the current members of the Board of Directors who are indicated as independent directors in the company's Annual Report. 3. The company has developed procedures for determining the necessary actions a board member must take in the event that he or she ceases to be independent, including the obligation to inform the Board of Directors about this in a timely manner.	Compliance  Partial compliance ☐ Non-compliant	The Supervisory Council's Staff and Remuneration Committee reviewed candidates for the Supervisory Council, including for compliance with the independence criteria. Shareholders are expected to be provided with the findings in 2018.
2.4.3	Independent directors shall account for at least one third of all directors elected to the board.	Independent directors account for at least one third of all directors elected to the board.	 Compliance ☐ Partial compliance ☐ Non-compliant	
2.4.4	Independent directors play a key role in the prevention of internal conflicts within the company and in the company's performance of material corporate actions.	Independent directors (who have no conflict of interest) provide a preliminary assessment of material corporate actions related to possible conflicts of interest, and the results of that assessment are presented to the board.	 Compliance ☐ Partial compliance ☐ Non-compliant	
2.5	The Chairman of the Board of Directors shall facilitate the most effective performance of the functions assigned to the Board.			
2.5.1	The Chairman of the Board of Directors is an independent director, or the elected independent directors select a senior independent director who coordinates the work of the independent directors and is responsible for communication with the Chairman of the Board of Directors.	1. The Chairman of the Board of Directors is an independent director or a senior independent director is selected from among the independent directors <3>. 2. The role, rights and responsibilities of the Chairman of the Board of Directors (and if applicable, of the senior independent director) are stipulated, as required, in the company's bylaws.	 Compliance ☐ Partial compliance ☐ Non-compliant	
2.5.2	The Chairman of the Board of Directors ensures a constructive atmosphere for holding meetings, a free discussion of the	The effectiveness of the work of the Chairman of the Board of Directors is evaluated in the framework of the performance evaluation procedures for the Board of	 Compliance ☐ Partial compliance	

	issues included on the meeting agenda and oversight over the execution of decisions taken by the Board of Directors.	Directors during the reporting period.	☐ Non-compliant
2.5.3	The Chairman of the Board of Directors shall take the necessary measures for the timely provision of information to members of the Board of Directors in order to take decisions about items on the agenda.	The duty of the Chairman of the Board of Directors to take steps to ensure the timely delivery of materials to members of the Board of Directors concerning items on the agenda of a meeting of the board is stipulated in company bylaws.	☒ Compliance ☐ Partial compliance ☐ Non-compliant
2.6	Board members act in good faith and reasonably in the interests of the company and its shareholders on the basis of sufficient information, with due care and diligence.		
2.6.1	Board members take decisions based on all available information, without any conflicts of interest, taking into account the equal treatment of the company's shareholders, within the framework of normal business risk.	1. According to the company's bylaws, a member of the Board of Directors must notify the Board of Directors if he or she has a conflict of interest in respect of any item on the agenda of a meeting of the board or of a board committee prior to the discussion of the relevant agenda item. 2. The company's bylaws provide that a board member must abstain from voting on any matter in which he or she has a conflict of interest. 3. The company has established a procedure that allows the Board of Directors to receive professional advice on matters within its remit at the company's expense.	☒ Compliance ☐ Partial compliance ☐ Non-compliant
2.6.2	The rights and obligations of members of the Board of Directors are clearly enshrined in the company's bylaws.	The company has adopted and published a bylaw that clearly stipulates the rights and responsibilities of members of the Board of Directors.	☒ Compliance ☐ Partial compliance ☐ Non-compliant
2.6.3	Board members have sufficient time to perform their duties.	1. Individual attendance at board and committee meetings, as well as the time devoted to preparation for participation in such meetings, was taken into account as part of the Board of Directors assessment procedures during the reporting period. 2. In accordance with the company's bylaws, members of the Board of Directors are required to notify the Board of their intention to be a part of the management bodies of other organisations (beyond those that are the company's subsidiaries or dependent organisations), as well as the fact of such appointments.	☒ Compliance ☐ Partial compliance ☐ Non-compliant
2.6.4	All members of the Board of Directors	1. In accordance with the company's bylaws, the members	☒ Compliance

	shall have equal access to the company's documents and information. Newly elected members of the Board of Directors shall, in the shortest possible time, be provided with sufficient information about the company and the work of the Board of Directors.	of the Board of Directors have the right to access documents and to make inquiries concerning the company and its subsidiary organisations, and the company's executive bodies are required to provide relevant information and documents. 2. The company has established a formalised programme of introductory events for newly elected members of the Board of Directors.	☐ Partial compliance ☐ Non-compliant
2.7	Meetings of the Board of Directors, preparations for them and the participation of board members therein shall ensure that the board works in an effective manner.		
2.7.1	Meetings of the Board of Directors shall be held as necessary, taking into account the scale of operations and the tasks facing the company at a given period of time.	The Board of Directors held at least six meetings during the reporting year.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.7.2	The company's bylaws shall enshrine procedures for the preparation and holding of board meetings that allow members of the Board of Directors to prepare adequately for such meetings.	The company has approved a bylaw that stipulates the procedure for the preparation and holding of board meetings, in which it is also established that notice about a meeting must be provided, as a rule, not less than five days prior to the meeting.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.7.3	The format of each meeting of the Board of Directors is determined based on the importance of the items on its agenda. The most important issues are resolved at meetings of the Board of Directors held in person.	The company's Charter or bylaws provide that the most important issues (according to the list provided in recommendation 168 of the Code) must be considered at in-person Board meetings.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.7.4	Decisions on the most important issues concerning the company's activities shall be taken at a meeting of the board of directors by a qualified majority or a majority of all the elected members of the Board of Directors.	The company's Charter provides that decisions on the most important issues outlined in recommendation 170 of the Code must be taken at a meeting of the Board of Directors by a qualified majority of not less than three fourths of the votes or by a majority of all the elected members of the Board of Directors.	 Compliance ☐ Partial compliance ☐ Non-compliant
2.8	The Board of Directors shall form committees for preliminary consideration of the most important issues related to the company's activities.		
2.8.1	For the preliminary consideration of issues related to the control of the company's financial and economic activities, an Audit Committee shall be established that is composed of independent directors.	1. The Board of Directors has formed an Audit Committee composed entirely of independent directors. 2. The company's bylaws stipulate the Audit Committee's tasks, including those tasks outlined in recommendation 172 of the Code. 3. At least one member of the Audit Committee, who is an independent director, has experience and expertise in the preparation, analysis, evaluation and auditing of financial	 Compliance ☐ Partial compliance ☐ Non-compliant

		statements. 4. Meetings of the Audit Committee took place at least once a quarter during the reporting period.		
2.8.2	For preliminary consideration of issues related to the formation of effective and transparent remuneration practices, a Remuneration Committee was established that consists of independent directors and is chaired by an independent director who is not the Chairman of the Board of Directors.	1. The Board of Directors established a Remuneration Committee that consists solely of independent directors. 2. The Chairman of the Remuneration Committee is an independent director who is not the Chairman of the Board of Directors. 3. The company's bylaws stipulate the Remuneration Committee's tasks, including those tasks outlined in recommendation 180 of the Code.	Compliance  Partial compliance ☐ Non-compliant	1-2. Two of the three directors on the Supervisory Council's Staff and Remuneration Committee are independent, and the other is a non-executive director. The current members of the Committee are selected based on the individual experience and competence of each member. The Bank complies with the requirements on corporate governance of the Moscow Exchange Listing Rules, including the requirements for the composition of the Supervisory Council committees. Concerning the Code's requirement that the Committee comprise only independent directors, the practicality is unclear, including due to the risk of not being able to fill the Committee with Supervisory Council members with the necessary competence in this field. Bearing in mind that the decisions at Committee meetings are adopted by a simple majority, and the majority of the members of the Committee are independent, the Bank has minimised the risk of biased decisions. At the same time, however, the Bank, in collaboration with its main shareholder (the Federal Agency for State Property Management), plans to consider including as candidates for positions on the Supervisory Council more independent directors with the requisite experience to serve on the Committee.
2.8.3	For preliminary consideration of issues related to the implementation of staff planning (succession planning) and the professional composition and performance of the Board of Directors, a Nominating Committee (appointments, human resources) was established, most of whose members are independent directors.	1. The Board of Directors established a Nominating Committee (or the tasks thereof specified in recommendation 186 of the Code are performed by another committee <4>) consisting mostly of independent directors. 2. The company's bylaws stipulate the tasks of the Nominating Committee (or the relevant committee with combined functions), including the tasks outlined in recommendation 186 of the Code.	 Compliance ☐ Partial compliance ☐ Non-compliant	1. The functions of the Nominating Committee belong to the Supervisory Council Staff and Remuneration Committee of VTB Bank.
2.8.4	Given the scope and risk level, the Board of Directors determined that the composition of its committees fully meets the company's goals. Additional committees were either formed or are not deemed necessary (strategy committee, corporate governance committee, ethics committee, risk management committee, budget committee, committee on health, safety and the environment, etc.).	During the reporting period, the company's Board of Directors considered the composition of its committees in terms of the Board's duties and the company's objectives. Additional committees were either formed or were deemed unnecessary.	 Compliance ☐ Partial compliance ☐ Non-compliant	
2.8.5	The composition of the committees is determined in such a way that it allows	1. Committees of the Board of Directors are chaired by independent directors.	Compliance	1. Compliance in relation to the Bank's Supervisory Council Audit Committee.

	for a comprehensive discussion of issues beforehand, taking into account different views.	2. The company's bylaws (policies) include provisions under which individuals who are not members of the Audit Committee, the Nominating Committee or the Remuneration Committee may attend committee meetings only at the invitation of the chairman of the relevant committee.	 Partial compliance	
			☐ Non-compliant	
2.8.6	The committee chairmen shall regularly inform the Board of Directors and its Chairman about the work of its committees.	During the reporting period, the chairmen of the committees reported regularly to the Board of Directors on the work of the committees.	 Compliance	
			☐ Partial compliance	
			☐ Non-compliant	
2.9	The Board of Directors shall ensure that the quality of its work and that of its committees and its members is assessed.			
2.9.1	Assessment of the quality of the work of the Board of Directors is aimed at determining the degree of the effectiveness of the Board's work, its committees and Board members, the compliance of their work with the company's development needs, intensification of the work of the Board of Directors and identifying areas in which their work can be improved.	1. The self-assessment and external evaluation of the Board of Directors carried out during the reporting period included an evaluation of the work of the committees, individual Board members and the Board of Directors as a whole. 2. The results of the self-assessment or external assessment of the Board of Directors carried out during the reporting period were discussed at an in-person meeting of the Board of Directors.	 Compliance	
			☐ Partial compliance	
			☐ Non-compliant	
2.9.2	The work of the Board of Directors, its committees and Board members is assessed on a regular basis, at least once a year. To conduct an independent assessment of the quality of the Board of Directors' work, a third-party entity (consultant) is engaged at least once every three years.	To conduct an independent assessment of the quality of the Board of Directors' work during the last three reporting periods, the company engaged a third-party entity (consultant) at least once.	Compliance  Partial compliance ☐ Non-compliant	An external evaluation of the work of the Bank's Supervisory Council was not carried out in 2017 due to the fact that the Bank needed more time to study the issue and to identify potential contractors to carry out such an assessment. At the same time, however, the Bank conducts an annual evaluation of the work of the Supervisory Council as part of its comprehensive evaluation of its corporate governance in accordance with Bank of Russia Letter No. 11-T of 7 February 2007, the results of which are considered at an in-person meeting of the Supervisory Council. In 2018, the Bank plans to hire an external consultant to assess the work of the Supervisory Council.
3.1	The company's Corporate Secretary is responsible for efficient ongoing interaction with its shareholders, coordination of the company's actions designed to protect the rights and interests of its shareholders and support for the efficient work of its Board of Directors.			
3.1.1	The Corporate Secretary has sufficient knowledge, experience and expertise for the execution of his or her duties. This official enjoys an impeccable reputation and the confidence of shareholders.	1. The company has adopted and disclosed a bylaw called the Regulation on the Corporate Secretary. 2. The company's website and Annual Report provide biographical information about the Corporate Secretary. The same level of detail is provided about the members of the company's Board of Directors and executive management.	 Compliance ☐ Partial compliance ☐ Non-compliant	

3.1.2	The Corporate Secretary is sufficiently independent of the company's executive bodies, and has been given the necessary authority and resources to carry out his assigned tasks.	The Board of Directors approves the appointment and dismissal of the Corporate Secretary, as well as decisions to award additional remuneration to the Corporate Secretary.	 Compliance ☐ Partial compliance ☐ Non-compliant
4.1	The level of remuneration paid by the company shall be sufficient to enable it to attract, motivate and retain employees who have the required skills and qualifications. Remuneration shall be paid to Board members, executive bodies and other key managers at the company in accordance with the remuneration policy adopted by the company.		
4.1.1	The level of remuneration provided by the company to members of the Board of Directors, executive bodies and other key executives creates sufficient motivation for them to work effectively, allowing the company to attract and retain competent and skilled professionals. This allows the company to avoid having to pay a level of remuneration that is more than necessary, and it prevents the formation of unjustifiably large gaps in the level of remuneration between these officials and company employees.	The company has adopted a bylaw or bylaws (policy/policies) regulating the remuneration for members of the Board of Directors, executive bodies and other key executives, which clearly stipulate approaches to the remuneration of these individuals.	 Compliance ☐ Partial compliance ☐ Non-compliant
4.1.2	The company's remuneration policy is determined by the Remuneration Committee and approved by the Board of Directors. The Board of Directors, with the support of the Remuneration Committee, monitors the introduction and implementation of the company's Remuneration Policy, and if necessary it reviews and makes adjustments to it.	During the reporting period, the Remuneration Committee reviewed the Remuneration Policy (Policies) and the policy regulating its (their) implementation; if necessary, it presented appropriate recommendations to the Board of Directors.	 Compliance ☐ Partial compliance ☐ Non-compliant
4.1.3	The company's Remuneration Policy provides transparent mechanisms for determining the amount of remuneration for members of the Board of Directors, executive bodies and other key executives at the company. It also regulates all types of payments, benefits and privileges provided to such individuals.	The company's Remuneration Policy (Policies) contains (contain) transparent mechanisms for determining the remuneration of members of the Board of Directors, executive bodies and other key executives at the company. It (they) also regulates (regulate) all kinds of payments, benefits and privileges provided to such individuals.	 Compliance ☐ Partial compliance ☐ Non-compliant
4.1.4	The company determines a policy on the reimbursement (compensation) of expenses that enumerates a list of	The policy (policies) on remuneration or the company's other bylaws establish reimbursement rules for Board members, executive bodies and other key executives at	 Compliance ☐ Partial compliance

	reimbursable expenses and the level of service that members of the Board of Directors, executive bodies and other key executives at the company may qualify for. This policy may form a part of the company's Remuneration Policy.	the company.	☐ Non-compliant
4.2	The system of remuneration for members of the Board of Directors shall ensure that the financial interests of the directors are in line with the long-term financial interests of shareholders.		
4.2.1	The company pays fixed annual remuneration to the members of the Board of Directors. The company does not pay remuneration for participation in meetings of the Board or Board committees. The company does not use short-term incentives or additional material incentives for members of the Board of Directors.	Fixed annual remuneration was the only form of monetary remuneration that Board members received for their work on the Board during the reporting period.	☒ Compliance ☐ Partial compliance ☐ Non-compliant
4.2.2	Long-term holding of company shares has been the most conducive to ensuring the convergence of the financial interests of the members of the Board of Directors with the long-term interests of shareholders. The company does not make the right to dispose of shares dependent on the achievement of certain performance results, and Board members do not participate in option programmes.	If the bylaw (bylaws) detailing the policy (policies) on remuneration include a provision allowing company shares to be granted to members of the Board of Directors, then clear rules regulating how Board members can hold these shares must be stipulated in a way that promotes the long-term holding of such shares.	☒ Compliance ☐ Partial compliance ☐ Non-compliant
4.2.3	The company does not provide any additional payments or compensation in the event of the early termination of members of the Board of Directors in connection with the transfer of control over the company or other circumstances.	The company does not provide any additional payments or compensation in the event of the early termination of members of the Board of Directors in connection with the transfer of control over the company or other circumstances.	☒ Compliance ☐ Partial compliance ☐ Non-compliant
4.3	The system of remuneration due to members of the executive bodies and other key company managers provides that their remuneration is dependent on the company's performance results and their personal contributions to achieving these.		
4.3.1	Remuneration for members of executive bodies and other key executives at the company shall be determined in such a way as to provide a reasonable and justified ratio between their base salary and variable remuneration depending on	1. During the reporting period, the annual performance indicators approved by the Board of Directors were used to determine the amount of variable compensation for members of executive bodies and other key executives at the company. 2. In the course of the last evaluation of the system of	☒ Compliance ☐ Partial compliance ☐ Non-compliant

	the company's results and the personal (individual) contribution of each employee to the final result.	remuneration for members of executive bodies and other key executives at the company, the Board of Directors (the Remuneration Committee) confirmed that the Company employed an effective ratio of base salary to variable compensation. 3. The company has established a procedure that provides for the return of bonuses that were unlawfully obtained by members of the executive bodies and other key executives at the company.	
4.3.2	The company has established a long-term incentive programme for members of the executive bodies and other key company executives using the company's shares (options or other derivative instruments whose underlying asset is company shares).	1. The company has established a long-term incentive programme for members of the executive bodies and other key company executives using the company's shares (financial instruments based on company shares). 2. The long-term incentive programme for members of executive bodies and other key company executives provides that the right to sell shares and other financial instruments that are granted within the programme shall not be granted less than three years from the date that such shares or instruments are awarded. The right to sell shares shall be conditional upon the company's achievement of certain performance indicators.	✓ Compliance ☐ Partial compliance ☐ Non-compliant
4.3.3	The amount of compensation (golden parachute) that is paid by the company in the event of the early termination of members of the executive bodies or key executives at the initiative of the company and in the absence of any actions taken by the employees themselves that were not in good faith shall not exceed two times the base salary that is paid as part of the annual compensation package.	The amount of compensation (golden parachute) that is paid by the company in the event of the early termination of members of the executive bodies or key executives at the initiative of the company and in the absence of any actions taken by the employees themselves that were not in good faith did not, during the reporting period, exceed two times the base salary that is paid as part of the annual compensation package.	✓ Compliance ☐ Partial compliance ☐ Non-compliant
5.1	The company has established an efficient risk management and internal control system that is designed to provide reasonable assurance that the company's goals will be achieved.		
5.1.1	The Board of Directors determines the principles and approaches used to shape the company's risk management and internal control system.	The functions that the company's various control bodies and divisions play in the risk management and internal control system are clearly stipulated in the company's bylaws/relevant policies that were approved by the Board of Directors.	✓ Compliance ☐ Partial compliance ☐ Non-compliant
5.1.2	The company's executive bodies shall ensure the establishment and maintenance of an effective system of	The company's executive bodies have ensured the distribution of functions and responsibilities for risk management and internal control between their	✓ Compliance ☐ Partial compliance

	risk management and internal control at the company.	subordinate unit and department heads.	☐ Non-compliant
5.1.3	The company's risk management and internal control system provides for an objective, fair and clear picture of the company's current state and prospects, the integrity and transparency of the company's reporting, and the reasonableness and acceptability of the risks taken by the company.	1. The company has approved a policy on preventing corruption. 2. The company provides an accessible means of notifying the Board of Directors or the Board's Audit Committee about violations of the law, internal procedures and the company's code of ethics.	 Compliance ☐ Partial compliance ☐ Non-compliant
5.1.4	The Board of Directors takes necessary measures to ensure that the company's current risk management and internal control system complies with the principles and approaches determined by the Board of Directors to ensure that such a system is organised and functions effectively.	During the reporting period, the Board of Directors or its Audit Committee evaluated the effectiveness of the company's risk management and internal control system. Information about the main findings of this evaluation are included in the company's Annual Report.	 Compliance ☐ Partial compliance ☐ Non-compliant
5.2	The company organises an internal audit to ensure the regular independent evaluation of the reliability and effectiveness of the risk management and internal control system and corporate governance practice.		
5.2.1	The company has created a separate structural unit or contracted an independent external organisation to conduct the internal audit. The functional and administrative reporting relationship of the internal audit unit has been established. Functionally, the internal audit unit is subordinate to the Board of Directors.	The company has created a separate structural unit to conduct internal audits that is functionally subordinate to the Board of Directors or the Audit Committee or it has engaged an independent external organisation with the same subordinate status to conduct internal audits.	 Compliance ☐ Partial compliance ☐ Non-compliant
5.2.2	The internal audit unit evaluates the effectiveness of the internal control system and assesses the effectiveness of the risk management and corporate governance systems. The company employs generally accepted standards in the field of internal auditing.	1. During the reporting period, an assessment was provided of the effectiveness of the internal control and risk management system as part of the internal audit process. 2. The company uses generally accepted approaches to internal control and risk management.	 Compliance ☐ Partial compliance ☐ Non-compliant
6.1	The company and its activities are transparent to shareholders, investors and other interested parties.		
6.1.1	The company has developed and implemented an information policy that ensures effective communication of	1. The Board of Directors approved the company's Information Policy, which takes into account the recommendations of the Code.	 Compliance ☐ Partial compliance

	information between the company, shareholders, investors and other interested parties.	2. The Board of Directors (or one of its committees) considered issues related to the company's compliance with its Information Policy at least once during the reporting period.	☐ Non-compliant
6.1.2	The company discloses information on its corporate governance system and practices, including detailed information on compliance with the principles and recommendations of the Code.	1. The company discloses information on its system of corporate governance and the general principles of corporate governance that are applied in the company, including on the company's website. 2. The company discloses information on the composition of its executive bodies and its Board of Directors, the independence of Board members and their membership of Board committees (in accordance with the definitions provided in the Code). 3. In the event that a person should assume control of the company, the company publishes a memorandum by the controlling person concerning said person's plans in relation to the company's corporate governance.	 Compliance ☐ Partial compliance ☐ Non-compliant
6.2	The company discloses complete, up-to-date and reliable information about the company to allow its shareholders and investors to make informed decisions.		
6.2.1	The company discloses information in accordance with the principles of regular publication, consistency, timeliness, as well as accessibility, accuracy, completeness and comparability of the data disclosed.	1. The company's Information Policy stipulates the approaches and criteria for determining information that could materially affect the company's valuation, the value of its securities and the procedures that ensure the timely disclosure of such information. 2. If the company's securities are traded in foreign markets, then equivalent material information is disclosed in the Russian Federation and in those foreign markets at the same time during the reporting year. 3. If foreign shareholders hold a substantial number of shares in the company, then information was disclosed during the reporting year not only in Russian, but also in a commonly known foreign language.	 Compliance ☐ Partial compliance ☐ Non-compliant
6.2.2	The company avoids taking a formal approach to the disclosure of information, and it discloses important information about its activities even when such disclosure is not required by law.	1. During the reporting period, the company disclosed its annual and semi-annual financial statements prepared in accordance with IFRS. The company's Annual Report for the reporting period included annual financial statements that were prepared in accordance with IFRS, along with the auditor's report. 2. The company discloses both in its Annual Report and on its website complete information on its capital structure in accordance with recommendation 290 of the Code.	 Compliance ☐ Partial compliance ☐ Non-compliant
6.2.3	The Annual Report, which is one of the most important tools for sharing information with shareholders and other	1. The company's Annual Report provides information on the key aspects of its activities and its financial results. 2. The company's Annual Report contains information	 Compliance ☐ Partial compliance

	interested parties, contains information that makes it possible to assess the company's activities for the year.	about the environmental and social aspects of the company's activities.	☐ Non-compliant	
6.3	The company provides information and documents requested by its shareholders in accordance with the principle of equal and unhindered access.			
6.3.1	The company provides information and documents requested by its shareholders in accordance with the principle of equal and unhindered access.	The company's Information Policy stipulates non-burdensome procedure for providing shareholders with access to information, including information about the company's subsidiaries, at the request of shareholders.	☒ Compliance ☐ Partial compliance ☐ Non-compliant	
6.3.2	When the company provides information to shareholders, it ensures a reasonable balance between the interests of specific shareholders and the interest of the company itself in ensuring the confidentiality of important trade secrets that could have a material impact on its competitiveness.	1. During the reporting period, the company did not refuse to satisfy shareholder requests for information, or if it did deny any requests, then such refusals were justified. 2. In cases stipulated by the company's Information Policy, shareholders are warned about the confidential nature of information and take responsibility for maintaining its confidentiality.	☒ Compliance ☐ Partial compliance ☐ Non-compliant	
7.1	Any actions that will or may materially affect the company's share capital structure and its financial position and, accordingly, the position of its shareholders ("material corporate actions") shall be taken on fair terms and conditions ensuring that the rights and interests of the shareholders as well as other interested parties are observed.			
7.1.1	Material corporate actions include the reorganisation of the company, the acquisition of 30 per cent or more of voting shares (takeover), material transactions by the company, an increase or decrease in the company's share capital, the listing and delisting of company shares, as well as other actions that could lead to a significant change in the rights of shareholders or a violation of their interests. The company's Charter includes a list of (criteria for) transactions or other actions falling within the category of material corporate actions. These actions fall within the remit of the company's Board of Directors.	1. The company's Charter contains a list of transactions or other actions that constitute material corporate actions and the criteria that are used to determine such actions. Decisions regarding material corporate actions fall within the remit of the Board of Directors. In cases where the authority to take such corporate actions falls within the remit of the General Meeting of Shareholders, the Board of Directors provides shareholders with appropriate recommendations. 2. The company's Charter recognises the following, at a minimum, to be material corporate actions: the reorganisation of the company, the acquisition of 30 per cent or more of voting shares (takeover), the completion of material transactions by the company, an increase or decrease in the company's share capital and the listing and delisting of company shares.	☒ Compliance ☐ Partial compliance ☒ Non-compliant	1-2 The Bank's Charter does not specify a list of transactions and significant corporate actions. At the same time, the Regulation on the Audit Committee stipulates a special procedure for work on matters related to the completion of material transactions (para. 2.2.1 of the Regulation). The issue of amending the Bank's Charter with regard to enshrining provisions on material corporate actions during the upcoming AGM in 2018 is currently being studied. Material corporate actions are expected to include reorganisation, acquisition of 30 per cent or more of the Bank's voting shares, the completion of material transactions by the Bank or an increase or decrease in the company's charter capital.
7.1.2	The Board of Directors plays a key role in making decisions or developing recommendations about material corporate actions. The Board of Directors relies on the position of the company's independent directors.	The company has stipulated a procedure under which the independent directors declare their positions on material corporate actions prior to their approval.	☒ Compliance ☐ Partial compliance ☐ Non-compliant	

7.1.3	When completing material corporate actions that affect the rights and legal interests of shareholders, equal conditions are provided for all company shareholders. If the mechanisms protecting the legal rights of shareholders are insufficient, then further measures to protect the rights and legal interests of the company's shareholders are provided. The company is governed not only by compliance with the formal requirements of the law, but also by the principles of corporate governance set out in the Code.	1. Taking into account the nature of the company's business, the company's Charter establishes less restrictive criteria than the minimum provided for under the law for classifying the company's transactions as material corporate actions. 2. During the reporting period, all material corporate actions underwent an approval process before implementation.	Compliance ✓ Partial compliance □ Non-compliant	1. The issue of amending the Bank's Charter at the AGM in 2018 to enshrine provisions on material corporate actions, including with lower criteria for categorising Bank transactions as material corporate actions, is currently being studied.
7.2	The company has established a procedure regulating material corporate actions that allows shareholders to receive timely and complete information on such actions, provides them with an opportunity to influence decision-making about such actions and ensures compliance with and an adequate level of protection of their rights in the performance of such actions.			
7.2.1	Information about material corporate actions is disclosed together with the reasons, conditions and consequences of such actions.	During the reporting period, the company disclosed information on its material corporate actions in a timely manner and in detail, including the reasons for and timing of such actions.	✓ Compliance □ Partial compliance □ Non-compliant	
7.2.2	The rules and procedures governing material corporate actions taken by the company are stipulated in the company's bylaws.	1. The company's bylaws have established a procedure for retaining an independent appraiser to determine the value of property that is alienated or acquired by a significant transaction or a related-party transaction. 2. The company's bylaws have established a procedure for retaining an independent appraiser to assess the value of shares that are acquired or bought back by the company. 3. The company's bylaws have established an expanded list of grounds on which the members of the Board of Directors and other persons referred to in respective laws are deemed to have an interest in the company's transactions.	Compliance ✓ Partial compliance □ Non-compliant	3. The Bank believes that the introduction of such a practice could significantly hamper the activities of the Bank and put it at a disadvantage compared to other financial market participants, including in relation to the duration of the procedure for prior approval of transactions. The Bank believes that the risks of failing to comply with this recommendation are governed by current legislation, including by amendments that entered into force during the reporting year to the Law on Joint Stock Companies with regard to expanding the list of grounds on which a person may be deemed an interested party to a transaction.

<1> "Compliance" is indicated only if the company meets all the criteria for assessing compliance with the respective principle of corporate governance. Otherwise, the status of "partial compliance" or "Non-compliant" is indicated.

<2> A status is assigned for each criterion that is used to assess compliance with corporate governance principles in the event that the company meets only part of the criteria or does not meet any of the criteria for assessing compliance with the principle. If the company indicates "compliance", then no further explanation is required.

<3> Specify which of the two alternative approaches permitted by the principle has been implemented within the company and explain why this approach was chosen.

<4> When the tasks of the Nominating Committee are performed by another committee, then name that committee here.

<5> Provide a list of additional committees that have been created.

5.4. BANK DETAILS AND CONTACTS

General Information

Full official name	VTB Bank (Public Joint-Stock Company)
Short name	VTB Bank (PJSC)
Main type of activity	Banking
Date of state registration	17 October 1990
General licence for banking operations	No. 1000
Main state registration number (OGRN)	1027739609391, issued by the Interdistrict Inspectorate of the Ministry of Taxes and Levies of Russia No. 39 for the city of Moscow on 22 November 2002
Taxpayer identification number (TIN)	7702070139
Bank identifier code (BIC)	044525187
Address	29 Bolshaya Morskaya st 190000 St Petersburg
Mailing address	VTB Bank (PJSC) 43 Vorontsovskaya st, bldg 1 109147 Moscow
Call center:	For corporate clients 8 800 200 7799 (toll-free within Russia) +7 495 739 7799 For private clients 8 800 100 2424 (toll-free within Russia) +7 495 777 2424
Fax	Fax: +7 495 258 4781
Email	info@vtb.ru (for information and offers) compliance@msk.vtb.ru (for insiders)
Website	http://www.vtb.ru/
Details for transfers	https://www.vtb.ru/o-banke/bank-vtb/rekvizity/



CONTACT INFORMATION

VTB Bank (PJSC)

Legal address:

29 Bolshaya Morskaya st
190000 St Petersburg

Postal address:

43 Vorontsovskaya st, bldg 1
109147 Moscow

General enquiries:

+7 495 739 7799,

8 800 200 7799 E-mail: Info@vtb.ru

Head of the administration of the Supervisory Council—Corporate Secretary

Evgeniy Ignatyev

Tel: +7 495 775 7117

E-mail: Ignatyev@vtb.ru

Investor Relations Department (institutional investors and analysts)

Tel: +7 495 775 7139

E-mail: InvestorRelations@vtb.ru

Shareholder Relations Department (individual shareholders)

Phone: +7 495 258 4947

E-mail: Shareholders@vtb.ru

Shareholders Consultative Council

Site: www.facebook.com/ksavtb,

www.twitter.com/ksavtb

Tel: +7 985 774 3155

E-mail: KSA@vtb.ru

VTB Bank Shareholders Liaison Centre in Moscow

35 Myasnitskaya st, office 1026

Tel: +7 495 645 4361

VTB Bank Shareholders Liaison Centre in St Petersburg

29 Bolshaya Morskaya st, office 40

Tel: +7 812 494 9446

VTB Bank Shareholders Liaison Centre in Yekaterinburg

5 Marshala Zhukova st

Tel: +7 343 379 6615

Auditor

Ernst and Young LLC

77 Sadovnicheskaya emb, bldg 1,

Tel: +7 495 755 9700

Depository bank for VTB GDR programme

The Bank of New York Mellon

Legal address: One Wall st, New York, NY
10286, USA

Postal address: BNY Mellon, Depository
Receipts Division, 101 Barclay st — 22nd Floor,
New York, NY 10286, USA

Registrar

JSC VTB Registrar

Legal address: 23 Pravdy st, Moscow 125040

Postal address: P.O. Box 54, Moscow 127137,
Russia

Tel /fax: +7 495 787 4483

E-mail: Info@vtbreg.ru

VTB Shareholder mobile application



0